

Supriya Lifescience (SUPRIYA)

Conference call transcripts, oldest-first. 16 call(s). Generated 2026-08-02.

Call: Aug 2022

SUPRIYA LIFESCIENCE LTD.

Creating true values that bind global health

Date: August 23, 2022

To, To,

BSE Limited National Stock Exchange of India Limited

Phiroze Jeejeebhoy Towers Exchange Plaza, C-1, Block G

Dalal Street, Bandra Kurla Complex

Mumbai — 400 001 Bandra (E), Mumbai — 400 051

Scrip Code: 543434 Scrip Symbol: SUPRIYA

Dear Sir (s),

Subject: Transcript of the Earnings Call of OI of FY 2022-23

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we hereby enclose the transcript of the Earnings call held on Tuesday, August 16, 2022 at 3.00 P.M. IST to discuss operational and financial performance of the Company for the quarter ended June 30, 2022 (Q1 of FY 2022-23),

This is for your information and records.

Thanking you,

Yours faithfully,

For Supriya Lifescience Limited

Shweta Singh

Company Secretary & Compliance Officer

Membership No.: A44973

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"Supriya Lifescience Ltd. Q1 FY23 Earnings
Conference Call"

August 16 , 202 2

MANAGEMENT : DR. SATISH WAGH – CHAIRMAN AND MANAGING
DIRECTOR

DR. SHIREESH AMBHAIKAR – CHIEF EXECUTIVE
OFFICER

MR. ASHISH NAYAK – CHIEF FINANCIAL OFFICER

MS. RASIKA SAWANT – ORIENT CAPITAL , INVESTOR
RELATION PARTNER

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Moderator : Ladies and gentlemen , good day and welcome to the Q1 FY23 Earnings Conference Call of
Supriya Lifescience Ltd . As a reminder , all participant s' lines will be in the liste n-only mode

and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Rasika Sawant from Orient Capital, Investor Relations Partner. Thank you and over to you, Ms. Rasika.

Rasika Sawant: Thank you and welcome to the Q1 FY23 Earnings Conference Call of Supriya Lifescience Ltd. Today on this call we have Dr. Satish Wagh – Chairman and Managing Director along with senior management team. This conference may contain forward-looking statements about the company which are based on beliefs, opinions and expectations as of today. Actual results may differ materially. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. A detailed safe harbor statement is given on page number two of the company's investor presentation which has been uploaded on the stock exchange and company's website as well.

With this, I hand over the call to Dr. Satish Wagh for his opening remarks. Over to you, sir.

Satish Wagh: Good afternoon and warm welcome to all the participants. Thank you for joining us today to discuss the Supriya Lifescience Ltd. Q1 Financial Year 2023 results. I am joined by Dr. Shireesh Ambhaikar, the Chief Executive Officer, Mr. Ashish Nayak, the Chief Financial Officer of Supriya Lifescience and our Investor Relations Partner, Orient Capital.

I hope everyone got the opportunity to go through our financial results and investor presentation which have been uploaded on the stock exchange as well as the company's website. We started Financial Year 2023 on a good note. Despite the ongoing crisis between Ukraine and Russia and the extremely unstable macroeconomic environment, we have been able to register an operating revenue growth of 32% over Q1 FY22 as well as a healthy EBITDA margin of 31% and PAT margin of 25%.

Our focus has been to register new products in the regulated markets and further penetrate existing products in the regulated markets.

To strengthen the portfolio, we are adding more products in the basket from existing and newer therapies.

Other than the afore said mentioned, the important focused areas where we are experiencing excellent progress includes backward integration, increasing capacity for the future prospects and capitalizing on CMO/CDMO potential.

We committed on improving infrastructure which includes debottlenecking and the development of 2 new R&D centers and 2 manufacturing blocks.

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Our endeavor is to healthy revenue growth while maintaining healthy margins and upgrade to the evolving GMP and EHS standards.

With this, I now hand over the call to Dr. Shireesh Ambhaikar, our CEO to share the key highlights of our business performance, over to you, Dr. Shireesh.

Shireesh Ambhaikar: Thank you Mr. Wagh. Hello everyone. As mentioned earlier by Dr. Wagh, despite the volatility in the markets due to the Russia Ukraine war and supply chain disruptions, we have been able to register a stable growth. Our measures to counter these challenges by building up inventory of raw materials to ensure smooth operations have worked well. Raw material supplies were well organized with no significant impact on capacities. Result is that we could deliver a decent top line while maintaining healthy EBITDA and PAT margins.

We are working in R&D to add new products to our product basket and are ex

panding into newer

geographies with existing products. Supriya Lifescience is committed to providing sustainable and reliable performance. Our strength is in large scale chemicals manufacturing and we have the experience in handling hazardous complex chemistries. Significant progress is made in the CMO/CDMO space. Work is in progress with various companies ranging from big pharma to innovator companies to work as a partner for supplying products as per their needs. Work is now in advanced stages for the first commercial quantities to qualify Supriya Lifescience as a source for a couple of companies.

Work is progressing on building and expanding capacities. A new warehouse facility for finished goods is now ready to be commissioned and we are setting up 2 R&D facilities, one at Lote for product lifecycle management and backward integration and the other one in Ambarnath along with the pilot plant for new molecules and CMO and CDMO business. The lab at Lote will be operational in Q2 FY23 and the R&D Lab at Ambarnath along with the pilot plant is expected to be operational end of Q3 FY23. Currently, Supriya facilities are running at full capacities.

As regards manufacturing capacity expansion we have started construction work on a new block called E Block which is going to add 350 m3 or KL of reactor capacity in Lote. A new manufacturing block of 70 KL capacity attached to the new R&D at Ambarnath is also coming up. Along with that, we are currently debottlenecking our manufacturing capacities in existing blocks in 2 blocks, namely A and B blocks, capacities are being increased and debottleneck for

running products . We are seeing an increase in demand for some of our current mature products. Lastly, I would like to touch upon the company's backward integration business model. Our top 12 products out of about 38 we are backward integrated, and these contribute 70% to our sales. We are extending the backward integration model to a new product as well , so that we maintain the competitive edge. A large part of the growth and sustainability was driven and will be driven by these backward integrated products .

With this now I hand over the call to Mr. Ashish Nayak , our CFO to share the key highlights of our financial performance , over to you Ashish.

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Ashish Nayak : Thank you Dr. Satish and Dr. Shireesh . Thanks to the Orient Capital team for being here and thanks to all of you guys for being here.

I will now share the operational performance for the Q 1 FY23. This first quarter for FY23, this quarter was a good quarter for anesthetic therapy . Anesthetic, which was contributing about Rs. 113 million of operating revenue in Q 1 FY22 has now contributed Rs. 500 million in Q 1 FY23. That's almost 5 times what we did in the same quarter last year. Our exports continued to be 83% of sales and share in the regulated markets has increased from 33% in Q 1 FY22 to 44% in Q 1 FY23, primarily driven by increased penetration in the European market.

Talking about the quarterly performance, companies reported revenue from operations of Rs. 1,014 million in Q1 FY 23 as against Rs. 769 million in Q1 FY22, delivering a growth of 32%. EBITDA stood at Rs. 312 million Q1 FY23 as against Rs. 154 million in Q1 FY22, a jump of 102% , EBITDA margin stood at 31% in Q 1 FY 23 as against 20% in the same period last year . Profit before tax increased by 115% to 301 million for Q1 FY 23, as against Rs. 139 million in Q1 FY22. Profit after tax stood at Rs. 252 million Q1 FY23. As a percentage, it was about 25% of the operating revenue . Value growth in regulated markets compared to last year same quarter was 106%. Despite of the volatility in the market due to the war and lockdowns on further COVID , we have been able to register a strong growth. We ended Q1 FY23 on a very strong note. This is all

from my side.

We can now open the floor for questions and answers. Thanks to all of you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Dhaval Shah from Girik Capital . Please go ahead.

Dhaval Shah : A couple of questions from my side. First one in the reported quarter, how much of the revenue has come from the block 4 which had gone live in Q122.

Ashish Nayak : To reply to that, see, all these blocks that we have, four blocks, they are interconnected and integrated. It would be impossible to identify as to how much sale is coming in from a particular block. Because a given product let us say the initial stages may be through the first block and then the final stage may be through the fourth block. So, it's a combination of all. It's very difficult to identify what's coming in and what's the revenue generated from particular block .

Dhaval Shah: Okay, so the reason for asking this is that like in FY21, we were operating at an optimal utilization of around 70%, 71%. That is the optimal as for the presentation. We did around Rs. 400 crores of annual revenue. Now in Q1 23 we are Rs. 100 crores, so what is the increase in revenue and this Q 1 23 will have a new added block as well. Now the new block as the presentation , is operating at 70% utilization. I just wanted to understand what is the revenue from that Q 1 FY 21 when we were at a company level operating at 70% and now also, we are at 70%, while the quarter ended is Rs. 100 crores.

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Ashish Nayak : If you look upon it, what I can tell you is, there has been a phenomenal growth and that's something that said in my speech as well earlier , in the anesthetic category . The anesthetic category, if you look upon it in terms of value, the sales has been almost five times what we did in the same quarter last year that itself gives you an idea as to jump from almost Rs. 11 crores to Rs. 50 crores, that itself gives you an idea as far as the overall increase in the value is concerned. Also try and understand that we have also increased the inventory levels for the finished goods , as compared to what were at in Q 1 FY22 . Obviously, the production is also one is the sales which has happened, and the second part is it is lying in stock in terms of the orders that we have in hand.

Dhaval Shah: Okay, thanks for that. Now secondly given the kind of expansions which are going on, which is giving us a visibility around 810 KL in capacity, so is it safe to assume that we should be around Rs. 1,000 crores sales by FY25 on 810 KL capacity?

Ashish Nayak: Okay, I will answer it in a different way , I will put it , currently if you look at my asset turnover run rates, FY21 was about 4 where we were sitting on a gross block of Rs. 100 odd crores and my revenue was around Rs. 390 odd crores . The run rate was about 3.9 to 4 asset turnover . FY22 we were 2.85. But that was as I said earlier, since the new fourth block had just got operational

in that year, and it takes about a year and year and a half for any block to get to reach its peak. As I see going ahead because let us understand that revenue is a factor of two things. One is which regulated markets, how much of that percentage is going into regulated markets, because in regulated markets, because of the highest average selling price, value would be higher. That's one. The second thing is the additional capacity to that effect if you look upon it going ahead, we would be around asset turnover of about 3. That's what I'm looking at, because of the new capacities which are going to come up. I am sitting on a gross block of Rs. 200 crores as on date and in addition to that, over the next one and a half years, we are adding another Rs. 230 odd crores. So Rs. 430-440 crores is what we are looking at gross block. So, you can very well

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imagine 3. But understand that that would be when once these blocks start reaching their peak capacity. To reach that peak capacity it takes about one or one and half years for any block to reach its peaks. Also understand that the new products that are being rolled out, they will be first rolled out in the semi regulated market and it takes about two and a half to three years for any product to enter into the regulated market. You have to give us that much time. At least 26, I would say 26, 27 is what when I'm looking at that kind of a top line.

Dhaval Shah: So Q2 what 2 expansions which we are undergoing right now. One is that one is on the adjoining plot of land which is around 12,500 square meters and the other is 20 kms away of 25,000 square meters. 24,600.

Shireesh Ambhaikar: This is Shireesh Ambhaikar. Let me answer that. A new block of 350 cubic meter capacity the work has just started at Lot 6 site. The construction has started and typically during monsoon the construction is slow, but it will pick up speed. We have taken care of the basic, I would say construction requirements and work is progressing. Typically, it takes 12 to 15 months for a block of this size to get ready. Somewhere next year, next financial year Q 1 or Q2 we will start commissioning this. As Ashish mentioned, it typically takes one, one and a half years to do the Supriya Lifescience Ltd.

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process validations of the products that are targeted, thereafter the regulatory approvals. So, the capacity utilization will happen in phases starting let's say 18 months from today I would say with the new capacity. The second block is coming up in Ambarnath where we have an existing site, and we are setting up our main R & D center there to cater to CMO /CDMO projects and this would need scale of facilities. It will have a pilot plant along with semi commercial capacity plant of 70 m³ capacity which will be multi-purpose in nature.

Dhaval Shah: Correct. The Isambe plant is for the growth beyond this 810 KL, correct?

Shireesh Ambhaikar: That's right, sir.

Dhaval Shah: Got it. The last question, it's a short-term visibility question. Now, last year second quarter we had a very fantastic show off. We did around Rs. 150 crores top line with around 53% of EBITDA margin. Do you think you'll be able to show growth over this in the second quarter?

Ashish Nayak: Let me not commit on any quarterly targets but what I can tell you is for the full year we would be doing very good, and the margins would also be at a very healthy rate.

Moderator: The next question is from the line of Keshav Kumar from RakSan Investors. Please go ahead.

Keshav Kumar: As far as I understand, Ketamine has been generic for a long time for anesthetic and analgesic purposes. In the US Ketamine used there is a racemic mixture of S & R enantiomers, in UN Latin it's (S) Ketamine. But (S) Ketamine is being repurposed for depression and treatment resistant depression so on and so forth. For example, FDA approval for Spravato in 2019 as well as a few other clinical trials are underway. So, the chemistry is pretty much out there. But I'm trying to understand if there's been a favorable shift in pricing for (S) Ketamine because of this may be due to some demand supply gap. Like for example, sizable difference in cost for capilar versus spravato, so what used to be off label is now getting formalized. Could it be we are getting this benefit of mental disorder repurposing leading to shortage of s-ketamine market and that in turn leading to pricing benefits?

Shireesh Ambhaikar: The volumes are not there yet of (S) Ketamine, in the US as a competition to Spravato some generic companies are working with us, but it is too early to say about how the pricing will evolve on that. We are working with some companies in the development phase.

Keshav Kumar: Okay, so just

to invert this question, from 2016 and 17 to now and also from last year to this year we have seen sizable jump in our revenues, what's been the change in per kg. prices?

Shireesh Ambhaikar: As of now, these are stable over the last few years.

Keshav Kumar: Okay, so the growth has come largely because of volumes.

Shireesh Ambhaikar: Yes.

Moderator: The next question is from the line of Nishant Sabnis from Sabnis Financials. Please go ahead. Supriya Lifescience Ltd.

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Nishant Sabnis: I just had a quick question on the margin profile of the company. I mean the raw material prices have subsided a bit. What's your view on the margin profile going forward, if you can give some guidance or any information directionally also that will be really helpful?

Ashish Nayak: We have been stating this earlier and that's something which Dr. Shireesh has stated in his speech. Almost 70% of the revenue which has been generated is for products which are backward integrated. Which means that we start with the basic key starting material. We have been having a very close eye on the pricing for our raw materials. As far as the key starting materials are concerned, we have not seen any major jump in the prices. Yes, the prices for solvents have gone up thanks to the war, but again, they have come down now and as such if you look upon it the pricing for the solvents, the impact on the final costing for the product is not much. As such, there has not been any major impact on my costing for the products and so even our debt in the solvent cost won't have major impact. As far the key starting materials are concerned, as I stated earlier, they have been almost constant. No major changes.

Moderator: The next question is from the line of Yogesh Tiwari from Arihant Capital. Please go ahead.

Yogesh Tiwari: I had a question on the regional revenue. It looks like that the proportion of revenue from Asia has declined. Just wanted to understand if you can share if it is related to the lockdown in China and how do you actually export to that country if you can share?

Ashish Nayak: It is a factor of the product-mix. Some of the products and this is a cyclical thing, it's a seasonal thing. Some of the products do exceedingly well in some quarters. This particular year we have done exceedingly well in the European, Latin as well as in the American markets, North America. Yes, Asia, if you look upon it, there has been a marginal decline, almost 24%. So yes, that is there.

Yogesh Tiwari: This is related to the China lockdown?

Ashish Nayak: Some aspect of it is on account of the China lockdown, yes, but not the entire impact it's because of China.

Yogesh Tiwari: Okay, just to understand, do you export through the Shanghai port and what were the steps taken by the company in a lockdown in China?

Ashish Nayak: In a lockdown, if you look upon it, since the ports have been shut down, we have not been able to export much. Whatever we have been able to export our small consignments and nothing major as of now, but we are expecting the ports to open up and things are slowly getting back normal. That's the information that we have got. So going back, we expect things to normalize. In any case, any consignment if we are not able to ship them in this particular quarter, they will spill over in the next quarter. As far as the financial year is concerned, we are well on track in terms of what our positions there.

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Yogesh Tiwari: Lastly, on the Europe and this US revenue mix, it looks like that the contribution of Europe on a percentage basis has come down while that of North America has increased. If you can share any product introduced?

Ashish Nayak: I am looking at Q1 FY22 versus Q1 FY23. Q1 FY22 contribution from Europe was 10%, which has gone up to 20% on a higher top line. Definitely Europe

has in fact, in terms of absolute value,

the turnover has almost gone up by five times. We did about Rs. 11 crores in FY21-22 as against Rs. 50 crores in this quarter. There has been an increase. As far as North America is concerned again, we have been able to do higher sales over there. Some of the products which are there, I mean, the therapies that we are into anesthesia these are products which have been doing good. Yes, so we have been able to increase the contribution from these geographics.

Yogesh Tiwari: Any new product or any new launches in North America because the contribution is increased so just wanted to understand that?

Ashish Nayak: No, it's higher penetration of the same existing product into the American market.

Moderator: The next question is from the line of Siddharth Purohit from InvesQ Investment Advisors. Please go ahead.

Siddharth Purohit: Our other cost has been relatively on a higher side and if I look at even on quarter on quarter on absolute medicine. So how should we look at it? Would it be a function of the absolute amount of top line that we do or was there any one of maybe regulatory cost involved in this also?

Ashish Nayak: You are referring to other expenses in P&L, right?

Siddharth Purohit: Yes.

Ashish Nayak: So, if I compare it with Q1 FY22, where we had a total of Rs. 135 million in Q1 FY22, it has Rs. 224 million. But if I compare it with Q4 FY22, we did about Rs. 223 million. It's almost at par with what we did in Q4 FY22. If you are comparing it with Q1 FY22, keep in mind that, that was the quarter in which the fourth manufacturing block was operational. So that was one plus we have also increased by de-bottlenecking the capacity for our existing blocks as well. Yes, with that, some of the other expenses mainly contributed by power, I would say. The power costs have gone up, obviously because the new block has got operation and it's a much bigger block as compared to the earlier 3 blocks. That's the main reason. Going ahead, we do not see any

major spike until the next 2 blocks start getting operation.

Siddharth Purohit: In a steady state basis, what should be the normal run rate as a percentage to sales? There will be multiple overheads I believe, but except the one-off cost that you said.

Ashish Nayak: It would be at par with what you're seeing in this quarter because in the last two quarters, the other expenses have remained constant in absolute terms.

Siddharth Purohit: There was no regulatory like filing cost and all that involved in that what you are saying?
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Ashish Nayak: These are routine recurring costs which keep on happening. If there was something in the last quarter, it could be that in this quarter as well, like lab expenses, power expenses, power has been a major contributor, but other expenses are there which have gone up with the fourth block getting operations, but nothing one off or major amount in this.

Moderator: The next question is from the line of Rajdeep Singh from A SK Investment Managers. Please go ahead.

Rajdeep Singh: You said the growth in Europe was higher in terms of absolute also and in terms of percentage share as well. I just wanted to know, in terms of demand, are you seeing increased demand from your end customers who are looking to take you as an alternate source of suppliers because of the China lock down or maybe Russia, Ukraine crisis? What is the sense?

Ashish Nayak: If you look upon it, we have been in the European market for the last almost 4 to 5 years and every year we have been able to penetrate and become the first source for some of our customers.

With that, we have been able to get much larger share from competitors who are there. So that's the main reason.

Rajdeep Singh: But this is, as usual business, nothing?

Ashish Nayak: It is as usual business and

it I hope it continues the way it is.

Rajdeep Singh: Hope for the good. Lastly, if you can help me corroborate your capacity expansion because you say 810 KL will come by Q1 FY 24, today your capacity is 547 KL, correct?

Ashish Nayak: Yes, correct.

Rajdeep Singh: So, the difference is 263 KL, right. You're saying block E is 350 KL and 70 is Ambernath. How do you correlate this?

Ashish Nayak: So, the block E is being constructed to move activities from an older block which would later be decommissioned, which is approximately 150 m³.

Rajdeep Singh: Okay that is why you say this 340 KL will replace an old block of 145 KL.

Ashish Nayak: Correct.

Rajdeep Singh: Okay. So, this is one, 70 KL is over and above this, right?

Shireesh Ambhaikar: That is over and above, it's at the site in Ambernath. It is going to be a manufacturing block attached to the new R & D center for scale-ups and commercialization.

Rajdeep Singh: Okay. And by Q2 FY23 the block which will be available is for backward integration, correct?
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Ashish Nayak: Q2 FY23 no new block will be available. That is the R&D building with new labs for quality, warehouse, the three activities mainly quality control labs, quality assurance, R & D and finished goods warehouses. That one will get operational in this quarter.

Rajdeep Singh: Okay. Because sir, was to understand that in one of your slides you are saying your capacity utilization is 70% which was 47% in FY22 on increased capacity and in the subsequent slides you are saying that it is running at full capacity. So, is 70% the optimum capacity? So, for incremental volume growth when is your capacity expected to come online? Just connecting the dots.

Shireesh Ambhaikar: 70% is the maximum utilization and it depends on how you calculate. We don't calculate the in-between cleaning hours. The facilities are mainly multipurpose in nature. So, there is cleaning happening between campaigns. So, 70% is the optimum.

Rajdeep Singh: I was just reading from your presentation slides where you're saying 70% and then in subsequent slide, you're saying it is currently being fully utilized.

Shireesh Ambhaikar: 70% is full capacity. That's what I would say.

Ashish Nayak: 70% is full capacity utilization because this is a multi-product facility, than if I manufacture a given product, I can reach 100%, if I manufacture only a single product. But since there are multiple products which keep on happening and as Dr. Shireesh said, we run campaigns where in a given campaign we run, let's say, 'x' number of licensed product, depending upon the orders in hand. And once the campaign is completed, we move over and switch over to the next product. Now, this switchover takes time because the equipment has to be cleaned up and only after that we can start the next product. So, because of this switch over there is a time which is lost. So, as a result of that we consider that 70% is somewhere around reaching the peak capacity, and increase is maximum up to another 3% to 4% points. But beyond that we won't be able to manufacture because it's multi product.

Rajdeep Singh: Okay. So, incremental volume growth in subsequent quarters will be through debottlenecking, is that fair understanding?

Ashish Nayak : Yes, there is a lot of debottlenecking which is currently going on at the site so that is also going to increase the volumes .

Rajdeep Singh: Fair. And sir, you are saying that out of your (+) 1200 customers how much would you be supplying to distributors and how much would be through end client ? Customers in previous quarters it was (+) 1300.

Ashish Nayak : So that keeps on changing quarter -on-quarter depending upon the product and depending upon the geographies that these products get into . But for distributors versus direct sales, I would say is some

where around 46% to 48% would be through distributors and the balance amount is direct sales.

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Rajdeep Singh: Okay. One last question for Ashish sir, how is the working capital behaved this quarter since there is so much of disruption on the supply side inventory stocking.

Ashish Nayak: We have continued to increase the inventory levels. So, the working capital is high at this point of time as well. We are just keeping our ears and eyes open . As things normalize of war , situation comes under control and whichever geographies there is a lockdown, once those start opening up slowly will normalize the stock level . But yes, as things stand today, we are at a higher working capital and inventory levels as well. The receivable amount has come down very well. But the inventory levels are still on a higher side. But that's a conscious call that we have taken. I mean had it not been so, then we would not have been able to increase our top line 35% last full financial year and almost same rate even in this year , we would not have been able to reach that 32% in this year , this quarter I am saying. That's a call which we have taken consciously considering the volatility and the turbulent times that we are living.

Rajdeep Singh: I got it. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Naresh Vaswani from Sameeksha Capital.

Please go ahead.

Naresh Vaswani: Was there any revenue which got deferred in the Q 2 and if yes, what would be the quantum of that?

Ashish Nayak: You meant Q 4 or Q1?

Naresh Vaswani: From Q1 to Q2.

Ashish Nayak: FY23 you are saying.

Naresh Vaswani: Yes. In this quarter I'm asking was there any shipment which has got deferred and would come into Q2?

Ashish Nayak: There have been a few shipments which we had planned towards the last week of June which have got deferred and we have been able to make your shipments in this quarter.

Naresh Vaswani: Okay. And in terms of your opening remarks regarding the progress in the CMO , CDMO molecules, wanted to understand what is the nature of these molecules? Are these patented or generic? And also, what is the value addition which we are providing to the customers? Or why would the customers come to Supriya Lifescience for these molecules?

Shireesh Ambhaikar : These are generic molecules and , of course , there are newer applications of generic molecules that are also coming up. To answer your question why the customers are coming to Supriya , in one specific case, it is because of our capability to do those kinds of processes that has worked well, and we are at a stage with that customer where we are likely to get orders for commercial quantities , I would say . So, it's a mix of, I would say old generic and some new applications of the generics at the moment. In the future the mix could change.

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Naresh Vaswani: Sure. And we had got the CEP for Salbutamol . So, have we started the supplies in Europe for that?

Ashish Nayak: It's in progress.

Naresh Vaswani: Okay. So, this year it will pick up in the subsequent quarters, right?

Shireesh Ambhaikar : We expect so.

Naresh Vaswani: Okay. And one last question. So, this quarter we have done 31% revenue growth. Would it be fair to say that for the full year we will maintain that sort of run rate for revenue growth?

Ashish Nayak: Historically, if you look upon it, for the last four to five years we have grown at a CAGR of almost 24%-25%. We are confident on maintaining that run rate. But at the same time, having said that, there are a lot of opportunities like what Dr. Shireesh said, some of those opportunities we are able to commercialize that's much better.

Naresh Vaswani: Sure sir. All the best .

Moderator: Thank you. The next question is from the line of

Tejas Mehta from Omkara Capital. Please go ahead.

Tejas Mehta: Just once again coming back to the capacity utilization in the inventory levels, can you quantify the value of this inventory and it's lying on the balance sheet today that we manufacture also you will be sold subsequently.

Ashish Nayak: Just give me a minute. The total inventory which is lying in the balance sheet as on date was about Rs. 100 crores.

Tejas Mehta: So, of this how much will be the finished goods inventory of these 100 crores?

Ashish Nayak: About Rs. 24 crores.

Tejas Mehta: Okay, because I'm just trying to understand, trying to relate the two things. You said 70% utilization we achieved in the first quarter, but the revenue of the finished goods inventory looks pretty low. Just about Rs. 135 crores. So, I'm trying to understand the numbers. How do we read these numbers?

Ashish Nayak: Again, let us understand that what you're seeing over here is just the cost of those finished products. When we are considering the revenue, obviously there's a margin which would come into that. So, every product has a different margin structure. So, that's where it is. And I'm also sitting on Rs. 32 crores worth of work in progress. So, my total almost finished and work-in-progress stock, finished stock is about Rs. 56-57 crores.

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Tejas Mehta: Okay, got it. And how does the product basket mix change quarter-to-quarter? Because I believe it varies quite frequently from Q-to-Q?

Ashish Nayak: The seasonality is in the cough and cold segment mainly.

Tejas Mehta: Okay. Because I'm trying to understand that probably some quarters there will be higher VAP, value added products or let's say higher margin products, so high priced products may be dominating and some quarters like first quarter the other low value added or let's say low margin products must be dominating. That's what I'm trying to understand because when you're talking about 25% growth for the full year, it's kind of a number of about Rs. 550 crores add over the next three quarters. So, what would be driving that considering that we are already at 70% utilization of the capacity?

Ashish Nayak: It depends upon the products that are manufactured, and it depends upon the orders in hand. There are some products which get manufactured start to end in, let's say, one day. There are some products which may take about seven to eight days. For a multi-product facility, it is very difficult to ...with that same 70% I can almost double my revenue as well. I can do half the revenue as well. Depends upon the product and the production cycle for that product. So, it's a bit complex, but we manage it on the basis of our experience in this field and a bit of information with regard to the orders in hand.

Tejas Mehta: Okay, got it. And in terms of the revenue share from the developed markets, where do you want to be, say by FY24-25? Currently we're at 42% of the revenue. Where do we want to be in the next couple of years?

Ashish Nayak: If you look at the trend, it has gone up from almost 33%, from almost zero to 33%. Last year, for the full year we did (+) 50%, this quarter we are at 44% odd. The higher the better. That's what the target is. So, try and understand, for the next couple of years we are seeing a lot of our existing products which till now we are selling in the semi regulated markets. Some of them already got registered, some of them are in the process of getting registered. So, the next couple of years once they get registered and we start selling them in the regulated markets, the share is going to go up. That's how I look upon it. As to what it's going to be. Only time will tell, but it's going to be better than what we have right now, that's for sure.

Tejas Mehta: All right. Okay, got it. Thank you so much.

Moderator: Thank you. The next question

is from the line of the Tushar Bohra from MK Ventures. Please go ahead.

Tushar Bohra: Thanks for the opportunity and congratulations to the management for a good show YoY Sir, just a couple of points. First, you mentioned just in the previous question that few of the existing products should start selling in regulated markets. So, if you can help us understand better either with the exact names or maybe if not qualitative some quantitative data, how many products are

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we talking from the existing market that will move up, which products if you can give specifics and timelines as well.

Ashish Nayak: We won't be able to give the specific names of the products. But these are in the allergy segment and cough and cold segment. That's where we are seeing increasing requirements from the regulated markets. If you ask me to give a number, these are about four products.

Tushar Bohra: And this should happen in this financial year, we should start seeing revenue, or have you already started seeing revenue?

Shireesh Ambhaikar : In some cases , we have to do a submission of a drug master file of something that is already available for the other markets. So, it's a submission of the drug master file , approval of that and we are working with customers along with them to do the submission. So, the horizon could be 18 months to 24 months to achieve significant volumes on these four products that we're talking about.

Tushar Bohra: We have not yet started booking revenue, let's say from markets like US, Europe for this product ?

Shireesh Ambhaikar : No.

Tushar Bohra: Anything that will come in FY23, sir, from any of our existing product basket ?

Shireesh Ambhaikar : Not in FY23. These are the early supplies that are happening for validation quantities for the customers.

Tushar Bohra: Got it, sir. Second, if you can help understand, the CMO CDMO opportunities slightly better. I think you mentioned in one of the previous responses that one product you may be close to signing off a commercial something . If you can share more qualitative inputs on the entire pipeline.

Shireesh Ambhaikar : So, on two products we are at a stage where I said that we are just waiting for the purchase orders for the supply of first commercial quantities which will help the customers perform production scale batches and their submissions. That's the clear progress on two products . And on quite a few others , we are in the lab. In some products, the lab samples have been given, the lab samples are under assessment . In a case or to the lab samples are okay and we've been asked to move on with the next stages. So, this is how it is progressing. There are about 7-8 projects active like that at various stages .

Tushar Bohra: And anything that you would deem substantial compared to your current revenue size that hopefully we would have more inputs on a near term , maybe some announcements related to that or some more qualitative details available, say by next con call?

Shireesh Ambhaikar : We expect some of these to contribute significantly. That's our effort, that's all I can say. Otherwise, we wouldn't pursue these opportunities.

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Tushar Bohra: Sir, the anti -anesthetic product, which is one of our top three products, you mentioned that there's been a major revenue jump in this quarter. I think the segment as a whole gone from Rs. 10 crores to more than 50. The share of Europe has gone from about Rs. 8 crores to 24 -25. So, we can expect that the penetration of anti-anesthetics has gone beyond Europe , say some of the other regulated markets also in this quarter ?

Ashish Nayak : This quarter has been good and if you look upon it, even the quarter before that, we did good in this particular therapy and going ahead we are confident that we will be able to maintain a good

growth in that particular geography. Plus, we are also looking at other regulated markets for the same product . Initial stages as of now, but as and when it starts getting converted, that would also be adding a huge value.

Shireesh Ambhaikar : This has been Europe centric. We are seeing interest from US now.

Tushar Bohra: Any supplies in this quarter Q1 to US actually?

Shireesh Ambhaikar : Just the initial quantities for qualifications .

Tushar Bohra: And sir, it would be fair to assume that the kind of traction we've seen in this product or this segment in Q 1, we should be able to maintain this kind of ...so there is clearly no one -off element and we should be able to maintain the momentum through the year without getting into specifics quarter by quarter , but overall basis we should see a substantial growth from this product category?

Ashish Nayak: We will see a substantial growth, we will see a good growth as far as this particular therapy is concerned, we are confident about it.

Tushar Bohra: Just one clarification one of the previous responses , we did about Rs. 530 crores revenue FY22.

Historically we have managed to grow revenues at about 24 %-25% CAGR , safe to say close to double in revenues over a three -year time frame. Is there a reason why we are not comfortable with that kind of a run rate ? When we say that we will hit Rs. 1000 crores by FY2627, is it just something that are we being conservative .

Ashish Nayak: We are being conservative. It's always better to under declare and over deliver, that's what we believe . We did that in the last financial year which was the first financial year for Supriya after getting listed. So, that's been our thought process and we'll continue with that. So, whatever we say we believe that we should over deliver on that. So, that's where it is . And as I said along with that, that there are a few projects which are big budgets and if we are able to deliver that, not if, it's only question of when, once we are able to deliver that , that would definitely be an upside to what we have just projected.

Tushar Bohra: Would it be fair to take your revenue CAGR number as a better indicator of possibilities? Say, next three years we should be able to maintain maybe a 24-25, whatever , in that vicinity run rate.

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Should we take that as a better indicator of execution capabilities rather than going by a specific number?

Ashish Nayak: Yes, you can look upon it that way. Historically that's what we have done, and the upside now is that over there we are sitting on limited products, there were other products but not major in the regulated markets. Now over the next two to three years we are going to see a lot of our existing products into regulated markets. Plus, you have the new products that have been rolled out, the capacities are going up and the CMO, CDMO opportunities which are there in the offing, so, all these factors taken together we are very positive, and we should be able to do better than what we are saying, that's what we strongly believe. But anyway, keeping our fingers crossed and trying our best to reach the re.

Satish Wagh : And I think Tushar, the one market which we are not discussing , recently I visited Brazil which is Latin America which is also now gearing up the new standards like the GMP , etc., have been started implementing by this market. Current source is only China one source. Now they have to qualify second source with GMP certificates , etc., by 2023 March so the procedure is already started on .

Tushar Bohra: Great to hear, sir. So, is that possibly could emerge as a big market for us ?

Satish Wagh : See, Latin America is also one of the biggest markets for us and it is also increasing in a larger way because as I told you current source is one and people have decided . The country rules an

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regulations have changed . The country itself has decided for the second source and second source whoever is going to be qualified will be with the GMP certifications and the approvals of the products by filing the drug master files . So, this is another thing which another 6-7 months you will see in this market a good trend of exports .

Tushar Bohra: Fantastic , sir. That's very useful . Qualitatively one last question on the anesthetic product in US .

Sir, are we also working with innovators for some of these new clinical trials for new indications like gaming addiction and COVID related depression , etc., or anything around that?

Shireesh Ambhaikar : Sorry, to say anything on that . I understand the question, but we cannot talk much about it at the moment .

Tushar Bohra: But safe to say that we would definitely be a relevant company when it comes for innovators to look at for API supplies given our capabilities and scale ?

Shireesh Ambhaikar : That's our aspiration .

Tushar Bohra: Got it, sir. Thank you so much. I'll join back in the queue.

Moderator: Thank you. The next question is from the line of Aashish Uppanlawar from Inves Q Investment Advisors. Please go ahead.

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Aashish Uppanlawar: Sir, in the previous comments that you made , I mean the range of revenue growth when we say Rs. 1000 crores in the five years it would be say 14%-15% CAGR. And then we talk about 24 %-25%. So, the band is quite huge, and you would probably have certain aspirations of growth and the execution capability probably would be somewhere in mid , is that what one should expect from Supriya ? Because yours is a unlisted company that's why it's a question from us , how do you think in terms of your execution and possibilities that you see for your business over a II?

Ashish Nayak: We've got a professional team over here and it's well led by the promoters. We have got more than 35 years of experience . We have done exceedingly well in the last four to five years . We have been able to register products in the regulated markets . Multiple USFDA approvals , three times earlier USFDA approved and other authorities as well. So, we are very confident that whatever capacities we are building up and what our new products that are being rolled out and whatever new geographies we are getting into or making efforts to get into , we'll definitely be able to convert. Yes, as Tushar stated earlier, we are being conservative when I give you the percentage and in absolute value terms, we are being conservative. If we are able to achieve that we would be very happy, and I think we should be able to overachieve that. But anyway, let us not get quoted for that . So, it's always better to under declare and over deliver.

Aashish Uppanlawar: Okay. With the kind of developments that you mentioned in terms of CMO , CDMO that might be there, or you going to regulated markets or increasing share of regulated markets and stuff .

The margins at least are pretty good in terms of the 41%. So how do we see these? I mean, one can expect these to sustain or what is the band that one should look at for Supriya that way given the mix and geography and everything that keeps over a period of time .

Ashish Nayak: I will maintain what I said in the earlier earnings call as well and I stated that while, yes, the existing products which are getting into the regulated markets the margins would be higher. At the same time there are new products which are getting rolled out into semi-regulated markets where the margins are lower. Plus, we are also adding up capacities. When we add capacities, typically it takes about 1-1.5 years for any plant or manufacturing block to reach its peak capacity. So, till that point of time the revenues which are generated are not commensurate with

the expenses that have been incurred or the overheads

that are being incurred. That would be

always the push and pull of all these factors. But yes, what I can assure you is going ahead you would be maintaining healthy EBITDA margins and healthy profitability. Yes, that's for sure.

Aashish Uppanlawar: So, healthy would mean upwards of 35% generally?

Ashish Nayak: Let me not be quoted on that. I'm saying historically, if you look upon it last year in the worst of years, we still managed this (+) 40%. So, I won't give a number to that but yes, I can assure you that it's going to be definitely healthy, yes.

Aashish Uppanlawar: Okay. And lastly, is it possible to share the overall working capital cycle in terms of number of days or however you want to just help us with? Because this is not a quarter where we get the balance sheets of companies but just in case you could.

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Ashish Nayak: Well, these are not audited. I don't know whether I can give it but Yes, working capital in terms of number of days is roughly around 6-6.5 months as of now. That's why we know but that's primarily because of the inventory levels being higher, and we have consciously taken a call to increase the inventory levels. That's how it is.

Aashish Uppanlawar: Okay, so this would stay at 130 odd days for now, for this year?

Ashish Nayak: No, I'm saying the working capital in number of days is about 200 odd days, so that's about 6 - 6.5. And we are just waiting and watching. As all the companies and all the industries are currently, we're just waiting for things to normalize on the war front, on the COVID front and whatever other issues that are there currently. Once things normalize, obviously we'll take a call to reduce inventory levels. But till that point of time, we cannot let non availability of inventory or raw materials being a reason to not supply to our customers. Try and understand we have been dealing with these customers for more than two decades in some cases, more than three decades in some cases. And these are large formulations players, multinational. So, that production cycle depends upon our delivery. So, any slippage on that means their production cycle goes for a toss. We cannot afford to do that. We need to maintain our good relations with them. So that's the reason.

Aashish Uppanlawar: Okay. And you're saying mostly it is only the inventory days and the other parts the payables are...

Ashish Nayak: The receivables has come down to a great extent, but the inventory levels, yes, are high currently and that's a function of it.

Aashish Uppanlawar: Sure. Thank you.

Moderator: Thank you. The next question is from the line of Devang Shah from Invest savvy. Please go ahead.

Devang Shah: Actually, my question was on the margin front, but that has been actually already answered by the management to earlier participants. So, no questions furthermore, thank you.

Moderator: Thank you. The next question is from the line of Keshav Kumar from RakSan Investors. Please go ahead.

Keshav Kumar: Sir, you spoke about (S) Ketamine pricing. So, could you help understand if the market stays fairly under supplied? I mean, if you could talk a bit about the demand supply dynamics. And also, if you could elaborate a bit on the clinical supplies part of it.

Ashish Nayak: Sorry, can you repeat your question please? Couldn't hear well.

Keshav Kumar: Am I audible now?

Ashish Nayak: Yes.

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Keshav Kumar: Sir, you mentioned about (S) Ketamine pricing it has been stable for the last few years. So, is the market under supplied? If you could talk about the demand supply dynamics.

Ashish Nayak: The pricing is stable. The approved drug which is there on the market is with the innovator. The generics has not yet appeared. The genericization has not happened yet. It's in development phases.

es.

Keshav Kumar: Sir, but that's for the mental disorder part, right? But for the anesthetic and the analgesic part?

Ashish Nayak: The other volumes are steady and growing in some markets, volumes are growing, pricing is stable.

Keshav Kumar: Okay. So, just taking your internal view on (S) Ketamine versus the racemic one in terms of the kind of stability it can see as per you over the next five to seven years, the new indications and also the usual demand.

Ashish Nayak: We're not aware of that. In the other isomer, some early -stage clinical work is going on right now, the (R) Isomer.

Keshav Kumar: So, for anesthetic and analgesic in US it's (S) Ketamine that is used or it's Ketamine

hydrochloride that is racemic one?

Ashish Nayak: (S) Ketamine hydrochloride.

Keshav Kumar: Okay. Alright sir got it. Thank you. That's all from me.

Moderator: Thank you. Ladies and gentlemen, this was the last question for today. I would now hand the conference over to Dr. Satish Wagh for closing comments.

Satish Wagh: Good afternoon. I personally thank all the participants who got connected with Supriya Lifescience. I'm quite confident that Shireesh Ambhaikar, our CEO and Ashish Nayak, CFO, have given the information which was required by all the investors. If you still have anything and any information is required, do not hesitate to send an email to us and definitely we will come back to you, and we'll answer you. Thank you very much for your time. I promise you that we will definitely do our best and deliver the good results to all the investors. Thank you.

Ashish Nayak: Thanks a lot. Really appreciate this.

Shireesh Ambhaikar: Thanks a lot, Orient Capital team also. Thank you.

Moderator: Thank you. On behalf of Supriya Lifesciences Ltd., that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2022

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GOVT. RECOGNISED EXPORT HOUSE

Date: November 17, 2022

To, To,
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, C-1, Block G
Dalal Street, Bandra Kurla Complex
Mumbai – 400 001 Bandra (E), Mumbai – 400 051
Scrip Code: 543434 Scrip Symbol: SUPRIYA

Dear Sir (s),

Subject: Transcript of the Earnings Call for quarter and half year ended September 30, 2022

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we hereby enclose the transcript of the Earnings call held on Friday, November 11, 2022 at 4.00 P.M. IST to discuss operational and financial performance of the Company for the quarter and half year ended September 30, 2022.

This is for your information and records.

Thanking you,

Yours faithfully,
For Supriya Lifescience Limited

Shweta Singh
Company Secretary & Compliance Officer
Membership No.: A44973

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“Supriya Lifescience Limited Q2 FY23 Earnings
Conference Call ”

November 11, 2022

MANAGEMENT : DR. SATISH WAGH – CHAIRMAN & MANAGING
DIRECTOR , SUPRIYA LIFESCIENCE LIMITED
DR. SALONI WAGH - DIRECTOR , SUPRIYA

LIFESCIENCE LIMITED
MR. RAJEEV KUMAR JAIN - CHIEF EXECUTIVE
OFFICER , SUPRIYA LIFESCIENCE LIMITED
MR. SHIREESH AMBHAIKAR - TECHNICAL LEAD,
SUPRIYA LIFESCIENCE LIMITED
MR. ASHISH NAYAK - CHIEF FINANCIAL OFFICER ,
SUPRIYA LIFESCIENCE LIMITED
MODERATOR : MS. RASIKA SAWANT – ORIENT CAPITAL

Supriya Lifescience Limited
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Moderator: Good day ladies and gentlemen and welcome to the Q2 FY23 Earnings Conference Call of Supriya Lifescience Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Rasika Sawant from Orient Capital. Thank you and over to you, Ms. Rasika.

Rasika Sawant: Thank you and welcome to the Q2 and H1 FY23 Earnings Conference Call of Supriya Lifescience Limited. Today, on this call, we have Dr. Satish Wagh - Chairman and Managing Director along with the senior management team. This conference call may contain forward-looking statements about the company which are based on beliefs, opinions and expectations as of today. Actual results may differ materially. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. A detailed safe harbor statement is given on page number two of the company's investor presentation which has been uploaded on the stock exchange and company's website as well.

With this, I hand over the call to Dr. Satish Wagh for his opening remarks. Over to you, sir.

Dr. Satish Wagh: Good afternoon and warm welcome to all participants. Thank you for joining us today and discuss the Supriya Lifescience Limited Q2 and H1 financial year 23 results. To take us through the results and to answer your questions, we have with us the top management from Supriya represented by Dr. Saloni Wagh - Director; Mr. Rajeev Kumar Jain - the Chief Executive Officer; Mr. Shireesh Ambhaikar - the Technical Lead; Mr. Ashish Nayak - the Chief Financial Officer of Supriya Lifescience Limited and our Investor Relations partner, Orient Capital.

I hope everyone got the opportunity to go through the financial results and investor presentation which have been uploaded on the stock exchange as well as on company's website. In Q2 financial year 23, we felt challenges in China market due to the lockdowns in the major cities. Our operating revenue in Q2 financial year 23 was Rs. 112 crores as against Rs. 150 crores in Q2 financial year 22 with an EBITDA margin of 25% and PAT margin of 15%.

For H1 financial year 23, our operating revenue was Rs. 213 crores as against Rs. 227 in H1 financial year 22 with an EBITDA margin of 28% and PAT margin of 20%. Having said this, we are confident that the upcoming quarters will be able to give us a large opportunity. We would like to introduce to you the new CEO, Mr. Rajeev Kumar Jain and I would also like to state that Dr. Shireesh Ambhaikar, the erstwhile CEO will continue with us as a Technical Lead and will continue to look over the expansion projects as well as CMO/CDMO projects in pipeline. With this, I now hand over the call to Dr. Saloni Wagh - Director to share the key highlights of our business performance. Over to you, Dr. Saloni.

Dr. Saloni Wagh: Thank you, Dr. Satish Wagh and good afternoon to all the participants. We welcome you to the Q2 FY23 and H1 FY23 earnings call of Supriya Lifescience Limited. I will just add a few
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comments on top of what Dr. Satish Wagh already said. In terms of business, for our key therapy antihistamine and key market China, we had a very muted quarter due to the continuous lockdowns in China due to which while the operating revenue has remained similar to H1 FY23. There is an impact on the margin since this market and product is the key margin generator. Other than above in our other key markets like Europe due to current Russia-Ukraine war situation and energy crisis

is, we are seeing delays in consumption. We don't perceive this as a revenue loss and we have demand visibility for these products and once the specific external uncertainties normalize, we expect to meet shortfall in revenue. Our current product portfolio continues to grow.

Additionally, for key products, we are seeing good traction in untapped regulated markets like the USA where we have initiated 5 new ANDA projects in this quarter for anesthetic, vitamins

and antihypertensive range. Focus areas where we are experiencing excellent progress includes backward integration, increased capacity for future prospects and capitalizing on CMO/C DMO potential. Significant progress is made in the CMO/CDMO space. Work is in progress with various companies ranging from big pharma to innovator companies to work as a partner for supplying products as per their needs. Work is in advanced stages for the first commercial quantities to qualify Supriya Lifescience as a source. We also expect that two of the CMO projects will cross phase 2 and be ready for regulatory filing in the Q4 FY23 .

With regards to capacity enhancement, work on construction of E block with about 350 KL reactor capacity is in progress. A new manufacturing block with a capacity of 70 KL attached to the new R&D facility with pilot plant is being set up at Ambarnath . We are currently debottlenecking our existing manufacturing blocks to increase capacity of running products. We are seeing an increase in demand for current products.

Lastly, I would like to touch upon Company's backward i ntegration business model. The top 12 products which we produce contribute 70% of our total revenue. We are extending the backward integration model to our newer product s as well to stay competitive. By adding more products ,geographies , increase penetration in regulated market, expandin g our customer base, adding more operating site, we are completely de -risking the business, a stepping stone to our success story.

With this now, I hand over the call to Mr. Rajeev Jain - CEO to share our future strategy. Thank you very much.

Rajeev Kumar Jain: Good afternoon . Thanks Dr. Satish, Dr. Saloni and warm welcome to all participants. I have recently took the reins from Dr. Shireesh as a CEO last October 22. We thank all the stakeholder s for this opportunity. As mentioned by Dr. Satish, despite of lot of unforeseen circumstances, like Russia -Ukraine war, lockdown in China, we have managed a revenue of Rs. 213 crores with EBITDA margin of 28%. We take this challenge as the opportunity to a dd more product s in our basket with improved efficiencies. Our key focus area will be to increase our presence in regulatory market with new emerging market, backward integration, optimization of Supriya Lifescience Limited
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manufacturing capac ity with proper utilization of man, mater ial and machinery , ZLF upgradation, in -house ZLD and automation.

We are also working to reduce our working capital with proper planning and better coordination between marketing operation and procurements. Our R&D is also working toward some more niche pro duct in our basket. Ou r newly upgraded facilities , new warehouse, D block is working well, our new building at our Lote will be operational from next month. Our new admin block, QC, R&D , and storage area will be enhanced and upgraded. Our expansion activity at Lote site Ambarnath is going well in time. It will help us to add new CMO and CDMO opportunity. Th ese facilities will be fully operational in Q1 FY24. We at Supriya see this as a fantastic opportunity for sustainable and robust growth.

With this, I will hand over this call to our CFO, Mr. Ashish Nayak. Over to Ashish.

Ashish Nayak : Thank you Dr. Wagh, Dr. Saloni and Mr. Rajeev. Hi everyone, I will now share the operational performance for Q2 FY23 and H1 FY23 which are under review. Our exports

were

approximately 79% of sales and share in the regulated market was down at 22% as against 53% in FY22 , a dip on account of muted response in China due to lockdowns over there. Talking about the quarterly and half yearly performance, Company reported revenue from operations of Rs. 112 crores in Q2 FY23 and Rs. 213 crores in H1 FY23 as against Rs. 150 c rores in Q2 FY22 and Rs. 227 crores in H1 FY22.

EBITDA in Q2 FY23 stood at Rs. 29 crores and Rs. 60 crores in H1 FY23 as against Rs. 80 crores in Q2 FY22 and Rs. 96 crores in H1 FY22. EBITDA margin stood at 28% in H1 FY23 as against 42% in same period last year. PBT was Rs. 58 crores for H1 FY2 3. Profit after tax stood at Rs. 42 crores for H1 FY23 at 20% of the revenue. Operating revenue has remained similar in H1 FY22 despite of muted customer response in our key market , China. However, since this market is a key margin generator , there has been a dip in our margin. There is no pricing pressure on our products. Also, we have not seen any major cost pressure on raw material. Logistics challenges faced in the earlier quarter has eased out.

On the expense front, there has been an incr ease in certain expenses like power, which stood at Rs. 9.5 crores for H1 FY23 as against Rs. 14 crores for the full year FY22, lab expenses at Rs. 2.3 crores for H1 FY23 as against Rs. 3.2 crores in FY22 , repairs at Rs. 8.5 crores in H1 FY23 as against Rs . 7.5 crores in FY22. The increase in power and lab expenses is primarily as D manufacturing block that was commissioned in Q1 FY22 is now running at peak capacity . Over and above this, there has been an apportionment of IPO expenses approximately Rs. 1.8 crores which was not there in FY22. These expenses have been apportioned over a period of 5 years. On the balance sheet front, as on 30th of September 2022, there has been an increase in the fixed

assets by Rs. 5 crores, this is primarily towards equipments at Lote Parshuram . The capital work in progress has increased by Rs. 31 crores which is primarily toward s the new admin block at Lote which is expected to get operational in the coming month , the ETP facility at Lote, the new Supriya Lifescience Limited
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raw material ware house at Lote ,the upcoming manufacturing block at Lote and Ambarnath manufacturing block. The admin block and the RM warehouse will be operational in the coming month , upgraded ETP facility in Q4 FY23 and the E block in Q1 FY24. Once the two manufactu ring blocks are operational, the total capacity would stand increased to 810 KL . Other noncurrent asset s of Rs. 4 crores comprises of deposits given toward electricity. The net working capital was Rs. 405 crores as against Rs. 398 crores. Inventory was Rs. 106 crores which is approximately 261 days as against Rs. 92 crores which was 200 days as on March 22. Please note this is calcul ated on the cost of goods sold. Receivables was Rs. 81 crores which is 68 days as against Rs. 115 crores, so there has been a marked decline in the receivables by almost Rs. 34 crores, but in terms of number of days , there has been a marginal increase f rom Rs. 68 days to Rs. 75 days. Please note this is calculated on gross sales. Cash and bank balance was Rs. 190 crores out of which Rs. 180 crores was in fixed deposits. Other current assets was Rs. 113 crores comprising of prepaid expenses of Rs. 12 crores, advance to supplier Rs. 24 crores and an advance against Isambe plot of Rs. 56 crores which we expect to be converted to leasehold land in the coming quarter once the agreement is signed off. On the equity front, the reserves of Rs. 636 crores which comprise of share premium of Rs. 199 crores and retain earnings of Rs. 437 crores. Noncurrent liabilities were Rs. 21 crores comprising of provisions and deferred tax liabilities. Current liabilities were Rs. 89 crores comprising of borrowings of Rs. 30 crores and trade payables o

f Rs. 54 crores. Debt equity stood at 0.06.

On the cash flow front, operating profit before working capital changes was Rs. 60 crores. The increase in current assets was primarily on account of trade receivables, which as I said earlier have reduced by Rs. 34 crores , Inventory has gone up by Rs. 14 crores. Other current assets, there is an advance Isambe plot which has gone up by Rs. 42 crores and advance to suppliers have gone up Rs. 7 crores. Investing activity increase d in productive assets by Rs. 36 crores of which Rs. 5 crores is fixed asset and Rs. 30 -Rs. 31 crores is capital work in progress. Cash flow from finance activit y is Rs. 8 crores.

IPO proceeds from utilization :

We have repaid the working capital facility to the extent of Rs. 60 crores. Out of Rs. 92.3 crores for E block, we have already utilized Rs. 13 crores and general purpose out of Rs. 36 crores , we have already utilized Rs. 35 crores.

This is all from my side. We can now open the floor for questio ns and answers. Thanks to all of you.

Moderator: Thank you very much . We will now begin the question -and-answer session. The first que stion is from the line of Naresh Vaswani from Sameeksha Capital . Please go ahead.

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Naresh Vaswani : So, on the revenue side, wh ile you have mentioned that you have been impacted because of lockdowns in China, I want to get some more detail regarding this, how is it exactly impacting you and by which ports do you supply in China , how do you see this situation becaus e you mentioned that you expect to recover the lost sales, but then these products would be seasonal in nature, so how do you plan to recover that? Second, if I look at the other therapies, apart from the Antihistamine, those have also been tepid year-on-year and now given that you had guided for a 25% sort of revenue run rate, how the first half we have seen a decline of 6%, so what will be your revised guidance for the FY23? And third is, your capacity utilization , you have mentioned that it is 72%, given that you have lost production and also you had a new block this year, how can it be 72% because if you have not reduced and your inventories are also flat from the March quarter, so shouldn't this utilization be much lower?

Dr. Saloni Wagh : Correct, I would like to take this question. In my speech, I have mentioned that our key market China, we have seen a muted response and the way the lockdowns have affected us is actually because airports in Shanghai , Guangzhou where most of the di stributors, our key distributors are based, they were under lockdown because of which, what has effectively happened is the consignments have not been able to move. In fact, in the last two quarters, we have done some small shipments just to see if the imp ort clearance process is proper and if they are able to clear the goods, however, these consignments were also stuck at the ports for a very long time about 2 odd months. So, that is the main reason why the lockdown in China is impacting our sales there be cause the consignments in terms of logistics are not able to move because of the shutting

of the airports and seaports. The second thing was we would like to highlight and what have also mentioned in my speech is that the demand for the product is very much there and we have a good order book in hand and the demand visibility is still very much there for us which is why we keep saying that this is not a revenue loss per se. The product demand or the product is not degrowing and hence when the situation sort of stabilizes in China which it is expected to in the coming few months, we expect that this also should normalize and we should be able to move our consignments in this market.

Second, as far as capacity utilization is concerned, you mentioned that we are still at 72%. What has happened is that we have a multiproduct facility

and what has happened in this particular

quarter is that whichever campaigns were planned, these were the kind of products which are not very high contributors to margin or revenue, but these are the kind of product which have a longer cycle time, so while effectively you have not seen much distribution in the revenue as well as in margins, the fact is that the occupancy of these products in the plant has been there. For the first 6 months, we have produced about 372 metric ton of material which is a very large volume and that is why the capacity utilization still is at 72%. In the next few quarters, when the high margin product demand picks up and these products don't necessarily have a very long cycle time, you might see that even with the poor capacity utilization, we were able to generate higher margins and higher revenues. So, it is very product specific, I would say, in a multiproduct facility.

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Naresh Vaswani : And given that you still believe that China will take some time to recover, what will be your revised revenue growth guidance for full year?

Dr. Saloni Wagh : So, like I mentioned before that the revenue dip has only happened because of the dip in key market, China. If you look at the other markets and other therapies, the key therapies in fact like anesthetics, they have so far done well, so because these are governed by external factors and external uncertainties and we still have a demand visibility there, I think we would like to wait and watch how the next couple of months shape up to give a firm guidance on what we will close that for this financial year.

Naresh Vaswani : But if I look at your other therapies, while I understand the China situation, but the other therapies also, the growth is very tapered on year-on-year basis, so while you are saying that you have orders in hand, what is stopping to ship in other markets?

Dr. Saloni Wagh : One of the other markets where we are and till quarter 2 there wasn't much impact, but some other area where we are seeing some slight impact and delay in consignments is Europe. As you know this is our second largest market and key products, the high margin generating products are going into the European region and because of the current war crisis there and also the energy crisis that they are facing, we have seen some slippage in terms of delay in certain consignment and again here I would like to reiterate that the orders are there in the book, however, because of the current situation there, it might look like a slippage in this particular quarter, but it is not a loss of revenue and once the situation in this market also sort of stabilize this, we should be able to get this revenue back.

Naresh Vaswani : But why I am asking this question again because we don't have any additional inventory on hand right now and given that you are saying that you have orders in hand, so given the capacities we would have, how will we plan to recover the lost sales because we don't have any increase in inventory in these last 6 months?

Dr. Saloni Wagh : So, that is something that we are working towards majorly whatever is there in the inventory.

The orders are in the book, however, because of the like I said, issues and lockdowns in China and Europe, these consignments are not able to move. As far as the other products are concerned, we will have to wait and watch the situation because while we are getting more orders of the other product, the key margin driving products still are at a little bit of uncertainty due to the external factors. So, to give you a guidance, like I said before we will have to watch a couple of more months and probably towards the end of quarter 3 is where we will be able to give you more clear and appropriate guidance on where we will end that at the end of the financial year.

Moderator : Thank you. The next question is

from the line of Aashish U from InvesQ Investment Advisors.

Please go ahead.

Aashish U : Again, clarification on what the earlier participant was trying to understand, if the product which was not shipped, it should enter there in the inventory if it is produced or it should be booked

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into sales, so if it is not in either of the things, then, that production has not happened, so is there a disconnect between what you are trying to explain and what we are understanding?

Dr. Saloni Wagh : So, basically, what we are trying to explain is that the market for these products as such is not degrowing. The demand is there in the market, however, because these markets have been badly impacted because of certain external situations, the shipments and the orders have not been able to commercialize, so while it may seem that you know, it is a loss of revenue, but what we are trying to say is that it is not because the demand is still very much there, however, once the situation in those areas streamline is only when the customers will be place the orders and take the consignment.

Aashish U : So, there is an order, but it has not been produced and commercialized, that is what the situation says?

Dr. Saloni Wagh : I said that just also I mentioned and even when I was explaining before, for example, for our key market China, we had large orders, but because of the logistical issues when we tested our sending smaller quantities into that region, we had a lot of problems and the distributor, our agent had a lot of problem to clear this cargo which is why the next larger loads have not moved.

So, this is the main gap which is happening, but the orders are in hand, but because we don't have clarity from the end of the customer on when we can ship these, they might not be visible in terms of revenue and the order booking.

Aashish U : And what is the far-end you can say that these orders won't materialize now because season for them would be over possibly outer timeline?

Dr. Saloni Wagh : I think towards the end of quarter 3 is when we should have better clarity. We expect a lot of things to happen in favor of us and we expect these things to normalize. So, the end of quarter 3 is where we will be able to give complete clarity on the guidance for the full year.

Aashish U : And is the situation same with European business for you because it may not be as bad as China, but still some kind of say destocking there or kind of hesitance to take up their inventory of your products?

Dr. Saloni Wagh : As of now, as of quarter 2, we have not seen a very large impact from the European market. In the last 1 month also, yes, there has been some delay in shipping out the consignment. This is because of again the local issues over there where customer is not getting proper clearance for importing the cargo and everything. So, as of now till quarter 2, not much impact, but if the situation continues like this, we will have to wait and watch and we will only get a better clarity in the next 1 month or so on how things will move and how much of that will be impacted in this financial year.

Aashish U : And any other pressure points on the business or would you like to elaborate, so that we all investor can understand?

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Dr. Saloni Wagh : Other than the lockdown in China and some unstable situation in Europe, we don't have any pressure points. In terms of raw material because of the backward integration that we have, we are very much secured in that front, so margin pressure is not there as such. Although for the two quarters, it seems like negative in revenue, but what I want to highlight here is that the product portfolio itself is growing and then you know this external factors sort of stabilize and normalize, whatever revenue and sales we have lost,

we will be able to recover and that we can

say with a lot of confidence because the demand visibility is very much there in front of us for these products.

Moderator : Thank you. We have the next question from the line of Devang Shah from Invest Savvy. Please go ahead.

Devang Shah : So, when you say that the demand is very much there and that you will recover the demand, is it more than going forward, the demand would come back or is it that even the period lost will be made up?

Dr. Saloni Wagh : I think even the lost period will be made up because for these key products in the past also we have highlighted that the market is stable and whatever we have lost in the previous quarter, we should be able to make up for that. What we are working on now is trying to understand how we are able to resolve the logistics issue specially in markets in China and how we will be able to send out the cargo because customers are also waiting to receive these orders and we will also be ready with producing these products, because these are all regular key products. So, we are just waiting to resolve the logistics issue and with that I think we should be able to make up for the lost revenue in the first two quarters.

Moderator : Thank you. We move on to the next participant, the question is from the line of Rahul Veera from Abakus. Please go ahead.

Rahul Veera : So, there is a gross margin dip directly sequentially of 7%, just trying to understand that, what was the proportion of high margin products in Q1 versus Q2?

Ashish Nayak : If you look upon high margin products, in any case have been somewhere they are hovering

around 50 to 52% in that range and since some of the key products that did not go into China, some other products have stepped in. So, if we look upon it, there has been no pricing pressure for any of our products and most of the raw material pricing has remained constant, so as a result of it, on percentage basis, if you look up on it, yes, it appears to be not much of an impact, down from 65% to 58%, but yes, that is where it stands.

Moderator : Thank you. We have the next question from the line of Tushar Bohra from MK Ventures. Please go ahead.

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Tushar Bohra : Just couple of clarifications to start with, so we see a dip of about I think Rs. 50 crores, this is because of the issue in China, right, a cap of about Rs. 50 crores in one of your product categories?

Dr. Saloni Wagh : Correct, so it is majorly coming from a gap of sales in China, yes.

Tushar Bohra : For a specific product?

Dr. Saloni Wagh : For a specific product, yes.

Tushar Bohra : And the product in question is also possibly our highest margin product or amongst our one or two highest margin products, right?

Dr. Saloni Wagh : Yes, it is one of our key margin generating products.

Tushar Bohra : So, just to take the question one step forward from previous participant, your, say Chlorpheniramine Maleate, Ketamine and Salbutamol are 3 products, what would have been the combined sales for these three products in the first quarter and second quarter of this year and may be corresponding if you have for the previous year period also for Q2, so that we may be able to understand the impact specifically for these products?

Ashish Nayak : Tushar, I would not get into giving percentage contribution from any specific products. On the therapy front, I think it is very clearly mentioned in the presentation.

Tushar Bohra : But is it fair to say that the margin differential that we have between Q2 of FY22 and Q2 of FY23, other than the possibly that cost of Rs. 7 -Rs. 8 crores of additional cost that we have highlighted across some line items, other than that the difference in Q2 of previous year versus Q2 of this year in EBITDA is largely attributable to this missed sale of specific product for your specific market? Is that fair

air to assume that it is largely because of that and there is no other shortfall from any other quarter in that sense from any other product?

Ashish Nayak : Primarily from that single product in China and there is another product, let us say which in the European market which again there was a slippage which we expect to make good in this quarter, but that is one. These are the two major factors and both of them are higher margin products.

Tushar Bohra : Second, the inventory that we are carrying this is at cost, right, so the Rs. 106 crores inventory that we are carrying is that cost effectively, so given that we have a very high value addition, it is fair to assume that we have finished good and may be WIP inventory, so that assuming let us say China problem resolves, say in the next 15 days, one month, we would still be able to ship out that product in this quarter or for that matter in Europe is it fair to assume that?

Dr. Saloni Wagh : Yes, if current situation normalizes, we are in a position to quickly commercialize these orders and send out the products in the market where products are currently not.

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Tushar Bohra : And can you highlight specific initiatives being taken on the other products, which you have some visibility to say in Q3 and Q4 that may step up in contribution besides your existing top 2 or 3 products, if you can highlight on some of the new products?

Dr. Saloni Wagh : Correct, so in terms of product therapies, we have seen good traction for the anesthetic range. In certain untapped regulated markets like US, like I mentioned in my speech we have in fact in this quarter initiated 5 new ANDA projects for anesthetic segment. We have also initiated one ANDA project for vitamin range of products and antihypertensive range of product. Other than this, in terms of CMO/CDMO also we are seeing a lot of good opportunities in the last 6 months, two of which we can now say have moved to phase 2 and in fact we are in the process of doing the regulatory filings for these products in Q4 of this financial year, so we are seeing some good traction for anesthetic range. We are also seeing good traction for anti-asthmatic range of products. So, these are the 2-3 other areas other than the key antihistamine segment where we can expect and in the last quarter also, we have seen good recovery happening from these other products.

Tushar Bohra : And the opportunity size for these CMO projects, what kind of numbers you are talking about them, is it like some kind of comparable if you can give to the base business, are these material in context of the current base?

Dr. Shirish Ambhalkar : In terms of numbers, Tushar, as I have said earlier as well, the CMO business has a certain

gestation time, so for example, the product that we started work on which is now getting commercialized, it has taken us about 1 year and the first order is coming and as Saloni said there are two other projects that are reaching a stage where we are making regulatory filings and thereafter when all the regulatory clearances are obtained, we will have the sales happening, so in terms of the size or the value, it will still not be significant, let us say in the 12 months, but after that it will be very significant. That is what we know and with the success of, let us say, the first CMO project, though the value may not be very high. In terms of the customer, in terms of the customer trusting Supriya, they have already started evaluation of two more products and this is how the CMO business grows if the business is established with one customer. So, in terms of the number, it is not fair for me to estimate what will be the value in the next 12 months, but after that this can be a significant contribution.

Tushar Bohra : And in terms of, there is a lot of talk that in last call also you had referred to lot of this C

hina

Plus One scheme, I am sure that with troubles in Europe there is also potentially medium-term opportunities opening up for us, just if you can highlight some of the kind of conversations that the management is having, what kind of traction you are seeing in new business enquiries for both generic APIs as well as specific CDMO projects in addition to what has already been....

Dr. Shirish Ambhaikar : Tushar, we are getting new enquiries almost every week and we just came back from some meetings where we are progressing on some projects that had discussed, these are significant in terms of number of products and also the potential business that is possible, so there is no

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slowdown on the CMO/CDMO space, we are seeing good increase in the number of projects.

We have several projects that have been added to our list now.

Tushar Bohra : If you can highlight sir, like what could be the total number of active projects which are sort of being taken up now?

Dr. Shirish Ambhaikar : Tushar, as I said earlier, one is project where we are receiving the purchase order for the first supply, two products are getting into regulatory submission and there are at least half a dozen projects where the customer would want us to begin work or preparation on the regulatory part.

So, there are quite a few projects.

Tushar Bohra : Just one request on this time to the management that as and when you think CMO/CDMO activity has started to pick up substantially, may be it can be disclosed as the separate line item in the financials as a separate product category?

Ashish Nayak : Definitely, the contribution from these projects should be highlighted as a separate line item.

Moderator : Thank you. We have the next question from the line of Aashish U from InvesQ Investment Advisors. Please go ahead.

Aashish U : So, just wanted to again understand seasonality for H2, what would be the approximate percentage of troubled geographies that you are mentioning in China, even Europe would you think that still the percentage would be much higher in terms of your contribution to the sales it would be affected, so any kind of correction on that would be helpful to us?

Ashish Nayak : We would not be in a position to give any specific facts to the geography as well as any products in this forum, but what I can assure you is whatever geographies are there, those have been properly addressed, we are just waiting for the right and opportune time. As things open out, we will definitely, we have the visibility as Dr. Saloni has stated earlier, we are regularly in touch with the customers, we do have orders and visibility in terms of what kind of volumes you can do, but certain things that need to normalize. Once things normalize, definitely we will be there. We have the capability; we have added customers earlier and yes.

Aashish U : So, what I was, slight disconnect that is happening is from your commentary it seems that it is a delay which will probably be addressed in the next 1 or 2 months or 3 months, but what we understand from macros or reading of what is happening in China, it seems that it is a continuous problem of zero COVID that they are following and it will not be addressed in the very near term, that is what the kind of understanding that we are having?

Ashish Nayak : See, at the end of it, these are things which are beyond our control. I do not know when things are going to get normal in China, we are in regular touch with our suppliers as well as with our customers. The moment we get the green signal, we are there to service their requirements. That is all I can say. I mean it can happen in the coming month; it can happen 3 months down the

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line. Only time will tell us. That is something which is not in my hands, not in your hands as well. Thi

ngs have to get normal and once we get back to normal cy, definitely we have serviced these customers earlier. Let us understand that these are not new market s, these are not new customers, we have serviced them earlier and just because of the logistics issues , the challenges that are currently facing in these markets. That is the primary reason. Once we are able to open that, definitely why not.

Aashish U : At the beginning of the call, ma'am Saloni mentioned few geographies in the cities, where in China where things are a problem, can you repeat that , please ?

Dr. Saloni Wagh : In the past, we have faced problems in airports of Shanghai , Guangzhou , so these are the airports where normally our distributors are clearing the cargos and both the time during the first two quarters, we did see problem during the import, I mean clearance at their side.

Moderator : Thank you. Ladies and gentlemen, in the interest of time, that was the last question that the management could answer. I would now like to hand the conference over to Dr. Satish Wagh for closing comments.

Dr. Satish Wagh : Thank you everyone for patiently listening to us. We have had a challenging quarter due to the current unstable global environment . However, we expect that when the situatio n normalizes we will continue to grow at a steady rate with healthy margins. We thank our shareholders for their support and we will continue to put our best efforts in achieving the sustainable and profitable growth. Thank you.

Moderator : Thank you. On be half of Supriya Lifescience Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Feb 2023

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GOVT. RECOGNISED EXPORT HOUSE

Date: February 20, 2023

To, To,
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, C-1, Block G
Dalal Street, Bandra Kurla Complex
Mumbai – 400 001 Bandra (E), Mumbai – 400 051
Scrip Code: 543434 Scrip Symbol: SUPRIYA

Dear Sir (s),

Subject: Transcript of Earnings Call of Q3 FY 2022-23

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we hereby enclose the transcript of the Earnings call held on Wednesday, February 15, 2023, at 11.00 A.M. IST to discuss operational and financial performance of the Company for the quarter and nine month ended December 31, 2022.

Clarification:

During the question-and-answer discussion in the earning conference call, at the 29:55 minute mark, on being asked on guidance for revenue growth, management inadvertently mentioned that the revenue will double by FY2027 over a base of FY2023, However the correct guidance was provided during opening commentary, wherein it was mentioned that revenue will double by FY2026.

Request you to take this intimation on record.

We have kept the transcript verbatim to avoid any confusion, however, we request members through stock exchanges that transcript should be read with this clarification.

Thanking you,

Yours faithfully,
For Supriya Lifescience Limited

Shweta Singh
Company Secretary & Compliance Officer
Membership No.: A44973

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"Supriya Lifescience Limited
Q3 FY2023 Earnings Conference Call"

February 15, 2023

MANAGEMENT : DR. SATISH WAGH – CHAIRMAN & MANAGING
DIRECTOR – SUPRIYA LIFESCIENCE LIMITED
D R. SALONI WAGH – DIRECTOR– SUPRIYA
LIFESCIENCE LIMITED
M R. KRISHNA RAGHUNATHAN –CHIEF FINANCIAL
OFFICER - SUPRIYA LIFESCIENCE LIMITED

INVESTOR RELATIONS : M S. RASIKA SAWANT – ORIENT CAPITAL

Supriya Lifescience Limited
February 15, 2023

Page 2 of 20 Moderator : Ladies and gentlemen, good day and welcome to the Q3 and nine months FY2023 Earnings Conference Call of Supriya Lifescience Limited. As a reminder all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Rasika Sawant from Orient Capital. Thank you and over to you Madam!

Rasika Sawant : Thank you and welcome to Q3 and nine months FY2023 Earnings Conference Call of Supriya Lifescience Limited. Today on this call we have Dr. Satish Wagh – Chairman and Managing Director of Supriya Lifescience Limited along with senior management team. This conference call may contain forward looking statements about the company which are based on beliefs, opinions, and expectations as

of today. Actual results may differ

materially. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. A detailed safer harbor statement is given on page number two of investor presentation of the company which has been uploaded on the stock exchange and company's website as well. With this I now hand over the call to Dr. Satish Wagh for his opening remark over to you Sir!

Satish Wagh : Good morning and warm welcome to all the participants. Thank you for joining us today to discuss the Q3 and 9M FY2023 Results of Supriya Lifescience Limited. To take us through the results and answer to your questions we have with us the top management from Supriya represented by Dr Saloni Wagh – Director, Mr. Krishna Raghunathan - Chief Financial Officer of Supriya Lifescience Limited and our investor relations department Orient Capital. I hope everyone got the opportunity to go through the financial results and investor presentation which have been uploaded on the stock exchanges as well as the company website.

Before we discuss the business performance, I would like to brief you a few development at Supriya Lifescience. I am happy to report that the Board has appointed Mr. Krishna Raghunathan as Chief Financial Officer of the company. He is a dynamic professional and qualified chartered accountant having more than two decades of rich experience with an excellent track record in departments like finance, treasury and investor relations. Krishna has a demonstrated history of working in diverse industries including pharmaceutical, packaging, and information technology. He is a seasoned pharma specialist with more than two decades of experience in the companies like Dr. Reddy's Laboratories Limited and Granules India Limited. His appointment is in line with the company's strategy to achieve Supriya Lifescience Limited
February 15, 2023

Page 3 of 20 accelerated growth in the years to come. We welcome him to Supriya Lifescience family and wish him all the success in his role.

Let me now share some key highlights for the quarter nine months ended FY2023. As you all know it has been a challenging quarter for the global economy and our industry has been no exception. Due to continuous challenges posed by the lockdown in the major cities in China the drop in demand of key products has led to pressure on topline and profitability for quarter under review. However our endeavor is to navigate these challenges and focusing on getting adequate measures to minimize the impact on our business. Our primary focus remains on expanding our regulatory market presence with new emerging markets, backward integration and manufacturing capacity optimization. For 9 months ended

FY2023 our operating revenue was 319 Crores as against 342 Crores in 9 months FY2022 with an EBITDA of margin 23.2 and PAT margin of 16.2%. Our operating revenue in Q3 financial year was Rs.105 Crores as against 117 Crores in Q3 FY2022 a degrowth of 10% on year-on-year basis. With this I now hand over the call to Dr. Saloni Wagh to share the key highlights of our business performance. Over to you Dr. Saloni!

Saloni Wagh : Thank you and good morning to all the participants. We welcome you to the Q3 FY2023 and 9 months FY2023 earnings call of Supriya Lifescience Limited. I would like to share an update on development and performance of the quarter under review. As informed by our CMD, Dr. Wagh we have had a challenging quarter. We have a leadership position in antihistamine range and for this China is one of our largest market. As this product range is a mature range for the company and already in regulated market the revenue and margin contribution of the same is high. There has been a severe outbreak of COVID in China for the past several months. We have been transparent about lockdown situation and have continuously communicated the supply challenges we have been facing

. Due to the extended lockdown and widespread use of masks and sanitizers the demand for the antihistamine range of products has gone down significantly. We are facing demand and pricing pressure from this market. The situation in China remains grim and we anticipate a similar trend in the coming quarters before it starts to improve. Other markets and therapeutic categories continue to be stable. However, as we operate predominantly in export market and there are long holidays in December the sales get pushed to the last quarter. Hence for other therapies and regions we have not seen any sales loss. Considering our current situation we have already been working on the derisking strategy to mitigate the impact of our dependence on a particular product and or all geographies. We have enhanced our capacities and initiated registration for other therapies such as decongestant, antihypertensives, anti-asthmatic, vitamins and anti-allergic. These therapies have good volume potential in regulated markets. We anticipate that these will
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Page 4 of 20 start seeing a good traction in regulated markets in the next two quarters which will help stabilize our portfolio even if the situation in China does not improve the way we are expecting. Additionally, we are in the advanced stages of discussion for two CMO opportunities and getting multiple enquiries which, we believe will start contributing to our topline and bottomline from Q3 of FY2024. We are also evaluating new products in our R&D pipeline to increase our product basket and therapy exposure. Furthermore, we are strengthening our senior management team to enhance our business development, manufacturing, and R&D capabilities with the aim of creating a more robust business model.

Talking about our facility upgradation work for capacity enhancement our E block which will add 350 KL capacity work is going on and we expect it to be operational by Q4 of FY2024. Our admin building at our Lote site with a new R&D center Q3 and finished goods warehouse will be operational by Q4 FY2023. R&D facility with pilot plant expansion activity at Lote site and Ambernath is going well in time.

Lastly, I would like to touch upon company's backward integration business model. The top 12 products which we produce contribute to 72% of our total revenue. We are extending the backward integration model to our newer products as well to stay competitive. By adding more products, geographies, increased penetration in regulated markets, expanding our customer base, adding more operating sites we are completely derisking the business a stepping stone to our success story. We are confident of our derisking strategy and other initiatives that will help us recover our topline and improve margin profile in the quarters to come. Overall company's growth strategy of doubling the topline by FY2026 remains the same with a healthy and sustainable margin. With this I will now hand over the call to our CFO, Krishna Raghunathan. Over to you Krishna.

Krishna Raghunathan: Thank you Dr. Saloni. At the outset I would like to thank Dr. Wagh for the introduction and I am excited to join Supriya Lifescience Limited and be a part of such a talented and dedicated team. I am looking forward to contributing to the growth and success of the company and being a part of the exciting future that lies ahead.

Let me share the highlights of our financial performance for the nine months and Q3 FY2023 and following which we will open the floor for questions and answers. Company reported revenue from operations of Rs.105 Crores in Q3 FY2023 as against Rs.117 Crores in Q3 FY2022 and Rs.319 Crores in nine months FY2023 as against Rs.342 Crores in nine months FY2022. EBITDA in Q3 FY2023 stood at 14 Crores as against Rs.38 Crores in Q3 FY2022 and Rs.74 Crores in nine months ended FY2023 as against Rs.132 Crores in nine months FY2022. EBIT

DA margin stood at 13.4% in Q3 FY2023 as against 33% in the
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Page 5 of 20 same period last year and 23.2% in nine months FY2023 as against 38.6 in nine months FY2022. Profit before tax was at Rs.12.6 Crores for Q3 FY2023 and 17.2 Crores for nine month FY2023. PAT stood at 9.5 Crores for Q3 FY2023 and Rs.52 for nine months FY2023. Operating revenue has remained similar in the nine months FY2022-2023 despite muted customer response in our key market which is China. However, since this market is a key margin generator there has been a dip in our margin, also we have not seen any major cost pressure on raw materials. Logistics challenges which we have faced in the earlier quarters has eased out. On the expense front there has been an increase in certain expenses like power, employee benefits and certain increase in repairs and maintenance which are in line with our business strategy and this is all from my side we can now open the floor for question and answers. Thanks to all of you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Aashish Uppanlawar from InvesQ Investment Advisors. Please go ahead.

Aashish Uppanlawar : Thanks for the opportunity. If we grow through the past four, five quarters that Supriya has been listed and basically arranging these calls and we have been interacting with you so the entire commentary that has been there from the management if I recall it used to be 750 Crores of topline in the target 2-3 years and then sustainable margin of 30-35% and all those things and if I have to look at it going back in past 12 months everything has kind of deteriorated to an extent where the commentary does not stand anything basically whatever has been told to the investors so the entire management team has changed do not know for what reason the CEO changed, CFO changed then all these numbers last quarter you were saying that in China logistical challenges were there now you are saying that there is more demand so as investors how are we supposed to join all the dots being in business for two to three decades these cycles typically tend to be known to the management how sustainable are the margins and stuffy, so your comments on that will be helpful and we will need some bit of doing on your part to ensure that we keep trust in whatever is told to us basically so your comments on this will be helpful?

Saloni Wagh : So thank you for your question. See in terms of the last couple of quarters' performance since this financial year began the major issues we have seen in the last three quarters and we have actually been very transparent throughout all our interactions with investors, earnings calls that we are facing logistics issues in China because of the continued lockdown so this is something we have been very transparent about. Now what has happened is that because of the continued lockdown and because of the widespread use of hand sanitizers, masks people are not going out of their homes the demand itself for antihistamine range has dropped down significantly so this is a result of the continued
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Page 6 of 20 lockdown which has been going on for over three months so that is one of the major impacts that we have faced and this is why in this quarter we are saying that yes we are now facing a demand drop because of this continued lockdown situation in China and what I would like to also highlight is in the past also we have said that the company has a leadership position in three molecules out of the 38 molecule portfolio that we have. These three molecules have moved into the regulated market space they are very mature molecules of the company and their contribution to our topline as well as our bottomline is very significant. Unfortunately for us because of the situation in China one of our key markets

and key products has been badly impacted. If you look at the other therapies they have performed well the growth in those therapies is quite stable but because currently the dependence on this particular therapy and market of the company is high the impact on the topline and the bottomline is visibly quite significant. I don't think even now the strategy for the company has changed we still maintain that the company will continue to show good growth in the next couple of quarters, for this what we have done is we have already identified a group of 5-6 products which we have now fast tracked into the regulated market space. These molecules have very good volume potential so they can add quite significantly to our topline and give us a decent margin as well so once these molecules start maturing into the regulated market in the span of next two to three quarters you will see that the portfolio would have been significantly derisked so whatever comments we have made in the past that we are looking at doubling the topline in the next three years or we still stand by those comments. We also have a lot of CMO opportunities which are at advanced stages in fact two of them have gone through the signing stage and we expect to see some revenue generation from the Q3 of next year, so yes we have identified the risk at our side and it is a

risk which we have been very vocal about with all the investors and everyone in the past as well and now we are putting our best effort to try to mitigate that risk, so we are committed to showing growth in the next couple of quarters. As far as the senior management team getting changed is concerned, we have also addressed this in the past but I would still like to take this opportunity to address this. The CEO due to some personal reasons, family reasons he had to step down, he still continues to be with the company very much, he is our technical lead, it is not like he has left and taken some other job opportunities so he is still very much a part of Supriya and now with Krishna joining us in fact we have strengthened our finance side. He has a much wider experience and exposure to the pharmaceutical sector for over 20 years and he has been part of listed company so in fact I would say that on the finance part we have strengthened our team and we continue to strengthen our team further. We have identified areas like R&D, manufacturing, and technical areas where we would like to further strengthen our team so you will hear from us very soon on that front as well.

Aashish Uppanlawar : So what is the outlook on margins and related to that and how much China contribution is there on the topline and margin front if you can be a bit more clear on that it will help us

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Page 7 of 20 understand how the numbers can shape up from here and what is your outlook on the margin actually that will help us?

Krishna Raghunathan : See at this point we are not giving any sort of a commentary on margins and also we are not giving any sort of a guidance for future but we believe that we will be in a steady state from now on. I think that is something which I can always say but we would like to what do you call perform for the next couple of quarters before giving any sort of guidance at this stage. We are not guiding anything at this stage. We will be waiting and watching for the next couple of quarters. I think we will let the performance speak Sir.

Aashish Uppanlawar : But what the tables say 13% margin that you reported this quarter or 20, 25, 30% that has been coming in the last?

Krishna Raghunathan : It would be around what you call late or early 30s I would say but please do not take this as a guidance we are working on improving all of this further also but at this point in time you can say that around 30 should be a steady state in future.

Aashish Uppanlawar : So this is we are talking about the next two to three qua

rters or we are talking two years

down the line or one year down the line?

Krishna Raghunathan : No it would be for the next couple of quarters. See there is always a scope for improvement further. As of now whatever we are seeing looking at the Chinese situation this is what we believe would be the number at this stage but we expect a quarter-on-quarter improvement going forward.

Aashish Uppanlawar : The other part I asked was the China proportion to sales and margin. Madam this is very important because we have been investors and there are many people who have kind of had a bad experience till now so I think rather than a time limit it would be better if you could answer all those questions.

Moderator : Thank you. The next question is from the line of Yogesh Tiwari from Arihant Capital Market. Please go ahead.

Yogesh Tiwari : Sir my first question is, are you seeing any pricing drop in CPM and what would be the quantum approximately single digit, double digit?

Saloni Wagh : So while we will not be able to share this information on the quantum see what has happened is because like I mentioned in my speech as well because of the continued lockdown the demand has dropped and when the demand drops there is definitely a pressure

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Page 8 of 20 on the pricing as well, so we are seeing a price and demand pressure from Chinese market on CPM.

Yogesh Tiwari : What would be the seasonality for CPM like which are the main quarters for this product?

Saloni Wagh : Usually Q2 and Q4 are typically the highest sales in terms of CPM but because of the lockdown which was there in China during Q2 we did not see that kind of impact but if you look at the revenue generation and if you look at the region wise contribution you will see that in terms of volume we have been able to sell CPM into the other markets like South east Asian markets like Indonesia, Malaysia, Vietnam so there we have seen good volume pickup so in terms of volume you might not see a large drop but because one particular market has been impacted and that market volume and price typically contributes very largely to the revenue and bottomline that is why you are able to see the hit in the P&L as well.

Yogesh Tiwari : Madam regarding the gross margin so it has been all over the place like around 60% to now we are like approximately 51% so if we take a base of FY2026 where we double the

revenue what would be the range for the gross margin, target range for the company if we can get a range for FY2026?

Krishna Raghunathan: At this point it is too premature to talk about margins in FY2026. See I think let us cross this financial year and in future I think when we believe that we could give some sort of guidance, we will certainly guide the market. We are not shirking away from anything but since these are all what do you call one-off sort of issues which had happened which the company has not seen in the earlier instance so please also understand that we do not want to guide such a long term but it would be a very, very healthy margin that is something which the entire senior management is working upon Sir.

Yogesh Tiwari : Do you believe the margins have bottomed out in this quarter?

Krishna Raghunathan: Sir we do not want to give any sort of guidance but yes I would certainly say that this would be one of the lowest performances yet. I do not think it should be anything going way below this is what we also believe in.

Saloni Wagh : I want to reiterate what Krishna said. I think is the lowest what has happened and we do not see it dipping from this anywhere.

Yogesh Tiwari : What is the demand scenario for ketamine in Europe are we seeing any strong traction there?

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Page 9 of 20 Krishna Raghunathan: Sir we do not comment on product specific stuff because these are all our important product. I think it would be very, very improper f

or us to guide about single molecule in a

call. If something you can always call me personally I think we can have a chat on this. It will be a bit or not inappropriate for us to talk about individual product margins at this stage Sir because these are all are confidential and important molecules and we would not like to share the demand as well as the margins in an open forum please.

Yogesh Tiwari : Lastly like there will be a sharp spike in other expenses so what would be the component leading to that increase in other expenses for the quarter?

Krishna Raghunathan: See basically what had happened is of course one is on a very good side the CPHI has started so the last quarter we had some expenditure on CPHI so that is on the marketing side of course a bit of power and fuel and we had to maintain a couple of reactors on the plant side so these were some of the expenditures which have gone up. Of course employee benefits also have gone up a bit which of course we have already said in our speech due to all the new personnel joining in so these are some of the areas where we have seen but we do expect a bit of reduction on the repairs and maintenance going forward but nothing significant is going to reduce Sir.

Yogesh Tiwari : Thank you Sir. That is all from my side. Thank you.

Moderator : Thank you. The next question is from the line of Naresh Vaswani from Sameeksha Capital. Please go ahead.

Naresh Vaswani : So while you mentioned that because of the lockdown demand gone down but what we saw in India as well post the reopening the demand came back much stronger and now since we are hearing China has opened up why are we not seeing our demand recovering in the China for the CPM?

Saloni Wagh : Like I have said in my speech as well as I explained before what has happened is that because of the extended lockdown and widespread use of masks and sanitizers and there was a very strict lockdown so people were not leaving their houses there was no flu that the common flu, cough, cold had gone down significantly, so of course when a scenario like this happens it will have an impact on the demand so that is why once things have opened up what we are understanding from our contacts in the market is that because of this extended lockdown situation the demand for the product itself has gone down. It is not a permanent situation but what we understand from them is that this situation will persist at least for the next couple of quarters, for a market to recover it will not be very immediate it will take a couple of quarters for the demand to stabilize that to what it was earlier.

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Page 10 of 20 Naresh Vaswani : Alright so that means there is some stocking still there in the market which would get utilized and post that you might see recovery in demand right?

Saloni Wagh : Yes we anticipate at least in the next two to three quarters similar situation would be there but it will keep stabilizing post that is when we actually think that the market would be in a position to recover.

Naresh Vaswani : Right and you mentioned that there are four to five products which will start to go into regulated markets and that will start to contribute in the next two to three quarters so can you help us understand which are these products and what would be the contribution of these products in next let us say two to three quarters?

Saloni Wagh : So while I cannot give out specific product names but the therapeutic category yes, so we have some products from antihypertensive range, in the anesthetic range itself we have another product where we are seeing good traction in North American market and the asthmatic vitamins also we are working on some large CMO opportunity with the innovator where we can see a very large volume scale up, then decongestant is another category of products wherein we are completing the registrations in US and in Europe. We are expecting to

get the USDMF number in Q2 of next year, so these are some of the therapies wherein for the product the volume demand is quite large and the margin profile is also quite decent so once these products and these regulatory approvals start coming in like I said from Q3 of FY2024 we should be able to start seeing good revenue generation from these products but the specific number on how much revenue and which products unfortunately I will not be able to discuss in this forum but these are just some of the therapies that we have already identified and we have been working in the last couple of years.

Naresh Vaswani : But what I was trying to understand is will this take longer time to materialize or you already have the registration in place and you are starting to get some orders on these products so will it be like one year down the line thing or do you foresee it faster?

Saloni Wagh : It could be faster because for some of these products some registrations have already started coming through. We are working on some specific projects with certain customers wherein the customers have already bought the validation volume so we are waiting for them to come back to us on the commercial requirements so it would definitely be faster than one year.

Naresh Vaswani : Your guidance on doubling the revenue was on the base of effort by FY2022 on FY2026 right?

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Page 11 of 20 Saloni Wagh : By 2027.

Naresh Vaswani : So the doubling of revenue was on the basis of FY2022 revenues?

Saloni Wagh : FY2023 revenue.

Naresh Vaswani : One last question so in this two CMO projects where you were close to finalizing the terms what would be the size of this project if you can share on that and which therapies will this belong to?

Saloni Wagh : So while I cannot talk about the size of the project but definitely these would be diversifying our portfolio further. This would be more on the advanced intermediate side of the products. It would not be API centric so definitely it will further make our portfolio more robust and make it more derisk I would say but in the next coming few months itself you can wait for some positive announcements from our side on this front.

Naresh Vaswani : Okay thank you.

Moderator : Thank you. The next question is from the line of Avnish Khara from VT Capital. Please go ahead.

Avnish Khara : Hi thank you for taking my question. So my first question is on the China market I just wanted to get a sense of what is the right to win in the China market is it better compliance or some sort of technical excellence that we have in the work that we manufacture for them because I think it is a core market for us and it is a large high margin market as well so if you can just give us some colour on that?

Saloni Wagh : So yes in terms of this China market we have both on the client side as well on the quality side, in terms of compliance we are the only registered foreign source with an NMPA which is the Chinese regulatory authority for this product, we are also the only manufacturer to have the NMPA site approval we are audited and approved by them. There is a very positive quality of material that we produce for the China market, they do not follow the normal monograph they have their own Chinese monographs wherein the impurity levels are far more stringent as compared to any other monographs. They also have very specific requirements when it comes to the infrastructure, when it comes to the GMP compliance at intermediate level also for which we have invested in our site and we have created that infrastructure because of all these things we have been able to get a premium price in that market and that will continue once the situation stabilizes in that market so it is both a combination of the quality we supply to that market as well as the regulatory compliance that we have.

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Avnish Khara : I think if I look at your geographical numbers then US slowly I can see a slight uptick over there so you are talking about future growth so is it safe to assume that US will be a key focus market for you going forward and if you could also help us understand what are the other markets you will be focusing on where the growth for your new products will come from?

Saloni Wagh : Yes like you very rightly mentioned we have seen some increase in the North American market and this is because we are getting good traction for some of our existing products there or when we talk about growth in market it will contribute largely to this growth because some of the other therapeutic category molecules which I discussed previously we see a very large market in North America so definitely as the next couple of quarters progress you will see more contribution from North American markets. Europe still continues to be one of our largest regulated markets. Even if you look at the numbers of Q3 the only impact which has happened is because of the long holidays which happen in December month and we are unable to ship during this entire month so whatever sales we were not able to do has been (audio cut) 34:40 so as such we have not seen any sales loss for the Europe market as well so situation there also is stable and going forward one of these other therapies regulatory approval start coming Europe, North American markets, Latin American markets would be the larger contributors in regulated market space.

Avnish Khara : Right and I just have one last question I think there was a debottlenecking done in blocks A and B so how much of improvement that led to and what current utilization levels are you at on a consolidated basis?

Saloni Wagh : Currently the consolidated capacity utilization is at 72% and the debottlenecking has definitely helped increase the volumes of certain individual products wherein we were not able to get the larger model but overall we are at 72% currently.

Avnish Khara : That's it from my side. Thank you.

Moderator : Thank you. The next question is from the line of Shashank from Crescentia. Please go ahead.

Shashank : See my first question is after the investor wealth eroded are you sticking to a capex which you had planned and you published in your previous concalls or is there a change in the capex in terms of reduction of capex, my second question is that in slide #7 of the investor presentation where you see Asia contributing 50% of your total Q3 sales but for the last 15 to 20 minutes you are saying China is not contributing and that is the one major reason from Supriya Lifescience Limited

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Page 13 of 20 29% it is going to 50% that means Asia and China is a major portion is contributing so I want to understand is am I reading a wrong data or is it something else that is my question?

Krishna Raghunathan: You are reading the data in the other way around. I think see nine months FY2022 is 50% and nine months FY2023 is 42% and what has happened is in China the margins are pretty high but we were able to cover up most of the sales that is why if you see we have not seen much of a reduction on the topline. If you look at our topline we have not lost much but most of it had come and hit the margins so whatever you are saying nine months FY2023 highlights see whatever it is it is based on what do you call my topline numbers. My topline numbers I have not lost much so it is only that I had sold much in other Asian territories like what Dr. Saloni has already said about and with respect to capex specifically see some of these capexes like module E and certain other stuff which we had already committed during IPO times is what we are carrying forward and I do not think there is any change in any of our thought process in that so that is happening accordingly. I do not see any reason for us to stop and looking at our expanded portfolio which Dr. Saloni

has just specified we

believe that our revenues are only going to grow north and we do not see it is a major problem see whatever that has happened in this quarter is just an aberration and it is not something which is very permanent.

Shashank : Because I was referring to Q3 in specific only slide #7 I am not talking of nine months?

Saloni Wagh : Yes Krishna have already explained and even I have also explained this when I was answering about China. What has happened is when we consider Asia we also consider all of these south east Asian countries so in countries such as Indonesia, Vietnam, Malaysia or some parts of middle east we have seen a good nice volume growth so rightly said that in terms of volume there is not major dip because we were able to compensate through some of these other south east Asian markets that is why overall if you see the Asia revenue generation has not dipped at all but what impact the China situation has caused is on the margin front and yes also on the topline if the China revenue would have been generated our topline as well as our bottomline would have been significantly higher but we have been able to get the volume from some of these other south east Asian markets and that is the reason why overall there is no dip in terms of revenue generation from Asia and see most of this capex is driven for capacity enhancement without which the further growth in the portfolio cannot happen so capex remains the same. We are continuing with that

because the doubling of the topline will only happen if we have a larger capacity for some of these other molecules in the portfolio to grow and we are going to see a very good traction of these in regulated markets and we will need that capacity.

Shashank : That is it from my side.

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Page 14 of 20 Moderator : Thank you. The next question is from the line of Jagvir Singh from Shade Capital. Please go ahead.

Jagvir Singh : Thanks for the opportunity so I want to know what is the percentage of revenue we derive from China in the last nine months?

Satish Wagh: Our CFO will answer but let me tell you something on China because some predictions is wrong at the end see China whatever CPM we were selling is not the major consumption of China. Chinese has got lots of big variants of tablets and capsules making combination units who cater all over the world and for that this is a GMP audited site only from India that is why the purchase was taking place and that too also from the beginning with limited quantity that you must understand it was told to us. If we do that suppose demand is 300 tonnes and you feel that I should export 150 tonnes not possible at all otherwise there is going to be hit on the antidumping duty from China which today we are also doing from our end. This was the thing which was from the beginning when we registered the product it was told to us you cannot continue to say as much as you want you have a restriction of a quantity if you exceed antidumping is expected on you and then you lose the business this is what I would like to inform you all this is the type of business in China.

Krishna Raghunathan: To add to Dr. Wagh see basically Chinese revenue is a very, very significant number see we do not want to answer very specifically with respect to China on the percentages but it is a very, very large chunk plus also a great margin contributor for us so by not having Chinese sale we had lost ground on the margins that is what I think the whole commentary is all about in this quarter so if we are able to recoup the sales as well as the margins I think our businesses would be skyrocketing that is how I can put it. I do not want to use any other adjectives beyond this being a conference call I think but if you could come one-on-one I think I could explain this further.

Jagvir Singh : My next question is regarding 15 days is already gone in this quarter so what is the ground

situation right now so I am not asking about any guidance I just wanted to know so we may see some improvement in the margins and the topline in this Q4 over Q3?

Krishna Raghunathan: We do not want to guide anything for the market but this should be a better performance when compared to Q3. We would like the results to speak for itself Sir we do not want to unnecessarily guide the market and we do not want to raise any sort of an expectation with the people but yes having said that the performance of Q4 would be comparatively far, far better than Q3.

Jagvir Singh : But Q4 seasonally always higher for Supriya?

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Page 15 of 20 Saloni Wagh : Correct, it is seasonally also higher and like Krishna said that definitely our performance for Q4 would be better than Q3 performance.

Jagvir Singh : It would be better than because of Q4 is seasonally higher or there is some improvement because 15 days already gone so I just want to understand so there is any improvement in China part also not on the ground?

Saloni Wagh : The China situation will continue like I said in my speech earlier also. The China situation would remain the same at least for the next couple of quarters; however, some of the other therapeutic category products, we have 38 products in our portfolio and while some of the other products might not be very high in terms of margin contribution, we have seen good traction for these products in some of our regulated markets so that is the reason why we are confident that it would be better because these product contributions would be seen in Q4 of this year.

Jagvir Singh : Madam I just want to understand that if suppose in Q4 next year in the first half of the Q4 even Chinese situation does not recover so from the other markets we can make the losses in the Chinese market so we can make these losses in the other market?

Saloni Wagh : To compensate for the margin contribution that China was giving immediately would be very difficult because the number is significant but like I said we are working on a risk mitigation strategy so probably 3-4 quarters down the line yes we would be in a very strong position that even if the China situation remains as is some of the other products would have matured into the regulated market space and we would still be able to normalize our margins as well as our revenue but it would take at least a couple of more quarters for this situation to streamline.

Jagvir Singh : Thanks a lot.

Moderator : Thank you. The next question is from the line of Tushar Bohra from MK Ventures. Please go ahead.

Tushar Bohra : Thanks for the opportunity, so my first question just to understand we have some products in Q3 in Europe which we have not been able to sell we believe it has got deferred to Q4 right so would these product be on a cumulative aggregate basis the higher margin contributor to the average I am taking 30% now as the benchmark given on this call is it fair to say that A) the dip in Europe the contribution in sales this quarter is because of this deferment and in Q4 once these products come in we should expect better revenue as well as margin contribution?

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Page 16 of 20 Saloni Wagh : Absolutely yes. Like I said in my speech as well the sales dip in Europe is not because of any sales loss it is only that the sales has been pushed into the Q4 because of the long holidays in most of the export markets actually once these shipments go through like I said before as well Q4 performance would be better in terms of revenue also and in terms of margins as well as compared to Q3.

Tushar Bohra : Would you be able to quantify or give some sense of how much revenue we are talking that has potentially got deferred?

Saloni Wagh : That is something that we will not be in a position to share on this particular platform but we are happy to talk in detail

separately but in this platform it would be very difficult to give any specific number?

Tushar Bohra : Madam would it be safe to assume that against the average run rate of about not close to 100, 110 Crores for the last three quarters would we therefore expect significantly higher traction in the coming quarter?

Krishna Raghunathan: Of course Tushar you will see a better Q4. I think that is what we can say at this point in time yes it would be comparatively far, far better than Q3.

Tushar Bohra : Sure my second question is if you can help understand the new CMO opportunities a bit better including the ones which you are saying that have sort of progressed as well on some of the other if we can have some qualitative highlights and also the milestones of what we should look forward to?

Saloni Wagh : So in terms of CMO opportunities at the moment we have 8-9 concrete CMO opportunities most of these are wherein we would be a manufacturing certain advanced intermediates for multinational companies wherein the initial agreement has been signed and now we are in the process of tech transfer. Some of the CMO opportunities are also dicentric where we would be partnering with the innovator and we would be supplying their entire requirements from our GMP approved site so two to three projects are of this nature as well and then we have some CMO opportunities which are away from API and intermediates into more nutraceutical sectors so that would also definitely help in derisking our portfolio. In terms of how they are progressing most of them like I said are concrete opportunities when the initial agreements have been signed they are currently in the process of tech transfer and technical information exchange, two of these have moved to a very advanced stage and like I mentioned in my speech as well from Q3 of FY2024 we should be able to see some revenue contribution from these two opportunities. In the next coming month we

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Page 17 of 20 would be in a better position to give more concrete information and make announcement of these CMO opportunities.

Tushar Bohra : Thanks and finally on the new products that are being discussed on regulatory market so we should expect some more of products to start getting sold in regulatory markets in this financial year or rather in FY2024 and what kind of margin profile are we expecting for these products would it be in line with higher than the 30% guidance that we are sort of maintaining for the near term?

Saloni Wagh : We will start seeing the contribution from these other basket of products in regulated market sales from Q2 of FY2024 because most of these products we have still applied for the regulatory applications and we are expecting them to come very soon so from Q2 of FY2024 we can start seeing some good traction for these molecules. In terms of margin profile there would be decent margin generating products like we mentioned somewhere in the similar range of 32% of EBITDA.

Tushar Bohra : Thank you so much. I will join back in the queue.

Moderator : Thank you. The next question is from the line of Abhishek from Padmaja Investments. Please go ahead.

Abhishek : The management churn around like CEO leaving and again CFO leaving this kind of a

churn around looks very bad on retail investor side even in today's call if you see very few institutional investors turned around even though you are aspiring to be a company in that CRAMS space, CMO space, CRL space it is turning out to be bad.

Saloni Wagh : I have clarified and I have explained that the management churn around we are talking about if we really look at the CEO stepping down we have mentioned it many times in the past and we have still clarified again and again that the CEO has just step down from the responsibility of CEO due to some of his personal reasons because some of his family members not keeping well he is not able to give as much t

ime to the company but if you

look at our company structure he still continues to be very much a part of Supriya team as a technical lead so let us address it once and for all that he has not left the organization just because of some of his family members not keeping well he has stepped down from the CEO responsibility but he has taken the responsibility of a technical lead and he still is with us for a lot of CMO opportunities and for technical advises. In terms of CFO which is the second thing in fact I have already mentioned that with Krishna coming on board for us as a new listed company this would help strengthen our finance aspect because he comes with a lot of experience running a listed company specifically in pharmaceutical sector for over 20
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Page 18 of 20 years so this should be in fact construed as a very, very positive step that we are trying to strengthen our senior management and in the next couple of quarters also you will see that we are further strengthening our senior management team on our side, on technical capabilities because we definitely see a lot of scope of growth for the company and to facilitate this kind of growth we need to have the right kind of technical people on board so if anything I feel that going forward and even now the complete focus of the management is to strengthen the senior management team.

Moderator : Thank you. The next question is from the line of Siddharth Purohit from InvesQ Investment Advisors. Please go ahead.

Siddharth Purohit : Earlier when you had discussed probably you have mentioned that we work more on short term contract rather than a very long term management with our customer so is there a change in strategy for the new molecules or new geography that we are making for because probably that is one of the reasons we have lost some sort of business so what is the new arrangement that you are looking for, for a sustainable growth?

Saloni Wagh : As you are aware the API market is very, very dynamic so most API companies and including ourselves when it comes to API we will continue working on short term contracts because the raw material pricing situation is so dynamic that if we get into a long term contract it might not be beneficial for the company but because the API space is more short term contract driven we are trying to derisk this aspect by introducing CMO opportunities wherein the advanced intermediate and API requirement with some of the multinational companies would be a long term like five years, seven years time so we are trying to derisk on that aspect. Then going forward it would be both short term as well as long term contracts.

Siddharth Purohit : Is your Chinese customer still like in touch with you or what is their feedback that whether they will continue business with you if things improve so what is their commentary on that?

Saloni Wagh : Absolutely they are in touch with us. That is why we are able to share in detail the current market reality of China and we have been sharing that over the last couple of calls as well. Like I mentioned that Supriya has a very strong position in China because of the regulatory compliance that we have and also the quality of material that we produce. We are also an NMPA approved site and like our Chairman said that most of the end users in China have approved Supriya as a primary source. As soon as the market stabilizes we would be their preferred source and the entire volume would start coming back to Supriya so it is just a matter of when the situation stabilizes. It will take definitely a couple of more quarters. It is
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Page 19 of 20 not short term. This is a long term impact on the market and for it to recover we are anticipating at least another two to three quarters.

Moderator : Thank you. The next question is from the line of Karan Asli from Maximal Capital. Please

go ahead.

Karan Asli : Thanks for the opportunity. So just want to deliver on the China issue a little bit. Any thoughts on the local capacity in China have any local competitors increased the capacity or up the compliance game if you are aware of that?

Saloni Wagh : The local manufacturers in China historically also and even today they are non-GMP

compliant that is why even companies like Johnson & Johnson, GSK who have their site in China still continue to buy from Supriya so in that aspect there is no change. They are still non GMP complaint so we are still their preferred source. Also in terms of capacity because the demand has gone down there is no further capacity enhancement also which has happened locally in China so this is the current situation what we understood from our agents in China.

Karan Asli : Right and would be it possible for you to segregate your demand in China into local consumption and export formulations?

Satish Wagh : I think when we decided to say like this because I have told you in my previous speech that we are supposed to cater certain quantity only if we exceed there would not be possible to ship one kg also because the day we do that antidumping duty will be done on us. Today you are seeing many of the items we are ourselves putting antidumping duties on them in result mainly industrial areas certain products are getting closed so we have a certain market, certain GMP standard, certain approvals and that is already on the website of the Chinese NMPA and CTA only foreign source Supriya ideal approved so that is why we are able to sell but not with 100% sales, limited sales that is my submission to you on China and I think China we have already discussed lot of things. Let us not to discuss on China matters again and again because the issue is same.

Krishna Raghunathan: Having said that like what the Chairman is ascribing to see you will not have 100% capacity out of China it is only that some of the capacities will be granted and that is what we are able to cater now that there is a drop in demand because of what Dr. Saloni has already said in the speech earlier that is why there is a dip in China at this point in time. I think this should be settled once and for all at this stage. I think that is the entire submission of the management on China.

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Page 20 of 20 Karan Asli : Sure and my next question is pertaining to the margins now I think you said directionally we expect margins to improve but at the same time China is not going to come back till let us say Q2 of next year at least and the regulated products also that we are pushing into the market will come in Q2 of next year so in the meanwhile what would be the more granular levers we have to get close to that sustainable margin that we have because that would mean that you would have to again come back significantly in term of 40 to 50% plus contribution so do you see that happening?

Saloni Wagh : Like I said before as well if you look at our revenue generation from the European it has not been impacted there is no sales loss as such. We are doing quite well the product portfolio and the basket there is very, very stable. It is just that some of the sales from Q3 has gotten pushed into Q4 due to the long holidays other than antihistamine range and Chinese market we will also have anesthetic range of products which are doing quite well and which are also one of the other major therapeutic categories for the company and are doing quite well in the regulated market space, so definitely we will see a lot of contribution from these therapies even antiasthmatic for that matter. You will see revenue generation from these therapies so that is the reason why we expect the normalized margin.

Karan Asli : In terms of how we expect to end this year I think our target was to reach up to last year's revenue levels do we think we will be able to match tha

t?

Krishna Raghunathan: See at this point we do not want to give any sort of guidance but it looks like we might fall a bit short on the revenues when it comes to last year levels. Yes of course that is what is going to happen.

Karan Asli : Sure that was helpful. Thanks and good luck.

Moderator : Thank you. Ladies and gentlemen due to time constraint that was the last question for today. I would now like to hand the conference over to Dr. Satish Wagh for closing comments.

Satish Wagh : Thank you. I would like to thank everyone for taking time out and joining on the call. I hope we have been able to respond to your queries. If you have any further queries you may reach out to our investor relation partner Orient Capital. Thank you very much and have a good day.

Moderator : Thank you. On behalf of Supriya Lifescience Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jun 2023

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GOVT. RECOGNISED EXPORT HOUSE

Date: June 2, 2023

To, To,
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, C-1, Block G
Dalal Street, Bandra Kurla Complex
Mumbai – 400 001 Bandra (E), Mumbai – 400 051
Scrip Code: 543434 Scrip Symbol: SUPRIYA

Dear Sir (s),

Subject: Transcript of the Earnings Call for Fourth quarter and year ended March 31, 2023

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we hereby enclose the transcript of the Earnings call held on Monday, May 29, 2023 at 11.00 A.M. IST to discuss operational and financial performance of the Company for the Fourth Quarter and Year ended of FY 2022-2023 (Q4 & FY23).

This is for your information and records.

Thanking you,

Yours faithfully,
For Supriya Lifescience Limited

Shweta Singh
Company Secretary & Compliance Officer
Membership No.: A44973

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“Supriya Lifescience Limited
Q4 FY'23 Earnings Conference Call ”
May 29, 2023

MANAGEMENT : DR. SATISH WAGH – CHAIRMAN AND MANAGING
DIRECTOR – SUPRIYA LIFESCIENCE LIMITED
DR. SALONI WAGH – DIRECTOR – SUPRIYA
LIFESCIENCE LIMITED
MR. KRISHNA RAGHUNATHAN – CHIEF FINANCIAL
OFFICER – SUPRIYA LIFESCIENCE LIMITED

MODERATOR : IRFAN RAEEN – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to the Supriya Lifescience Limited Q4 FY '23 Earnings Conference Call. As a reminder, all participant lines will be in a listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Irfan Ra een from Orient Capital. Thank you and over to you, Mr. Irfan.

Irfan Raen: Thank you and welcome to Q4 FY '23 Earnings Conference Call of Supriya Lifescience Limited. Today on this call we have Dr. Satish Wagh sir, Chairman and Managing Director of Supriya Lifescience Limited along with the senior management team. This call may contain forward-looking statements about the company which are based on beliefs, opinions and expectations as of today. Actual results may differ materially. These statements are not the guarantees of future performance and involve unforeseen risks and uncertainties that are difficult to predict. At a detailed safe-harbour statement is given on page no. two of the investor presentation of the company which has been uploaded on stock exchanges and company's website as well. With this, I hand over the call to Dr. Satish Wagh sir for his opening remarks. Over to you, sir. Thank you.

Satish Wagh: Good morning and warm welcome to all participants. Thank you for joining us today to discuss the Q4 and financial year 2023 results of Supriya Lifescience Limited. To take us through the results and the answer to your questions, we have with us the top management from Supriya, represented by Dr. Satish Wagh, Director, Mr. Krishna Raghunathan, Chief Financial Officer and our Investor Relations Partner, Orient Capital.

I hope everyone got the opportunity to go through the financial results and investor presentation which have been uploaded on the stock exchanges as well as company website. Despite the headwinds and market volatility faced by pharma industry globally, we have delivered a decent quarter. I am pleased to announce that our company has achieved significant growth in financial performance over the sequential quarter.

Our revenue in Q4 '23 stood at INR142.2 crores as against INR105.1 crores of Q3 financial year '23. Growth of 292% EBITDA margins in Q4 '23 stood at 38.3% as against 13.4% in Q3 financial year '23. EBITDA surge by an impressive 25.3% and our PAT in Q4 financial year '23 stood at INR38.2 crores as compared to INR9.5 crores in Q3 financial year '23 with a growth of 302%. PAT margins in Q4 '23 stood at 26.9% as against 9.1% in Q3 financial year '23 which has gone up to by 17.8%. We are glad that we are in a better position and we anticipate even better performance in the future.

While our recent quarters have shown higher EBITDA margins due to specific product and revenue mix, we maintain our conservative estimate of achieving 28% to 30% EBITDA margin for the full year. We are confident in sustaining growth, good growth and maintaining favorable margins overall. As we have previously discussed in our calls, our key strengths, therapy and Supriya Lifescience Limited

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market, China continues to be impacted and we are actively working on strategies to mitigate the impact on regain momentum.

We acknowledge that it will take some time for the situation to normalize and for our operations to return to their normal levels. However, we remain committed to this market and are actively working on strategies to mitigate the impact and regain momentum. On the other hand, our regulated markets like Europe, North America, Latin America have performed well. We have also seen improved traction in therapies like anesthetic,

anti-asthmatic and anti-allergic.

We are pleased to announce the appointment of Dr. Bhirud as the President of Business Development Strategy and Research and Development. Dr. Bhirud brings with him exceptional expertise and extensive experience in the pharmaceutical industry. We firmly believe that his leadership will be instrumental in strengthening our manufacturing excellence and driving strategic alliances. With this remarkable background in the pharmaceutical sector and hands-on approach, we are confident that Dr. Shekhar Bhirud is the perfect leader of our organization. Also I would like to inform you, the Board of Directors have recommended a final dividend of INR0.60 per equity share of face value of INR2 each, subject to approval of the shareholders.

With this, I will now hand over the call to our CFO, Krishna Raghunathan. Over to you, Krishna.

Krishna Raghunathan: Thank you, sir. Hello everyone and good morning. I will now share the operational performance of the financial year F Y '23, which is under review, following which we will open the floor for questions -and-answers. F Y '23, company reported revenue from operations of INR460.9 crores in F Y '23 as against INR530 crores in F Y '22. EBITDA in F Y '23 stood at INR128.9 crores as against INR213.9 crores in F Y '22. And EBITDA margin stood at 28% in F Y '23 as against 40% in the same period last year. And profit before tax was at INR123.4 crores for F Y '23 as against INR207.2 crores in FY22. PA T stood at INR89.8 crores in F Y '23 as against INR151.8 crores in F Y '22. PA T margins stood at 19.5%.

Now, coming for the quarter, Q4 for F Y '23, company reported revenue from operations of INR142.2 crores in Q4 F Y '23 as against INR181.2 crores in Q4 F Y '22. EBITDA in Q4 F Y '23 stood at INR55 crores as against INR75.2 crores in Q4 F Y '22. And EBITDA margin stood at 38.7% in Q4 F Y '23 as against 41.5% in the same period last year. And profit before tax was at INR53.2 crores for Q4 F Y '23 as against INR75.4 crores in Q4 F Y '22. PA T stood at INR38.2 crores for Q4 F Y '23 as against INR 46.2 crores in Q4 F Y '22. PA T margin stood at 26.9%. China story remained the same as Dr. Wagh mentioned. Our main therapy and market China is continued to be affected this quarter also. While we cannot provide an exact timeline for the recovery of the sales at this moment, we have taken decisive action to gain a better understanding of the situation. Our team will be visiting CPH I China to gather critical insights and engage in productive discussions. This visit will provide us with invaluable information that will help us determine the path forward and devise a comprehensive strategy for recovery.

Now we can open the floor for questions and answers. Thanks to all of you.

Moderator: Thank you. We will now begin the question -and-answer session. The first question is from Mr. Yogesh from Arihant Capital Markets Limited.

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Yogesh: So first of all, congratulations. The numbers were very strong for the quarter. So congratulations for it. My first question is on the sharp increase in gross margins to about 66% approximately in this quarter from about 51% last time. So if you can share some thoughts on the jump in gross margins, which products were driving this increase?

Saloni Wagh: So Yogesh, like our chairman mentioned in his opening speech, the sharp margin increase is only driven by good traction and good sales of a certain product mix in certain regulated markets. So that's one of the main reasons why the margins have shot up significantly. In terms of the therapies that have really performed well in this quarter, anti -asthmatic, anesthetic, anti -allergic, these are some of the key therapies which have really done well in some of the regulated markets like Europe, Latin America, North America. And that's one of the main reasons why

the margins
have gone up.

Yogesh: Sure. And like in the last quarter, we had some order spending for Europe, which we expected to deliver in Q4. So was that actually seen in Q4 also, leading to jump in Europe?

Saloni Wagh: Yes, because we have mentioned in the past as well that Q3, usually because of the worldwide holidays in the month of December, because we operate in the export market significantly and in most of the export markets, December is a very slow month. Most of the countries are closed for holidays. So some of the sales from that quarter has commercialized in this quarter.

Yogesh: Thanks. My second question is on the North America market. So we see that ramping up every quarter. So if you can share some highlights, how do we see growth in North America, any quantitative numbers we can get in that market and any visibility for North America?

Saloni Wagh: Yes, please continue.

Yogesh: So basically, how do we see growth in North America in quantitative terms going forward and any visibility in that market?

Saloni Wagh: So definitely we anticipate the North American markets to grow for us significantly in the next couple of years. This is mainly because some of the products in the basket, which are anti -allergic, decongestants, we expect to see good traction because we have recently filed for the USDMFs for this particular market. Maybe not in the immediate one or two quarters, you can see a significant jump in the revenue. But yes, definitely in the next three to four quarters, there would be a better traction seen in these markets. Once we start getting the USDMFs and the registrations through for some of these newer products.

Yogesh: So if we take a one year horizon, like can we see about 20 %, 25% growth in the North American market going forward?

Saloni Wagh: No, because this is a highly regulated market. And once we get the registrations, also there is a time period in which we have to reach out to the customers, do the development validation process. So definitely not in the next one year. We definitely anticipate growth, but it would not be in that 20 %, 25% range what you are indicating.

Yogesh: And madam, on the China market, there were some comments wherein we are looking to meet their abilities. If you can explain that in detail, what we are looking at in terms of the China market, if you can share some more details on it?

Saloni Wagh: So China market situation remains the same, what we had mentioned for the last quarter. Still a lot of volatility and instability in the market. The demand is still not increased as much as we would have wanted it to. And there is a lot of price pressure as well. So we remain in the similar situation what we were in the last quarter. We will have to wait and watch at least a couple of quarters more for the situation to sort of streamline.

We are hoping that with our next visit to China, which is happening in CPHI China in June of this year, we should be able to get more market insights and understand the market reality, what is happening there. But so far, the situation seems exactly what it was in the last quarter and we do not expect it to stabilize for another couple of quarters as well. But to somehow mitigate the impact of China, we are now really focusing aggressively on fast tracking some of the new product development that we have in our basket currently and like, we have seen in the fourth quarter, some of the other therapies like anti-asthmatics and aesthetics, they have performed really well in some of the regulated markets. So increased focus on these markets and how, we can further get better traction for these products.

Yogesh: And finally, how many products are we looking to introduce in FY '24 and how many will commercialize?

Saloni Wagh: So we are looking to introduce three new products into our basket, this

year, somewhere around

quarter 3. We anticipate that, these three products would be through R&D and we should be able to launch them for at least, the validation volumes and everything. The commercial impact of these products would only be seen in probably quarter 1, of the next financial year. But at least in quarter 3, we should be able to launch them and we should be able to start offering them to the customers for validation purposes.

Moderator: Our next question comes from Mr. Siddharth Purohit from InvesQ Investment Advisors Private Limited.

Siddharth Purohit: Hi, so one of this our facility use to be now still based on the gross block that you are showing on the balance sheet. So, how are we really preparing for off-take from the new plant? Because right, now we will have a sizable capacity but accordingly are, we doing some sort of extra marketing efforts that, we are putting up for the four geography that, we already had and for new geography, with China you are saying? Still not very sure how far that will recover. So, which all areas can really recover, which all geographies can really recover in next one year or two years or so?

Saloni Wagh: Okay, so in our current product portfolio, we have about 32 APIs and these come from ten to twelve different therapeutic categories. Other than the top three products, for the company, there is a basket of about 8-10 molecules, which come from different therapies like antiallergic decongestant, anti-hypertensive, vitamins, then again, pain management. So all these products, we have been selling for the last five years, six years in semi regulated markets. We have already

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started the registration for some of these products. About two years back, we started the registration for these products. In fact, for some of the products, we have recently received, the CEPS and the USDMF and the China registrations also.

So this basket of 8-10 molecules, we would now want to scale up in the more regulated markets and that's where, some of the impact of China would definitely be mitigated. Now, once these products, they move into the more regulated market space, their average selling price also would definitely appreciate. And in terms of volume also, we see a very good volume scale up for these existing molecules. So, whatever capacity we are building at site one, would be to take care of the volume scale up of these existing molecules.

Second, we do have a lot of active CMO/CDMO discussions, which are there. So some of the APIs advanced intermediates from these opportunities would also fill up some of the capacity.

So these are the two main areas for which we are actually building the capacity.

Siddharth Purohit: Okay, so based on the current scenario and your understanding, any growth target that you have internally set for up to '24 margin, you said you'll have something around '28, which is your indicating, but on the top line front, do you see at least double digit growth, how you are planning for this? Because your fixed cost will probably look higher in the coming year because you must

have gone through all the capex. So how that will get absorbed in and even if gross margin improves, how that fixed cost will be absorbed, when this happens?

Saloni Wagh: So, in the past also, if you see historically, we have shown over 20% growth year-on-year. This year specifically was a one-off year for us because you're all aware that, our key market, key therapy got impacted. However, going forward also, we are committed to maintaining the same kind of growth, what we have shown in the previous historical years. So, it would be in trend with that. And as far as the capacity is concerned, see some of this capacity, what we are putting in our module E, it would only be available for production in quarter 4, of this financial year. So, to see the impact coming

from that particular module will take some time, so it would not be as immediate at this financial year. However, in terms of going forward growth, it would be similar to, what we have done in the past.

Siddharth Purohit: Can we expect something around 20% plus growth for the current year based on your interaction with the various customer or any number you would like to put in?

Saloni Wagh: Yes, we anticipate around that range.

Siddharth Purohit: And one more clarity, one in the developed market, particularly regulated market, the initial cost of launching any product, new molecules will be probably on the higher side. Since you are targeting those set of markets right now, what kind of incremental cost initially will be, we have to bear?

Krishna Raghunathan: See, we are not able to hear your question. See, but if I hear you right, are you checking about the per molecule R&D cost? Is that your question, sir?

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Siddharth Purohit: R&D cost as well as the cost of launching in the different market, the regulated market, probably the filing cost and everything will be on a higher side for the regulated market. So any specific team that, we are setting up for that or what is the cost that, we are budgeting for that, for the venturing into the more regulated market?

Saloni Wagh: So, nothing like that. Whatever expenses, we are incurring in the last couple of financial years.

It is similar to what, we would be incurring going forward as well. It's not a very significantly high expense, wherein we have to set aside some funds for doing these kind of registrations. They are a part and parcel of the portfolio and would be in line with the last couple of years, what we have done.

Krishna Raghunathan: Having said that, we will also have as and when the products increase. Yes, we might have a couple of new filings, which will have some impact on the R&D line. I don't think that, is highly significant, which will have to be separately budgeted. No, this is always a part and parcel of Supriya's budget.

Moderator: Our next question comes from Naresh from Sameeksha Capital.

Naresh: Yes. So my first question is on the other current assets. So, it has increased from INR55 crores to almost INR100 crores in last one year. So, can you throw some light on this? What does this pertain to and how should this number move, going ahead?

Krishna Raghunathan: See, basically the major impact on this line is, we had paid advance for a land in Isambe, near to Patalganga. Okay. And, we were not able to register this because Maharashtra authorities have yet to take the environmental clearance for it. Which is expected in another, what you call maximum three months to four months. That is what my corporate affairs team is saying today morning. I just checked with them specifically on this. I was expecting this question. So, post the rainy season, most probably, we should be getting the clearance and then the registration would be done and then this would be moving into CWIP line.

Naresh: Sir. So most of, the majority of the increase of INR45 crores is on account of land advances?...

Krishna Raghunathan: Yes.

Naresh: What is the cost of the land in Isambe?

Krishna Raghunathan: It's somewhere around INR55 crores and there will also be some registration cost attached to it. Those things are yet to happen. Sir.

Naresh: Okay and my next question is on Salbutamol also. Have we started supplying this product in the European markets? And if you can throw on a quarter-on-quarter base, like from Q three to Q four, have we seen a good ramp up in this product in Europe?

Saloni Wagh: Yes, we have started supplying some volumes in the European market because we got the CEP. However, it is just small volumes for validation and all. Specifically for Europe, I'll not be able to indicate any percentage of

growth but if you look at the historical, this particular therapy has really grown for us from almost 8% to 12%, in this year. And we anticipate similar kind of

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growth, in fact, faster growth for Europe as well as North American markets for this product in the coming few quarters.

Naresh: We already have the CEP and DMF, for this product, right?

Saloni Wagh: Yes, we have both and we are in active discussion with a lot of customers in Europe and US for this.

Naresh: Okay. And on another two products, Dextromethorphan and Cetirizine, if you can talk about, how are we seeing the traction in these two products in FY '24, especially in the regulated markets?

Saloni Wagh: So, again, both products, we are still under registration process for Dextro methorphan, we do have the USDMF available but CEP is under registration and for Cetirizine, both USDMF as well as CEPs under registration. We expect to do both the filings in June, of this year. So probably, in another nine months to twelve months, we should have the USDMF and the CEP in our hand. For both these products. Europe and US are very large markets. So, we are expecting very good growth from quarter 3, of this year, next year in fact, we will see very significant contribution from these two products. But the products are really good. They are growing products year-on-year. Their volume has grown in the market. So, they could be potentially large products for us going forward.

Naresh: And in Dextro, since you said that, we have a DMF, so in FY '24, how much do you expect out of this product? Qualitatively, if you can give some color on that because this was one of our key products for FY '24. So, if you can help us understand, how much it could likely contribute in '24?

Saloni Wagh: Specific information on how much it can contribute, while we are not in a position to share, but I can say that, we have already started seeing good traction for this product in OTC market and a lot of active customer discussions are ongoing. So, definitely for this year itself, the volume from US OTC market would be large for the company.

Naresh: Okay. One last question. So, out of the eight to ten products which you mentioned, which in next two to three years, you expect that, will the ramp-up finance diversify our product base specifically for FY '24? Any product out of those, which you expect to contribute meaningfully, in your revenues?

Saloni Wagh: So, while we can't talk very product specific but definitely, I can discuss about the therapies, which we anticipate would contribute significantly. So, therapies like anti-hypertensive vitamins, anti-allergic, then? Yes, some scale up in anti-asthmatic products as well. These are decongestants. So, these are the four or five therapies, where we anticipate a large volume scale up in the next couple of years.

Naresh: Okay. And one last, on the revenue front, do you stick to your guidance of doubling our revenues by '26 on FY '22s base?

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Saloni Wagh: So, yes, we are still maintaining that for the financial year FY '26-'27. We are still confident that we would be able to achieve the guidance what we have given in terms of revenue.

Naresh: Sure, okay. Thank you.

Saloni Wagh: Thank you.

Moderator: Thank you. Our next question comes from Mr. Tushar Bohra from MK Ventures.

Tushar Bohra: Yes, hi. Thanks for the opportunity. Congratulations to the management for a much better show this time. First, just I think a few days before the results, we had this announcement on one of the CMO contracts. Maybe if you can share more details around it, and also more qualitative details, specifics around your overall CMO pipeline?

Saloni Wagh: Okay. So yes, we have recently announced a CMO tie-up with one of the leading European companies. This would

be an exclusive contract with this company where we would be the exclusive API suppliers. This is one of their existing products, which they are planning to phase out of their European facility. So the complete volume would be transferred to Supriya in the next few years.

As we speak, we are in the preparatory phase where we are doing the filings for the CEP, for the US DMF, and for the Japan DMF. We expect that all these three regulatory, all the registrations should come through probably in the next nine to 12 months. During this time, we would start catering to them some volume for their validation batches and for their trial batches for their customers globally.

But once all the registrations come through, we anticipate that the volume should really start picking up. In FY '26-'27, we anticipate, it should give us a revenue of about INR40 crores a

year. And there is definitely potential in this contract to get a higher volume as well as a higher turnover. But this is something that we are fairly confident that we should be able to achieve in the financial year FY '26 -'27.

So this is in terms of the current CMO opportunity, which we have already announced. Similar to this, we are also working on another similar scale opportunity, which hopefully we should also be in a position to announce very soon as we are in the final stage of agreement signing. Other than these two large opportunities, we are working on six, seven smaller opportunities, which are more API and advanced intermediate. All these smaller opportunities also we are expecting by FY '26 should contribute in a good way to our revenue.

But all these are in very initial stage of discussion where, we are just supplying some samples. In certain cases, some R&D work is ongoing. In the next two years, I think we should have a fairly good basket of CMO projects commercialized in our hand.

Tushar Bohra: Ma'am, when you say CMO, possible that some of these may actually be CDMO where we may be working with innovators, or specific buildouts?

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Saloni Wagh: Yes, there are one, I mean there is one particular opportunity where we are working with the innovator. So yes, that is also in place.

Tushar Bohra: And ma'am, just to clarify on the contract that you mentioned, the European CMO, if we are going to start supplying some batches and some supplies this year and you said that nine to 12 months you expect CMOs to start coming in, is it possible that we may actually start getting meaningful revenue from maybe FY '24 or FY '25 itself rather than looking out at this as an FY '27 and beyond opportunity? Should we budget for reasonable growth from this project, sooner, maybe by FY '25?

Saloni Wagh: So, we can, I mean, we will start getting some volume traction from FY '24 itself, but the value impact would not be as significant, as it would be once it reaches its full completion in FY '26 - '27. That's when, we would have had all the regulatory approvals, because this particular company operates in highly regulated markets, the markets, which I mentioned, which is the European market, the Japanese market, and the US market, all these are highly regulated markets and all their customers are pharma customers.

So, it takes a little bit of time for the pharma customers also to evaluate our source, do the validation and redo their formulations with our source. So, that's one of the reasons why although the volumes would start kicking in from FY '24, the significant impact on the revenue as well as margin would only start coming in from financial year FY '26 -'27.

Tushar Bohra: Sure, ma'am also in the overall CMO pipeline/CDMO pipeline that we have, is this all only pharmaceutical products? You mentioned intermediates also, but are there any non-pharma products also in this? Is the company looking to actively reach out for other chemistries and

other projects that are non-pharma in nature?

Saloni Wagh: So, there is one project, which is non-pharma where we are working on more nutraceutical kind of an application. Hopefully, we should be now positioned to announce this project also very soon. We are in the final stage of this particular project as well, and the scale is similar to the one that we have currently announced. But other than this one project, most of the other projects are API and advanced intermediate related in the pharmaceutical space.

Tushar Bohra: And these would be margin profile-wise similar or better than your current margin?

Saloni Wagh: So, they would be similar to the margin guidance what we have given on an annualized range, the 28% to 30% margin what we have indicated, these all would be in this line of margin.

Tushar Bohra: Ma'am, just one clarification on the guidance and the overall commentary. You mentioned 20% minimum growth and 28% to 30% margin. So first, is the growth, since we had a blip in FY '23, a negative year over FY '22, should we assume this 20% from FY '23 as a base? Would it be higher because of the blip, would this year actually be better than 20% for us?

And secondly, the margin profile, while it is good to be conservative, should we budget for a decline in subsequent quarters, or is it just that this is the minimum and we can hope for performance similar to what you have done in Q4?

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Krishna Raghunathan: Hey, Tushar Krishna here. See, the general 20% guidance is for all the regular years, this year since the base is lower; the increase would be looking on a higher side. So this is only for this current year, this will be holding good.

See, the 28% to 30% whatever we are looking at is an average of all the quarters put together because see, as you have seen in the current quarter itself, depending on the product mix, there

is always going to be some sort of either it is going to spike up, or it is going to go down depending on the product mix.

So whatever we are giving is the, what do you call, the average number, which we think that we might be able to achieve. And if the product mix is going to be highly favorable, then yes, there could be a couple of percentage points here and there, there could be some possibilities, but that is something, which we don't want to, what do you call, give it as a general guidance to anybody. So we still stick to 28% to 30%.

Tushar Bohra: So this is -- sir, essentially this is the minimum we hope and assume that we should be able to achieve through the year and hopefully better than this. Is that how we shall read the guidance?

Krishna Raghunathan: Yes, yes, Tushar, you are right.

Tushar Bohra: Thank you, sir. I'll join back in queue for more questions.

Krishna Raghunathan: Thanks Tushar.

Moderator: Thank you. [Operator Instructions] Our next question comes from Mr. Abhijeet from Pi Asset Management.

Abhijeet: Thanks for the opportunity. Am I audible?

Saloni Wagh: Yes, you are audible.

Abhijeet: Okay. So my question is again regarding the margins, in Q4, we did around 39% EBITDA margin and you have guided about 28% to 30%. So what are the reasons we think that Q4 margins are not sustainable?

Saloni Wagh: So, you know, we have indicated and we have explained this a couple of times before as well, the initial margins, what we were getting were also -- see, because the product concentration in our portfolio is high. There are three products, which are mature products for the company, which have already matured into the regulated market space. Unfortunately, this year one of our key therapies and key markets got hit, and we don't anticipate that this market would recover in the near future.

So that's one of the main reasons why the previous margins are not sustainable, and particularly for this quarter, as I mentioned before also, the

high margins are due to a certain product mix seeing a good traction in certain regulated markets. But this also has a certain seasonality impact and some of the sales from quarter three also have gone into this year. So that's one of the reasons why the margins are extremely high for this quarter.

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However, going forward, based on the product portfolio that we currently have and still anticipating the impact of the China market and the key therapy, we anticipate that 28% to 30% margin is something that would be a normalized margin for us. That's one of the main reasons.

Abhijeet: Okay. And in the last quarter, we saw promoters adding from the open market. Can you expect further additions in the coming days, months, quarters?

Krishna Raghunathan: See, this is something, which is very speculative. See, he might add, he might not add. I think this is something I don't think we can talk to about some futuristic events. If he finds value, I think he might buy. I don't think that this can be, what do you call, a stop for guidance.

Abhijeet: No, that's fine. That's fine. Thank you. These were my questions. Thank you.

Moderator: Thank you. Ladies and gentlemen, our next caller is Mr. Hemant, an Individual Investor. Mr.

Aashish Uppanlawar from InvesQ Investment Advisor please go ahead.

Aashish: Hello.

Saloni Wagh: Yes.

Aashish: Yes, I just wanted to understand on the working capital side, how should we read things? It has been pretty high for us as a company. Given the supply chain disruptions, we had said that we were a bit conservative on ensuring supply and stuff. So now, what is the situation and where do we see things going?

Krishna Raghunathan: See, we do agree that the inventory was something, which was pretty, pretty high. In fact, even now I think it is somewhere around 200 plus days of inventory because last year since it was -- China was totally disrupted, a couple of raw materials, which we were dependent on in China for some specific materials, we had to stock up in excess.

The management is aware that their inventory cycle is on the higher side and of course we are taking corrective actions for the same. I think now that every of the countries are now opened up, I don't think we need to maintain so much of inventory. You would see a gradual reduction over the next few quarters.

Aashish: Okay. So, any guidance on how this number would shape up on the inventory side?

Krishna Raghunathan: See, at this point of time, we don't want to give any guidance on working capital at least. See, you should also be cognizant of the fact that our working capital loans are hardly around INR15 crores to INR16 crores and we are cash sufficient. In that sort of a scenario, I don't think we should be worrying too much with respect to the working capital at this stage. But having said

that, we do understand that inventories are on a higher side. That is something which the management is very, very cognizant about and in fact, I have a meeting with the management in the afternoon specifically on this.

Aashish : Okay. And on the other current assets you mentioned that, it should come down, right, and it should correct?

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Krishna Raghunathan: See, I think once the land is capitalized or getting into CWIP, once it is registered, it will get into CWIP of course. So, I think that is going to come down. It is just a temporary stuff, not to be worried too much into it.

Aashish : Okay. So, it should come down to around INR15 odd crores, again?

Krishna Raghunathan: Yes, that is going to come down pretty much. In fact, to be honest, certain of long pending export receivables or the DEPB receivables, some brought up receivables we had received in April and May, you wouldn't see a significant amount of reduction even in the first quarter

itself.

Aashish : So, on the business side, I would like to understand how is the overall scenario shaping up because typically, we have seen a lot of volatility in the last two years on the most of the API market, the companies in the sector and stuff and you also, FY '23 has been quite a tumultuous year in terms of ups and downs. So, should we say that for us, the worst is over and moving back to our glory days in continuous growth with good margins and ROCEs. So, should we expect that, or is the situation still not to call out that everything is normalized?

Saloni Wagh: So, definitely, I think, I mean, the last financial year was a one-off for us. If you look at the historicals of the company, we have consistently grown. This is mainly because of getting good traction for our existing product basket in more regulated space and that's one of the company's main strategies to focus on getting traction in more regulated markets.

So, with the same view, in fact, we are working on de-risking the existing product basket. We plan on adding newer products from newer therapies. So, any particular therapy dependence, or any particular geography dependence of the company is significantly reduced.

For us, way forward definitely would be good growth, what we have indicated in this call also today that 20% growth is what we are anticipating going forward and the margins at a conservative level between 28% to 30% is what we are confident of achieving in the near future.

Aashish : Okay. Thank you so much.

Moderator: Thank you. Our next call is from Mr. Tushar Bohra from MK Ventures.

Tushar Bohra: Yes. Thanks for the follow-up. Ma'am just if you can highlight the new products that we -- you mentioned few of them like Dextromethorphan and Cetirizine. But just how many DMF/CEPs are active where we are expecting some movement this year and next year in terms of new client additions, more regulated market business, and which are the ones where we have filed or are in the process of filing, which also should become a possibility for FY '24 and beyond?

Saloni Wagh: So currently we have already filed three US DMF and three CEPs are also, I mean they already filed three CEPs. These are mainly decongestant, anti-gout and anti-allergic. These three therapeutic areas where we have already filed for the registration. So probably in another nine to 12 months, once we have these registrations in place, we can immediately start seeing good volume scale up, because we have already done the validation and the trial volumes for these products with some of the customers. Active discussions are ongoing.

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And in the future, anti-hypertensive, anesthetic, then anti-asthmatic and vitamins are some of the key therapies where we would want to apply for the CEPs and the US DMF. Currently most of the documents are under compilation for these products. And in fact, even China registration for that matter. So probably in Q3, we would be in a good position to have all the documents in place and start the registration for these products as well. So overall, the eight to 10 basket of products, what we said where we will be seeing a good volume scale up would be from these therapeutic categories.

Tushar Bohra: And you already have some China registration in place for some of the existing portfolios outside the one that is currently in practice?

Saloni Wagh: We do have some anti-histamine products already registered with China. But these volumes, I mean, the volumes for these products are very small. This is a very stable business, which we have been doing for last couple of years. And there are three registrations, which we are currently doing in China also. One is an anti-allergic product. One is again anti-histamine range. And one is anti-gout. So these three products we are currently registering as we speak. So hopefully by

beginning of next year, we should have all the registrations in place.

Tushar Bohra: Ma'am, one of our products, Tramadol, which was classified as a narcotic recently, we were applying or had applied for US DMF and CEP for Tramadol as well. Any updates on that?

Saloni Wagh: So we have just applied for the CEP and the US DMF. It takes usually around nine to 12 months to get the CEP and a little longer in fact for the US DMF. So somewhere again, goes back to the same timeline that somewhere around end of this year, quarter three or quarter four of this financial year is when we anticipate we should have the CEP and the US DMF for this product as well.

The volume scale I've expected from this product is also quite large as this product itself is very large across Europe and US. So definitely once we have these registrations in place, the volume scale up would be good.

Tushar Bohra: Okay, sure. Thank you so much.

Saloni Wagh: Thank you.

Moderator: Ladies and gentlemen, in the interest of time, that was the last question on today's call. I would now like to hand the conference over to Dr. Saloni Wagh for closing comments.

Saloni Wagh: Thank you. I would like to thank everyone for joining the call. I hope we have been able to respond to your queries adequately. If you have any further queries, you may reach out to our investor relations partner, Orient Capital. Thank you very much for joining us today. Have a great day. Thank you.

Moderator: On behalf of Supriya Lifescience Limited, that concludes the conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

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GOVT. RECOGNISED EXPORT HOUSE

Date: August 8, 2023

To, To,
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, C-1, Block G
Dalal Street, Bandra Kurla Complex
Mumbai – 400 001 Bandra (E), Mumbai – 400 051
Scrip Code: 543434 Scrip Symbol: SUPRIYA

Dear Sir (s),

Subject: Transcript of the Earnings Call for the quarter ended June 30, 2023

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we hereby enclose the transcript of the Earnings call held on Friday, August 4, 2023 at 11.00 A.M. IST to discuss operational and financial performance of the Company for the Quarter ended June 30, 2023 (Q1 of FY 2023-24).

This is for your information and records.

Thanking you,

Yours faithfully,
For Supriya Lifescience Limited

Shweta Singh
Company Secretary & Compliance Officer
Membership No.: A44973

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“Supriya Lifescience Limited Q1 FY24 Earnings
Conference Call”

August 04, 2023

MANAGEMENT : DR. SATISH WAGH – CHAIRMAN & MANAGING

DIRECTOR, SUPRIYA LIFESCIENCE LIMITED
DR. SALONI WAGH – DIRECTOR, SUPRIYA
LIFESCIENCE LIMITED
MR. KRISHNA RAGHUNATHAN – CHIEF FINANCIAL
OFFICER, SUPRIYA LIFESCIENCE LIMITED

MODERATOR : MR. IRFAN RAEEN – ORIENT CAPITAL

Supriya Lifescience Limited
August 04, 2023

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Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY24 Earnings Conference Call of Supriya Lifescience Limited.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Irfan Raeen from Orient Capital. Thank you and over to you, Mr. Raeen.

Irfan Raeen: Thank you, Michelle. Thank you and welcome to Q1 FY24 Earnings Conference Call of Supriya Lifescience Limited.

Today, on the call, we have Dr. Satish Wagh sir - Chairman and Managing Director, along with senior management team.

Before we begin the call, I would like to give a short disclaimer. This call may contain some of the forward-looking statements about the company, which are based on belief and opinion and expectation as of today. Actual results may differ materially and these statements are not guarantee of future performance and involve unforeseen risks and uncertainties that are difficult to predict. At a detailed Safe Harbor statement is given on our page number two of investor presentation of the company which we have uploaded on stock exchanges and company's website. With this, I hand over the call to Satish sir. Over to you, sir. Thank you.

Satish Wagh: Good morning and warm welcome to all the participants. Thank you for joining us today to discuss the Quarter 1 Financial Year '24 Results of Supriya Lifescience Limited.

To take us through the results and answers to your questions along me, I have Dr. Saloni Wagh - Director and Mr. Krishna Raghunathan - Chief Financial Officer and our Investor Relations Department, Orient Capital. I hope everyone got the opportunity to go through the "Financial Results and Investor Presentation" which have been uploaded on the stock exchanges as well as the company website.

First, let me share some light on our latest announcement regarding the exclusive technology licensing agreement from Plasma Nutrition granting Supriya Lifescience Limited has the sole rights of manufacturing and marketing ingredient optimized protein that is ioProtein in India. India's rapidly growing demand for protein supplements made this a very attractive proposition for us. Its high bioavailability makes it perfect candidate to be used as a protein powder as well as other protein supplements. This is because injection of ioProtein ensures higher amounts of proteins are absorbed quickly by the body, providing consumers with a more effective and efficient protein supplement. We are very optimistic regarding this strategic partnership and believe that the product has a huge opportunity to emerge as a better, healthier, alternative amongst the protein nutrition product in our country.

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Quarter 1 started with great momentum across segments like antihistamine, analgesic, vitamins, anesthetics and antiasthmatic. We continue to retain our position as the largest exporter by the volume of some product segment and fulfilling the growing and the demanding needs of the prominent global pharmaceutical companies. Our business mix revenue contributed by various regions stays in line with previous quarters except North America, which increased from 5% to 9%, hence we see good traction in untapped regulated markets for our key products. Under anesthetic therapy, 3 ANDA projects have been initiated and we are also working on ANDA projects like antihypertensive and vitamins, we will keep you all updated as and when progress happens.

Now coming to our Quarter 1 FY24 performance:

Our continuous efforts to reduce our reliance on China due to the pandemic, along with the enhance

d focus of regulated markets such as US, Europe and Latin America have led to a substantial Y-o-Y increase year-on-year increasing our revenues reaching Rs. 132 crores. As

you are aware, we have been consistently maintaining a targeted EBITDA margin range of 28% to 30%. We are pleased to announce remarkable growth of 42% in EBITDA announcing Rs. 44.5 crores resulting into EBITDA margin of 33.7%. Furthermore, our profit after tax, PAT has demonstrated as impressive wise year-on-year growth of around 13% reaching to Rs. 28.5 crores accompanied by PAT margin of 21.6%. We believe the company is in a good position and with a great start of Financial Year '24, we are confident to sustain the same level of performance which we have guided.

As we mentioned previously in the future, our company lies in R&D, we initiated the process of setting up enhanced R&D and pilot plant at Ambernath Lab, which is currently under construction and will be operational by Q4 Financial Year '24. This would be used for next phase of expansion for rolling our new APIs and CMO and CDMO business. The company focused on deepening its knowledge based across complex chemistries, technologies and patented processes.

With this, I hand over the call to our CFO – Mr. Krishna Raghunathan to share the Q1 Financial Year '24 financial highlights with you all. Over to you, Krishna.

Krishna Raghunathan: Thank you, sir. Hello, everyone and good morning.

I will now share the "Operational Performance" of the quarter following which we will open the floor for questions and answers.

The Company's reported revenue from operations of Rs. 132 crores in Q1 FY24 as against Rs. 101.4 crores in Q1 FY23. EBITDA in Q1 FY24 stood at Rs. 44.5 crores as against Rs. 31.3 crores in Q1 FY23. EBITDA margins stood at 33.7% for Q1 FY24 as against 30.8% in the same period last year, thus registering a growth of around 287 bps. Profit before tax was at Rs. 42.6 crores from Q1 FY24 as against Rs. 30.1 crores in Q1 FY23. PAT stood at Rs. 28.5 crores in Q1 FY24 as against Rs. 25.3 crores in Q1 FY23. PAT margins stood at around 21.6%.

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With this, we can now open the floor for question and answers, and thanks to all of you for attending our conference call.

Moderator: Thank you very much, sir. We will now begin the question and answer session. The first question is from the line of Ishita Jain from Ashika Stock Broking. Please go ahead.

Ishita Jain: So do we have any quantity gone to China in this quarter's topline?

Saloni Wagh: Yes, we do have some volume which has gone to China in terms of the volume the business is recovering. Also, we are seeing a lot of volume traction again happening from the Chinese market. However, because of the current situation in China, there is a little bit of price pressure, which is still there.

Satish Wagh: As far as Supriya is concerned, Supriya concentrates on volume there because we have committed certain volume of 45 metric tons above there we go, it will be put under antidumping duty. That is what, say from the Chinese end. So we concentrate only 45 metric tons and very happy to say we already have sold out for the current financial year.

Ishita Jain: So we did 45 tons in the first quarter?

Saloni Wagh: No, what he means is that we already have a contract in place to cover the volume out of which some quantity we have partially shipped and the balance would come in the subsequent quarters.

Ishita Jain: And is it the same historical EBITDA margin that you have maintained previously before lockdown?

Krishna Raghunathan: No, the margins will not be same like what you had in the historical past, the margins would be constricted ma'am.

Ishita Jain: My second question is a bit broader question, for our API's in the pipeline, can you give some qualitative color? Do we have innovative APIs or any highly complex ones or any APIs with high entry

barriers, thus low competition, some color on this would be great?

Saloni Wagh: So yes, we are working on three different baskets of APIs in R&D. One is the API's with certain innovators. So these are the kind of tie-ups that we are currently looking at. The other APIs are again in the generic space where we currently operate, but these are very large volumes and our chemistry wise, there is a lot of complexity which we think is our core capability. So some APIs from categories like anti-anxiety, anti-diabetic, these are some of the therapies that we are evaluating and they would really fit in well with our existing therapeutic basket and then, of course, there are certain opportunities in the CDMO space where a lot of the larger companies, they are now working on reducing the supplier, they have this kind of a strategy. So once we are approved with some of the larger multinational, they want to add more products in our basket. So some type of long tie-ups wherein the API volume is guaranteed and the term of the agreement is guaranteed, these are also some of the products that we are currently considering.

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Moderator: Thank you. We will take the next question from the line of Varun Mohanraj from Skarniva Capital. Please go ahead.

Varun Mohanraj: So we have been talking about the new products coming online and as well as CMO contributing to our revenue significantly from FY25 and 26 onwards, so in the medium term, when all these products and CMO come online, our current exposure to top three products is like 35%, so like when all these new products and CMO come online like to how much can we reduce our exposure to our top three molecules?

Saloni Wagh: So if you are looking at a long term, by FY26 when most of the CDMO opportunities, new product sales come in, also some of the existing basket products where we currently have no traction in regulated markets when they also scale up, the dependence on the current product, which is around 35% would go down to somewhere around 20%.

Varun Mohanraj: And my second question is, we have also talked about debottling one of our old blocks and taking our overall capacity post Ambernath to around 1100 KL and also about Isambe plant for future growth, so any update on that, have you started working on those plants?

Saloni Wagh: Yes, so capacity enhancement we are doing in two parts, one is the existing capacity which we have at Lotte site which is our US FDA approved site. The current capacity is around 550 KL.

There we are adding another production block which would add another 400 KL to our capacity.

So all in all, the Lotte site capacity would be around 1000 KL towards end of this financial year.

Ambernath would be an additional capacity, which is around 70 to 100 KL depending again on

the kind of product mix which we put there, but it is also multiproduct facility. So these are the

two areas where we are doing the capacity enhancement and then the Isambe plot, we have

already taken the plot, however, construction has not started there. That is something that we

will keep for the next leg of growth. Whatever we have said till FY26, the top line we will

achieve would be through the Ambernath plant and the existing Lotte plant.

Varun Mohanraj: And just a follow up on that, can you give me the current utilization levels across all our plants?

Saloni Wagh: So the current utilization at Lotte site is around 70%. This I would say we optimize utilization

because it is a multiproduct facility, so there is a lot of product change over that happens, but

once the new block gets added towards end of this year, definitely we will have more capacity.

Varun Mohanraj: The overall utilization at the company level?

Saloni Wagh: At the company level is around 70%.

Varun Mohanraj: And this is the optimized level or if you can go above this?

Saloni Wagh: So considering it is a multiproduct

facility, I would say 70% to 75% would be the most optimized

capacity utilization because of the current product mix what we have.

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Moderator: Thank you. We will take the next question from the line of Ridhima Goyal from Acquaint Bee Ventures. Please go ahead.

Ridhima Goyal: Congratulations to your team for such a good set of numbers. I have two questions, one is I just wanted to know our CAPEX plan for FY24 and what will be the estimated gross block going forward at the end of FY24?

Krishna Raghunathan: When it comes to the CAPEX plans, specifically we are looking at two areas, one would be the module E which Dr. Saloni had just pointed out. So there we would be spending our major part of it and of course some bit of it will also go to the pilot plant in the Ambernath site. So these are the two areas where we would be spending the major CAPEX, I think the CAPEX range would be somewhere between Rs. 70 to Rs. 90 crores, depends, some of which might be in the current year, some of which might also spill over into the next year. This would be the plans for CAPEX in the current financial year and gross block would be somewhere around, I would say around 250 to 300, I think this will add up to our overall existing gross block.

Ridhima Goyal: So currently we have like in FY23, we had Rs. 260 crores of gross fixed assets, right?

Krishna Raghunathan: Correct and another Rs. 70 crores from the current year and then the next couple of years we might have another Rs. 120 crores. That would be the overall total, which we will be adding up.

Ridhima Goyal: And what would be the asset turn we are targeting for this?

Krishna Raghunathan: Asset turns would be around 2 to 2.5x, we are targeting at the current moment.

Ridhima Goyal: And sir, how much time does it take to reach optimum utilization level for a new capacity?

Saloni Wagh: So I would say about 2 to 2.5 years it needs for optimum utilization because the first year whenever you introduce any product, it would be mainly in the semi-regulated and domestic market and then once the regulatory approvals come through, then we can start focusing the product into the more regulated market space, so let us say 2 to 2.5 years for optimum utilization.

Ridhima Goyal: And this new plant will be dedicated for the newer products which we are going to introduce or it would be used for the existing products as well?

Saloni Wagh: So it would again be a multiproduct block, so it could be a mix of both to cater to the new products what we are introducing into the basket as well as some of the volume scale up which

we envisage in our current basket as well.

Ridhima Goyal: And just final question on the China part, so what is the ongoing situation over there, like do you see the demand is recovering or when do you see this pricing pressure going to end and it will turn into a good revenue contribution?

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Satish Wagh: Let me tell you about China. As I told you, China, we started supplying. I have recently made in the last 45 days 2 visits to China and the current situation in China is not that good, in fact the Chinese are asking even intermediate and APIs from India. Wonder to me is that they are also asking formulations to be registered in China. This was the scenario and the discussion which I had never in the last 15 years. So you can understand there is a big opportunity, but time will take. As far as our API sales is concerned in China, we have already closed with them with the regular financial year, the quantities and for that we have also received the one, almost some amount of money as a deposit security for the two years contract from those companies.

Ridhima Goyal: Two years contract you have taken with the Chinese people?

Satish Wagh: We don't want to make a longer contract because when you make a longer contract, y

ou may

land up into trouble also. So we have done for '23 and '24 and that already signed and the materials have started moving, things are on positive track.

Krishna Raghunathan: These are calendar years, whatever sir is saying are all calendar years.

Ridhima Goyal: And so as per the situation which you are looking at currently, what is the revenue growth which you can easily achieve in FY24 or 25 like looking at the orders which the customers are giving and as per the demand?

Saloni Wagh: So we have always indicated that 20% to 25% year-on-year growth in revenue considering our baseline was slightly lower last year, 25% is something that we are very confident of achieving and that is the minimum I feel that we can achieve. Definitely, there is an aspiration to achieve a higher number as well.

Moderator: Thank you. The next question is from the line of Tushar Bohra from MK Ventures. Please go ahead.

Tushar Bohra: Congratulations to the management for very good set of numbers. So just a quick clarification, as you had mentioned in the previous calls as well, the utilization when we say 70% is typically volume based and depending on the product mix, some of your products being very high margin, the absolute revenue figures can be dramatically different across quarters, right, so we have achieved Rs. 180 crores or so in one of the quarters in the past, so it is fair to say that the utilization level will not be a constrained for revenue given the product mix changing to more favorable product or the higher margin product?

Saloni Wagh: Yes, absolutely. Depending on the product mix and the geography mix also, in fact, we can achieve much higher numbers from the same capacity. Also, capacity has never been or in fact going forward will also never be bottlenecked for us or our growth.

Tushar Bohra: And the capacity that is being added also since you have incrementally a lot more traction coming in from regulated markets, maybe beginning this year or next plus as well as the management has guided that the CMO projects or CDMO projects will essentially be similar or

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higher margin than the base, so is it fair to assume that the asset turn that we are guiding at 2 to 2.25 is slightly on the conservative side and aspiration should be for higher because historically you maintain more than 3x asset turn quite comfortably across few years?

Krishna Raghunathan: Correct, Tushar. The only thing why we want to be a bit on the lower side is like what Dr. Saloni has already said it will take 2 to 2.5 years to fully, what you call optimally use the site at say 70% to 75%, See, when you are looking at 70% to 75% utilization levels, that is where your 2.5x to 3x whatever you are saying is going to come, so that is the only what do you call thought difference which you and me are having, that is all, nothing beyond.

Tushar Bohra: So let us say whatever is your existing capacity, whenever it gets optimally utilized and with a reasonably good balance of regulated markets to semi-regulated, 3x is closer to what we should assume right rather than 2x?

Krishna Raghunathan: Yes, pretty much, you are right.

Tushar Bohra: Sir, if you could share more details on the two CMO opportunities or CDMO opportunities that have been announced in the last quarter, one on the ioProtein and one of your projects with the European company as well as if you could share more details on, there were few projects mentioned that you are also working on potentially, if you could just share more details quantitative qualitative around the entire CMO, CDMO pipeline?

Saloni Wagh: Yes, so for CDMO opportunities, currently we have already signed and announced two, the first

one, it is a very large opportunity for us. This is for API sale. It is an extensive tie-up with one of the leading companies in Europe and we will be supplying a certain volume of API which is f

ixed and the contract actually spans over 10 years and we will be selling these API's exclusively for them and all of their regulated markets. So this particular contract has very large potential and we will be seeing a good volume uptake from the next financial year itself and 26 is when we will see the maximum volume coming in and the contribution to the revenue would be much higher. The second CDMO opportunity which we have just recently announced is with the US company, Plasma Nutrition. Here we are trying to bring in a very new and groundbreaking technology in the protein space. It is a patented technology which Plasma Nutrition has and Supriya we have an exclusivity for the Indian market. Basically, we are utilizing our US FDA approved plant and our manufacturing capability. So we would be the manufacturing and the marketing partner and as you know that whey protein in the last couple of years, the demand has just gone up significantly and the protein space in general, the demand is growing year-on-year. With this new technology coming in and if we get the right kind of traction for the product, this could potentially be a very large opportunity for Supriya and it would potentially change the protein landscape drastically in India as well. So this is something which we are really excited to work with them and hopefully from next year the volumes would start picking up. Other than these two large opportunities which we have already announced, there are a couple of other opportunities also under discussion, but they are at a little premature stage, but the focus of the company is to add such opportunities, which in another 2-3 years would start giving significant Supriya Lifescience Limited
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contribution to the revenue. So we have a derisk portfolio of API plus some of these other CDMO opportunities. That is one of the reasons why also we chose the product in the protein space because it would just diversify our current portfolio and product basket.

Tushar Bohra: Ma'am, when you say couple more opportunities, is it fair to say that these are maybe more advanced stages of discussion relative to the others because in the previous calls we mentioned we are working on 15-16 potential projects or discussions or something around that number, so is it fair to say that when you say two more opportunities, these are maybe more advanced related to the others, what would be the overall number of discussions we would be having across intermediates and maybe other products also, APIs?

Saloni Wagh: So currently there are about 8 to 10 active discussions which are at a slightly, I would say, at a more concrete stage where we are discussing on how we can take up and we are mapping internally in terms of capacity and all, but out of these, I would say there are two or three opportunities which are at a much advanced stage as you rightly said. We are very hopeful that in the coming few quarters we would be able to make another announcement very soon.

Tushar Bohra: If I may just ask one last quickly, just a clarification this China, when you say that we have resumed some supplies, is it fair to say that we are still quite low relative to the peak and the contracted commitment that you said 45 metric tons, that is say maybe beginning calendar year 23 and would that be at least at a similar higher margin than the corporate given that in the past this product was possibly one of our very high margin opportunities, the reduced margin, is it still in line with corporate or higher or lower?

Saloni Wagh: So definitely like our Chairman said that in terms of volume, we have seen a good recovery happening in the China market. As far as volume is concerned because of the contract that we have in place now we are assured that at least volume would move, but like you said, the current situation in China is not very favorable in terms of pricing and there is a lot of pricing

pressures.

So definitely as compared to the previous margins, what we were enjoying in those markets, they have reduced. However, they are still in line with or slightly higher in fact than the current EBITDA margins what we are making.

Moderator: Thank you. We will take the next question from the line of Bhaumik Salan from Arihant Capital Markets Limited. Please go ahead.

Bhaumik Salan: So my question is on the ioProtein from Plasma Nutrition, so what kind of contributions are you expecting from that contract in the topline and from when can you just please highlight that?

Saloni Wagh: So currently, we are still bound by confidentiality, so we will not be able to share any numbers in terms of what would be the addition in our revenue just yet, but in the coming few quarters, we will definitely be in a better position to share what would the forecast be.

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Bhaumik Salan: And on the China front, you mentioned that there was a restriction of only 45 MT of supply to

China, so the API deal that you have signed right now is for the whole year, is it 45 MT and you have supplied only some part or is there some different volume for that?

Satish Wagh: See, I told you every product when you think about supplying to China, you are already seeing the situation that there is a war between two countries for antidumping duties. From the day one, we have said previously last 2 years also that we have a certain share which we should take. If we try to exceed they will do that putting an antidumping duty, so we should not concentrate more and more on China as far as the prices and the quantum is concerned. We already have shifted this current financial year, almost we will cover 70% to 75% balance 30%, it goes as for the financial year will go in the next year. So we are assumed. One thing I would like to tell you that China is currently facing a lot of issues for their major exports to Europe and US. Their major exports are formulations, large facilities where our Chlorphenamine maleate consumes and they participate in big tenders in various areas of the world. Unfortunately, current situation, they are not able to access Europe, access US and other markets, so they are taking with the minimum quantities which we have discussed and they continue with the business supporting and that is already signed by them and they are taking the material. So we cannot force them much more because we also have certain quantities to be given and certain quantities we are trying to explore the market in other areas, since China is not taking the complete large quantity, but we are getting benefits in other markets, Latin America, South America, in Europe, many people have started asking the material with a better price also.

Moderator: Thank you. We will take the next question from the line of Siddharth Purohit from InvesQ Investment Advisors Private Limited. Please go ahead.

Siddharth Purohit: Some of my questions have been answered. Some more data points I want sir, since we will also be capitalizing some assets during the year, so how would the depreciation number look like and also, since you have a sizable export review, so still we are ending up paying like tax on a higher side, so any calculation on that?

Krishna Raghunathan: See, the tax percentages if you see it is hardly 25% along with the deferred tax, the numbers might be what do you call, it depends on various other factors because of the deferred tax. With respect to your question on capitalization, if you are talking about another Rs. 80-Rs. 90 crores worth of capitalization, somewhere around Rs. 7 crores to Rs. 8 crores will add up as depreciation. I think that is how it generally is. If you take around on an average around 8% to 9% the value of the asset would be coming and hitting us depreciation every year. That is how generally the depreciation numbers move, so if you are having

Rs. 100 crores of CAPEX, say

somewhere around Rs. 8 crores to Rs. 9 crores will come and hit us depreciation every year.

That is how it is.

Siddharth Purohit: And just to ask again that the 20%-25% growth that we are seeing is on the volume side, right?

Saloni Wagh: We are talking about the revenue, the value.

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Moderator: Thank you. The next question is from the line of Viraj Mahadevia, an Individual Investor. Please go ahead.

Viraj Mahadevia: I am new to the company but fascinating developments, just to probe a little further on the China question, sir, you mentioned for the specific product we are supplying up to 45 for the reasons you have mentioned, but given the conversations you are having with the customers there, are you looking to increase your product basket exposure to the Chinese market? Are you talking to the eventual formulators or are you going to a distributor that is going to distribute your products to the various formulators?

Saloni Wagh: Yes, definitely. We have a lot of other products in the basket which we are currently registering in China. The volumes are not as big as some of what we have for the antihistamine therapy, but there are around 6 molecules which we are registering and they are already in the pipeline. Other than the antihistamine range, there are some other molecules where we already have the registration approvals also from NMPA, so definitely there are other products which we are promoting. In China, the business model is always through distributors because there are a lot of language barriers, which is there, so directly working with the end user is very difficult. So it is always a distributor driven model.

Viraj Mahadevia: And they help you with the registrations and that paperwork etc., because that is also challenging?

Saloni Wagh: We have very good experience handling China registrations because we were one of the first Indian companies to register our product in China. So our regulatory department is the one who handles the complete registration part. That is something as a strategy we don't give to our partner or our distributor. So the registrations are completely taken care of by Supriya. It is only the commercials where we are using our distributors.

Satish Wagh: So one more thing I will say, Supriya is the only first company which was audited by NMPA China in India.

Viraj Mahadevia: And for your other products that you are looking to register or are registering, can the sum total opportunity size be equal to your current product of 45 tons? I am just trying to understand, can you double your business in China in 12 to 24 months?

Saloni Wagh: No, it is not possible to double the business in China because the registration process in China itself is around 3 to 3.5 years. So it would not be possible to double it, but yes, maybe if we have a more 5 or 6 year view, it is then possible that we will be able to double through the other multiple products, but as a company for us, if you look at our revenue split for this year also out of the Rs. 134 crores topline that we have done for first quarter, our major focused region actually is Europe. Around 35% of the revenue is coming in from Europe. If you look at our North American share also, it has gone up, it is around 10% and then 10% is also coming from the Latin American markets. So if you put that together, that is a more significant chunk that is contributing to the revenue. So our focused market going forward as a derisking strategy are
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Europe, North America and Latin America. So that is something that I would like to highlight, the product portfolio is also more driven by these markets going forward.

Viraj Mahadevia: And now many of these European and US customers, first time customers where they are running a pilot or have they moved to commerci

al, are they sourcing one product? Are they looking at your whole basket? Can you give us a flavor for where you are in that life cycle with these customers?

Saloni Wagh: So for the existing product basket, because we have already commercialized these products since the long time and we are just getting the CEP's and the Latin American and Anvisa registrations, the US FDA registration, I think it would more be, we are currently at a more advanced stage like we have already supplied the validation quantity, some trial quantity, so that business growth will come in faster. So this is for the existing product where we did have a presence in regulated market. For the new products, we are at a very initial stage, the products have just come out of R&D. So it will still take time for us to, just that maybe sampling level and all, not yet at the validation and commercial level, but the existing product basket itself other than the top 3 products, there are many products coming from decongestant category, antihypertensive, vitamins where we can see a good growth happening in these markets.

Moderator: Thank you. We will take the next question from the line of Ridhima Goyal from Acquaint Bee Ventures. Please go ahead.

Ridhima Goyal: Just wanted to understand that there is an increase in our net working capital, naturally because of the increase in our inventory level, so I just wanted to know the reason for it?

Krishna Raghunathan: Our inventory was somewhere around, last March was somewhere around Rs. 92 crores and this March we were at around Rs. 115 crores even for the quarter ended June, we were still at Rs. 115 crores. I don't see that this is causing any sort of a major issue. We had stocked up because of China was totally uncertain on certain of the raw materials, so major of these were raw materials and with Rs. 115 crores if at all, if there is going to be a turnover of somewhere around say Rs. 500 to Rs. 600 crores, I think it is a decent amount of inventory to hold I believe.

Moderator: Thank you. We will take the next question from the line of Naresh from Sameeksha Capital. Please go ahead.

Naresh: Firstly, congratulations to the management team and very happy to see the business coming back strongly. My first question is, I wanted to understand the gross margin trajectory is slightly better, so earlier when we were getting high margins in the CPM sales to China, we used to do 65% plus on gross margins, then subsequently, we had issues and then we saw the margins going below 55% and now again since last few quarters, we have seen the gross margins have come back to the 65% level, so can you help me understand, I understand that the regulated share has gone up year over year, but which are these products which are contributing and which have helped us to regain our gross margins?

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Saloni Wagh: So we cannot discuss, unfortunately anything specifically in terms of product that is something I think is confidential and we will not be able to discuss product wise details. However, like you rightly pointed out, the share in the regulated markets has gone up and as you know, in the regulated market, you have a better average selling price as compared to the semi-regulated and domestic market and that is one of the reasons why the gross margins have gone back up.

Naresh: And in Latin America, would you be enjoying similar gross margins, compared to Europe or US or it would be lower than that and if you can quantify that?

Saloni Wagh: So again, that is something confidential which we will not be able to quantify. However, in general in regulated markets, you get a better average selling price as compared to the semi-

regulated markets.

Naresh: And what was your contribution of anesthetic and antihistamine range of products in this quarter?

Krishna Raghunathan: Somewhere around 45%.

Naresh: Just one last question, so

based on the visibility you have for the orders, is this gross margin range in excess of 63%-64% sustainable in the upcoming quarters as well if you can give us some color on that?

Krishna Raghunathan: We never guide on our gross margin share. Our gross margins would be a mix of a product and a region mix. So we have never given any sort of a guidance and at least to be very fair, I think between 60 to 65 is a possible number, but please don't hold us to it and this is not a guidance.

Moderator: Thank you. The next question is from the line of Nitesh Dutt from Burman Capital. Please go ahead.

Nitesh Dutt: I just have a clarification on one of your earlier remarks on China, so you mentioned that China is facing one of its worst situation in terms of API and intermediate supply in last 15 years or so, so just want to understand number one, is this for few specific products or across the industry? Number two, what is driving this? Is it going to continue or is it there only for a short time? And number 3 is Supriya able to benefit because of Chinese issues while supplying to US or Europe, do we have those specific products which China is not able to supply anymore?

Satish Wagh: Overall situation in China, they feel that India is becoming more competitive against China because the things like wage cost and other things are already going up. They are not able to penetrate from China to European markets currently, in US, they find a lot of problems. So considering all these things and there was a message and some discussion I had from my friends also, China is coming with some insurance policy for a common man and they feel that the Chinese manufacturers will not give the justice to them. That is why many people were coming in meeting the many manufacturers in recent our visit to CPHI in the exhibition that they were looking for the formulation, intermediates, API registrations in China. In fact, they were ready

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to spend the money also for that. This situation, very frankly, in my 36 years of life, I have never seen. This was the first year which was giving some sort of a hope that the Indian companies should get in China. Only the registration is a long period, so that is why they have to wait.

Nitesh Dutt: Just wanted to understand, will Supriya be able to benefit, China is facing supply crunch in exports also right? You mentioned that they are not able to crack Europe and US markets anymore, so those specific products, will we be able to cater to the gap created by Chinese suppliers if there is an overlap in those product segments?

Saloni Wagh: Yes, there are. I mean, it is not just this year, since COVID actually a lot of the larger companies based out of US and Europe, they have been looking at India as an alternate source and I think the trend still continues. So a lot of the products which they were earlier on buying from China, they have slowly started moving the base to India and in fact some of the opportunities what we are currently discussing with our existing multinational customers are also on the similar lines.

Moderator: Thank you. We will take the next question from the line of Jagvir Singh from Shade Capital. Please go ahead.

Jagvir Singh: And my question is related to the margin, so we have a lot of improvement in the margin in Q1 versus Q1 and I think first half business is lower than the second-half, so what is the guidance for the full year EBITDA margins?

Saloni Wagh: So like we have always maintained that 28% to 30% is the margin that we are very confident that we will be able to achieve and sustain in the long term, but definitely depending on the product mix and the regulated market traction, what we have seen in the first quarter. If the same trend continues, there is a possibility of achieving a higher number as well, but the 30% is something that we are very confident we will be able to m

aintain long term.

Jagvir Singh: And second question is, how much revenue we got in the second half in percentage wise generally because there is some seasonality I think in the number?

Krishna Raghunathan: Our H2 numbers would be slightly better than our H1 numbers. That is how we always plan. Generally, what will happen is in around Q3, there will be a slight dip because all your regulated market customers will go for their holidays. So technically Q4 would be a better quarter than Q3 and of course between Q1 and Q2, Q2 would be somewhat better. That is how we generally look at it if you have to look at seasonality per say.

Moderator: Thank you. We will take the next question from the line of Ankur Kumar from Alpha Capital. Please go ahead.

Ankur Kumar: Congrats for a good set of numbers. Coming to the last question on seasonality, so Q1 and Q3 are like similar, that is what my understanding, is that right?

Krishna Raghunathan: Yes, you are pretty much right, yes.
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Ankur Kumar: So in terms of guidance, I think that is looking quite conservative now as in even on margins, you are saying 28% to 30%, but Q1 is which is a lean quarter has done 34% and in terms of growth also, can you please comment on that?

Saloni Wagh: So like I said, multiple times 28% to 30%, yes, it is a conservative margin, but that is on an annualized basis. What happens is that a lot of the margin profile is driven by the product mix and in which region the product is going in. In certain quarters, it is possible that the margin levels are very high, but 28% to 30% is on an annualized basis the guidance what we are very confident. Still, we are very aspirational that we will be able to achieve a slightly better number than this, but to be more conservative, yes 28% to 30%.

Ankur Kumar: And last question is on the tax rate, so that is like 33% this quarter, any change in policy or should here be 26%-27%?

Krishna Raghunathan: I think every one of you are making the mistake here, on the current tax only the 25.6% would be applicable. Along with the deferred tax, the deferred tax will always move up or down based on the capitalization and various other timing differences on the various assets, so please don't include the deferred tax. If you want the compute, you can always look at the current tax line.

See, there is always a difference. When you see a tax line in any financial it is a combination of current tax plus deferred tax. So the 34%, there is no policy change or anything. It is only based on various timing differences of the various assets which caused the differences. That is all.

Moderator: Thank you. Ladies and gentlemen, in the interest of time, that was the last question. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Saloni Wagh: We would like to thank everyone for joining the earnings call for Quarter 1 FY24. Thank you very much from the entire management team of Supriya Lifescience Limited.

Moderator: Thank you very much, ma'am. Thank you, members of the management. Ladies and gentlemen, on behalf of Supriya Lifescience Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2023

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GOVT. RECOGNISED EXPORT HOUSE

Date: November 13, 2023

To, To,
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, C-1, Block G
Dalal Street, Bandra Kurla Complex
Mumbai – 400 001 Bandra (E), Mumbai – 400 051
Scrip Code: 543434 Scrip Symbol: SUPRIYA

Dear Sir (s),

Subject: Transcript of the Earnings Call for the quarter and half year ended September 30, 2023

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we hereby enclose the transcript of the Earnings call held on Wednesday, November 8, 2023 at 11.00 A.M. IST to discuss operational and financial performance of the Company for the quarter and half year ended September 30, 2023 (Q2 & H1 of FY 2023-24).

This is for your information and records.

Thanking you,

Yours faithfully,
For Supriya Lifescience Limited

Shweta Singh
Company Secretary & Compliance Officer
Membership No.: A44973

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“Supriya Lifescience Limited Q2 & H1 FY24 Earnings
Conference Call”

November 08, 2023

MANAGEMENT : DR. SATISH WAGH – CHAIRMAN AND MANAGING
DIRECTOR , SUPRIYA LIFESCIENCE LIMITED
DR. SALONI WAGH – WHOLE TIME DIRECTOR ,
SUPRIYA LIFESCIENCE LIMITED
MR. KRISHNA RAGHUNATHAN – CHIEF FINANCIAL
OFFICER , SUPRIYA LIFESCIENCE LIMITED

MODERATORS : MR. IRFAN RAEEN – ORIENT CAPITAL

Supriya Lifescience Limited
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Moderator : Ladies and Gentlemen , Good day and welcome to the Supriya Lifescience Limited Q2 & H1 FY24 Earnings Conference Call.

As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call , please signal an operator by pressing '*' then '0' on your touchtone phone . Please note that the conference is being recorded.

I now hand the conference over to Mr. Irfan Raeen from Orient Capital. Thank you and over to you.

Irfan Raeen : Thank you Yashashree and good morning, everyone. On behalf of Supriya Lifescience Limited , I extend a very warm welcome to all participants on Q2 & H1 FY24 Financial Discussion Call. Today, on the call we have Dr. Satish Wagh – Chairman and Managing Director, Dr. Saloni Wagh – Whole Time Director and Mr. Krishna Raghunathan – Chief Financial Officer. I hope everyone had an opportunity to go through our Investor Deck and Press Release that we have uploaded on exchanges and on companies' website.

Before beginning with the call, I would like to give a short disclaimer. This call may contain some of the forward -looking statements which are completely based upon our beliefs, opinions and expectations as of today. These statements are not guarantees of future performance and involve unforeseen risk and uncertainties.

With this, I would like to hand over the call to Satish Sir for his opening remarks. Over to you, sir. Thank you.

Satish Wagh: Good morning and warm welcome to all the participants. Thank you for joining us today to discuss the Q2 Financial Year 24 Results of Supriya Lifescience Limited .

Let me take this opportunity to wish everyone in advance a very happy and safe Diwali . To take us through the results and answer your questions along with me I have Dr. Saloni Wagh – Whole Time Director and Mr. Krishna Raghunathan – Chief Financial Officer and our Investment Relations Department Oriental Capital .

I hope everyone got the opportunity to go through the financial results and investor presentation which have been uploaded on the stock exchanges as well as the company website. At Supriya , we believe that accessible, affordable, and effective health care is a fundamental human right and to this effect, especially in a country like ours, I am pleased to announce the company has signed two agreements with Kalinga Institute of Technology for development of one of its kind Oral Cancer Detection Kit named QuickBlue and Wound Healing Gel named GelHeal .

The development of an Oral Cancer Detection Kit is in line with Supriya Lifescience vision of manufacturing, niche products and becoming an innovation led global CDMO player. This
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product is not only a cheaper option, but it is also found to be very sensitive detector. The global cancer market is estimated at U.S \$21.5 billion, and the company is expecting to create a 1 % to 2% market share.

The company has also filed for the patent of the QuickBlue oral chip. We also assigned another agreement with Kalinga University Institute of Technology for further development of GelHeal Wound Healing Gel is one of the kind of onsite protein matrix technology and is essentially a protein based cross link hydrogen.

As the company continues to introduce such versatile product that cater to unmet medical demand , led by the strong thrust in its R&D capabilities . We believe more and more of such products, which established Supriya Lifescience Limited as an integrated healthcare provider. The company committed to build a pipeline of new products which extend beyond its long -standing competence in the area of antihistamine and toward Anti-Allergies, diabetic and

and other
areas.

The company intent to patent technology and undertake further new projects for CDMO business, which would translate into long term revenue possibilities.

With this, I hand over the call to our CFO – Krishna Raghunathan to share Q2 Financial Year '24 Financial highlights with you all. Over to you, Krishna.

Krishna Raghunathan: Thank you, sir. Hello, everyone and good morning. I will now share the operational performance of the quarter and following which we will open the floor for question and answers.

Company reported revenue from operations of INR 140 crores in Q2 FY24 as against 112 crores in Q2 FY23. EBITDA in Q2 FY 24 stood at 32 crores as against INR 29 crores in Q2 FY23 and EBITDA margins stood at 22.7% for Q2 FY 24 as against 25.5 in Q2 FY 23 and profit before tax was at INR 30 crores for Q2 FY 24 as against INR 27 crores in Q2 FY23.

PAT stood at INR 24 crores in Q2 FY24 as against INR 17 crores in Q2 FY23. PAT margins stood at 17%. Moving to H1 Financial Year 24 performance revenue from operations stood at INR 272 crores as against 214 crores in H1 FY23. EBITDA in H1 FY24 stood at 76 crores as against 60 crores in H1 FY23 and EBITDA margins stood at 28% in both the quarters and in both the half year, respectively.

Profit before tax was at INR 72 crores for H1 FY 24 as against 58 crores in H1 FY23 registering a growth of 26%. PAT stood at INR 52 crores in H1 FY24 as against INR 42 crores in H1 FY23, PAT margins stood at 19%. We have certain one of expenditures during the quarter we had a GST which covered till FY20 21 and around 26 lakh have been paid during the course of this audit.

We also had to pay around 2.5 crores interest in the pre import case which we are contesting in Mumbai High Court. Repairs and maintenance were higher due to the impending FDA audit in Supriya Lifescience Limited
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December and also I would like to highlight the company has successfully reduced its inventory days to 158 days and we have become virtually debt free and with miniscule interest payments the company solvency ratio further improve and increase the profitability of the company a long with the excess cash of around 116 crores, ensuring that the organization will be able to meet all its future obligations.

Now we can open the floor for questions and answers.

Thanks to all of you and wishing you a happy and safe Deepavali.

Moderator: Thank you very much. We will now begin the question -and-answer session. We have our first question from the line of Shubham from Purnarta Investment Advisers. Please go ahead.

Shubham: During the quarter change inventory has increased to 10 crores, can you throw some light on that?

Krishna Raghunathan: See basically what had happened is we had a lot of inventory. I think for the last couple of quarters we have been saying that we have to reduce our inventory. So, technically most of our WIP and FG we had converted which were in what do you call inventory, and everything got converted and got sold, some of which will get sold in the Q3 also.

So, because of this there is a huge reduction that could also be seen in our cash flow. This is of course cash flow positive and it's a very good sign for the company.

Shubham: So, it's finished growth inventory you are saying?

Krishna Raghunathan: No, it's WIP inventory, WIP and some bit of finished inventory got moved out.

Shubham: And what tax rate we can assume for the whole year as sale is fluctuating at quarter-on-quarter basis?

Krishna Raghunathan: We don't give any quarter wise guidance on sales. See, we will maintain an overall around 20% to 25% overall growth on the revenues over the last year number I think that is anyhow, that will bound to happen otherwise we don't provide any sort of a guidance on what you call quarter wise numbers.

Shubham: I am asking about tax rate, what

what we can assume tax rate for the whole year?

Krishna Raghunathan: Tax rate could be somewhere around 26%. See this would be on the current tax only at this point in time. See, the deferred tax, there will always be some impact which can always change. So, on the overall around 26% to 26.5% you can take for the tax rates.

Moderator: Thank you. We have our next question from the line of Ridhima Goyal from Acquaint Bee Ventures. Please go ahead.

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Ridhima Goyal: My question is despite the increase in the absolute number of our EBITDA and PAT number, what is the reason behind decline in our margins because as we are seeing in other companies as well that there is an increase in margins and second question is I wanted to know your volume and price mix growth?

Saloni Wagh : One of the main reasons why the margin have sort of declined is because of the geographic and the product mix. We have also said this in the past because we are an export -oriented company and we cater to more than 86 countries across the globe including semi regulated and regulated market.

As a part of our strategy, we have focused in the last couple of quarters to derisk our portfolio and some of the other products other than our major products we have been trying to scale up in semi-regulated markets and then of course into the regulated markets.

So, we have seen increased traction in some of our other products in semi-regulated markets.

So, that is one of the reasons why you see that there is a slight dip in margin. In spite of increased sales and the absolute number increasing, but it is a good thing and a positive thing for the company because we are trying to derisk the portfolio and dependence on some of the key products and it is just I feel like because of the geographic and product mix for the overall 6 months if you see we maintained our margin at 28%, which is the guidance that we have given that on an annual basis, we will maintain our 28 % to 30% margin. So , it is just a quarter play because of the product and region mix.

Ridhima Goyal: Can you please just give us the mix between your regulated and semi regulated and also under unregulated markets mix?

Krishna Raghunathan: See basically the export process domestic could be somewhere around 81 to 19 and coming to what do you call regulator it would be one moment in H1.

Ridhima Goyal: I didn't get this can you please repeat?

Krishna Raghunathan: One moment. Around 46% were there in regulated market and the rest would be in semi regulated and unregulated markets. India would be somewhere around 19% in that.

Ridhima Goyal: And my second question was related to the volume and price growth mix. I mean the growth which we have seen this quarter is what is the mix between your volume growth and prices?

Krishna Raghunathan: : See price have been remaining stable. So , whatever the growth is like what Dr. Saloni has already said it is due to all the other molecules picking up momentum and there is nothing not much of a moment in the prices across all the molecules (Incoherent language) . We haven't seen any sort of price erosion or also the price increase also.

Saloni Wagh : Majority of it is through the volume increase.

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Satish Wagh : See any new product when you enter you cannot straight away go into regulatory because he takes minimum one year. To establish that API you have to go with non-regulated markets and then you can make establishment in the regulated market that's the API for me .

Ridhima Goyal: And this you are saying, sir, on a year-on-year basis, right?

Saloni Wagh : Yes on a year-on-year basis .

Satish Wagh: When we said that out of 100% , we have 82% export that means that export has been continuously coming for couple of years, so it

will continue. It will not drop down. So, the focus is on regulated markets only as far as the business is concerned and more focused as far as businesses in exports only.

Ridhima Goyal: And sir what is the proportion coming from China?

Satish Wagh : See whatever is there that continues in China. I have in the past also regularly telling that you cannot focus China. The day you focus more and more in China, I'm sure you all are aware we are reading in the newspaper anti-dumping duties will be put on the product and there will be no say in the future. It's an actual property which we do with them they are also trying to do so. So, we are trying to derisk whatever has been committed in the China market that quantity we already have sold for next two years . Our balance we sell in the other markets, we have no interest in increasing that in China market.

Moderator: Thank you. We have a question from the line of Jagvir Singh from Shade Capital. Please go ahead.

Jagvir Singh: So, sir earlier you were guided around the 32 % margin, so now you are talking about 28% margins for the full year basis?

Saloni Wagh : If you actually have attended our earnings call for the last four, five quarters plus you will know that we have corrected our guidance post our impact of the China business in the last financial year. Since then we have corrected our margin guidance to be 28 % to 30% which we have maintained and that is the margin that you will see also for the first 6 months.

Jagvir Singh: So, in this second quarter we have done around 23% margin. So , you are saying in the next 6 months margin will be around 28 % to 29%?

Saloni Wagh : Yes.

Krishna Raghunathan: See, it is not a quarter-on-quarter guidance.

Satish Wagh: Sorry to interrupt you, you want to do 28% a full year, so you have to do 28% in the next 6 months also .

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Krishna Raghunathan: See if you see our last quarter, we already had a 34% plus in our margins. Yes, the average would be around 28 % to 30%.

Jagvir Singh: And sir there is also some seasonality also in the businesses second half is better than the first half if I am correct?

Saloni Wagh : Yes, usually second half is slightly better than the first half. So , that's why we are confident that we will be able to maintain the guidance of 28 % to 30%.

Jagvir Singh: 20% to 25% in the top line?

Saloni Wagh : Yes which you can see in the first two quarters as well in terms of the absolute revenue, we have seen a good increase. In fact, 24% if you compare it with the last quarter as well. Last year 6 months and this year 6 months we have done a 24% growth in our sales. So , that trend will continue.

Jagvir Singh: So my last question related to China, is there any pickup or not in the China?

Saloni Wagh : So, for China our CMD just said, we have already finalized our contract, which is a fixed volume contract, and we don't expect anything additional coming in from China. The volumes are stabilized. The pricing we have said it in multiple earnings call before as well that it will take some time for the market to stabilize. We don't see it happening in the near future. So, whatever growth and margins we are guiding it is including the China contract that we have finalized for the entire year.

Moderator: Thank you. We have our next question from the line of Richa from Equity master . Please go ahead. Our line is disconnected. We'll move on to the next question from the line of Rahil Shah from Crown Capital. Please go ahead.

Rahil Shah: Just going back to the growth guidance, you mentioned, so I just want to ask you what help in this first half the growth we have seen and you're confident that this will continue. So again what will help it, can you give a general scenario how is the market right now and so how will we achieve the guidance?

Saloni

Wagh : So, we have always maintained that other than our top 3, 4 products, we have a basket of about 8, 9 products in the portfolio where there is a very large potential in semi regulated and regulated markets and a lot of the growth for the next couple of years will also come with the volume scale up of these products which is getting reflected in the quarter to sales this year.'

A lot of the other products in anti-hypertensive vitamins, decongestants, these products have really scaled up well in semi regulated markets. We are seeing a lot of volume traction and we are just waiting to get these approvals for the regulated market. So , once they move into the regulated markets, the margins for these products will also eventually improve.

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So, one growth we are seeing in these products, the other thing is that we are introducing a lot of new products into our portfolio. Three therapies where we are focusing is anesthetic , anti-diabetic , and also cardiovascular and anti-anxiety. So , these are the four categories what we are currently focusing on.

So, a lot of new products are getting infused in the portfolio which are just out of development and in validation stage. In the next 9 months to 12 months, we will be in a position to start filing for these products. So , once they also come into the pipeline, the product portfolio would be more diverse .

So, growth will come from existing products scale up in regulated markets and also the new products what we are infusing in the portfolio. So , these are the two main areas now for the CDMO opportunities that we have they will also start scaling up the whey protein which we had announced two quarters back , some volumes we will start seeing from the next quarter then the Riboflavin I mean the vitamin project what we had announced with the European company's tie up. Those volumes have also started coming in. A DSM is the name of the company with whom we have tied up for the vitamin product. So , those volumes will also start coming in. So , these three areas are where we are looking at growth mainly.

Rahil Shah: And just clarifying again, you mentioned this growth which you've suggested or guided for is including the China business or excluding I want to understand ?

Saloni Wagh : It is including the China business because for us like I said more focus on other products de-risking the portfolio, reducing our dependence on some of the key products. So , this is including the China business, which we have said multiple number of times that the volume is staggered. We don't anticipate the volume to grow any longer in China market.

So, it would be the constant volume for at least next 2 years because we have already signed the contract at the same price. So, we don't expect any changes happening in China business anymore.

Moderator: Thank you. We have a question from the line of Richa from Equity master. Please go ahead.

Richa: Sir, my question is on these two announcements that you have made about the wound healing gel and as well as this oral care, if you could help us understand what this means for the revenue and margins of the company, what kind of investment you guys need to make for this opportunity to materialize in a meaningful way, and if it is a unique product, if it is patented, is it B2C just if you add more color on these?

Saloni Wagh : So, both the products, I mean both the announcements that we have made recently with Kalinga University is in line with our strategy to derisk our business and focus more on CDMO activities.

Both the products are extremely novel, they are one -of-a-kind in the world. I would say the best technology in the world in terms of the product cost, I mean , the Oral Cancer Detection Kit , it is

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the cheapest available kit i

n the world which detects and is a preliminary test for oral cancer

which detects oral cancer in less than 2 to 3 minutes.

There is no product of its time globally, and even for the gel, it is an extremely innovative product which helps in wound healing and scar free wound healing again no significant competitors globally for both the products. The strategy is that we will help Kalinga University co-develop these products so they are already developed at the lab stage, but now we have to take them through the commercialization stage.

The patents for both the products are filed. In fact , for the quick oral kit already the international patents, the PCT is also filed and we will also now file for country specific patterns in the next couple of quarters. We anticipate that this entire project will take at least 3 years for commercialization for both the products. The market itself for both the products is extremely large.

Today , it is valued at around 21 billion globally. So , it's a very, very large market and with the kind of product that we are bringing into the market, we are very, very confident that we will be able to at least get 1 % to 2% of this global market.

The strategy, like I said, is to co-develop and then take it to commercialization with Kalinga Institute and then while we keep the manufacturing of the product to us, we would probably out license these products to some of the larger pharma companies. So , this is in terms of the strategy behind both the products.

Richa: And could you also talk about utilization and potential CAPEX that you're likely to undertake if any in FY 24 and 25?

Krishna Raghunathan : See utilization were around 72 % to 73% during this quarter and CAPEX of course for the first 6 months we had somewhere around 50 crores . I think we will spend around the same 50 crores most probably in the second half also and for next year I think we need to have our planning in place.

As of now, I think we should be in the range of around the 100 crores max. We'll have to see next year we haven't our planning cycle is on and the work on CAPEX will be happening and I think most probably in the next quarter we will be in a position to announce what sort of CAPEX number we can do in the next year. Current year we will be finalizing somewhere around 100 crores out of which 50 crores has already been spent in H1.

Saloni Wagh : And just a quick addition to this the kit, the global market size is 21 billion, but for the gel the global market size is valued at about \$26 billion U.S. So , both put together is more than \$47 billion. So it's a very large market which would open up for us as a company and plus the products are extremely novel, innovative. So , we would like to bring the products out to as many people as possible.

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Richa: And I mean do you have any sense of the investments that can go into it in co-developing , commercialization over next three years?

Krishna Raghunathan : We are working around with the innovators at this point in time. I think once we have our what you call full strategy in place specifically on the numbers, I think we can always come back to you and then we can let you know.

As of now we are working with the innovators as to at what stage what are the things which we need to do all those working are going on at this point in time as we speak.

Richa: And sir just one more question on margins I think there was an erosion in margins because of the regional mix, but like 2 years ago our regulated share market used to be much lower than what it is now and yet there is significant decline in the margin. So , if you could just talk a little bit more about that and what gives you the confidence to maintain the margins that we have, what is the supply side situation pricing scenario? 4

Saloni Wagh : Like I said previously, more

than the region mix, it is the product mix because of the other products other than the top 3 products, 4 products, the next basket of products which are moving into the semi-regulated market because we are still in the sort of market gaming stage for those products, we do not have a leadership position for those.

Hence, the margin profile of those products would be definitely lower than our leading products. So, more it is driven by the product mix and the de-risking of the product basket that we have. So, that is why you're seeing that erosion on margin plus one of the reasons also for this quarter slightly lowered margins is on the expense front.

Like Krishna also explained, there have been certain one-off expenses which also have had impact on the margin. So, it's a payoff both the things, but mainly it is the product mix and the other products getting more traction in semi-regulated markets other than the top couple of products.

So, that's one of the reasons why we are confident of maintaining the margins because once we get more market traction of these products once we get the regulatory approvals we would sort of replicate the success and the leadership position that we have in the top products in this product basket as well and then the margin for these products would also improve, also backward integration, although for the top 10 products, 12 products we are fully backward integrated for some of the new products what we are seeing good traction. We are in the process of further backward integration. So, once all these things happen together the regulatory approvals, the backward integration and the movement into regulated market margin again would sort of stabilize to that 28%, 30%, which is the situation even today.

Satish Wagh : So, I further want to add that in this world now there are two more countries which are becoming the regulatory one now earlier people were neglecting about the Latin America, that's Brazil and Mexico. Now let me tell you in the last year these two countries have come up with the regulatory

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notification that they had earlier previous China was the sole supplier for couple of years left more than 35 years, 40 years.

But now these people have said that they required the GMP standards where Chinese are failing and Indian companies have a good opportunity like Supriya already from last year started in the regulatory in the Brazil regulatory body to file the products out of 70. I'm very happy to say successfully within last 9 months, we have filed 12 products with the regulatory authority in Brazil.

Now once you file and you become a sole source of that product, you must understand this is the second source, but this is the first source for Brazil and that will continue. It will not replace by any other. So, you will get more profitability, more chance in Brazil and Mexico market, which are now becoming a regulatory market.

Richa: And sir this 100 crore is kind of investment every year that you're making like FY 24 and 25, is this mainly going into backward integration or I mean, where are we investment has happened?

Saloni Wagh : So, basically this is mainly going into capacity enhancement, capacity enhancement for volume growth of existing product basket as well as the new products what we are infusing into the portfolio. We will also need the capacity to grow those products. So, this is mainly for capacity enhancement to cater to the growing product demand.

Moderator: Thank you. We'll take our next question from the line of Naresh from Sameeksha Capital. Please go ahead.

Naresh: So, my first question, if you can quantify the one time expenses which you have made during the quarter and also the employee expenses QoQ has increased quite a bit. So, what would be the reason for that?

Krishna Raghunathan: Let me take the employee

first. So, basically if you look at it between last year and current year we had our annual increment cycle and that will increase the expenditure correspondingly in the current year, and of course there were a couple of hires also I think on which we had given the press releases there also these are the reasons why the employee benefit expenses are comparatively higher.

So, with respect to one of them technically we had a GST audit and a pre import case. I think that is something which I had already covered in my speech and of course we are also expecting an FDA audit in December for which we have to have our repairs and maintenance and upkeep of the plant. So, these are the three expenditures which are one time in nature, and this were somewhere around 3 crores to 4 crores which we had to spend in as a one time expenditure. So, these would be the one time and of course the employee had already talked about.

Naresh: And second question in terms of diversifying the product portfolio, so while you have been speaking about the 6 to 8 new products which you expect to start selling in the regulated markets,

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but if you can explain a bit more granularity that at which stage these products are, do we already have CEP and DMF in place and have you started sending the validation batches to the customer and how much time realistically it would take for these products to ramp up in these regulated markets so that the volatility which we see currently that sort of normalizes?

Saloni Wagh : So, in terms of the 6 to 8 products we have already been selling these products for many years in semi regulated market. For some of these, we have already received CEPs and the US DMF, and we have already started supplying some small quantities for trials and validations. For some of them the CEP's are still awaited in another 6 months to 9 months we will get the CEPs. I would say the full effect of these products in regulated markets, you will be able to see at least in the next 3 quarters that is when we anticipate that the trials and the customer validations would have been completed and they would start buying the commercial quantities. So, that would approximately be the timeline for the commercialization of these.

Naresh: So, is it fair to say that the new blocks which are coming in the next quarter, so largely on an incremental basis this would be utilized for selling these products in those regulated markets, so that we have some understanding as to what time it would take to reduce the concentration of the product portfolio?

Saloni Wagh : So, the new block which we have put in, I mean, which we are putting in module E that would be driven for two things. One is, of course, the existing product scale up and the other is the new products that we have infused in the portfolio. Like I said we have focused on anesthetic, anti-anxiety, anti-diabetic products. These products we have now completed the development and now we are in the phase of validation.

So, in another 6 months to 9 months or we should be in a position to start selling some smaller quantities at least for market seeding and for customer trials and samples. So, the new module is for the existing products to scale up as well as some of the new products that we have infused in the basket.

Satish Wagh : Let me add one more thing because I have already said in my speech, but I think people have not understood that. The new regulated market is coming up, which is large in Brazil. People are ignoring that Brazil was catered for last 40 years by China, but all Chinese manufacturer was supplied without GMP standard, GMP documentation and for the first time the government of Brazil has come in 2022 in force that any supplier would like to change the vendor. They should come with the GMP certification from that company.

So 99% and we are saying that Chinese are failing to give the documents on GMP. So, looking the new notification of Brazil and Mexico, Supriya immediately started entering into and giving the documentation to the regulatory authorities and out of the current 16, 17 APIs. 12 have been registered with the regulatory authority of Brazil.

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Now you will understand when you register means what you become the second vendor, but the first vendor for that particular end user and once that end user finalizes your name lifetime it will not be changed because second vendor will not come in the picture. So, this was the opportunity given by these authorities to their final formulation units that you should qualify the second source now and that second source will continue as a first source. So, you have a large basket which is available in Brazil and Mexico, which is in large market today for APIs are concerned.

Moderator: Thank you. We have a next question from the line of Anmol Das from Arihant Capital Markets. Please go ahead.

Anmol Das: So, I wanted to ask you regarding a couple of things in future pipeline that you have two agreements with the oral cancer detection and wound healing gel and there was a collaboration with the plasma nutrition.

So, want to understand how these collaborations are going to materialize in the future and in terms of the revenue what amount kind of the revenue you are looking for these collaborations and what will be the opportunities in similar kind of business and collaborations that you see in the future?

Saloni Wagh : So, in terms of the three collaborations that we have announced, the plasma nutrition the protein project that would be slightly faster as compared to the other two. For the plasma nutrition we have already started manufacturing some small trial quantities of samples and we have started giving them to all the larger protein distributors.

So, we anticipate that in another 6 months to 9 months we should start seeing good commercial volume coming from this particular project, so that would move much faster. For these two the oral kit as well as the gel like we said the market potential is extremely large it's \$47 billion

globally and the products truly are extremely innovative and for the value at which they will be available in the market. There is no competitor which can match those globally. So, it would actually be a revolutionary change in oral cancer detection as well as wound healing. So, we are very confident these two projects would take 3 years to commercialization, but we are very confident that when they come out in the market, they will gain significant market traction.

We are working on multiple such opportunities there are there in the pipeline currently at a very premature stage, but we are very confident that such innovative opportunities we will be able to convert in the next two to three years into commercial business.

Also, the other CDMO opportunity which we had announced a couple of quarters back was with the European company DSM -Firmenich they are one of the largest companies. Globally, we signed an exclusive vitamin supply agreement with them, those commercial volumes also will

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start coming in from the next quarter itself. The CDMO in general for in the next I would say 9 months to 12 months, we'll start contributing commercially to our revenue.

Anmol Das: And one thing regarding the geographic mix that has shifted and then went for like from Europe to Asia, it shifted in Q1 FY24 now that again that Europe mix is gaining approximately 25% share, so what is that makes this change in these two geographies between Q1 and Q2?

Saloni Wagh: So, one of the main reasons is I would say more than the geography this time for the margin, the

product mix like I highlighted was one of the main reasons was the margin dip. What the other than the top 3 products, 4 products there are other products like decongestant products like Diphenhydramine vitamin products like Riboflavin 5 phosphate sodium Bisoprolol Fumarate which is an antihypertensive product. Some of these products we have seen good traction in European markets and the other market.

So, these are the products where we don't have currently a leadership position, we are still trying to gain more customers, gain more market share. So, once we have a significant market share, we do the backward integration, all the regulatory approvals come through, then we will start seeing similar margins to what we have for our leading products. So that is one of the main reasons.

As such, there will always be quarter-on-quarter because it's a multi-product we have more than 30 products in our portfolio. So, there will always be a shift in the product and the geographic mix, but our main focus like our CMD said remains on regulated market. So, year-on-year we will try to increase our regulated market share. So, that is one of the prime focus area and if you see even for this quarter the export percentage has gone up. We are at 81% export as compared to the previous quarters. So, the more focus will always be on more regulated markets.

Moderator: Thank you. We have a question from the line of Am Lodha from Sanmati Consultant. Please go ahead.

Am Lodha: Ma'am, I have got three questions, one relating to our plant and number one Lote when it will be in operations?

Saloni Wagh: So, the Module -E it will get commissioned by March or April next year.

Am Lodha: 400 kiloliter?

Saloni Wagh: Yes. It will add around 400 KL per day to our capacity. So, the total capacity of the Lote site would be somewhere at around 900 KL.

Am Lodha: It will be operationalized in the commercial operations in the month of March FY24?

Krishna Raghunathan: It might not be commercial operations; validations will start and then we will have our commercial operations following up immediately.

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Am Lodha: What about Ambernath? (inaudible)

Saloni Wagh: So, the Ambernath will also be commissioned around March and April, so maybe from May onwards we can start some commercial production from that side.

Satish Wagh: I want to add to this sir anything when is in your mind you might understand that it requires huge requirements of rules and regulations and the formalities, all the licenses in place without that it cannot manufacture anything. These are always taking time. Once you get then only we start because the company has principles and ethics. Unless and until they get the regulatory and all the permissions, they won't enter into any product, that is why we always try to get everything in the hand then we start.

Am Lodha: Sir, my second question is relating to export? What is the percentage of export in that present quarter turnover?

Krishna Raghunathan: 81%.

Am Lodha: My third and last question is relating what is the growth the company expect in FY25 and FY25 and FY26 growth in the sales tentatively?

Saloni Wagh : So, we have always maintained our guidance that year-on-year we will grow anywhere between 20% to 24%. So , that is the same kind of guidance we would like to give. The revenue growth would be anywhere between 20 % to 24%.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Wagh for closing comments. Over to you sir.

Management: See, we would like to thank each and every one who has attended our call. We would like to wish each and every one a happy and prosperous Deepavali and thanks and all the best.

Moderator: Thank you, sir. On behalf of Supriya Lifescience Limited that concludes this conference.

Thank

you for joining us and you may now disconnect your line s.

Call: Feb 2024

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GOVT. RECOGNISED EXPORT HOUSE

Date: February 13, 2024

To, To,
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, C-1, Block G
Dalal Street, Bandra Kurla Complex
Mumbai – 400 001 Bandra (E), Mumbai – 400 051
Scrip Code: 543434 Scrip Symbol: SUPRIYA

Dear Sir (s),

Subject: Transcript of the Earnings Call for the quarter and nine months ended December 31, 2023

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we hereby enclose the transcript of the Earnings call held on Thursday, February 8, 2024 at 11.00 A.M. IST to discuss operational and financial performance of the Company for the quarter and nine months ended December 31, 2023.

This is for your information and records.

Thanking you,

Yours faithfully,
For Supriya Lifescience Limited

Shweta Singh
Company Secretary & Compliance Officer
Membership No.: A44973

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"Supriya Lifescience Limited
Q3 and 9-Months FY24 Earnings Conference Call"
February 08, 2024

MANAGEMENT : DR. SATISH WAGH -- CHAIRMAN AND MANAGING
DIRECTOR -- SUPRIYA LIFESCIENCE LIMITED
DR. SALONI WAGH -- WHOLE TIME DIRECTOR --
SUPRIYA LIFESCIENCE LIMITED
MR. KRISHNA RAGHUNATHAN -- CHIEF FINANCIAL
OFFICER -- SUPRIYA LIFESCIENCE LIMITED

MODERATOR : MR. IRFAN RAEEN – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to the Q3 and 9-Months FY24 Earnings Conference Call of Supriya Lifescience Limited. As a reminder, all participants' lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Irfan Raeen from Orient Capital. Thank you and over to you, sir.

Irfan Raeen: Thank you, Manuja. Good morning, everyone. On behalf of Supriya Lifescience Limited, I extend a very warm welcome to all participants on Q3 and nine-months FY24 financial discussion call.

Today on our call, we have Dr. Satish Wagh sir, Chairman and Managing Director, Dr. Saloni Wagh, Whole Time Director and Mr. Krishna Raghunathan, Chief Financial Officer. I hope everyone had the opportunity to go through our investor deck that we have uploaded on exchanges and on company's website.

Before we begin the call, I would like to give a short disclaimer. This call may contain some of the forward-looking statements which are completely based upon our belief, expectations as of today, these statements are not guaranteed of our future performance and involve unforeseen risks and uncertainties.

With this, I would like to hand over the call to Satish, sir for his opening remarks. Over to you, sir. Thank you.

Satish Wagh: Good morning and a warm welcome to all the participants. Thank you for joining us today to discuss the Q3 financial year '24 results of Supriya Lifescience Limited. To take us through the results and answer to your questions, along with me are Dr. Saloni Wagh, Whole Time Director, Mr. Krishna Raghunathan, Chief Financial Officer and our Investor Relations Department, Orient Capital.

I hope everyone got the opportunity to go through the financial results and investor's presentation which have been uploaded on the stock exchanges, as well as the company website. I am pleased to announce our manufacturing site in Lote Parshuram, has received a good manufacturing practice that is GMP certification from the Regulatory Authority of Brazil, ANVISA, which covers a maximum of seven to eight big countries in the Latin region.

The success of the rigorous GMP inspection understood Supriya's commitment to the highest quality standards. The clearance of this audit marked the successful registration of 8 APIs with CADIFA and will further enable smoother and faster registration of the company for the other APIs and will help us to acquire more customers in the Brazilian pharmaceutical market. These 8 APIs have 20* crores sales potential in the next three years.

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In this quarter, we plan to file 3 CEP and 3 US drug master files for anti-gout, anaesthetic, where we are already strong for a couple of years, and anti-allergic products. During the quarter, the company aggregate sales increased by 33% compared with the corresponding quarter of the last year on account of the wider marketing footprints.

As you are aware, Supriya is the market leader for supplying some of the anaesthetic products and taking advantage of the world market presence and good track record on the regulatory front. Supriya has selected some life-saving drugs in the same therapeutic category. Supriya started the molecules development activity a year back and now this product is ready for commercial. I would like to give a highlight on the market number in brief. The global market is valued at \$300 million and is expected to exhibit a CAGR of 4.4% over the forecast period of 2023 to 2030. The growth drivers for the said products are the increasing number of surgeries, increasing the prevalence of chr

onic disorders like cancer and proven standards of surgical care.

This product market is spread across the globe with North America, Latin America, Brazil, Argentina, Mexico, and the rest of the Latin American region. Europe countries, Asia-Pacific, the Middle East, and the African market. Currently, the Indian industry depends in -- on China. India's Supriya unit is considered an import substitute to China under the Make in India. Supriya's API manufacturing facility is ready for manufacturing. Also, considering the forward integration, company is in the process of setting up the formulation plant with bottling capacity of about 5 million annually.

With this capacity, the company aims to have a business in the next three years to be around 10% to 12% of the global market with substantial EBITDA between the range of 26% to 30%. As you are aware, we also have our CAPEX plans made for the last -- next three years and around INR60 crores has been invested in our CDMO facility.

This facility also have our API and R&D. The site will be operational in the early quarter 1 of

financial year '25 and will open phase-wise. Another four new products are in the pipeline for the financial year '25 launch. These are from the anti-diabetic, anti-anxiety, of course and anaesthetic categories.

With this, I hand over to our CFO, Mr. Krishna Raghunathan, to share the quarter 3 financial year '24 highlights with you. Over to you, Krishna.

Krishna Raghunathan: Thank you, sir. Hello, everyone, and good morning. I will now share the operational performance of the quarter and following which we will open the floor for questions and answers. Company reported a revenue from operations of INR140 crores in Q3 FY24 as against INR105 crores in Q3 FY23. EBITDA in Q3 FY24 stood at INR41 crores as against INR14 crores in Q3 FY23 and EBITDA margin stood at 29.6% for Q3 FY24 as against 13.4% in Q3 FY23.

Profit before tax was at INR40 crores for Q3 FY24 as against INR13 crores in Q3 FY23 and reported a growth of around 217%. Profit after tax stood at INR30 crores in Q3 FY24 as against INR9.5 crores in Q3 FY23. PAT margins stood at 21.6% compared with 9.1% in Q3 FY23.

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Moving to nine months FY24 performance, revenue from operations stood at INR412 crores in nine months FY24 as against INR319 crores in nine months FY23 and reported a growth of around 29% with the previous year. EBITDA in nine months FY24 stood at INR117 crores as against INR74 crores in nine months FY23 and EBITDA margin stood at 28% for nine months FY24 as against 23% in nine months FY23.

Profit before tax was at INR113 crores for nine months FY24 as against INR70 crores in nine months FY23, registering a growth of around 60%. PAT stood at INR82 crores in nine months FY24 as against INR52 crores in nine months FY23. PAT margins stood at 59%.

There is a small correction in one of the Chairman's speech. The 8 APIs which he was talking about has a potential sale of INR200* crores and not INR20* crores as read out by him. That was a parallax error. I would like to put it, okay.

Now we can open the floor for questions and answers and thanks to all of you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Nirali Shah from Ashika Stock Broking. Please go ahead.

Nirali Shah: Hi, congratulations on a good set of numbers. So I have two questions basically. My first question is we see a big jump in EBITDA and PAT margins this quarter. Can we attribute this to better pricing environment or is it the seasonality impact? Generally, H2 is better than H1. That is my first question. If H2 is better, can we expect a much better growth in the margins or the revenue front for 4Q as well? I will ask the second question then later.

Saloni Wagh: So, thanks Nirali for the question. I am Dr. Saloni Wagh and I would like to answer to th

is

question. In the last couple of quarters, we have constantly been telling that our portfolio and our geographic reach has been changing.

That is one of the reasons why you will see more stable quarters as opposed to the H1, H2 concentration what we were seeing earlier. We are getting a lot of penetration into the more regulated market space. Even if you look at this quarter, our Europe sales have increased significantly from 26% to almost 42%.

We have seen a very good traction in anaesthetic products. The anaesthetic segment has actually gone up significantly from 21% to 49%. So the main reason why you are seeing the growth is because of better traction of the existing set of products like anaesthetic, vitamins in more regulated market space like Europe, North America.

And we have always maintained in the last couple of quarters that a sustainable EBITDA margin for us is between 28% to 30%. And that is what we would also like to guide for the future quarters.

Nirali Shah: Understood, understood. So, basically my next question was that if you could give a ballpark number in terms of revenue and margins from a three-year perspective, but as you mentioned

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that 28% to 30% is a sustainable annualized margin guidance that you are mentioning. But just one simple question, is that on our conservative side? Should we expect something more?

Saloni Wagh: So there is always, because of the product portfolio that we have and because we operate mainly in the regulated market space, there is always a chance. And we have in the past also achieved higher numbers, which we have benchmarked ourselves against. So there is always a possibility for getting a higher number.

But 28% to 30% in our opinion would be a sustainable number that we can indicate. In terms of

revenue growth, we have always maintained that year on year, you can expect upwards of 20% growth from our side. And that is still the number that we would like to maintain for the next three years.

Nirali Shah: Understood. So we have a INR140 crores run rate currently. Calculating that, will we be making something beyond INR570 crores on a full-year FY'24 basis?

Krishna Raghunathan: Krishna here, please don't put any words into the numbers. I think that could be a possibility. See, we have guided on our EBITDA and we have said that we would grow our top line by somewhere around 20% to 23%. It could be around that number. But we cannot be specific on any numbers like this.

Nirali Shah: Understood. Thank you. That's it.

Moderator: Thank you very much. The next question is from the line of Aashish from InvesQ Investment Advisors, Private Limited. Please go ahead.

Aashish: Yes. Thank you for the opportunity. So, margins seem to be recovering and you said that around 20 % growth on the top line is probably what we are looking at.

So, actually we came down from around INR550 crores a couple of years back to these numbers.

So, just wanted to understand, there are so many things going on in terms of new geographies, new facilities that we have, plus existing portfolio of ours. There's been quite an up and down on the performance of a lot of molecule that we do.

So, it would be very helpful if you can guide us through the path for the next two years in terms of where all you see the business getting traction or even the negatives and try to build a scenario how you are taking this business forward because earlier I think we had decently big targets of around INR1,000 crores plus of top line. This was two years back after listing. So, it will help us investors in gauging how you are planning for the business and how much is doable actually on the ground.

Saloni Wagh: Okay. So, definitely the guidance what we have given in the past, that INR1,000 crores in the next three years still stands. Growth for us will come in three buckets. The first one is, you know, of course, t

he top three products which the company sells.

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Those molecules are also growing year on year because of getting repurposed in different therapies. So, there is definitely a growth in the top three molecules. Then there is a basket of about 8-12 molecules which we have said in the past that we are trying to scale up in the regulated market space for which we have now started getting the approval.

So, the recent ANVISA approval where the eight products are registered, that has a potential of about INR200* crores in the next three years. Similarly, multiple CEP, US DMF, Japan DMF are getting registered. So, those 8-10 products will definitely give a large scale up and their contribution to the portfolio in terms of top line as well as bottom line will increase.

So, this is the second basket. So, basically the API portfolio what we currently have will grow inherently in the next three years. Other than this, we have large CMO, CDMO opportunities in our hand.

Those will also scale up in the next three years. So, that will be another growth area for us. What we have announced today, the CMO, CDMO opportunity for an anaesthetic product which is an import substitute and which has a very large global market of over \$300 million.

Products like this which we are now newly adding into the basket. So, this year, for next year we have four products planned for the launch. So, new products also will add.

So, basically the growth in the existing product basket, the new CDMO opportunities that we have plus the new products what we are launching all put together will help us to achieve that INR1,000 crores mark, in fact, higher than INR1,000 crores mark in the next three years or so.

Aashish: Okay. So, the current product basket that you mentioned, especially the three top products that we have, the growth rates can be assumed at what rates? I mean, what would be a fair assumption to take over there?

Saloni Wagh: So, it is completely product dependent. Certain products in the portfolio are growing at about 8% to 10% while certain products are growing at about 5% to 7%. So, it is very, very product specific.

Aashish: Okay. So, that's around 10%. And rest of the growth is expected from CDMO and CMO projects plus the APIs that we are going to.

So, basically, you are expecting maybe a couple of INR100 crores plus of contribution over the next two, three years from these lines that you are opening up. Is that right? .

Saloni Wagh: Yes. In fact, the contribution from the CMO, CDMO opportunities can be higher. So, this announcement that we have made today itself, the anaesthetic product, if you look at the global market and if we even assume conservatively a 10% market share, that itself is a very large number.

So, you can imagine that the CMO, CDMO opportunities, what we currently have could be even higher. I mean, the number what we have said is very conservative.

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Aashish: Okay. And is this pretty competitive or we think that this 30% or 28%-30% margin that we have, we will be able to get in the newer APIs plus the CMO, CDMO? Is that possible?

Saloni Wagh: Yes, everything put together. Yes, yes. So, whenever we talk about a sustainable 28%-30% margin that is considered while taking on any new projects, may it be a CMO, may it be a new product development, may it be the existing portfolio, all together blended 28%-30% is a number that we are extremely confident of maintaining because as a core to Supriya backward integration is a very, very important aspect. For any product that we launch, we aim to have a completely backward integrated product which helps us with the best cost of the product in the market and plus the capacity is what we have set up with the new module E coming in. We are adding another 350 KL of capacity. So, we will be at 1000 KL capacity, so

sort of

doubling the capacity. So, the large production scale plus the backward integrated business model ensures that whatever new products also we are taking, we have the best cost available for that product in the market. So, all this put together, we are very confident that 28%-30% we will be able to maintain.

Aashish: Okay, lastly, is there anything to worry because you are largely an export dependent company, so all these issues on the Red Sea and stuff, is that affecting us anywhere and should we expect any surprises on the numbers maybe in the near term or is it all okay right now?

Saloni Wagh: So, nothing specific, you know, as such I would say that is a threat or any negative surprise that you can expect in the next couple of quarters. Nothing like that. I mean, there is always a regulatory challenge which is there because we operate in a highly regulated environment. But to even counter that, we are in a constant CGMP mode. If you look at our last audit, which is the ANVISA Brazil audit, which is extremely complicated and one of the most difficult audits to pass, we have cleared with zero observations. So, that speaks volumes of the company's compliance status.

So, as such, I wouldn't say that any foreseeable threats or negative surprises.

Aashish: Okay. So, from all the discussions that we had till now, it seems that we are on a recovery path and probably there is some firmness in the way you guys are talking and there is some level of confidence that I can see. So, is it fair to assume that we are done with the issues that we had faced? Is the market more, I mean, more conducive to kind of expecting sustainability and we won't have any jerks right now, right? I mean, the way we saw earlier in 2022.

Saloni Wagh: Yes, absolutely. I think we have said it in the past also, the company's aim in the last four, five quarters has been to stabilize the product portfolio to reduce dependence on any one particular product or one particular geography to make the product portfolio more robust. And that is what we have been constantly doing in terms of R&D for our new products, for the new CMO project that we are taking, for the new therapies that we are including in the basket.

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A lot of effort has gone in the last four, five quarters and those results are being seen. We have had a consistent performance in the last three quarters and that will continue. I think we have worked really hard to sort of diverse any risk what was there in the portfolio. So, I think that is now showing and that trend will continue going forward.

Aashish: Okay. And the capex is basically kind of over. I mean, no major investments will be there, I guess. I mean, whatever we have.

Krishna Raghunathan: I think we have just now announced, no?

Saloni Wagh: We just announced this morning that we anticipate a further INR60 crores capex. So, we have a site in Ambernath, which is a 5000 square meter plot, which we have had for some time now. And we already have the environment clearance for this particular plot. Because it is classified under zero discharge, we were thinking of multiple CMO, CDMO opportunities to do here. And because we have a lot of strength in the anaesthetic segment, we have decided to launch a new anaesthetic product.

The API will be manufactured at the Lote Parshuram site. Currently, for the API globally, there is a dependence on China. So we are really a boost for that 'Make in India' kind of a movement and it would be an import substitute. And the same product, there will be a forward integration. So, we are setting up a bottling line in Ambernath for about 5 million bottles a year. So, we will be utilizing the Ambernath site very soon. The site is expected to be operational by

quarter one of FY25. So, we will need additional capex for this activity, which we have assumed at about INR60-odd crores in the next two year

s. So, that is where the capex is.

Aashish: Anything to share on the inventory? Because we had a decently big inventory in terms of the sales that we have. So, what is the status now in terms of inventory days? Is it possible to bring that down?

Krishna Raghunathan: Like I had told earlier, I think, see, even in the last quarter, I was saying that there could be chances of us reducing by around another INR10 crores. So, I think that has been already achieved. I think somewhere around the inventory days are also in a, what do you call, in a very, very controlled number as of now.

So, I do not see any challenges on inventory building up from now on, unless and until there is going to be one more round of COVID or something. I do not think we will be our inventory ranges should be somewhere between INR80 to INR85 crores to around INR100 crores. I think that is the number which we are looking at, at this stage.

Satish Wagh: I want to add, Krishna, just a minute. I want to add to the participants. See, people have not come in a serious way that Latin America, there is a massive change in the regulatory system in Latin America for the last two years. Please understand, last 40 years, China was supplying all over the globe. But this time, the ANVISA, which is the highest regulatory authority for Latin America for Brazil, has come with their own regulatory system.

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They have communicated to the formulators that whoever is supplying currently to Brazil and other countries should have a CGMP, GMP certification done by the ANVISA or the regulatory authorities like USFDA or EU, like that. If the supplier doesn't give any documents, he will be closed by 2024 March. That's his ultimate loss. And whoever comes with the audit and the GMP certification before the ANVISA, he will continue as the second source and a permanent source. There's a massive change now.

Aashish: Okay. So, like the last call also, I think you highlighted this point that you have been traveling extensively...

Satish Wagh: Sometimes people know, sometimes it's very difficult to understand. That's why I have to highlight -- The opportunities for the newcomer is very big way they can come. So, India has a very good opportunity now.

Aashish: So, sir, in your talks, I mean, you said that Supriya actually has been making efforts over there. So, what kind of opportunity you see for yourself? And is the shift from China, I mean, that is pretty likely because as you are saying that they wouldn't be as compliant in terms of meeting those standards.

Moderator: So, sorry to interrupt, Aashish. Can you please re-join the queue for your follow-up question?

Aashish: Yes. Thank you.

Moderator: Thank you. Thank you. The next question is from the line of A.N. Lodha from Samarthi Consultants. Please go ahead.

A N Lodha: Ma'am, I have got three questions, madam. One is about the expansion in Lote Parshuram and Ambarnath. When can we expect this expansion is to be completed?

Saloni Wagh: So, both the expansion, so we are having two expansions currently. The Lote side, we are setting up a new module, which we call it a module E. This is a dedicated production block, which will have around 350 KL of capacity. So, this will go on stream early quarter one of FY25. And then in Ambarnath, we already had a site, like I mentioned before. And this site now we have refurbished for our bottling activity.

Plus, we are also setting up an API R&D over there. This will also be operational around the same time, which is quarter one of FY25.

A N Lodha: Because I am a little bit confused. Because in your presentation, this Lote Parshuram site has been quoted as quarter three of FY24.

Saloni Wagh: Correct.

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A N Lodha: It has been mentioned quarter three of FY24. Therefore, I got the confusion. So, quarter three has already

been over and the company could have notified for the commercial production. Yes, they started production. But anyway, you have clarified everything.

Satish Wagh: Sir, you are right. It is quarter '24 March. It will go into production. But validation batches will

start because the pharma industry totally is not a regulated industry. You just cannot take a batch and go for sale. Three batches were validated. And then, essentially, you have to go for bigger batches.

A N Lodha: Okay, sir. My second question is related to our technical tie-up or arrangement with Kalinga Technology Institute. Regarding oral cancer detection kit and there are two products. One is scar free gel. Can you put some -- what is the development over there, sir?

Satish Wagh: See, currently, both the products we are evaluating for the clinical trials. What are required for the commercialization. The clinical trials, etc already are on. Some products might take some time. But some other products will be commercialized soon by '25 December end or first quarter of '26. So, this is the situation because you have to follow the guidelines of the Indian FDA. And we have to do certain things. And then only we will submit the file to them.

A N Lodha: Okay, sir. I agree. But we are on track.

Satish Wagh: We are on track. Because that is a \$48 billion project. That's why I was wondering. I am working very hard on that.

A N Lodha: That's why I was wondering that the company is doing very nice in the current operation.

Satish Wagh: Sir, today one of the products which is taken. The competitor is selling at INR32,000 for one single man. I am trying to give it at a very cheaper price to common man can afford. And another product is of a similar way. It is also roughly around about INR28,000, INR30,000. I want to give it at a cheaper price to the Indian community. Of course, export is my major target. But Indian community has to be also safeguarded. So, we are working very hard...

A N Lodha: That's why, sir, we are very encouraged. Because of the business of market share of the product. If the company can succeed, then the company can go a long way in the pharma industry.

Satish Wagh: Sir, we are already there 39 years. And we will continue forever.

A N Lodha: My last question is, sir, the capex. How much capex company's expected to incur this year and as well as in financial year FY'25?

Krishna Raghunathan: Sir, this year we will close somewhere around INR105 crores to INR110 crores. This will be majorly, modularly and some bit of Ambernath. And next year we are planning somewhere around a similar number. Out of which, there will be -- a major part of it will be for refurbishment of module ABC, which are all pretty old modules. And of course, the major part for next year would be Ambernath, sir. So, that is how the split will also happen.

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A N Lodha: Okay, sir. Thank you very much. Wish you very best of luck. Thank you very much, sir.

Moderator: Thank you very much. The next question is from the line of V.P. Rajesh from Banyan Capital.

Please go ahead.

V.P. Rajesh: Thanks for the opportunity and congratulations on the new win that you talked about earlier. My first question is about the revenue target of INR1,000 crores plus that you were discussing earlier. Is that expected to be reached in fiscal '26 or fiscal '27?

Krishna Raghunathan: Sorry, Rajesh. Couldn't get you. There is some background noise coming from your side. Can you please repeat the question, please?

V.P. Rajesh: Yes. My question was regarding the revenue target of INR1,000 crores plus that you mentioned. When is it likely to be achieved? Is it fiscal '26 or fiscal '27?

Krishna Raghunathan: Fiscal '27.

V.P. Rajesh: Fiscal '27. Okay. And then secondly, in this CDMO and CMO business that you were talking about, is it fair to assume that your EBITDA margin will be higher than this 28%-30% range that

you have discussed earlier?

Saloni Wagh: So, for the CMO opportunities, yes, while in some projects the margin range would be slightly higher, but the guidance what we are giving is a blended because we already have an API portfolio plus some of the new product launches. And whenever we launch a new product, they will first move into the semi-regulated market. And then eventually they will mature to the regulated market.

By then, you know, new products will again be infused. So that cycle will be constant. So keeping that in mind, 28% to 30% is something which will be there on the overall portfolio.

While some products, some projects individually might have a higher margin, but on the blended portfolio, it would be about 28% to 30%.

V.P. Rajesh: Understood. Thank you. And my last question is when we think about this INR1,000 crores revenue, how much of that business will be coming from API versus the CDMO-CMO business?

Saloni Wagh: So the CMO-CDMO opportunities also what we currently have are mainly in the API-Advanced Intermediate space. Some of the new opportunities what we have announced today in the morning, they would be slightly over and above that INR1,000 crores projection. So if you ask me the INR1,000 crores, almost 70% to 80% of it would be API and Advanced Intermediate.

V.P. Rajesh: Okay. Thank you so much and all the best.

Saloni Wagh: Thank you very much, sir.
Krishna Raghunathan: Thank you.
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Moderator: Thank you very much. The next question is from the line of Sidharth from Darsh Capital. Please go ahead.

Sidharth: Hi. Thanks for the opportunity. I just wanted to know that revenues have been relatively flat in the Latin and North American regions from the past year. So is there any particular reason for this as to why they have been flat? Because major growth has come from Europe. I get that. But what are your thoughts on this?

Saloni Wagh: So one of the reasons you feel it is flat is because like we said, we were in the process of getting the products registered. It is now that the products are registered and the audit is cleared because whenever you put it for CADIFA registration, the audit is triggered. So we had the audit in the month of January and we have cleared that with zero observations.

So now in the next couple of quarters, you will see that region really picking up. With North America, a lot of the USDMFs currently are still under filing, which we expect to happen in the next couple of quarters. So if you look at probably a year down the line, you will see significant contribution coming in from North America and Latin American markets.

Sidharth: Okay. And one follow-up question. In the previous quarter, we faced challenges in China. Now that we have diversified, where has the additional revenue in the Asia region come from?

Because margins have also improved and like you mentioned, you have only been servicing the minimum quantities required from China and that was your higher margin business, right? So if you can throw some light as to where is the additional revenue in the Asia region come from and how have you been able to improve margins in that front?

Saloni Wagh: So in Asia, our business remains stable. For the new products, of course, yes, you will see a good contribution coming in as and when we launch the products because they will be first launched in the semi-regulated markets, which is the Asian market. If you look at the major shift, what we have seen is that we are getting better traction in regulated markets like Europe.

As I explained earlier also, the Europe sales have shot up from 26% to 42% and that's one of the reasons and that's where we are getting the larger revenue from. Because for the existing portfolio, better traction in anaesthetic segment, in vitamin segments, we have seen from the European region.

Sidharth: Okay. And one more question, just the last

one. What are the kind of asset turns that you expect from this capex this year and next year?

Krishna Raghunathan: The asset turns you would look at somewhere around 2.5x and above, sir. I think that is something which we are targeting in future.

Sidharth: Okay. Thank you so much. That will be all from my side.

Moderator: Thank you very much. The next question is from the line of Tushar Bohra from MK Ventures. Please go ahead.

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Tushar Bohra: Thanks for the opportunity and congratulations to management for a good set of numbers. So first, I just want to understand what is the status on the existing CMO contracts, one with the DSM Firmenich and there was one on the protein side? Where are we in terms of the status on execution? I have a couple of more questions. But first on this.

Saloni Wagh: So in terms of the CMO, CDMO opportunities, specifically the DSM Firmenich contract that you mentioned. So the contract, we have said it in the past also, at its full capacity, has about INR60 crores-INR70 crores of potential. And we have already done the CEP filing, the USDMF filing.

We have already received our first commercial order from DSM Firmenich. And we already have a good forecast available for next financial year as well. So that project is moving really well. In fact, some part of the capex, what Krishna mentioned for the refurbishment of the older blocks, we will also refurbish the vitamin block to accommodate the larger quantities, what we are anticipating from them in the next couple of years?

So that one I would say is already at a commercial stage where we have received the first commercial orders. The whey protein one, we recently completed the installation of the equipment at our site. This happened last month. And we have already taken the trial batches and the samples have been supplied to all the large distributors of whey protein across India. We in fact are evaluating opportunity for exports also of this particular product in Southeast Asian

market.

We anticipate that in the next quarter, we will at least be having 20 to 30 metric tons of trial quantities from all the major distributors in India. And then next financial year, definitely we are anticipating good volumes. Next financial year, it will commercialize. Let's say quarter 2 of FY'25 is where we will see some significant volumes coming in.

Tushar Bhora: Ma'am, what is the addressable tonnage equivalent for us for this product, whey protein?

Saloni Wagh: So for next financial year, the potential could be about 100,000 tons.

Tushar Bhora: 100,000 tons?

Saloni Wagh: 100 tons. 100,000 kgs, 100 metric tons.

Tushar Bhora: What is the size of market for this product? Just if you have any ballpark.

Saloni Wagh: So in the next 2-3 years, we anticipate that we will be able to go to about 800-900 metric tons.

Tushar Bhora: Ma'am, also on the existing APIs, some of the new products like Dextromethorphan, allopurinol, bisoprolol etc. If you can just highlight the path to regulated markets where we are vis-a-vis different markets for the 4 or 5 critical opportunities you think, outside of the current top 3?

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Saloni Wagh: So for a product like bisoprolol fumarate, in terms of, Europe is one of the largest markets. So CEP is already applied for and it is expected in quarter 1 of FY '25. So very soon we will get the CEP that will open up the complete Europe market for us.

Then other products like tramadol hydrochloride, we have applied for the CEP in the last quarter.

So that we will expect in another 9-12 months' time. Again, very large market in Europe for this particular product. US DMF we will file in another one month time. Then products like dextromethorphan, we already have the US DMF available. CEP we will be filing in the quarter 1 of FY '25.

Allopurinol, we are filing the CEP

and the US DMF before this financial year ends. So February end is actually when we are planning to file both for the CEP and the US DMF. So these are some of the larger opportunities.

One more product I would like to mention is cetirizine Di hydrochloride. For which we have already applied for US DMF. We just received the US DMF number 2 days back. And CEP will be filed end of this month. So this product again has a very large market in Europe and US. So these are some of the top 4-5 molecules and their regulatory filing status.

Tushar Bhora: Ma'am, do you have sense on a stable basis once they are fully scaled up, maybe 2-3 years down the line, what kind of potential exists for this basket of 4-5 products from regulated markets?

Saloni Wagh: So for these 4-5 products, I mean individually the numbers are very large because these products have a global market which is very large. What I can say is that in the next 3 years, today the top 3 products, their contribution to the revenue is around 45%-50%. And the rest of the product contribution is very low.

But in the next 3 years, the situation would be that the contribution of the top 3 products would be around somewhere 20%-25%. And the balance contribution would come from the other set of products including some of the new products.

Tushar Bhora: Okay. Thank you so much, I'll join back in queue

Saloni Wagh: Thank you.

Moderator: Thank you. The next question is from the line of Ashish from InvesQ Investment Advisors Pvt. Ltd. Please go ahead.

Aashish: Yes. Thank you for the opportunity again. So as you mentioned, the seasonality in the business and the ups and downs on the quarterly profitability, all these things are kind of flattening because I think we are moving towards a mix where things could be kind of quarter on quarter better.

So Q4 historically has been a very high margin business for us. I think if I look at last Q4, '23 and '22, these have been the highest margin quarters for us. So would you say that these kind of margins of ~40% EBITDA and gross margins have been pretty high?

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That would remain? Or do you think that Q4 also has that kind sort of mix change where we will have lower margins?

Saloni Wagh: So if you have been following us for the last more than 4-5 quarters, we have been indicating that the stabilized sustainable margin for the company is 28%-30%, which we have sort of maintained in the last 3 quarters as well, overall on an annualized basis. The 40% margin which we were able to achieve the year before that was because of certain dependency on certain

geography and certain niche business, which we have already indicated, you know, although the volumes have stabilized, there is an erosion in the pricing which we don't expect to stabilize. So for us, a sustainable margin would be 28%-30%.

You can expect a higher revenue in Q4, but in terms of margin, even if the margins are slightly better on an annualized basis, 28%-30% is the only margin indication that we would like to give.

Aashish: Okay, so you are talking about the China portion that we had, that was contributing to the higher margins earlier?

Saloni Wagh: Yes, correct. So like we have mentioned in the past also, the volume we have gained back, but there is a price erosion. So we have secured ourselves in terms of volume for the next couple of years. We already have a contract in place. And that will go. But because of the price erosion, the margins have been impacted.

Like what we are trying to do now is trying to make the product portfolio more robust and have a more stable margin profile across all quarters and have the product spread across more geographies, how the new products can also scale up in the more regulated markets. So we are more focusing on that. We don't anticipate or we are not even expecting that the Chinese business would go back to where it was. I think w

hatever is the current situation is the long-term situation that it will be.

Aashish: Okay, so the buyer in China that was there which was giving us much higher margins, the buyers are different now, is it? It is not the same?

Saloni Wagh: So the buyer is still the same. I mean, of course, the agent has changed. The end customers still remain the same because our product is registered in China for many, many years. And we have an NMPA certified site. But because of the situation, there is slight demand drop of the product plus one or two local competitors coming in that particular product. The price erosion is there on that one.

Aashish: Got it. One last question. On the existing basket, what is the overall runrate except for the new addition that we are doing? The product basket that was existing till FY '23, what is the potential for those products to grow on their own till when you think? Because I think you mentioned around 10% is a fair assumption on the growth that we can take.

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But I think we have fair market shares in those geographies for those products. So any idea that you can give? Just trying to understand where are we on that basket and the additions can be from new products.

Saloni Wagh: So because we have recently invested a lot in R&D at the Lote site plus we are also investing in R&D at the Ambarnath site. In terms of new product addition every year, I think four to five products is something that we will keep adding into the product basket. Each product because we are now also entering into newer therapies.

So of course we are expanding on the anaesthetic line like our chairman said in his speech because that's our area of expertise. We are also adding a lot of new therapies like anti-diabetic, anti-anxiety. So it would be very difficult because different therapies, completely different products, completely different global market sizes.

It would be difficult to indicate one such lump sum figure that you are looking for. But definitely all the products that we are looking at are in terms of volume 1000 metric tons plus globally and which have a very large global volume as well as value. So if we consider even 10% of that on a conservative basis because whenever we start a product, we go in with a complete backward integrated business model and very large capacity.

So 10% is actually very conservative. We can definitely achieve much higher than that. But the exact number and all, I think we would be in a better position to give in the coming few quarters when we have formally launched these products.

Aashish: Okay. Okay. Thank you so much.

Moderator: Thank you very much. The next question is from the line of Tushar Bohra from MK Ventures. Please go ahead.

Tushar Bohra: Thanks for the follow-up. Ma'am, this anaesthetic product which has been mentioned, the new opportunity, while you highlighted it a couple of times in the call already, but just to understand, we can't see a filing on the exchange for this. What exactly is the opportunity? Is it a CDMO opportunity or a new product development? What is it exactly?

Saloni Wagh: So actually, this is a new product development. What we started was on the API front because we have a very strong position in anaesthetic APIs. We considered manufacturing the API first. Today, the entire globe is dependent on China for sourcing of this particular API. So we thought of it as an import substitution. A lot of it is getting imported also in India with only dependence on China.

So we took up the development of the API first. And then we saw that there is a very large

opportunity for the bottling of the said API also. We reached out to a lot of large multinationals where they were very interested on doing CMO, CDMO tie-up for the finished product, which is the bottled product.

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An

d that's why we decided to explore both the opportunities. So currently, we have developed the API. It is put in stability. Validation batches have been done already. And this API will be manufactured at the Lote site. And then the bottling, we will be doing it in the Ambernath site, which we have already refurbished.

We have set up a bottling line of around 5 million bottles a year. On the finished formulation front, this product is extremely large. It is the most widely used anaesthetic globally.

The current market value of the product is around USD300 million. And it is growing very, very strongly. It is expected to grow at a 4.4% CAGR year on year. So you can imagine how large the market size is going to be. And because we will have full control of the API with us, we will have an extremely good control at the finished formulation level as well. This will further build on our CMO, CDMO skill.

It will give us better utilization of the Ambernath site. And it is a very niche technology, where you need a lot of manufacturing expertise, which we have. You need a large capacity, which we will have post the Module E. So all put together, this could be potentially a very large product and a game changer for us.

Tushar Bohra: Thanks. Second, ma'am, in terms of guidance overall, so just to quote from one of the earlier quarters, or earlier communications, when we had got this product from DSM-Firmenich, the CDMO product, I think you had mentioned that it will take a couple of years for commercialization. And full scale-up will happen only by FY '27, if I recall correctly.

But now what we are able to gather from this call is that we already have the first commercial order available with us. So clearly we are tracking ahead in terms of actual execution to guidance for this project. Is that understanding correct?

And second, in light of this, and the overall conservative stance of management to maintain at 28% to 30%, despite a lot of your products moving into regulated markets in the next two years, is it fair to say that the EBITDA margin guidance that we are giving, the internal target for companies should be much higher? Or are you going to target only 28% to 30% margin in your new project? Or is it that you are targeting higher but the communication is 28% to 30% and hopefully we expect a positive surprise as execution matches up to commentary?

Saloni Wagh: Thanks. So to answer to your first question on the DSM-Firmenich, the numbers what we have indicated, the INR60 crores-INR70-odd crores, it would still be, I mean the full potential would only be reached in '27. Although we have started getting the commercial order, DSM-Firmenich operates in a highly regulated market for this product.

Their focus is on pharma customers, wherein the CEP, USDMF and Japan DMF is extremely critical, which we have already applied for. Some of the trial orders what they are taking are for their food customers. So the volume actually will increase only post we get the CEP, USDMF and the Japan DMF.

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So that is why in the third year, you know in that '26-'27, where we will see the volume sort of jumping, and then that full potential will be still achieved in that year only, the INR60 crores-INR70 crores what we have spoken about.

In terms of the margin guidance, like I said earlier also, there are multiple opportunities and products where the margin profile is much higher than 30%. But when we indicated 28%-30% is on a blended basket of multiple products, multiple CMO opportunities, multiple new product infusions into the basket.

Of course, there is a potential that we can achieve much higher margins, and of course, the management is always trying to get the maximum possible margins. But this is just a very conservative guidance in terms of the overall blended basket, I would say.

Tushar Bohra: And on the top three products, are we

seeing any increasing competition or any rising pressures across the basket of products in any of the major markets?

Saloni Wagh: No, we are not seeing. For us, the top three products are stable. In fact, two of the products are even growing products. Because of the niche technology and because of having a complicated

process, and you need to have a complete backward integration to have a leadership position for the top three molecules. Because of all these things, we still don't see much competition. Of course, the antihistamine product in China, because of some local manufacturers, that market is impacted. But other than that, all the other markets and all the other geographies still are very stable. We don't see any price erosion happening.

Tushar Bohra: Ma'am, one last question quickly. This formulation, the bottling that we intend to do for this new project, does this open us up for more formulation projects, CMO and even generate formulation business? Or are we going to be more measured about how we build this part of the business?

What is your thought process on branching out from your core APIs?

Saloni Wagh: So definitely, once we set up this facility and we move forward, there is always an opportunity which is there for taking on more such CMO, CDMO opportunities in the finished formulation area. Because we are already setting up the plant and we operate in a highly regulated environment.

So this particular site will also eventually have all the regulatory approvals, such as the USFDA, European authorities, ANVISA Brazil. So that is what we are aiming at. So yes, we are definitely open for further opportunities in the finished formulation space with the Ambernath site.

Tushar Bohra: But are we going to actively target in the existing product basket going to formulations?

Saloni Wagh: So not on our own. We don't want to compete for any of our own products as such. But there are some discussions which we are getting from some customers in the U.S. and Europe where they are interested in buying certain finished formulations that they were getting manufactured in Europe.

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But due to the price pressures and all the non-favourable environment in Europe for production, they want to move it to our site. So some such discussions are going on, but they are at a very, very premature stage.

Tushar Bohra: Thank you so much for the follow up. Wish you all the best.

Saloni Wagh: Thank you.

Moderator: Thank you very much. We will take the last question for today from Pritesh Chheda from Lucky Investment Managers Private Limited. Please go ahead.

Pritesh Chheda: Thank you, ma'am. Just a clarification. So currently, the 600 scale that we have is basically at Parshuram Lote. And on this INR400 crores block, what is the maximum revenue possible on this block or what is the capacity utilization that you are running today? Either way, you want to answer.

Krishna Raghunathan: As of now, since it's a multi-product block, the capacities would be somewhere around 70% to 75%. That would be the best utilization ever possible. And see, the plans are on to have the existing INR1,000 crores from the existing blocks itself.

So that is why when we are saying that we are going to expand further into module E, Module E can even take our revenues around beyond INR1,000-plus-crores also. So that would be the additional advantage which we will have with module E.

Pritesh Chheda: Okay. And the Ambernath unit, which is supposed to come, which is a greenfield is meant for CDMO, CMO, right?

Krishna Raghunathan: Correct.

Saloni Wagh: Correct.

Pritesh Chheda: And this unit which was supposed to come at the end of Q4 FY'24, what is the status there?

Saloni Wagh: So it will now come in Q1 FY'25. So just a couple of months, I mean one or two months delay in the timeline.

Pritesh Chheda: And what will be the utilization ramp up there? Do we have

ave the necessary CDMO, CMO orders

and how will this capacity be utilized?

Saloni Wagh: So currently we don't have concrete orders but there are a lot of advanced level discussions which are happening for the bottling of the anaesthetic product that we mentioned before. I think it will take us at least two years to have a good utilization because we will have to trigger a lot of regulatory inspections. So for the first year, the capacity utilization might not be very high. But I think towards the second and the third year, the capacity utilization would be far, far greater.

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Krishna Raghunathan: And Pritesh, adding to what Dr. Saloni has said, see we also had -- my Chairman has already said in his speech that this plant would be, what do you call, commissioned phase wise. So as

and when we will have our utilization, we will expand it further. That is how it would be. It will be modular and it will not be a linear sort of a stuff.

Pritesh Chheda: And for the module E at the Parshuram plant, when is this supposed to come and what is the capex that you are putting here?

Krishna Raghunathan: It would be around Q1 FY'25 and this module would be somewhere around INR100 crores to INR120 crores. That would be the capex and these are mostly funded out of our IPO proceeds.

Pritesh Chheda: The INR1,000 crores revenue which you mentioned on the current block, ex of module E, right, INR1,000 crores revenue ex of module E...

Krishna Raghunathan: Might be some, what do you call, some cleanroom facility of module E might need to be used here.

Saloni Wagh: That is just the one correction I would like to make. While we will not be using the intermediate capacity of module E, we are running short on the cleanroom, the final processing areas. So some part of module E, the cleanroom areas will be needed for achieving this INR1,000 crores mark.

Pritesh Chheda: So this INR1,000 crores revenue, the question was how many years do you think you should reach the INR1,000 crores based on whatever products you have in pipeline, based on the existing 50%-60% of your portfolio, three products brought from there and the new products.

So this INR1,000 crores revenue potential, what should be the number of years to achieve it?

Saloni Wagh: So we have always maintained that by FY'27 we should be in a position to achieve this number.

Pritesh Chheda: Thank you very much.

Saloni Wagh: Thank you.

Moderator: Thank you very much. In interest of time, we will end the call. I would now like to hand the conference over to Ms. Saloni Wagh for closing comments.

Saloni Wagh: I would like to thank everyone for joining us to discuss the quarterly development. Our development of new products and the impact of revenues derived from successful DMF filings and corresponding product launches should prove supplementary.

Besides the launch of our CDMO business should enhance revenues further by laying the ground for an attractively sustainable future that enhances value for all our stakeholders. Thank you everyone for joining. Have a good day.

Moderator: On behalf of Supriya Lifescience Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jun 2024

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GOVT. RECOGNISED EXPORT HOUSE

Date: June 5, 2024

To, To,
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, C-1, Block G
Dalal Street, Bandra Kurla Complex
Mumbai – 400 001 Bandra (E), Mumbai – 400 051
Scrip Code: 543434 Scrip Symbol: SUPRIYA

Dear Sir (s),

Subject: Transcript of the Earnings Call for the quarter and year ended March 31, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we hereby enclose the transcript of the Earnings call held on Wednesday, May 29, 2024 at 11.00 A.M. IST to discuss operational and financial performance of the Company for the quarter and year ended March 31, 2024.

This is for your information and records.

Thanking you,

Yours faithfully,
For Supriya Lifescience Limited

Shweta Singh
Company Secretary & Compliance Officer
Membership No.: A44973

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"Supriya Lifescience Limited
Q4 FY '24 Earnings Conference Call"
May 29, 2024

MANAGEMENT : DR. SATISH WAGH – CHAIRMAN AND MANAGING
DIRECTOR – SUPRIYA LIFESCIENCE LIMITED
DR. SALONI WAGH – WHOLE TIME DIRECTOR –
SUPRIYA LIFESCIENCE LIMITED
MR. KRISHNA RAGHUNATHAN – CHIEF FINANCIAL
OFFICER – SUPRIYA LIFESCIENCE LIMITED

MODERATOR : MR. IRFAN RAEEN – ORIENT CAPITAL

Supriya Lifescience Limited
May 29, 2024

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Moderator: Ladies and gentlemen, good day and welcome to the Q4 and FY '24 Earnings Conference Call of Supriya Lifescience Limited. As a reminder, all participants' lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded. And I'll hand the conference over to Mr. Irfan Raeen from Orient Capital. Thank you. And over to you, sir.

Irfan Raeen: Thank you, Neha. Good morning, everyone. On behalf of Supriya Lifescience Limited, I extend a very warm welcome to all participants. Before we begin the call, I would like to give a short disclaimer. This call may contain some of the forward-looking statements, which are completely based upon our belief, expectation. As of today, these statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties.

With this, I would like to hand over the call to Satish, sir, for his opening remarks. Over to you, sir. Thank You

Satish Wagh: Good morning and a warm welcome to all the participants. Thank you for joining us today to discuss the Q4 Financial Year 24 results of Supriya Lifescience Limited. To take us through the results and answers to your questions, along me are Dr. Saloni Wagh, Whole-Time Director, Mr. Krishna Raghunathan, Chief Financial Officer, and our Investor Relations Department, Orient Capital. I hope everyone got the opportunity to go through the financial results and investor presentation, which have been uploaded on the stock exchanges as well as the company website. It gives me immense pleasure to announce that the company has achieved a revenue of INR570 crores, which is a 24% growth as compared to the previous year, while maintaining a healthy EBITDA margin of 30%. This achievement is a testament to the successful execution of our long-term and sustainable strategy, which includes:

- a) Penetration and focus of the company on more regulated markets
- b) Widening our product basket in regulated markets
- c) Widening our portfolio by introducing new molecules and therapies.d)Integrating production, manpower, and the latest technology.
- e) Enhancing operational efficiency and superior cost management.
- ef)Implementing backward integration to extend our value chain and secure more regulatory registrations
- g) Focusing on R&D investments and ensuring supply chain stability.

The company continues to deepen investments in systems, risk understanding, alternative markets, and responsiveness. During the year, the company enhanced its presence in regulated markets, resulting in a large share of revenue contribution from the European region, increasing from 31% in financial year '23 to 41% in financial year '24. This shift is significant as margins in the regulated markets are higher as compared to semi-regulated markets.

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The company has created a pipeline of a new products extending beyond its long-standing competence in anti-stimulants to include anti-diabetics, anesthetics, etcetera and other therapeutic areas. These products will be launched by Q3 FY '25. We intend to build our contract development and manufacturing organization, CDMO, business portfolio.

Our site in Ambarnath will be ready by Q2 FY '25, where we will be further expanding our CMO and CDMO activities. This year, we are very pleased to announce that we have proposed 40% dividend as against of 30% last year for all our esteemed shareholders. With this, I hand over the call to our CFO, Mr. Krishna Raghunathan, to share Q4 final year '24 financial highlights with you all. Over to you, Mr. Krishna.

Krishna Raghunathan: Thank you, sir. Hello, everyone, and goo

d morning. I will now share the operational performance

of the quarter, and following which, we will open the floor for questions and answers.

The company reported revenue from operations of INR158 crores in Q4 FY '24 as against INR140 crores in Q3 FY '24, plus registering a growth of 13% quarter-on-quarter.

EBITDA in Q4 FY '24 stood at INR56 crores as against INR41 crores in Q3 FY '24, and EBITDA margin stood at 35% for Q4 FY '24 as against 29.% in Q3 FY '24.

Profit before tax was INR53 crores for Q4 FY '24 as against INR40 crores in Q3 FY '24 and the growth is around 33%.

PAT stood at INR36 crores in Q4 FY '24 as against INR30 crores in Q3 FY '24. PAT margins stood at 23% compared with 21% in Q3 FY '24.

Moving to full-year performance

Revenue from operations of INR570 crores in FY '24 as against INR461 crores in FY '23, we reported a growth of around 24% compared with FY '23.

EBITDA in FY '24 stood at INR173 crores as against INR129 crores in FY '23, and EBITDA margin stood at 30% for FY '24 as against 28% in FY '23.

Profit before tax was INR166 crores for FY '24 as against INR123 crores in FY '23, and the growth is around 34%.

PAT stood at INR119 crores in FY '24 as against INR90 crores in FY '23. PATs margins stood at 21%.

We have improved our working capital days from 235 days to 124 days. This is mainly due to reduction in overall inventory days from 233 to 165. There has been a slight increase in get-out days due to higher sales during this quarter end, which would even out. On borrowings, we would like to report that for the last six months, we have not utilised any working capital limits except for letter of credits and bank guarantees.

Now, we can open the floor for questions and answers. Thanks to all of you.

Moderator: Thank you very much. We will now begin the question and answer session. Anyone wishes to ask a question may press star and one on their touch tone telephone. If you wish to remove yourself from the question queue you may press star and two. Participants are request to use

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handsets while asking a questions. Ladies and gentleman we will wait for a movement while the question (sound not clear 7.45) The first question is from the line of Raghav Agarwal from Vriddhi capital. Please go ahead.

Raghav Agarwal: Hello. Am I audible sir? (8.01)

Moderator: Yes, you are audible.

Raghav Agarwal: Good morning, everybody. Congratulations, sir, for the great set of numbers. I just had a question regarding the Brazil orders and the Brazil approvals that you were talking about last time. You had mentioned that you had got some approvals from there. Can you throw some light on that?

Saloni Wagh: Yes, we have. So, we had our ANVISA audit from the Brazilian authority in the month of January, and we have cleared that audit with zero observations. So, it is a big step for us because recently the authority had opened up the portal because most of their current sources are from China. So, they are looking at replacement sources, and they had opened up this portal wherein if you can get the products registered and you can get the site audited and approved, then you will become the first source for those products, and all the local companies would have to buy those products from you. So, we have actually taken great advantage of this situation. We got the audit done.

Like I said, we cleared the audit with zero observations, and as of now, we have already registered about 10 products with CADIFA. Around eight additional products are currently under registration. So, by end of this year, we will have about 17 to 18 products registered with the authority.

This actually opens up a very big market for us because for our existing products also, the market in Brazil is growing, plus the new products what we are introducing in the basket, for those also

the Brazilian market is quite large. Our anticipation is that in the next three years, because of this registration in Brazil, at least INR200-odd crores we will be able to add to our top line. So, this is just some light on the registrations and why we have aggressively pursued this.

Raghav Agarwal: Thank you so much, ma'am, for that answer. I also wanted to understand the DMS project. How is that going on? And you had also mentioned that there is a possibility of getting similar orders like the European DMS order that we received. Can you also talk about that?

Management: If I am not wrong, you are asking about DSM, right?

Raghav Agarwal: Yeah, Yes, exactly..

Saloni Wagh: Okay. So, yes, it is one of our, as you are aware, that in the last couple of quarters, we have really focused on expanding our CMO, CDMO kind of opportunities, and DSM is one such long contract that we have got. We are the exclusive suppliers for vitamin B2 for them. Initially, they were manufacturing this product, but in the last few quarters, they have completely suspended their production, and now we will be their sole supplier going forward globally for this product.

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The project is moving really well. We have already started commercial supply for food grade material, and the CEP, USDMF, and the Japan DMF are currently under filing. So, once that is done, even the pharma you know business, we will start getting. For FY'25, we are anticipating at least 25 to 30 tons of you know material from the DSM contract, and we definitely have a lot of other similar contracts in the pipeline where we have some assured business of advanced intermediates as well as APIs, which will -- you will see that some of them will start commercializing in FY'25, maybe the second half of FY'25, but there are a lot of other opportunities on the same line.

Raghav Agarwal: That's it from my side. Thank you so much. Thank you.

Saloni Wagh: Thank you.

Moderator: Thank you. The next question is from the line of Aditya from MSA Capital Partners. Please go ahead.

Aditya: Thank you so much for the opportunity. So, just wanted to quickly understand a few things. So, what would be the overall thought process of the management when we are coming out with new molecules? What is the size of molecules that we look at? What are the margins that we look at when doing R&D? If you can just give me a quick colour on this.

Satish Wagh: See, we focus on the molecules. Normally, if you see, you know, many products are -- we're depending upon China. So, our intention is that the therapeutic products which we select, we have our in-house complete backward integration, and then we launch. And we normally see a sizable amount of tonnage and business. We, therefore, have already increased our capacity of one of the plant which is going into operation. Validation is going on now.

That is 370 KLD. So, you can understand, we already have next three years future considering the capacity is 1,020 KLD. And many countries today I have seen are very keen to buy from India than China. So, we mostly focus on that because we are in exports for almost more than 38 years. And you have seen our ratio is 80% and above.

So, our meetings which we meet to the customer, customer has intention to expand the business with Supriya Life Science because of the regulatory support and many other options which we give to our customers.

Aditya: Understood, understood. Thank you so much for the answer, sir. Also, from introduction, that is when we developed the product and we launched it in the market, how fast, in your experience, how fast does a molecule scale up? And for example, what would be the revenue percentage of the molecule that you had introduced two years back as part of our revenues today?

Saloni Wagh: So, usually it takes around two to three years for any molecule to scale up significantly because it

takes anywhere between 12 to 18 months for getting different kind of regulatory approval.

About six to nine months for us to actually launch the product and get the validation completed and start the commercial production. But in regulated market, 12 to 18 months to register the product.

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So, for you to see a sizable contribution from a particular new product to our top line, minimum two years are required. In semi-regulated market, this time is slightly shorter. You can see that in semi-regulated market, between 12 to 18 months, as soon as the commercial launch of the product happens, we can start applying some quantity. But the better margins and the higher revenues come when the product goes into the more regulated market.

Aditya: And if you were just to quantify the product that we had launched two years back or three years back, if you have the number ready with you, what would be the contribution from those products today?

Saloni Wagh: So, not exactly. We are not able to quantify that exact number. But what has also happened is in the last couple of years, we have actually worked on our existing products because if you look at our revenues in the last two-three years also, we were not present for a lot of our existing products in the regulated market space.

So, last two-three years, our main focus was capacity enhancement and then catering for existing products in the regulated market which we were entering. And that is also reflected in the number. Most of the major new product launches will start happening from this financial year because this year we are planning to launch almost four-five new products. So, now you will see more and significant contribution from the new product launches.

Aditya: Understood.

Satish Wagh: Also the strategy of the company, as you were asking normally any development API takes two to two and half years. But we have decided, Yes, but we have decided after meeting the customers because our customer base is 1,700 customers currently present in 128 countries. You

can see and analyze that. This is the big basket. We have decided to catch hold of big companies where we will not be selling the API but validated drugmaster files for the N-1 intermediate we will give them. And today the demand is from them that they don't want to go to China but they need N-1 intermediate where volumes are there.

So, such type of products we are already talking with three-four customers who are using in a very big way. There, if you get your interest, you get your margins, we are very happy. So, we will not be fighting for API but we will see that we consume our entire capacity for N-1 intermediates and move ahead. First and the second, you must understand that we are a debt-free company that is our strong presence. We have cash in our hand. We don't borrow anything. As of today, you see the balance sheet. We don't have any limits utilized by us. That's the stronghold of the company, principles and integrity.

Aditya: So, there's no doubt that you've played a phenomenal business just trying to get a better sense for myself and handle on the company. So, that's why these qualitative questions that I'm trying to get a sense of. Sir and Mam So, when we look at our sales cycle and if you can -- how long would it be, what would be the process and in terms of wallet share, do we monitor our wallet share in terms of our clients' API spends and what would be the quantum of competition within that wallet share?

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Saloni Wagh: So, as far as competition is concerned in most of the products that we manufacture, I wouldn't say that we have a comparable competitor only because we are present mainly in the very regulated markets where we are supporting our customers not only with the complete regulatory compliance, but for most of the

ese products, we have a completely backward integrated product.

So, in terms of supply, in terms of the best cost, in terms of even the quality of the product itself, I feel in most of our products because you know that for a majority of the products which almost contribute to about 75% of our revenue, we are fully backward integrated. So, for those products, at least we don't see that there is a comparable competitor and with the customer also, we are their first approved source.

So, more than 80%-90% of their demand, we are catering currently.

Satish Wagh: And sir, one thing I would like to highlight. This is a regulated pharmaceutical industry. It's not a grocery market of competitions. Let's understand that. Competition, you can create and you can lose. You can become NPA and get out of the business. That's the story in India. You must understand that this is not possible. In a regulated industry, regulated things are discussed. The buyer should be confident to work with you. That confidence has to be created because today somebody comes, gives X price, Y price and just takes the business.

We have seen what is the fate of the business today. So business is always there on your integrity, quality and your sustainability. You go anywhere and say INR10 down, INR20 down nobody can buy from you because in the world today people talk about quality.

The manager who sits he wants to buy at least 4 products, 5 products and reduce the number of vendors that is the attitude of the multinationals and big companies today. People are fed up on China and people always want to know who is ready to give a good product. So yes the pharmaceutical industry is [inaudible 20:48].

Moderator: Sorry to interrupt you sir. I request you to come back for a follow up question.

Aditya: All right.

Moderator: Thank you. The next question is from the line of Afzal Shaikh from M3 Investments. Please go ahead.

Afzal Shaikh: Am I audible?

Moderator: Yes you are audible.

Afzal Shaikh: Good morning, ma'am and congratulations for the good setup number. So, I have three questions. First one is how much revenue we have generated from regulated markets from this financial year and second one is about like how much revenue we have generated from top 3 APIs, top 5 APIs and top 10 APIs that's all?

Saloni Wagh: So thank you for the question. In terms of the revenue share just to give you a little background 80% of our revenue is generated through exports and only 20% is from domestic markets and in
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this 80% also about 50% is coming in from regulated markets. If you see for regulated markets our share has gone up in Europe also from 33% to almost 41%.

The other markets like North America, Latin America they are stable. And in fact in the next

couple of quarters you will see that the share of these markets will also go up. So that's as far as the revenue contribution from the regulated markets. Then for the top products it will not be possible for us to say what would be the revenue of the top three or top five, but we are consistently working on adding new products into the basket so that the revenue is more diversified.

Of course, we will continue to have leadership position for some molecules, but overall we are working on derisking the portfolio so that the revenue generation is more diversified.

Afzal Shaikh: ok But as you mentioned in previous years and previous quarters you said your top three product contribution is around 44% to 45%. So is it the same thing or what?

Saloni Wagh: Yeah, So currently it is almost similar, but going forward you will definitely see as the new products and new opportunities grow. I mean of course the top three products are also growing they are not degrowing products, but the revenue generation and their contribution to the total revenue will go on decreasing as the new products and the new opportunities kick

in.

Afzal Shaikh: Yeah ok, and how much is revenue generated from top three customers you have numbers can you please share us?

Krishna Raghunathan: We don't discuss anything on what you call customer specific or product specific in an open forum. I hope you understand.

Afzal Shaikh: Okay, got it. And I want to know about there is only 11% growth in your quarter-on-quarter basis. So, could you please give me like why this growth is like only 11%?

Krishna Raghunathan: I think it has already been discussed. We have told very clearly that our guidance I hope you are looking at our guidance also. We said that the overall revenue growth would be around 20%. I think we had grown at 23%. And we said that EBITDA we will grow by around 30%. I think the overall year's EBITDA is at around 30-plus percentages. I don't understand did we say anything wrong [inaudible 24:52]. No, I don't think we have done anything like that. Is there anything else you would like to understand sir?

Afzal Shaikh: No. Thanks a lot.

Moderator: Thank you. The next question is from the line of Aditya Sen from RoboCapital. Please go ahead.

Aditya Sen: Hi, thank you for the opportunity. Sir, in the previous call also you shared the guidance of 20% revenue growth for the following year, FY'25. So, will this be from the existing products and like from the existing business only including the new products? Or this includes the revenue from the Amarnath capacity which will get commissioned in Q2?

Saloni Wagh: So, no, this basically guidance is on the overall blended portfolio. Of course, this can be higher once Amarnath goes into complete production. But for Amarnath to generate peak revenues, it

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will not be possible in this financial year because only in quarter 2 of this financial year the production will start.

So, the validation and then for the commercial production to start and for it to reach peak capacity, we are looking at least 2 years, 3 years. So, this 20% plus guidance on the revenue growth is on the blended portfolio. This includes our current basket of APIs, some of the new products that we are launching, the CMO activities that we are doing and of course Amarnath. So, as and when some of these projects kick in, they definitely have a higher potential in terms of growth as well as margin also. But whenever we are giving a guidance, it's more on the conservative side on the entire blended portfolio. So, that is why we are maintaining that 20% plus revenue growth.

Aditya Sen: Alright, and how much is this Amarnath supposed to contribute at peak potential in the coming 2 years, 3 years?

Saloni Wagh: So, that would be very early to say that how much Amarnath would contribute. But overall, the CMO, CDMO portfolio that we have in the next 3 years, we anticipate that it should contribute at least 20%, 25% of our total revenue. Because Amarnath facility is also meant for CMO, CDMO activities. So, that is just an extension and expansion of our CMO capabilities. So, that's why I am saying that the overall CMO will give us about 20%, 25% of total revenue.

Aditya Sen: Alright, and this module E got commissioned last quarter?

Saloni Wagh: So, module E will get commissioned probably end of this month. There was a slight one month delay due to some of the other factors like the construction work getting delayed slightly because of the climatic conditions there. But it will get commissioned end of this month. So, we are anticipating that by quarter 2 of FY'25, we should start commercial production.

Aditya Sen: same as Amarnath right?

Saloni Wagh: Same as Amarnath.

Aditya Sen: This will also take 2 years, 3 years to reach peak potential?

Saloni Wagh: Yes.

Aditya Sen: Okay, alright. Thank you.

Moderator: Thank you. The next question is from the line of Nirali Shah from Ashika Stock Broking. Please go ahead.

Nirali Shah: Yes, hi. I have a quick

question regarding our current strategy. We have been focusing on expanding our portfolio for flu range. Could you provide an update on our progress in this area? Specifically, I would like to understand the key milestones we have achieved so far. Any challenges that we are facing and the next steps in our expansion plan?

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Saloni Wagh: So, like we said expansion for new products, we are now evaluating newer therapies like anti-diabetic, anti-anxiety. We already have a very strong presence in an aesthetic portfolio. So, that is another basket of products that we would like to expand on. There is a lot of potential in an aesthetic basket like our chairman said that there are a lot of products in this basket, which are purely being imported currently from China, and there is a lot of dependence globally there. So, we would be one of the first manufacturers globally to develop an indigenous product in India from the basic chemical. So, we are currently focusing on the backward integration for the new products what we are launching. We expect most of these new products to be launched somewhere around quarter 3 of FY'25.

That is when at least we will be able to start supplying commercially to some of the non-reg markets. And of course, the regulatory approvals will take about 12 months to 18 months. So, this is where we are in terms of the new product launches and the thought process behind the new basket.

Nirali Shah: Okay, got it. That's it. Thank you.

Moderator:: So our next question is from the line of Monica Joshi from Hornbill Capital. Please go ahead.

Monica Joshi: Hi guys. Thank you for this opportunity. I just wanted to understand earlier we had this thing of volatility or let us say seasonality in the revenues and there was this September and March which used to be kind of a little lumpy in terms of revenues, but that does not seem to be the case anymore. So, is that now completely ironed out? So if we see the March quarter now versus the December quarter 23 it's kind of flattening out. So do you think this is now a new normal you have achieved that kind of stability in your revenue?

Saloni Wagh: So Monica to answer to your question, yes, previously there was a lot of seasonality aspect to some of the major products that we were where we had the leadership was the anti-histamine anti-allergic where there is a definite seasonal impact, but if you have tracked the company in the last couple of quarters we have consciously put a lot of effort of growing our other basket of products in some of the regulated geographies.

So that is why you will definitely see that moving forward there would be much more stable quarters. It is not completely gone. There will still be a seasonal impact because anti-histamine still is a key product in our portfolio, but with some of the other products growing or you will definitely see that the quarters are more stable.

Monica Joshi: Got it because though it is kind of reflecting in the revenues it is not as much reflecting in your gross margins. So your margins tend to still show that variance. So you had this bump up in gross margins in March and that volatility continues. So how does one read into understanding when we are projecting your numbers? How does one read into understanding where this really goes because is that volatility likely to stay if not in revenues then in margins?

Saloni Wagh: So the volatility in the margins also you will see will be quite stable moving forward. The volatility is mainly happening because of certain products having a bigger reach in the regulated markets and we have said this in the past also that regulated markets are giving better selling

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prices as compared to the semi-regulated markets. So wherever the sales in those markets is higher for that particular quarter you will see th

at the margins are also slightly higher.

But moving forward, even that I would say would be more stable and we have always maintained this and we continue to maintain this moving forward also that we would like our investors to have a more long term approach and look at the margins on an annualized basis rather than quarterly basis and on an annualized basis 28% to 30% margin is something that we are very confident of maintaining.

And that is also getting reflected in the last couple of quarters' numbers. So moving forward also, the same guidance that please look at the margins on an annualized basis where we are very

confident that 28% to 30% we will be able to maintain. The company definitely has potential to achieve higher than 30% because a lot of the new projects the same opportunities come at a more premium margin that is what we benchmark ourselves against.

But 28% to 30% is a confident number that we are very assured that we will be able to maintain along with the 20%-plus revenue growth year-on-year.

Monica Joshi: Correct, So you're maintaining the 20% guidance so that's about a INR1000 crores of revenue by FY27 and the 28% to 30% margin guidance. So we are clear about that still stays?

Saloni Wagh: yes, Absolutely.

Monica Joshi: And when you just missed that one small part when you said the 25% contribution from CMO, CDMO you were referring to the INR1000 crores in that you expect about 25% to come from CMO, CDMO. Is that correct?

Saloni Wagh: In the INR1,000 crores we anticipate about 18% to 20% coming in from CMO, CDMO.

Monica Joshi: And in your estimate that is definitely not margin dilutive. It is in fact a better margin proposition than what you are guiding at 28% to 30%.

Saloni Wagh: Yes.

Monica Joshi: Got it. Thanks a lot so much.

Saloni Wagh: Thank you.

Moderator: Thank you. The next question is from the line of Dixit Doshi from Whitestone Financial Advisors Private Limited. Please go ahead.

Dixit Doshi: Yes thanks for the opportunity. Some of the questions are answered just a couple of questions you mentioned one is our Ambernath capex and one more capex is going on if you can elaborate on that and how much would be capex amount for both the capex?

Saloni Wagh: So we are anticipating about INR100 crores of capex in FY25. This will be mainly for Ambernath as well as some part of the new module E which is coming up. We are also doing some debottlenecking activities for enhancing our current product basket capacity. So like some Supriya Lifescience Limited

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of the older blocks in the manufacturing facility like the B block and all we are just refurbishing to increase the capacity.

So all this will be mainly for these reasons the INR100 crores and at the end of this our capacity would be somewhere around 1020 KL for the Lote side and for Ambernath it will be about 200 odd KL.

Dixit Doshi: Okay. And for Ambernath how much would be the total capex including whatever we have already spent?

Saloni Wagh: It would be about INR75 crores.

Dixit Doshi: And currently what would be our broad capacity utilization?

Krishna Raghunathan: : See for the current year we were at around 86%. With the E block coming up we believe that since like what Dr. Saloni has already told that we will be able to meet our revenue guidance for next 2 years to 3 years from the existing Lote facility. So I think that should be the answer of the capacity utilization.

Dixit Doshi: And also when we say 86% capacity utilization we manufacture lot of different products. So at peak what kind of utilization we can do, can we go to 100 or 90, 95 would be?

Krishna Raghunathan:: 100 is not at all possible. See we have a regular maintenance schedules which needs to be taken compulsorily. See I don't think -- see this itself is the highest optimal limit what we have touched.

In fact, our manufacturing teams along with our CEO the

y had a lot of sessions around this and

that is why in fact we had the bottleneck most of the areas. Otherwise in a multiproduct facility anything around 75% to 80% itself is what you call a nice percentage to maintain.

Dixit Doshi: And one last question in the current year how much would be contribution from CMO and CDMO?

Saloni Wagh: We don't discuss what do you call business wise or anything in any of our what do you call calls. So I think this is something which we generally don't give it out.

Dixit Doshi: Okay fine. That's it from my side.

Moderator: Thank you. The next question is from the line of Shubham from Purnartha Investment Advisers Pvt. Ltd.. Please go ahead.

Shubham: As on FY25 growth drivers?

Moderator: Can you repeat the question?

Shubham: Can you discuss in detail on FY25 growth drivers?

Saloni Wagh: So for FY25 we categorize the growth drivers into three major baskets. One is the existing product portfolio what we have, other than the top three products. We have a good basket of about 10 products 11 products where we are currently present only in the semi-regulated market

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and we have already registered these products in the regulated market. We are just waiting for the approvals to come through.

So the first would be the scale-up of these products into the more regulated market space that will not only add to the revenue, but it will also help to further improvise the margins. The second one is the CMO, CDMO opportunities that we have. Similar to DSM there are at least two to three other opportunities where we are at a very advanced discussion where there is a fixed volume of advanced intermediates. In certain cases APIs also which we have to manufacture for certain multinationals.

So, those contracts will also start coming in, I mean, the commercial volumes will also start kicking in. So that I would say is the second area for growth and the third definitely would be the new product launches. So as we have mentioned before we are trying to expand our existing product basket. So we are adding new products in the anaesthetic category, in fact, four new products we are adding there. We are also adding newer therapies like anti-diabetic, anti-anxiety. so these new product launches also will start adding to the revenue.

So, these I think would be the three major growth drivers. On the CMO, CDMO front to talk a little bit more in detail with the Ambarnath site coming up, there is a possibility of us moving into forward integration also for CMO kind of contract. So, that would be another new area for us, where we can get more traction and that can also really add to the revenue in the coming few years.

Shubham: But like you are saying, existing product and new regulated market but did we get registrations and all that has been completed or still we are waiting for that?

Saloni Wagh: So, it is an ongoing process because we are talking about 10-11 products there are some products where we have already received the registration, some are currently under registration. So, different products are at a different stage, I would say.

Shubham: And in CMO opportunities, which two, three opportunities you are talking about that are in advanced stage, so that might get benefited from, I think the second half of the year?

Saloni Wagh: Yes. So, that some part commercially might get added in FY '25 but majority of the CMO revenues will start coming in other than DSM and one or two which are at advanced discussion, most of them you will see that the revenue generation will start from FY '26.

Shubham: Okay. Thank you for that.

Moderator: Thank you. The next question is from the line of Nikhil from Securities Investment Management, Private Limited. Please go ahead.

Nikhil: Yes. Hi. Good morning. And congrats on good set of numbers. I hope I am audible.

Saloni Wagh: Yes. You are audible. Thank you.

Nik

hil: Yes. Just two questions. One is on this INR1000 crores revenue target where we are mentioning 18% to 20% income from CDMO and in our previous call, we have talked about two or three
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projects but from today where we are and the revenue which you gave for DSM, what gives you the confidence that this INR200 crores kind of a top line can be achieved? Like, if you can just talk probably not quantitatively but qualitatively, what is the kind of interest you are getting from customers or some sense to build a confidence on what is building this INR200 crores?

Saloni Wagh: So, basically because of the existing market as well as the new product, we are very confident because like our chairman said, we have taken a very different approach for adding new products in the basket. It is very strategic where global dependence on China is there for certain products. So, there customers are desperately looking for an alternative source and we have tried to capitalize on that aspect.

We have a lot of strength when it comes to R&D and developing the product. And backward integration, as you know has been a key strength of the company for a very long time. So, all these products which we have been able to newly infuse into the basket we have been able to completely backward integrate those and get the manufacturing process done completely in India.

So, indigenous products we have been able to develop where we are very confident that the kind of costing that we are able to get for the product now, we are able to compete on a global scale with the Chinese manufacturers. So, there is a lot of confidence there when it comes to our existing basket, of course and the new products that we have infused. On the CMO front also as I said this will be at the end of FY '27.

There is a fair level of confidence because two, three opportunities in this, like I said are a very advanced stage where we have already supplied the validation batches to them. And commercial

production will start any time. So, there is a volume commitment which we have already received from these customers.

And contracts have been signed that in the next two to three years these are the kind of volumes that they will buy from us. And these are binding contracts. So, there is a fair level of confidence that, yes, in the next two to three years most of these CMO opportunities, we will be able to scale up to that extent.

Nikhil: Okay. I got it. So, in conclusion would it be right to say that these are projects we've been working for the last one year and now everything is done, largely it is validation and once customer approvals come, they will get commercialized. So, largely the R&D and everything is already done on those.

Saloni Wagh: Yes, absolutely. These are the products and projects which we have been working, which have been in the pipeline for over a year now. And now most of these projects on the CMO front, as well as even the new product launches which we are planning to do in this year, we are at a very advanced, stage of discussion with all the customers, wherein they are just waiting for our validations to be completed and for us to start the commercial supply.

So, that is why there is a very, good level of confidence, I would say, that the INR1000 crores with the margins we are committing, we will be able to achieve that. In fact, if anything, like I've said in the past also, we have achieved higher margins as well as higher revenue in the past.

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So, there is a lot of opportunity for us that once all the CMO kicks in, the Amarnath project also kicks in, we can definitely do even better than what these numbers are.

Nikhil: And just an extension here, Saloni, see, what we are hearing from a lot of companies is there is a lot of interest for CDMO, CMO projects towards India, because of th

is China plus one. Not

specifically, but if you have to understand the projects we are working at the R&D versus what we were doing, say, one years or two years back, how is that pipeline build up for us today? Because the pipeline which we are working today will probably fructify in the next two years or three years. So, if you can talk about how is that pipeline scaling up and how is that inquiry level we are working with?

Saloni Wagh: So, definitely that China plus one strategy has benefited a lot of companies and we are also one of those companies who is focusing on that. Like our chairman said, our pipeline is also, focusing on that area only. The 4, 5 products which we plan to launch, we would be one of the first manufacturers in India or globally to have a completely backward integrated product other than China.

So, that is one key area where we are focusing. We are also trying to complement that with our existing therapies. For example, Anesthetic basket is one area where we are aggressively working. In our R&D, we have four products currently in this Anesthetic basket. We already have a very strong presence globally in our Anesthetic products. We are global leaders in some of the products.

So, we also wanted to build on that capability and also have a backward integrated product which would compete with China. So, you will see in the next couple of months, we will be launching four products where there is only dependence on China globally for the API. And a lot of the larger companies are very interested and in fact, some of the discussions are already at an advanced stage where they have told us, this is the volume that we are currently buying from China which we would completely like to move to you.

So, most of them are at a very advanced discussion and the R&D pipeline is also in that way.

So, main focus is on Anesthetics, anti-diabetics because that is a new therapy for us where we have been able to, develop a product which is fully backward integrated where again there is a lot of dependence on China today. And then anti-anxiety where we already have some strength because we already are catering to customers globally for these therapies. So, they wanted us to add certain more products. So, this is how the R&D basket is developing.

Nikhil: Okay. And last question.

Moderator: Sorry to interrupt you, sir. I request you to come back for a follow-up question.

Nikhil: Okay. Fine. I will come back.

Moderator: Thank you. Ladies and Gentlemen you may press star and one. The next question is from the line of Ashwini Agarwal from Demeter Advisors, LLP. Please go ahead.

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Ashwini Agarwal: Good morning, Dr. Saloni and team. Quick question. On the new products, that oral blue and

the gauze products that you have been studying, new chemical entities if I may call them, is there any update that you can share on those?

Saloni Wagh: For the new products, like I said, we are now through R&D. We are actually now at the validation phase because we anticipate that this newer basket of Anesthetic products can -- Just one second.[inaudible 49:48]

Ashwini Agarwal: Yes. I was talking about the cancer detection blue product. And that, the other, that you have the artificial skin for burns that you guys have been working on in chemical trial, etc.

Saloni Wagh: Sorry, I did not understand the question earlier. Both the projects are moving really well. First, our focus is on the cancer detection kit. We have already, I mean, the clinical trials will begin very soon.

We have already identified a partner who's going to support us with the clinical trials. Already in India, the patent has been filed. We are also looking at neighboring geographies, like certain Southeast Asian countries like Indonesia, Malaysia, from where we are also getting a lot of interest from the big formulation companies there, where t

hey want to put the patent and they also want to partner with us on this technology.

So the oral cancer kit is moving really well. We anticipate that in another 2 years, we will be ready with the final product and the product can be launched in the market, because that is how much time it will take for the clinical trials and everything to be completed. The gel also, yes, it is moving fairly well, but for us, the first launch will be the oral cancer detection kit, then followed by the gel.

Ashwini Agarwal: And you mentioned, and maybe I heard it incorrectly, I'm not very sure you mentioned that the DSM is 25-30 tons of supply is anticipated in '25, is that correct?

Saloni Wagh: Yes, we are anticipating about 20-25 metric tons of material supply to DSM in FY '25.

Ashwini Agarwal: And what would that revenue number be?

Krishna Raghunathan: Ashwini, DSM contract at its peak would be somewhere around INR60-INR70 crores on the top line, Ashwini.

Ashwini Agarwal: Okay, all right. Thank you so much, all the best, and I look forward to seeing you back.

Moderator: Thank you. The next question is from the line of Ketan Chheda, a retail investor. Please go ahead.

Ketan Chheda: Yes, hi. Thank you for the opportunity. I'd like to know, with respect to the U.S., this year, how much would be the revenue? Because if I see the last year versus this FY '24, our revenues have slightly decreased. So any outlook that you can give where we would be in terms of U.S. revenue, directionally, not any guidance, but directionally?

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Saloni Wagh: The U.S. has been, I would say, it's a good place, it's a good job. It's in the high to 60s range. We have also said in past that in the current portfolio, what we have inherently is a larger market for these products has been the European region and the Latin American region.

But there are a lot of new products which we are registering in the U.S., where they have good potential. Products like dextromethorphan, allopurinol, Tramadol, these products have very good potential in the U.S. market. And we are already started registering.

If you see, we have about 15 US DMS filed as of now. Also in the next few quarters, in fact, for this financial year also, we are anticipating that the contribution from U.S. would be slightly higher than what it is today. Europe will still remain, at least for the next 2 years, Europe will still remain our major market. But definitely US will improve.

Ketan Chheda: Okay, thank you for that. And the second question is in respect to the concentration. Now when I say concentration, it is with respect to the customers as well as your key therapeutic areas. In both of these, we have not seen a significant reduction in terms of concentration.

Like 49% revenues are coming from top 10 clients and anaesthetic therapies contributing about 46% without overall revenues. So again, what would be our plan to kind of reduce the concentration both on the customer side as well as on the therapeutic side?

Saloni Wagh: So on the customer side, definitely as some of the other products in the basket, therapies like antihypertensive, vitamins, as some of these products grow, automatically you will see that the customer and the geographic concentration will reduce because it will be a more distributed portfolio. In terms of therapies, see in the anaesthetic basket also, we have a lot of products. It's not only one product where we are driving the revenues.

There are a few products in that basket. So therapy-wise also, we are adding new therapies like anti-diabetic we are adding now, anti-anxiety we are adding now. Anaesthetic basket also we are adding, but new products. So the customer base would be new, the geographies would be new. So this is how we are trying to de-risk the portfolio as well as the therapy customer concentration by adding new products which would scale up in different geog

raphies.

Ketan Chheda: Okay, and last question. On slide 17, you mentioned that there are some anaesthetic therapy, 3 ANDA projects, and other ANDA projects for anti-hypertensive and vitamins. So when I see these ANDA projects mentioned here, is it that we are working on only APIs or intermediates or these would be formulations part of the CMO, CDMO projects?

Krishna Raghunathan: Well, it would be for APIs first and for certain of our existing therapy products, we might do some forward integration once Ambernath is up and running.

Ketan Chheda: So that would be our own formulations, is that correct?

Krishna Raghunathan: No, that would be only for CMO opportunities.

Ketan Chheda: Okay, thank you so much for answering the questions. Thanks.

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Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was the last question. On behalf of Supriya Lifescience Ltd., that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you, ma'am.

Call: Aug 2024

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GOVT. RECOGNISED EXPORT HOUSE

Date: August 19, 2024

To, To,
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, C-1, Block G
Dalal Street, Bandra Kurla Complex
Mumbai – 400 001 Bandra (E), Mumbai – 400 051
Scrip Code: 543434 Scrip Symbol: SUPRIYA

Dear Sir (s),

Subject: Transcript of the Earnings Call for the quarter ended June 30, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we hereby enclose the transcript of the Earnings call held on Monday, August 12, 2024 at 11.00 A.M. IST to discuss operational and financial performance of the Company for the quarter ended June 30, 2024 (Q1 of FY 2024-25).

This is for your information and records.

Thanking you,

Yours faithfully,
For Supriya Lifescience Limited

Shweta Singh
Company Secretary & Compliance Officer
Membership No.: A44973

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“Supriya Lifescience Limited Q1 Earnings Conference
Call”

August 12 , 2024

MANAGEMENT : DR. SATISH WAGH – EXECUTIVE CHAIRMAN &
WHOLE -TIME DIRECTOR , SUPRIYA LIFESCIENCE

LIMITED
DR. SALONI WAGH – MANAGING DIRECTOR , SUPRIYA
LIFESCIENCE LIMITED
MR. KRISHNA RAGHUNATHAN – CHIEF FINANCIAL
OFFICER , SUPRIYA LIFESCIENCE LIMITED
MODERATOR : MS. PRACHI AMBRE – INVESTOR RELATIONS , ORIENT
CAPITAL

Supriya Lifescience Limited
August 12 , 2024

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Moderator : Ladies and gentlemen, good day and welcome to Supriya Lifescience Limited Q1 FY25 Conference Call.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” and then “0” on your touch -tone phone. Please note that this conference has been recorded.

I now hand the conference over to Ms. Prachi from Orient Capital. Thank you, and over to you.

Prachi Ambre : Thank you, Aditya . Good morning, everyone. On behalf of Supriya Lifescience Limited, I extend a very warm welcome to all the participants.

Before we begin the call, I would like to give a short disclaimer. This call may contain some of the forward -looking statements which are completely based upon our belief, expectations as of today. These statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties.

With this, I would like to hand over the call to Satish sir – Executive Chairman and Whole -Time Director for his “Opening Remarks .” Over to you, sir. Thank you.

Satish Wagh: Good morning, and a warm welcome to all the participants. Thank you for joining us today to discuss the Quarter 1 Financial Year ‘2 5 results of Supriya Lifescience Limited.

To take us through the results and answers to your questions, along with me are Dr. Saloni Wagh – Managing Director , Mr. Krishna Raghunathan – Chief Financial Officer, and our Investor Relations team, Orient Capital.

I hope everyone had an opportunity to go through the “Financial Results ” and “Investor Presentation ,” which we have uploaded on the Stock Exchange and on our Company 's website. Let me begin with the highlights of Quarter 1 , Financial Year ‘2 5, Financial Year Performance :It gives me immense pleasure to announce that despite the geopolitical uncertainties, supply chain disruption, and macroeconomic volatility, our business has demonstrated resilient performance. The Company has achieved a revenue of Rs. 161 crores, which is a 22% growth as compared to the previous year with a robust gross margin of 70% and EBITDA margin of 39%.

This strong performance is a direct result of our successful execution of the long -term sustainable strategy, which includes:

A. Enhanced market penetration and expansion into highly regulated markets, coupled with a broadened product portfolio within these regions .

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B. Widening our product basket through the infusion of newer molecules and therapeutic solutions .

C. Securing an increased number of regulatory approvals while simultaneously focusing on backward integration to deliver high product quality .

D. Integrating manpower and leveraging technology to drive operational efficiency and achieve effective cost management .

E. Prioritizing R&D investments and ensuring supply chain stability.

During the year, the Company significantly strengthened its presence in the regulated markets, leading to a notable increase in revenue contribution from European region. In quarter 4, Financial Year ‘2 4, the European market accounted for 43% of the Company 's revenue. This figure surged to an impressive 51% in Q1 Financial Year ‘2 5. Our customer base of 1,700 customers across 128 countries provides a strong foundation for our strategic shift towards the regulated markets, which is poised to enhance the Company 's overall profitability by expanding into regions with stringent regulatory frameworks. We demonstrate our commitment to delivering high quality products and operational excellence with driving cost leadership in manufacturing. The Company has developed a pipeline of new products, extending beyond its long-standing expertise in anti

-stimulants to include anesthetics, antianxiety, antidiabetic, and other therapeutic areas. These are the products scheduled for launch in the upcoming quarters.

We also intend to expand our contract development and manufacturing organization, CDMO business portfolio with the addition of Module E, which will provide additional 500 KL of capacity. We are set to double our total capacity to 1,020 kiloliters by the end of September this year.

The forthcoming ramp up in capacity driven by our ongoing expansions will be a key catalyst for future growth. The Company is leveraging its relations with MNCs for business development. The performance we have seen over the last several quarters reflect the transition of our business model from being predominantly focused on prime APIs to a healthy combination of APIs and CMO, CDMO service.

With this, I hand over the call to our CFO – Mr. Krishna Raghunathan to share Q1 Financial Year '25 financial highlights with you all. Over to you, Mr. Krishna.

Krishna Raghunathan : Thank you, sir. Hello, everyone, and good morning. I will now share the operational performance of the quarter, and following which, we will open the floor for questions and answers.

The Company reported revenue from operations of Rs. 161 crores in Q1 FY25, as against Rs. 132 crores in Q1 FY24, registering a growth of 22% year -on-year. EBITDA in Q1 FY25 stood at Rs. 62.5 crores, as against Rs. 44.5 crores in Q1 FY24. And the EBITDA margin stood at 39% for Q1 FY25, as against 34% in Q1 FY24. Profit before tax was approximately Rs. 60 crores for Q1 FY25, as against approximately Rs. 43 crores in Q1 FY24, a growth of around 40%.

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The PAT stood at approximately Rs. 45 crores in Q1 FY25, as against Rs. 28.5 crores in Q1 FY24. The PAT margin stood at 28% compared with 22% in Q1 FY24.

We have significantly optimized our working capital by reducing working capital days from 215 in Q1 FY24 to 168 days in Q1 FY25. This improvement is primarily driven by a substantial reduction in the inventory holding period from 223 to 167 days.

Our annualized asset turnover ratio has strengthened to 0.68 this quarter compared to 0.63 in the corresponding period last year. We continue to uphold a strong financial position with a debt -to-equity ratio of 0.01. Significantly, we have maintained a conservative approach to borrowing by utilizing only letter of credits and bank guarantees without tapping into the working capital limits.

Now we can open the floor for question and answers. Thanks to all of you.

Moderator : Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Parth Agrawal from Western Research. Please go ahead.

Parth Agrawal : I have 2 questions. So, sir, the EBITDA margin that we have for the top 3 APIs, for a new API that you are targeting, is the margin profile same or is it lower, higher? Can you just highlight that part?

Satish Wagh: So, let me tell you that Supriya Lifescience is working in the regulated market. Now regulated market, we all know that we will get the maximum returns. Whenever you go for a new API launch, it becomes a little difficult. You can't go in a regulated market. At that time, you have to go to a non -regulated market, but it's a short term. Soon, again, it will achieve the same expected, whatever returns are there will be delivered to by us to the shareholders.

Parth Agrawal : Sir, considering that the future growth would more likely be driven by the new APIs, can we expect some margin compression, let's say for 2, 3 years, until the product matures for us?

Saloni Wagh : Yes, correct. Like he rightly said, our Chairman said that till the product mature in the more regulated market, there could be a slight compression in the margin, but the goal will always be to be present in the more regulated market.

Parth A

gawal : My second question was on the target market side. So, as per my understanding, whatever our traditional APIs were, the target market was relatively a smaller size compared to what we are currently targeting. Is my observation correct or wrong? Can you just comment on that?

Saloni Wagh : Correct, yes. So, now with the bigger capacity coming in and the module E going on stream by September, as our Chairman mentioned that we will be doubling our capacity. In this case, with the larger capacity, now we are targeting those molecules which do have a larger global market.

So, we are slightly moving towards a larger global market, global volume kind of products.

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Parth Agrawal : So, does that even increase the competitive intensity for you, which was not there previously?

Saloni Wagh : At this point, in fact, we are trying to go with backward integration. I think that is going to be one of our very strong points. Whichever products we have selected, by the way of backward integration, we will be able to make a significant difference in the market. And with this kind of backward integration up to KSM level, we are very confident that we will also be able to keep the competition out even in the newer products.

Parth Agrawal : So, in the newer products as well, you are starting with the backward integration. You're not just testing the market first and then based on the size, you will take backward integration. From day one, we are going for backward integration. Is that the case?

Satish Wagh: Supriya normally, whenever enters any API, they always consider backward integration, much lesser competition, new products, which can fit China, not manufactured in India at all. This is the strategy of Supriya Lifescience under the leadership of Dr. Satish Wagh.

Moderator : Our next question is from the line of Aditya from MSA Capital Partners. Please go ahead.

Aditya : Just a couple of questions. So, I understand the gross margins have expanded. But if I were to attribute between the increase to product mix or decreasing cost, what would be the attribution?

Satish Wagh: Sir, as I told you in the past, if you see the strategy very deeply of the Company, Company is born for the regulated markets business. Now, everybody understands, whoever is in this industry in pharma, regulated markets give you better opportunity, better profits. Nobody doesn't enter very fast. And the pharmaceutical industry is such that regulated market, whenever the customer changes the supplier's name and brings the new name, he is focused that in the next 5, 10 years, he is going to continue with the organization, he will not change the supply because today everybody is shaky on the supply side, quality side, and they need a constant good vendor who implements the good manufacturing practice. I am sure you understood now.

Aditya : No, sir, definitely. So can I say that this 69%, if not 69%, 65% is now the new steady state for the Company ?

Saloni Wagh : No. So, like our Chairman said before also, see, a lot of the new launches of the new products that we are launching, they are coming in later half of the financial year. (Inaudible) 14:19 so there will be some margin normalization which will happen. The current margins are there because like he said, mature products are doing really well in a regulated market. So, naturally there, the pricing for these products is much higher. So, once these new products come in, we will again have a normalized margin profile. We have always guided about 28% to 30% in terms of margin. However, looking at the current financial year, 30% plus is something what we see we will be able to maintain. However, a concrete guidance on how upwards of 30% this would be, we will be able to give post Quarter 2 results.

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Aditya : And just a bit on

the geographical front. So, Europe as a region has performed really well for us this quarter, but North America, the revenues have witnessed a sharp degrowth. Do we see an uptick because new and new products are being registered with the USFDA?

Saloni Wagh : Yes. So, a lot of the new products which we are going to launch there, the North American and the Latin American market size would be much larger as compared to Europe. So, once these products start contributing to the revenue, definitely you will see that the North America and Latin American market share will go up.

Satish Wagh: Sir, I think my statement which had come from my side, I think you have not carefully gone through it. I said the products which we are going to enter, will hit China. Did you understand?

Will hit China. There will be no manufacturers in this country in India, it will be Make in India.

So, for me, when I go to North America, Latin America, any part, I will be a strong alternative for the supply to China, to those people.

Aditya : And just last question, before I come back in the queue. When can we see the CMO revenues kicking in? And does this quarter have any CMO revenues?

Saloni Wagh : No. So, this quarter does not have any CMO revenue. We will start seeing the CMO revenues kick in probably by 3rd Quarter of this financial year. So, 3rd and 4th Quarter will have some revenues from some of the CMO contracts. From next year onwards is when you will start seeing larger contribution from CMO opportunities.

Moderator : Our next question is from the line of Jay Shah from JS Family Office. Please go ahead.

Jay Shah: Congratulations Dr. Wagh for really creating an alternative to China. I just want to ask 1 question that we are going ahead with the CDMO expansion. What is it that the management also sees when we are being approached by a client? And even what is it that the client sees when they approach Supriya for a CDMO contract? Let's say from Supriya's side, I understood Ms. Wagh's comment that backward integration is one of our strong points. But what is it that we would also be comfortable when onboarding a client? Some qualitative aspects on both sides from you and from the client.

Saloni Wagh : (Inaudible) 18:08 reputation of this Company. (Inaudible) 18:15 we already have a set reputation in the market because when you work with these kind of multinationals, they already have very high standards in terms of quality, in terms of EHS. So, if you're able to qualify with them, pass their audit, it sets a very right tone in the market that you have the right kind of quality, regulatory and EHS approvals internally. So, that is definitely one thing that we look at. The other thing that we look at is also the quantum of the business. If we will be able to take that product into our facility, how well it goes with our line of technical capabilities. And do we have

the right kind of backward integration capacity also created? So, these two are the bigger quality aspects that we look at while onboarding any new customer.

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Jay Shah : And second question is in this new facility that you are trying to start within the Ambernath CDMO division, would it be fair to say that there would be product fungibility as well as chemistry fungibility in that setup? Or it would be dedicated to a few products or a few chemistries?

Saloni Wagh : So, at this point, we have multiple lines set up there. This is going to be for finished formulations, contract manufacturing and contract development. We have multiple lines there, like injectables, bottling line, tablets and capsules. Within the line, yes, there is product fungibility that we can use it for multi different kinds of products. So, this is the kind of capacity what we have created at Ambernath currently.

Moderator : Our next question is from the line of Jay Shah from SKV Securities.

Please go ahead.

Jay Shah: So, my first question would be, what is the total revenue generated by our top three APIs? And given that you've previously indicated that the top 3 products contributed approximately 44% to 45% of revenues in prior quarters, so what is the status for those in this quarter?

Saloni Wagh : So, unfortunately, we will not be able to speak at product level or therapy level in today's call. But we have always been saying that the new product addition will diversify the portfolio. So, definitely you will see a more robust portfolio moving forward.

Jay Shah : My second question would be, could you also quantify the contribution of CMO and CDMO operations to the Company's overall revenue for the quarter? And what percentage do we expect this to reach in the future?

Saloni Wagh : So, at this point, like I said in my previous answer, in this particular quarter, there is no contribution from CMO, CDMO. The contribution will start coming in in the later half of the financial year. We anticipate moving forward, let's say in the next 3 to 4 years, CMO should contribute about 20% of the total revenue.

Moderator : Our next question is from the line of Jagvir Singh from Shade Capital. Please go ahead.

Jagvir Singh : Sir, my question is related to China. So, are we seeing any uptrend in the Chinese market?

Satish Wagh: Sir, basically, we will tell you. We are going to work in the regulated market. China, yes, there is. But many of the products which we continue and going to have in the future, it is observed that the suppliers who are supplying all over the world does not even carry a qualification of GMP, not even ISO, but people continue to buy because there is no second sources. But since Supriya has a good opportunity while discussing with various of friends or various of companies, that it's a USFDA plant, it's GMP, CGMP plant, WHO plant. So, opportunities are coming more and more. And we would work for profits in the markets.

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Jagvir Singh : And sir, second question is to two to three years back that China was the big market for us. So, now European market is however a bigger pie. So, will there be any change in the cycle basically like earlier H2 was bigger than the H1? Is there any change now in this?

Satish Wagh: Sir, strategy of the Company, as I told you, we don't concentrate any market. We concentrate in getting more and more EBITDA and profits. For that, we have a regulated plant. So, we try to utilize maximum the plant for getting better performance and better returns.

Jagvir Singh : But my question is earlier H2 was always bigger than the H1. So, is there any change in this trend or is it likely to continue?

Krishna Raghunathan : H2 better than H1, will it be?

Saloni Wagh : Yes. We actually are seeing a very positive trend in terms of revenue growth as well as margin profile. So, definitely you will expect positive growth in terms of revenue as well as margins moving forward as well.

Satish Wagh: Sir, here, I will give you some more information because I think when I was talking, whether you listened or not, I don't know. We are going to concentrate, or we have been concentrating on make in India process, which is currently only supported and given the material from China. We are going to fight with China, not with any Indian Company. And the chemistry is China, we should fight and get the performance. For that, people are interested with a GMP USFDA plant rather than non-GMP plants of China. So, opportunity is huge, and the future is great. Today, also I hold more than 70% stock with me. I am very happy that we will do good work, a good job, which will deliver good results in the market.

Moderator : Our next question is from the line of Nirali Shah from Ashika Stock Broking. Please go ahead.

Nirali Shah : Just 2 questions I have. We are looking at CDMO and CM

O opportunities and we already have

one contract something like DSM. So, we were examining ways of the opportunities as well from this, something similar to DSM. So, any color on that specific details that we have now?

Saloni Wagh : So, the DSM contract is moving really well. We are in the process of registration of the products in Europe and Japan market as well as other regulated markets like US. So, once all these registrations come, we already have supplied to them smaller volumes for their food grade requirement. Once the registration comes, you will see a good scale up happening from the DSM contract.

Nirali Shah : Also apart from the DSM contract, some other opportunities that we were discussing for some of the advanced intermediates.

Saloni Wagh : Correct. So, there are many other opportunities which are there. Two of them are at an advanced stage. We should be able to announce at least one of them hopefully by the next quarter because

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we are expecting some validation volumes from this particular contract in the next quarter. So, definitely there will be some positive news coming.

Nirali Shah : And any update on the status of Health Canada's audit and your clearance for ketamine hydrochloride, any recent developments or any kind of expected timeline?

Saloni Wagh : So, no, we recently had Health Canada joint audit with EDQM online, which happened in the beginning of last year, which we have already cleared. So, we have no further notification from Health Canada. Of course, USFDA and NMPA China, we are expecting in the latter half of the year. But you know, it's a part of our regular routine compliance. Our last USFDA was at a 48 hours' notice and we were able to clear that as well. But as such, no other audits are there.

Moderator : Our next question is from the line of Ashish from InvesQ PMS. Please go ahead.

Ashish: Yes. From your presentation, I could make out that there is a marked improvement in the working capital components. So, is that one -off or is this sustainable kind of improvement that we have seen? And what do we read from this? I mean, has the market become better for us to command better terms or something like that? Or is it just one -off?

Krishna Raghunathan : See, when it comes to working capital, see, right from last March, I think we have been having some sort of better numbers every quarter. And in fact, last quarter where it was the lowest, we always attributed that the inventory days will be somewhere around 150. And as of this quarter, it's around 167 days. I think this is a number which we will have to control very diligently because when it comes to working capital, both the receivables and payables, I think, are all in a controlled manner for me. And since we deal with a lot of narcotic products, we do get a lot of money in advance. So, technically my receivable is on better shape. And when it comes to payables, of course, we have been paying all the vendors on time. So, we do get around 90 to 120 days credit period, which is always happening. So, the major part is something which is inventory, which we have been concentrating well, right from last March that we will improve, which has been our commitment to the market, which we are doing it in a better way. That's it.

Ashish : I think the numbers that are given are for March '24. So, quarter -on-quarter, would it make sense to observe that or it is pretty different across quarters or quarter ends actually?

Krishna Raghunathan : See, I think if you want to look at it, it is better to look at it at a year -end where every of the number, what do you call, where all the year -end achievements will also be taken into consideration. I would suggest that you can look at it at a year end, but yes, quarter end numbers also, see, we internally check every quarter end also, but for market, I think you can have a look at ever

y year and that's it. That would be making more sense to you.

Ashish : And you mentioned that margin something like 30% plus, I mean, I think we've been maintaining EBITDA margins of 30 plus percentage to be a normal expectation that one should have. But

Q1, we saw year -on-year 500 basis points plus of improvement. So, is that kind of YoY

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improvement what one should expect this year? You, I understand that you gave some comments that beyond Q2, you will be able to give some guidance on that, but is that a trend that one should expect that kind of improvement 500 basis points, YoY?

Saloni Wagh : So, no, like I said before also, this kind of EBITDA margin profile is because of more penetration into regulated markets. With the newer product launches coming in, in the latter half of the year and their concentration being in more semi -regulated markets, we expect the margin to sort of normalize. Like I said, the 2nd Quarter would be a better time for us to give a concrete guidance, but definitely it would be (+30%).

Ashish : That would be the same then, 30% is the same as last year. So, improvement would be higher.

Saloni Wagh : It would be higher definitely than 30%.

Satish Wagh: Sir, I will add something. You should be happy when I said that first time manufactured in India

against China. So, the price war is not there at all. There is a supply. The supply which is being created all over the world comes from non -GMP, non -ISO plants. So, today, when a GMP, USFDA, ISO, every criteria holding plant comes, don't you think every customer will jump for that for the safety? So, that is what is happening. So, I am very hopeful that we will continue in this direction because we are here to work with only regulated markets. The ratio between 100% of production is 90% today. So, when you sell in 90% market, you can understand that regulated in the area will give you more money because they want to create a secure vendor for their future supplies. And whenever a vendor is created, it is at least for 10, 15 years. It's not a short gap. Nobody will change only on price, but consistency, quality, integrity. These are the 3 words involved.

Moderator : Our next question is from the line of Tushar from MK Ventures. Please go ahead.

Tushar : So, one of the slides in the presentation highlights 18 DMFs submitted to USFDA, and 9 CEPs granted. Management has also alluded that we expect a lot of new product launches in the second half. So, maybe if you can share more details qualitatively or maybe on specific products, what kind of launches are we expecting as well as which markets? And also, in the last year, as well as last 4 quarters, we have, I believe, launched a few products in some regulated markets. Maybe some comment on the performance of those and whether the overall revenue buoyancy can be attributed partly to some of these launches.

Saloni Wagh : So, in the new product launches, we are looking at therapeutic categories like anti -anxiety and anesthetics. We want to focus and expand our basket in this product range and antidiabetic. So, these 3 are the new therapies what we are introducing in our portfolio. Most of these launches are going to happen towards end of this financial year. But these are like our Chairman said that these are very large volume products globally where most of the customers today are single -sourced out of China. So, this is going to be a very big opportunity for us. And we are very confident that moving forward, some of these products will really contribute well in terms of

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revenue and margin. Once the module E is fully operational, then we will also have the additional capacity to scale up these products. So, that is why you will see significant impact of these coming in only in the next financial year. Although they

will start generating some small revenue

in the third and the 4th Quarter , but the full impact you will be able to see in the next financial year only. So, this is as far as the new product launches are concerned.

Tushar : And then on the products that have been launched in the last 3 or 4 quarters or so?

Saloni Wagh : So, the products which we have launched, we have only launched 1 or 2 products in the last quarters, but currently with most of the customers, we are under validation stage. But we are getting good traction of these products. For these products also to show full impact, we will at least need 1.5 years for them to start significantly contributing to revenue. But the ones which we have launched recently are low volume kind of high value products. But the ones which will come in the second half of the year, they will, I think, be the larger impact making product for us moving forward.

Tushar : And how many such launches, ma'am, are we expecting this year? Maybe 3, 4 launches or lesser or more?

Saloni Wagh : Two product launches we are expecting end of this year.

Tushar : Second, my question on the, I think we had mentioned in one of the previous disclosures about the new molecule that we've taken in CDMO or CMO for a large global player. Not the DSM contract, but another contract that you had mentioned. I think anesthesia or in that category only.

Maybe if you can just highlight any progress made on that and what should we expect?

Saloni Wagh : So, we are on track for this particular project as well. Currently, this is in a pilot stage. So, we are just completing validation for this project. Again, the timeline for this one also remains the same. Maybe in quarter 3 of this financial year, we will start seeing some smaller volumes from them on the validation front. Like I said before also, probably end of Quarter 2 , we will be in a good position to make some positive announcements on some of the newer CMO contracts that we are signing.

Tushar : Can you also highlight any progress on the whey protein contract, supplies related to that?

Satish Wagh: I will highlight, Tushar. See, whey protein, we were requested to go for FSSAI license. We got the FSSAI license, but after that they said you go for the FSSAI license for the manufacturing and exports. That had just received 2 days back. So, now the discussion which we were doing for exports, that discussion has already started with the customers, and we are sure in a couple of days, things will start moving.

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Tushar : So, in that case, with the new launches as well as some traction in some of our existing contracts, can we say that there is a possibility of an upside risk on the 20% revenue guidance that we broadly maintained for the medium term, say, this financial year and next year?

Saloni Wagh : Correct. So, the 20% revenue guidance definitely is more on the conservative side. With all these newer contracts and newer launches kicking in, there is definitely a scope for us to do much better.

Tushar : And one last, if I can, squeeze in . While we expect that with the new product launches being in semi-regulated markets to start with, we will have maybe some moderation on the margin. But given that they will add to the revenue as well as some operating leverage maybe on the existing facility, do we expect that the overall EBITDA numbers should continue to trend upwards from here broadly, given the quarterly variations apart?

Saloni Wagh : Correct. So, like our chairman said, yes. Definitely you can expect the EBITDA trend to be upwards.

Moderator : Our next question is from the line of Rehman Khan from Old Bridge Capital. Please go ahead.

Rehman Khan : Just had one question regarding the Ambernath facility. Is it still operational? What are the activities being done there, et cetera? Can you just highlight some points on that?

Satis

h Wagh: Sir, Ambernath facility is under, currently, validation. Some of the equipments which have come, they are getting under validation. It will take at least a minimum of 2 months to start production . But hopefully, within the next 60 days, it will go on stream. Not fully, partially keep on going.

Saloni Wagh : And just to add to what our Chairman said, the Ambernath facility, we will be focusing on CMO, CDMO kind of opportunities in the finished formulation side. So, we have set up a very large bottling line, tablets, capsules, as well as an injectable line. We also have set up in the Ambernath facility an R&D, and this R&D will be focusing on contract research kind of projects. We will also be developing some of the newer APIs which we want to add in the future. The development of these will also happen at the Ambernath R&D. So, this is what we have planned out of the Ambernath site.

Rehman Khan : And just to add on that, I believe in the last call, there was about Rs. 100 crores allocated for FY25 for the CapEx for Ambernath. Is that going to be the same or are there any changes?

Krishna Raghunathan : See, as of now, the CapEx allocated for Ambernath would be somewhere around Rs. 75 crores. If you add up all their last 3 quarters Board resolution numbers, it'll add up somewhere to Rs. 75 crores to Rs. 78 crores. I think that would be the number which we are looking at. See, the Ambernath already had around Rs. 30 crores, Rs. 40 crores of building which we had already
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done. So, with all these things, I think it should be somewhere in the range of Rs. 130 crores would be the total outlay in Ambernath.

Moderator : Our next question is from the line of Aditya from MSA Capital Partners. Please go ahead.

Aditya : Just wanted to quickly check, so the existing Lote Parshuram facility, USFDA was supposed to come for an audit in October. What is the progress there? And second part would be the Ambernath facility. So, when you're saying that it'll be commercialized in Q2, have you already registered with all the health authorities like EDQM and USFDA?

Saloni Wagh : So, for the Lote side, we are expecting USFDA audit end of this year. So, that is when it will happen. And for Ambernath, like we said, it is still under validation phase. So, once we bring it to commercial production, we will then initiate the local authority certification, which is the WHO GMP and the local GMP. Next year, the beginning is sometime when we will trigger USFDA or EU inspection for this particular facility. So, you can expect that the clearance will happen beginning of the next financial year.

Aditya : And just a bookkeeping question. In Q1, what would be our exports revenue and of that, what would be the revenue from regulated markets compared to last year?

Krishna Raghunathan : I think if you could see in our export, around 84% of our total revenue would be exports. And I think last year, I think would be around a similar number, around like 80% would be the number on average.

Aditya : And of this, how much would be regulated markets this quarter compared to last year quarter?

Krishna Raghunathan : Regulated last year would be somewhere around 45%. This year, it would be somewhere around 54%.

Moderator : Our next question is from the line of Sahil from M&S Associates. Please go ahead.

Sahil : I just had a couple of questions. Can you help us understand the current market size of our top 3 APIs? And what value do we get for these APIs and what is the overall outlook going forward?

Saloni Wagh : So, in this forum, we would not be able to speak anything product specific. So, sorry, we will have to refrain this question.

Sahil : My next question is, I don't know if this was already taken, I was away for a while. Can you help us understand how are the ongoing CMO, CDMO contracts and the size of these cont

racts?

Saloni Wagh : So, like I said before also, we already have 2 CMO contracts in place. The DSM Firmenich is one. We already have started supplying them for their validation quantity and some part of their food application demand. Once the right to first approvals come in place, which we are expecting

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we will start on Firmenich side. And we will start generating revenue in this financial year. We have about 2, 3 opportunities which are at the final stage. So, like I said before, by the end of Quarter 2 , we should be in a position to make some positive announcement on some of the other CMO opportunities, also some signing of these. And in the next 3 to 4 years, we anticipate that CMO, CDMO should contribute 20% of our total revenue. On the conservative side, if the Ambernath FD & CMO also kicks in the way we are anticipating, it could definitely be higher.

Sahil : Thank you for the detailed response. My last question would be, can you provide some idea about the newer molecules that Supriya is tapping into? And how many of them are in the process of getting approvals?

Saloni Wagh : Also, like our Chairman said, as a strategy, we are focusing on molecules where there is a very high dependence on China and where the global customers are currently single source. So, we are expecting at least 3 or 4 products in this category, anesthetics, antidiabetics, and antianxiety are some of the therapies what we are focusing on. So, we are expecting these launches to happen end of this financial year.

Satish Wagh: Sir, I will just add to that. When I said that these products are, whole world is buying where there is no GMP also, but the world is forced to buy. So, you must understand, I am a qualified manufacturer with a lot of accreditations. So, people will definitely come to me because they are safe, having the process of every product, good manufacturing practice.

Moderator : Thank you. Our next question is from the line of Hardik, an individual investor. Please go ahead.

Hardik : Sir, my question is, I want to know what is the update on that mouth cancer kit?

Saloni Wagh : So, the oral cancer kit, we have just applied for the patents in multiple countries. We have just applied for the patent in Korea, Taiwan. We will now soon be applying in Thailand because we are getting a lot of active interest from these markets. Locally also , of course, we already have the patent in place and the clinical trials will begin very soon. But the export market is what we are targeting. We expect that in the next 1 to 1.5 years, we should be granted the patents in these particular markets where the potential is much higher.

Hardik : So, in terms of revenue, what would be the potential size that we will benefit out of this?

Saloni Wagh : So, at this point, it is too premature to talk in terms of revenue because this is a very novel technology where first time some Company is going to launch. Globally, there is no like -to-like product. So, it would be too premature to talk about revenues. But definitely in the next coming quarters, we will have concrete revenues in place that we will be able to share.

Hardik : And complete commercial production process would take a few quarters, right, as I understand?

Saloni Wagh : It will take a few years, at least 2 years is what we are anticipating.

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Moderator : Our next question is from the line of Shubham from Purnartha Investment Advisors. Please go ahead.

Shubham : Hi, sir. Can you share some detail about Brazilian opportunity?

Satish Wagh: See, Brazilian after the audit and approval of Brazil government, the authority, we are talking with our customers recently. Last 10 days back, we were in Brazil and Mexico, more and more discussion. We have seen opportunities for the new products and the current basket

et to increase.

And I am sure it will be done because the government has already given a last ultimatum to every formulation manufacturer in Brazil that every product which comes to their country, there should be a GMP certificate. If not, then the source has to be changed. Otherwise, that product will be stopped. So, there is an ultimatum for them. So, we have good opportunities. We have discussed this with our customers and come back just 48 hours back only. So, we are definitely going to increase our basket in Brazil and Mexico market.

Shubham : So, when can we expect some revenue from Brazil market?

Satish Wagh: Already revenue is coming. There is no new revenue. We are present in Brazil for last 18 years. If you see, every year it is increasing. Only the question was some of the APIs approval and the new notification of the government which came into force were very quick within a span of 1 year. We've already done the audit. So, I am sure that the things will improve, and the companies will be forced to take their decision for changing the source because the government has given ultimatum that if you don't do it by December 2024, the things will not come from the non -GMP plants from China. And with the 38 years' experience widely traveling all over the world in China also I have seen, there are manufacturers who do not have even GMPs but selling all over

the world. So, the new things will start moving. I am sure we will have good opportunity, and we will definitely take the advantage of that particular notification of Brazil government .

Moderator : Thank you. In the interest of time, this will be our last question. On behalf of Supriya Lifescience Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

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GOVT. RECOGNISED EXPORT HOUSE

Date: November 4, 2024

To, To,
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, C-1, Block G
Dalal Street, Bandra Kurla Complex
Mumbai – 400 001 Bandra (E), Mumbai – 400 051
Scrip Code: 543434 Scrip Symbol: SUPRIYA

Dear Sir (s),

Subject: Transcript of the Earnings Call for the quarter and half year ended September 30, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we hereby enclose the transcript of the Earnings call held on Monday, October 28, 2024 at 03.30 P.M. IST to discuss operational and financial performance of the Company for the quarter and half year ended September 30, 2024 (Q2 & H1 of FY 2024-25).

This is for your information and records.

Thanking you,

Yours faithfully,
For Supriya Lifescience Limited

Shweta Singh
Company Secretary & Compliance Officer
Membership No.: A44973

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“Supriya Lifescience Limited Q2 FY25 Earnings
Conference Call”

October 28, 2024

MANAGEMENT : MR. SATISH WAGH – EXECUTIVE CHAIRMAN &
WHOLE-TIME DIRECTOR, SUPRIYA LIFESCIENCE
LIMITED
DR. SALONI WAGH – MANAGING DIRECTOR, SUPRIYA
LIFESCIENCE LIMITED
MR. KRISHNA RAGHUNATHAN – CHIEF FINANCIAL
OFFICER, SUPRIYA LIFESCIENCE LIMITED
MODERATORS : MS. PRACHI AMBRE – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to Q2 FY25 earnings conference call of Supriya Lifescience Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Prachi Ambre from Orient Capital. Thank you and over to you, Ms. Ambre.

Prachi Ambre: Thank you, Shlok. Good afternoon everyone on behalf of Supriya Lifescience Limited I extend a very warm welcome to all the participants.

Before we begin the call I would like to give a short disclaimer:

This call may contain some of the forward-looking statements which are completely based upon our beliefs, expectations as of today. The statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties.

With this, I would like to hand over the call to Satish sir, Executive Chairman & Whole-time Director for his opening remarks. Over to you, sir. Thank you.

Satish Wagh: Good afternoon and warm welcome to all the participants. Thank you for joining us today to discuss the Q2 & H1 Financial Year '25 Results of Supriya Lifescience Limited.

To take us through the Results and answers to your questions along with me, Dr. Saloni Wagh – Managing Director; Mr. Krishna Raghunathan – Chief Financial Officer and our Investor Relations Team, Orient Capital.

I hope everyone had an opportunity to go through the “Financial Results” and “Investor Presentation” which we have uploaded on the stock exchange and on our company website. We are excited to share that Q2 Financial Year '25 has been another successful quarter for us. Revenue surged 19% year-on-year to Rs. 166 crores. We have achieved an EBITDA margin of 39% and a PAT margin of 28%. Underscoring our operational excellence and strong financial performance, Supriya Lifesciences Limited is committed to strengthening its position as a strong API manufacturer.

Our strategic focus remains on expanding our product portfolio while enhancing our presence in regulated market and maintaining robust margins. Over the years, Supriya has transformed from a generic OTC provider to an innovator within high margin regulated markets.

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Our export contribution has increased to 83% in Q2 Financial Year '25, up from 81 in Q2 Financial Year '24. LATAM has shown strong growth with its share increasing to 19%, this quarter from 13% in the same period last year. We have also seen positive momentum in other regions, including North America and Africa, further driving our global expansion. Our diverse customer base of 1,700 plus clients across 128 countries provides a strong foundation for our strategic shift.

We have developed a promising pipeline of new products that extends beyond our expertise in anti-stimulants, incorporating anesthetics, anti-anxiety, medications, anti-diabetic and more. To further accelerate our CMO and CDMO business, the new formulation facility in Ambarnath has already started commercial production from Q4, Financial Year '24. Additionally, the validation of module E is underway with commercial production anticipated by Q3 Financial Year '25. Upon successful completion of this capacity, revamping our total production capacity will nearly double, reaching approximately 1,020 KL. We are confident in achieving our (+20%) revenue growth guidance maintaining strong margins. We expect this year to be our highest in terms of EBITDA and PAT margin compared to previous years.

Our goal is to double the revenue to Rs. 1,000 crore by Financial Year '27 focusing on high margin niche markets. We remain comm

itted to expanding exciting molecules in regulated markets and fast track the commercialization of new products. As we transition into a leading API manufacturer with exceptional capabilities, we are leveraging CM opportunities to diversify and strengthen our revenue stream.

I will now hand over to our CFO, Sri Krishna Raghunathan to present the financial highlights of Q2 Financial Year '25.

Krishna Raghunathan: Hello, everyone and good afternoon. I will now share the "Operational Performance" of the quarter and following which we will open the floor for questions-and-answers.

In Q2FY25, our revenue from operations rose to INR 166 crores, reflecting a 19% year-on-year growth from INR 140 crore in Q2FY24. This momentum carried through the first half of Financial Year '25 with revenue reaching around INR 327 crore, a 20% increase over INR 272 crore in H1FY24. Our EBITDA performance was also impressive with Q2 FY25 EBITDA doubling to INR 64.7 crore from INR 31.7 crore in the same quarter last year, resulting in an EBITDA margin of 39% up from 23%.

For H1 FY25 EBITDA reached INR 127.3 crore, a 68% increase compared to INR 76 crore in H1 FY24. On the bottomline, PAT nearly doubled in Q2FY25 reaching INR 46 crore compared to INR 24 crore in Q2FY24. Our PAT margin for the quarter improved significantly to 28% up from 17% a year ago. For the first half of FY25, PAT was INR 91 crore, a 73% increase from INR 52 crores in H1 FY24 with PAT margins reaching 28% up from 19%.

Our annualized asset turnover ratio has strengthened to 2.2 this quarter compared to 2.1 in the corresponding period last year. We continue to uphold a strong financial position with a debt to

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equity ratio of 0.01. Significantly, we have maintained a conservative approach to borrowing by utilizing only letter of credits and bank guarantees without tapping into working capital limits.

Now we can open the floor for questions and answers. Thank you, all of you.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question comes from the line of Aditya Pal from MSA Capital Partners. Please go ahead.

Aditya Pal: I wanted to quickly understand from you that we've got 15 products that are now backward integrated. They generate 74% of our revenues and this has sharply improved from 69 last quarter. Wanted to understand from you, is that the reason that our gross margin improved significantly. And a sub point to that would be that are all these backward integrated products that the 15 products that we've highlighted, are they all registered in regulated markets?

Saloni Wagh: Yes, backward integration definitely helps in improving the margins because we do not outsource any advanced intermediates from outside. We make our own advanced intermediates right from the basic stage. So, backward integration definitely helps in bringing the cost down.

One of the other reasons also for the margin improvement is you know better penetration into regulated market. If you see for most of the regulated markets like North America, Latin America, and Europe, our sales has gone up. So, penetration into regulated markets where the average selling prices for the products are higher also adds to the margin improvement. Yes, most of the products that we manufacture about 15, they are fully backward integrated and most of these are already present in regulated markets. However, we are still expecting USDMF, we are also expecting registration of some of these products in markets like Japan, Europe. By hopefully quarter two of next year, we should mostly have CEPs and USDMF for all the products. But yes, the 15 products are mainly into more regulated markets

Aditya Pal: I also wanted to know, so you all went for the CPHI Milan conference and I was seeing the banners of Supriya on LinkedIn also and phenomenal, I would say, the entire team that went with yo

u. So, wanted to know how was the trip, what was the feedback that you received from the formulator, from the innovator that came there. Any new takeaways from the trip?

Saloni Wagh: I think the show was a great opportunity to showcase all the new products that we have launched.

We have had a very good presence in CPHI for over 20 years and all our customers have also seen the growth happening in the company. We had a lot of new products coming up in our portfolio from anesthetic, anti-diabetic categories plus the launch of our new Ambarnath site which is focused on contract manufacturing for finished formulation. So, a lot of new opportunities are on the cards. They have been approached by a lot of new companies for the newer products, as well as for some of our existing products we are seeing great traction in regulated markets. All in all, I would say that the show was a very successful one for us, and you can see the commercial implications of the show happening in the next coming quarters.

Moderator: Thank you. The next question is from the line of Pritesh Chheda from Lucky Investments. Please go ahead.

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Pritesh Chheda: I have a few questions. If you could tell us the capacity utilization pre and post this expansion that is being undertaken? My second question is whether the cost of the expanded capacity, 1,020 kiloliters, is it a part of P&L or is it going to be a part of P&L?

Saloni Wagh: So, I'll answer the first part of the question. Before module E got introduced, we were at almost 550 KL capacity. And our capacity utilization was upwards of 76%, which is the optimized capacity utilization, considering that it is a multipurpose facility. The module E has just been added. We have completed the validation. We are expecting to start the commercial production in quarter three. So, once that is done, it would take us at least one and a half to two years to have maximum utilization of this new added capacity. And for the second half, Krishna will answer.

Krishna Raghunathan: Basically, when it comes to the cost of module E, see, there could be another couple of crores which can get added up to the P&L as of now. There would be what do you call around 30-40 personnel which we might add and the power cost which will increase. Basically, we also see a saving in power cost overall because we have already initialized solar power for the plant and that will give us some bit of a saving which has already started. So, to answer your question, yea, might be a couple of crores on the OpEx front can get added up apart from EBITDA on the power side.

Pritesh Chheda: Couple of crores per month, couple of crores per quarter?

Krishna Raghunathan: Not per month, it would be per quarter.

Pritesh Chheda: So, in your last call you had mentioned that your H2 will be better than H1. So, are you sticking to that thought process or there is any change there? On the topline, yes of course we will have an improvement when compared to H1. And what about margins?

Saloni Wagh: On the margin front also, definitely we think like our chairman said in his speech also, in terms of the absolute EBITDA value and the PAT value, we definitely think that this would be our best year so far.

Pritesh Chheda: So, basically H2 should be better than H1 on an overall basis?

Krishna Raghunathan: Yes.

Pritesh Chheda: And my last question is, when you look at the half yearly margin number and when you look at your commentary for H2 versus that you guys have given a guidance of 30% only in the EBITDA margin? So, how should we read both these statements?

Saloni Wagh: So, we have also informed this after our first quarter results that we are definitely expecting better margin profile for the rest of the year. Quarter-on-quarter margin variation will be there because it is purely a function of product mix and geographic mix. But like I said, i

f you look at

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the annualized number in terms of the absolute EBITDA and PAT value, it will definitely be our highest so far.

Pritesh Chheda: And this expanded capacity of 500 KL, can you help us with the utilization ramp up possibility year one, year two, year three and what is the total revenue potential out of this capacity?

Saloni Wagh: So, revenue potential at this point, I will not be able to say because it depends on the product that we are going to put in this plant. But it will take us at least two years to get to complete utilization of this new module. It will start the commercial production will start in quarter three.

Pritesh Chheda: So, two years means should we say FY27 where you reach the full utilization?

Saloni Wagh: Yes.

Pritesh Chheda: On an exit quarterly basis '27 or full year basis 27?

Saloni Wagh: On two-year basis by '27, by end of FY27 we will be able to utilize full capacity of this new.....

Pritesh Chheda: so that means exit quarterly basis. Exit quarterly FY27 will be a full utilization?

Saloni Wagh: Yes.

Moderator: Thank you. The next question is from the line of Nirali Shah from Ashika Stock Broking . Please go ahead.

Nirali Shah: I have two very good questions. First one is on the Brazil. So, we were registering some 8 products in the Brazil geography. So, any update on that registration status? And if you could add on any color on the market opportunity for these products in quantitative terms?

Saloni Wagh: Yes, so like we have mentioned in the past also, the Latin American market is one of our focused markets and we have done extensive registration in Brazil for at least 9 of our products. We even cleared the ANVISA audit without zero observations beginning of this year. And you can see the revenue growth happening in the Latin American market. It has gone up from 9% to almost 19% in this quarter. And you can expect a similar trend moving forward also when some of the other products also start getting traction.

Nirali Shah: Just one more on the cancer detection. So, has any progress on the clinical trial? I guess we had an identified partner also. So, is there any progress on that?

Saloni Wagh: So, yes, at the moment, we are in the process of filing all our international patents. So, we have already selected a first cut of countries, countries like Korea, Thailand, Indonesia, Philippines,

where we are now filing the patent in those respective countries. Also, we expect that this activity would be completed in the next 2 or 3 months, after which we will start with the clinical trials and all the other related information. So, in the next 2 to 3 years, you can expect the
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commercialization of the project. But yes, it is very much on track and the filing of the patent has already started in a lot of other markets other than India as well.

Moderator: Thank you. The next question is from the line of Aditya Pal from MSA Capital Partners. Please go ahead.

Aditya Pal: I was trying to reconcile the capacity that is there in the presentation, as well as that you were discussing that capacity will be increased to 1,020 KL per day. So, I am not able to reconcile. Can you help me with the numbers?

Saloni Wagh: So, it is approximately 550. Currently, our capacity out of the A, B, C, D blocks where we are operating, it is approximately 540 KL. And then we are adding about 400 odd KL capacity with the new module E which is coming in. And then we are also adding the Ambernath site which is about 70 KL. So, all in all put together, it would be about 1,020 KL in terms of capacity.

Aditya Pal: I'm getting thousands with all the numbers that I have. Alright, I'll take this offline with you, so that's not an issue. Just another data point that I wanted was that, so 83% from exports, if I were to bifurcate it between regulated and se

mi-regulated market, what would be the split?

Saloni Wagh: So, for us, approximately 50% to 51% would be regulated markets, and then the balance would be the semi-regulated markets and a little bit of the domestic market. But over 50%, I think about 52% or 53% is regulated.

Aditya Pal: Understood. One last question that I had was trying to understand the raw material status of Supriya. So, which would be that one key raw material that Supriya requires to start because we are backward integrated, so we are not really reliant on the inputs. But if I were to say, one key raw material that you need to start production?

Saloni Wagh: No, so for us, if you look at our product portfolio, and it is also one of our key strengths, it is very diverse in terms of the processes we are able to handle in-house. There is no one common raw material that there is a high dependence. Each product has its own starting raw material, and we are backward integrated up to the basic chemical stage. I mean, mostly these basic chemicals are available across different industries. They are not very specific to pharma as well. So, they are cheaply and widely available across the globe. So, as such, I would not say there is any dependence on any key starting material for us.

Moderator: Thank you. The next question is from the line of Richa from Equitymaster. Please go ahead.

Richa: So, my question is, if you could share some updates on how CDMO and CMO opportunities are shaping up, I think you had earlier mentioned that there would be some revenue contribution from third quarter. So, what kind of visibility do we have for this year and maybe for the next 2, 3 years from this CDMO-CMO phase?

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Saloni Wagh: So, the CMO-CDMO opportunities are moving fairly well. We already have started seeing some contribution from one of our European CMO opportunities which will get reflected in Quarter 3 of this year. So, overall they are moving well. The full effect of the CMO-CDMO, you will be able to see in the next 2 years. Our anticipation is that in the next 3 years it should contribute closer to 20% of the total revenue.

Richa: And my second question is that your guidance for EBITDA margin had been in the range of 28% to 30%. And that is conservative as compared to what we have seen in the recent quarters. Is this because you expect the share from regulated markets to come down over next 2 to 3 years? Or what is the reason for that conservative guidance?

Saloni Wagh: No, actually after the first quarter earnings call, we have already said that we would like to revise our margin guidance. It will definitely be higher than 28% to 30%. Like I said, in what range of 30s it would be, it completely depends in that quarter on the product mix and the geographic mix. But what we would like to say is that in terms of the absolute EBITDA and the absolute PAT value, you will definitely see a growth from this year onwards.

Richa: And can you also share, after this year, what is the plan for CAPEX? Is there any meaningful CAPEX plan by the company or budgeted so far?

Krishna Raghunathan: The current year, we will be closing the module E and Ambernath facility. And I think beyond which we might have to take up the module A, B, C for our repairs. I think which would be to the tune of around Rs. 100 crores, which will be taking it over phases. I think that is something which we are planning at this stage and the best of it would be the normal CAPEX, which would be the maintenance CAPEX for the existing modules, that's all. Other than that, we don't

anticipate. The next wave, if at all if it has to come would be the next level of expansions in Patalganga. That would be something which we would be looking at around another 2.5 to 3 years down the line is what we are thinking.

Richa: And so my last question is that for FY27 you shared a guidance of Rs. 1,000 crores. Does that include any contribution from oral cancer detection kit and Scar-Free gel? And if not, how is that shaping up both these areas and by what year can we expect any kind of significant breakthrough or developments in this regard?

Saloni Wagh: So, no, it does not include any projections from the oral cancer kit. As of now, we don't have any projections in hand because this is still in clinical trials, but definitely the overall global market for cancer detection kits is very large. So, we can expect some commercial revenue to start coming in the next three years' time. And right now, we will not be having any number to give you. But it will take at least 3 years for this product to commercialize.

Moderator: Thank you. The next question is from the line of Prateek Kothari. Please go ahead. Prateek Kothari: Ma'am, one question. So, when we say backward integrated, how do we define that or how backward integrated are we and where do we start when it comes to any molecule that we do?

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Saloni Wagh: So, backward integration means that we do not rely on any advanced intermediate outsourcing from outside. In API, usually N minus one is equivalent to a final product. Most of the API manufacturing companies before COVID, they were outsourcing N minus one or N minus two and then only doing one or two stages in-house. Once you are getting the N minus 2, N minus 1, it is as good as you're getting the final product and just doing the powder processing, which is the final step. In this case, you have very little control on the costing of the product. In our case, we are backward integrated all the way up to the key starting raw material level. So, in many products, we manufacture in-house as much as eight or nine steps. So, basic raw materials, which are the basic inputs in our product. These are available cheaply and widely. And these are just basic chemicals, not only restricted to the pharma industry. So, as such, there is no scarcity, shortage, or dependence on any one country for availability of these key starting raw materials. When you get these, usually the contribution of these key starting raw materials to the final price of the API is also not very high. So, that is how you get a complete grip on the costing of your product, and it helps to bring the costs down. So, this is why since the inception of the company, our Chairman and our philosophy has been focusing on backward integration. Not only does it help with the cost angle, it also definitely helps in the supply chain continuity. Also impurity profiling as far as regulatory is concerned, you have a far better grip as compared to when you are getting advanced intermediates from outside.

Prateek Kothari: In terms of identifying new products or getting into something new, this would also be a key criteria for us before we develop a new product.

Saloni Wagh: Yes, so eventually when we launch a new product, we try to scale up that product in semi-regulated markets and once it has reached a certain size, then we start focusing on backward integration. Since we take the product, the eventual plan is that yes we want to be fully backward integrated but we do it in a phase-wise manner.

Prateek Kothari: Correct and then for the last 3, 4 years our gross margins used to be in 60s and for past 2 quarters, at least we are in 70s. So, this is just a function of we shifting our focus to regulated markets or is this something else too?

Saloni Wagh: Yes, it is only us focusing on more regulated market. Most of the products that we have in the current portfolio, they are mature products where we already have backward integration, where we have already got all the regulatory approvals. Also, these products are doing really well in regulated markets and that is why you see the improvement in the gross margins as well as in the EBITDA. What will happen is that in the Quarter 3, quarter 4 when we start adding new products into the product mix, there will be some level of margin dilution which will happen because new products usually scale up first in semi-regulated markets and then they mature into more regulated markets. Also, that's why we believe that there would be some slight margin dilution. But of course, we will grow in terms of revenue 20% plus year-on-year. And with that, definitely there will be an improvement in absolute EBITDA and the PAT numbers.

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Prateek Kothari: Correct. And then last on the LATAM opportunity, when we are seeing that in numbers too, right? I mean, it's proportion is increasing very quickly. So, one factor which was playing in our favor was this Chinese players did not have this GMP compliance and that is where we came in.

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So, how hard is it for them to get this GMP compliance? And then are you seeing any changes on their side where they have started taking this to kind of complete with us?

Dr. Satish Wagh: See, basically, if you see in China, nobody bothers for GMP at all because so far, couple of years, everybody was greedy to buy from China and get the profits on a more higher side. In our case, we have decided that we will do everything at our end because we have GMP, CGMP, USFDA, EUGMP, all factors in our favor. So, we consider our own policy and our things that we will manufacture rather than going to buy from China. So, we don't worry about China and even if you say and go to them and put GMP, they will not get GMP for another 10 years. That much we know because we have been going to China for at least not less than 25 years.

Moderator: Thank you. The next question is from the line of Aashish Uppanlawar from InvesQ PMS. Please go ahead.

Aashish Uppanlawar: Most of my questions have been answered, but just to understand, sir, historically our margins have been kind of high, but there has been volatility across the years. The last instance was because our Chinese customer, I think there was a drop. So, we had a big jolt on the margins.

So, now that you've recovered to close to 40%, how do we read this actually? Because today everything is going well, probably the mindset is strong and also there are issues with GMP as you mentioned now for the Chinese players. So, is there any threat to these margins again being volatile over the years, any inventory situation and customer, anything else that you would like to highlight? Or this is going to be stable yet at this kind of margin?

Saloni Wagh: So, like I said before also, see quarter-on-quarter, there will be some volatility in the margins because it depends on which product is going in which geography. And most of our products, some of them have already matured in regulated markets. Some are still under registration. We will also be launching a lot of new products which will first scale up in semi-regulated markets. So, depending on the product and geographic mix, you can expect that quarter-on-quarter, still be a little bit of volatility in the margin. But what we would like to highlight here is on that annualized basis, we are expecting our margin trend to be somewhere between that 32% to 34% moving forward. And year-on-year, definitely you will see that in terms of the actual growth in the EBITDA number and the PAT number that you will be able to see very clearly. Quarter-on-quarter guidance, we will not like to give but annualized basis like I said 32% to 34% is something moving forward also we are confident that we will be able to maintain.

Aashish Uppanlawar: Yes, my point was mostly related to how do we look on an annualized basis. So, if I have to take a view as to going 2 years ahead, will these margins suffice? So, you said to say that base would be 32% to 34% but one cannot say whether this 39 will stay stable or is it going to go down or up? That's what the reading is. Am I right here?

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Saloni Wagh: Yes, so 32% to 34% would be stabilized because what will also happen is that we are introducing a lot of new products in the portfolio. Currently, what revenue you are looking at is mainly our existing mature products in regulated markets. But as we grow, our revenue base is also going to grow. The products which we are going to add, it will be more diverse portfolio. So, with us growing much larger in topline, there will definitely be some dilution in the margin. But if you look at the absolute number of EBITDA, what we are doing today and what we will do in the next 2 years, you will see a significant growth.

Dr. Satish Wagh I would like to add on this one more. I will tell you the Supriya's ideology. See, we don't manufacture any product which are being manufactured in India and we fight with Indian manufacturers. This is very clear. What we are going to manufacture and what we are going to do is the products which are being catered from China to whole of the world. Now you understand, all over the world where it is being supplied, the plants are non-GMP plants. But there is no manufacturer who is having a GMP, CGMP with the supplier buyers, that is why people are continuing to buy. Now you have seen Latin America, there is a massive change that without GMP, they will not buy. Similar way, there are more and more countries which are coming and we will be doing only chemistry based on the products which will hit China. There, we are confident that we are telling our customers, please don't ask for any reduction in the price. This is our ideology because you should be happy that rather than a non-GMP plant, you are buying the material, even intermediate API from a US FDA plant. And that is being given a green signal to many of the multinationals and many manufacturers that they feel very much secured. We give end-to-end solutions. We don't buy N minus 2, N minus 3, N minus 4. We go for the basic, where people use cyanide. We use cyanide. We do not avoid cyanide. And we will give the confidence. This is our ideology. So, I'm sure we will definitely get a better EBITDA and better margins and security, sustainability to the business because people in the world expect that a good manufacturing USFDA plant is giving all this to them.

Aashish Uppanlawar: Sir, continuing on this, I just wanted to ask is for our set of products, which typically would be small issues that we always target, would there be competition when you are bidding for, when

you are kind of convincing the clients to move from Chinese to your supplies? Is there competition for that same pie or we have a very good right to win over there and less competition over there?

Dr. Satish Wagh: Sir, why should we say like this? Any buyer is being forced to buy because he has no alternative. Correct? Everybody in the world is talking about GMP, CGMP. Impurity profiles are going down. That means everybody is curious and wants a good quality product. So, in this case, if some qualified good manufacturer with all these things, with this facility comes, he will have some few days, but he will definitely change.

Aashish Uppanlawar: And so we've heard this, what you said right now, I think for last 3-4 quarters. So, how much of a maybe all the business that we would have won on this logic of ours till now, or is it still we have work in progress or we have seen initial success in this endeavor of ours?

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Saloni Wagh: So, this is still work in progress. For some of our existing products, yes, we have seen good traction in Europe and Latin American markets. But this philosophy and this will come in play in a very large way with some of the new products that we are launching, which you will be able to see, hopefully, from quarter 4 of this year. But the full effect of the new products you'll be able to see in Quar

ter 3 of next financial year.

Aashish Uppanlawar: And ex of CDMO, the new product that we are launching now, what can be the contribution? I understand it's very difficult to say, but what can be the contribution maybe 2 years out from these products on the topline at least? Is there a way to map that? Would you like to share that?

Krishna Raghunathan: I think it's very, very difficult to quantify, but we believe that should be in the range of around, say 15% is something which is a possible number to have.

Aashish Uppanlawar: Okay, so it's a material addition that new products will do to our topline.

Krishna Raghunathan: Of course.

Saloni Wagh: Because most of these new products that we are launching, like our Chairman said, the global volumes of these products are extremely high, and there is a lot of dependence on a single manufacturer for these products. So, definitely we can expect to get very good volume traction as soon as we launch these products.

Aashish Uppanlawar: Great and lastly given the revenues that we have achieved in the first half I think Rs. 325 odd crores, it looks likely that with H2 being heavy we might be around Rs. 700 odd crores in the this year, so the guidance of say Rs. 1000 crores for FY27 the growth seems to be maybe the range of say 15 odd percent. So, is that really the picture that you would like to give us or is there possibility of you getting added here on the drivers and this is a very conservative estimate that we are talking about?

Saloni Wagh: Yes, this is definitely a very conservative estimate based on whatever projects are already in hand and the volumes where we have very clear visibility. But definitely with the Ambernath facility getting launched with the module E coming in full effect and the new products also gaining traction in regulated markets, there is definitely a very positive upside to this number that we have communicated.

Aashish Uppanlawar: So, can we talk on a base case rather than a very conservative case, maybe Rs. 1200 crore of topline which we used to talk maybe around IPO that we intend to achieve this Rs. 1200 crore mark that was the statement then. So, is that something in maybe in 27 or FY27 or you would not like to maybe share your thoughts on that?

Krishna Raghunathan: As of now, the base case is what we are looking at is Rs. 1000 crore number. I think there could be a lot of upsides like what Dr. Saloni has said, the higher utilization from Ambernath, the higher utilization from Module E. See, as of now, we haven't factored some of these numbers most probably during this year's budget. In fact, that is what I was just talking to the Managing

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Director as well as Chairman today morning in our board meeting that we will start this process now and we will try and finalize this number. See, there could be a lot of upsides to this. The number of Rs. 1000 crore what you are saying is a base case value that is the base case number we are talking about.

Aashish Uppanlawar: So, what are the drivers for this addition that might come?

Saloni Wagh: Like I said this is our existing portfolio growing in regulated markets. Some of the newer products getting traction in semi-regulated as well as regulated market, and then contributing to revenue. Of course, the CMO, CDMO opportunities that we have, both on the advanced intermediate API front, as well as the CMO opportunities that we have on formulations from Ambernath. These are going to be the 4 or 5 major growth drivers. Of course, Module E, what we have added, that is only going to facilitate the growth from API and the new product.

Dr.Satish Wagh : It might be in a new therapeutic segment also. This is I can tell you.

Aashish Uppanlawar: My point was that you are a pretty R&D focused company and your focus is very sharp. What kind of business that you want to do on which products and stuff. That'

s why I thought that if

there are opportunities which are beyond the realm of this Rs. 1000 crore, I should know that was the only purpose. Anyway, maybe we will catch up one on one and try to understand more on where you are headed.

Moderator: Thank you. The next question comes from the line of Shubham Harne from Purnartha Investment Advisers. Please go ahead.

Shubham Harne: Just want to know the margin profile in LATAM market versus European market?

Saloni Wagh: So, we will not be able to give you numbers on country or region-specific margin profile.

Shubham Harne: And do you treat LATAM as a semi-regulated market or a regulated market?

Saloni Wagh: Also LATAM, we consider as a regulated market because going by our experience, because we recently also had ANVISA Brazil audit and we have done 9 product registration with ANVISA.

So, given our experience, we feel the regulatory standards of Brazil and the Latin American markets are as stringent as USFDA or a Health Canada or EDQM. So, we classify that as a regulated market.

Shubham Harne: And what is the status of USFDA audit which you mentioned earlier in one of the calls?

Saloni Wagh: So, we had our USFDA in FY20 and after that we have not had any USFDA audit but beginning of this year in February, we actually had a desktop EDQM and Health Canada audit, which we have cleared. So, we are not anticipating any USFDA audit happening immediately. We do have a China NMPA audit in December, but other than that, we don't have any major upcoming regulatory audit.

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Moderator: Thank you. The next question is from the line of Tushar Bohra from MK Ventures. Please go ahead.

Tushar Bohra: First quick clarification on the previous participant's question. While we may not have specific number for LATAM, but is it safe to assume that LATAM margins are similar or maybe slightly better than the corporate average because the higher contribution from LATAM has not prevented the margin profile from being strong?

Saloni Wagh: Yes, so like I said, the regulated margin profile is higher as compared to the others and we consider LATAM to be a regulated market. So, it would be similar.

Tushar Bohra: Second, despite a very strong gross margin performance, 72%, the EBITDA margins are in line with last quarter, primarily because of a significantly higher operating cost. Should we assume that this is due to some of the buildup that we had in anticipation for new product development, either on research side or maybe operating cost with the new facilities have already started coming in from this quarter?

Krishna Raghunathan: Yes, I think some of the formulation and also some of the R&D recruitments have already started, Tushar, yes you are right.

Management : The new plant, even validations and all are going on. Because before launching any API, we have to do all validations. So, those things are going on.

Tushar Bohra : Got it sir. Third, quickly on the CMO project, which I think in the previous call you mentioned as DSM, do we assume that this Rs. 60 crore per year starting FY27, we are being conservative on the maximum annual potential and or also on the launch timelines? Because I believe we've already launched this product or are going to launch, right?

Saloni Wagh : So, the project with DSM is getting launched in three phases. We have already launched, because it's a vitamin product, it has applications across food, feed, and pharma. So, what we have currently launched is the feed application where you don't need any kind of regulatory approvals. But for the food, you need the FSSAI approval, which we have just got last week. So, next year, you will see the feed and the food volumes coming in. For the pharma volumes, we still have to wait for 2 years because these are mainly targeting extremely regulated markets like Japan, US, or Europe. So, once the CEP, the US DMF number and

the Japanese DMF number come, then

only we can start seeing the volumes from pharma. So, it will take us three years to reach that peak volume. After that, yes, there is a possibility that the number could be higher because both the companies DSM as well as Supriya are aggressively looking at marketing this product. So, there is definitely a potential for this number to be higher than the Rs. 50-Rs. 60 crores what we have indicated.

Tushar Bohra : Ma'am, are we also looking at other products with DSM potentially?

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Saloni Wagh : Yes, I mean there is always a possibility because most of the multinationals like Chairman said they have been given a mandate to consolidate portfolios with good manufacturers who have all the GMP and the regulatory requirements. So, once we have established the confidence with DSM on this one project, there could definitely be larger opportunities there.

Dr.Satish Wagh : As you also know that they have already sold off their API plants. They are sitting with the cash and they want to concentrate on vitamin sector only. So, there will be a possibility that once we complete this project, another projects will come from their end. That's a preliminary discussion has been taken place.

Tushar Bohra: Also, in H2 revenues, we are looking at higher than H1. Should we assume that the DSM content coming through, there's a CMO opportunity you had highlighted earlier in some hospitals in this product, as well as the whey protein opportunity? Some of these could start contributing in H2, and therefore, we expect a significant bump up in revenue going forward?

Saloni Wagh: Yes, so definitely some volumes from DSM will be added in the H2 number. Also some of the new products what we are launching in Quarter 3, we are expecting them also to get some traction in the non-regulated market. For the whey protein project, we are just waiting for our licenses to come. We are waiting on our FSSAI license, which also we are expecting should happen by the end of Quarter 3. So, with all these other products also contributing, we are expecting the revenue to be slightly higher as compared to H1.

Tushar Bohra: One last question, if I may. Just want to qualitatively understand some of the CMO opportunities we are pursuing going forward, which may be some, if you can give some color on the kind of opportunities we are pursuing. And if you can confirm that these will be in line with our margin guidance or higher in terms of the profitability potential for us. Also, if you can, Dr. Wagh mentioned some new therapeutic area. If you can share a bit more details on that please?

Saloni Wagh: So, definitely most of the contract manufacturing opportunities that we have on hand are in line with the margin profile that we are currently doing. In fact, on the formulation end in contract manufacturing, we expect the margins would be even better than what we are currently doing. Also definitely that aspect is taken care of. On the API advanced intermediate front, we have at least three or four opportunities which can start giving commercial revenue from quarter 4 or quarter 1 of next financial year. And on the Ambernath side, definitely once the validation is completed, because Ambernath side on formulation is also going to be only a contract manufacturing site. We are not currently planning on coming up with our own label. It would just be for contract manufacturing formulation. So, definitely from quarter 4 of this year or quarter 1 of next year, we can start seeing some revenue generating from this. But all would be in line with the current margin what we are doing.

Moderator: Thank you. In the interest of time, this was the last question for today's Conference Call. On behalf of Supriya Lifescience Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Jan 2025

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GOVT. RECOGNISED EXPORT HOUSE

Date: January 31, 2025

To, To,
The Corporate Services Department Manager – Listing Department
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, C-1, Block G
Dalal Street, Bandra Kurla Complex
Mumbai – 400 001 Bandra (E), Mumbai – 400 051
Scrip Code: 543434 Scrip Symbol: SUPRIYA

Dear Sir (s),

Subject: Transcript of the Earnings Call for the quarter and nine months ended December 31, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we hereby enclose the transcript of the Earnings call held on Monday , January 27, 2025 at 10.30 P.M. IST to discuss operational and financial performance of the Company for the quarter and nine months ended December 31, 2024 (Q3 of FY 2024-25).

This is for your information and records.

Thanking you,

Yours faithfully,
For Supriya Lifescience Limited

Saloni Wagh
Managing Director
DIN No. 08491410

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"Supriya Lifescience Limited
Q3 FY '25 Earnings Conference Call "
January 27, 2025

MANAGEMENT : DR. SATISH WAGH – CHAIRMAN AND MANAGING
DIRECTOR – SUPRIYA LIFESCIENCE LIMITED
DR. SALONI WAGH – WHOLE TIME DIRECTOR –
SUPRIYA LIFESCIENCE LIMITED
MR. KRISHNA RAGHUNATHAN – CHIEF FINANCIAL
OFFICER – SUPRIYA LIFESCIENCE LIMITED

MODERATOR : MR. PRACHI AMBRE – ORIENT CAPITAL

Supriya Lifescience Limited
January 27, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to the Supriya Lifescience Limited Q3 FY '25 Earnings Conference Call. As a reminder, all participant line will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.

I now hand the conference over to Ms. Prachi. Thank you, and over to you, ma'am.

Prachi Ambre : [inaudible 0:0:38] Thank you. Good afternoon everyone on behalf of Supriya Lifescience Limited I extend a warm welcome to all participants in Q3 and 9 months FY '25 financial results discussion call. Today on the call, we have Dr. Satish Wagh, Executive Chairman and Whole-Time Director; Dr. Saloni Wagh, Managing Director, Mr. Krishna Raghunathan, Chief Financial Officer.

Before we begin the call, I would like to give a short disclaimer. This call may contain some of the forward-looking statements, which are completely based upon our beliefs, opinion and expectations as of today. These statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties.

With this, I would like to hand over the call to Satish sir for his opening remarks. Over to you, sir. Thank you. [inaudible 0:01:20]

Satish Wagh: Good afternoon, and warm welcome to all the participants. Thank you for joining us today to discuss the Q3 and 9 months financial year '25 results of Supriya Lifescience Limited. To take us through the results and answers to our questions, along with me are Dr. Saloni Wagh, Managing Director, Mr. Krishna Raghunathan, Chief Financial Officer, and our Investor Relations team, Orient Capital.

I hope you have had the opportunity to review the financial results and investor presentation, which have been uploaded on the stock exchanges and our company website. It gives me an immense pride to share that Supriya Lifescience has delivered another quarter of outstanding performance, maintaining our strong growth momentum at Q3 financial year '25.

Revenue from operations grew by an impressive 33% year-on-year to approximately INR186 crores, driven by robust demand across our product portfolio. Our operational efficiency and strategic focus on high-margin niche products have translated into exceptional EBITDA margin of 35.5% and a PAT margin of 25%. These results reflect our unwavering and commitment to operational excellence and disciplined execution.

Supriya Lifescience continues to be a well-established leader in API manufacturing, specializing in differentiated value-added products with limited competition. Our fully backward integrated business model, spanning key therapy areas such as anesthetics, anti-asthmatic, anti-histamine, decongestant and anti-gout gives us a distinct advantage in ensuring supply chain, security and cost efficiency.

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We are continuously expanding our portfolio with new and critical molecules and strengthening our presence in regulated markets. Looking ahead, we remain on track to launch new products in such therapeutic segments, including anti-stimulants, anesthetics and anti-anxiety and anti-diabetic to meet growing market demand.

This quarter, exports contributed 85% of our total revenue, up from 74% in the -- same period last year, reflecting our increasing penetration into regulated markets that command premium pricing. The LATAM region, in particular, has demonstrated remarkable growth, contributing 21% of the revenue this quarter compared to 8% in the corresponding quarter last year.

Additionally, we are witnessing strong traction in the North America and Africa for our key products, further advancing our global expansion strategy. Our t

ransformation from a generic

OTC provider to an innovative leader in regulated and higher-margin markets is built on the trust of our diverse customer base of over 1,500 clients across 120 countries.

During the quarter, we achieved significant milestone by commissioning the Module E block at our Lote Parshuram facility adding 335 KLPD to our capacity and taking the total capacity to over 1,000 KLPD. Our facilities are approved by major regulatory bodies, including USFDA, Health Canada, EDQM, ANVISA, TGA Australia, et cetera, which positions us strongly in a market where supply chain security and GMP compliance are paramount.

We are also capitalizing on the China +1 strategy by launching products that reduce the dependence of China and leveraging our new formulations and R&D facility in Ambarnath. These efforts further bolster our CMO and CDMO business, supported by our backward integrated model and decades long customer relationship.

We remain confident in achieving our revenue growth guidance of 20% while maintaining strong margins. Our long-term goal of doubling revenue to INR1,000 crores by financial year '27 remains firmly on track, supported by the expansion of existing molecules in the regulated market and robust pipeline of new products. Our strategy includes launching at least 4 new products annually, ensuring we remain at the forefront of innovation of API manufacturing.

With that, I will now hand over to our CFO, Mr. Krishna Raghunathan, who'll provide a detailed overview of our financial highlights of quarter 3 financial year '25.

Krishna Raghunathan : Thank you, sir. Hello, everyone, and good morning. I will now share the operational performance of the quarter and following which we will open the floor for question and answers. In Q3 FY '25, our revenue from operations grew to approximately INR186 crores, marking an impressive 33% year-on-year growth compared to INR140 crores in Q3 FY '24. This strong performance extended to the first 9 months of FY '25 with revenue reaching approximately INR512 crores, reflecting a 24% increase from INR412 crores in 9 months ended FY '24.

Moving to EBITDA. We delivered robust growth with EBITDA for Q3 FY '25 increasing by 59% to approximately INR66 crores, up from INR41.5 crores in the same quarter last year.

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This translated to an EBITDA margin of 35.5%, representing a significant improvement of 591 basis points year-on-year. For 9 months FY '25, EBITDA stood at approximately INR193 crores, reflecting a 64% increase over INR117 crores in 9 months FY '24.

On the bottom line, profit after tax for Q3 FY '25 grew substantially to approximately INR47 crores compared to INR30 crores in Q3 FY '24. The PAT margin for the quarter increased to 25%, an increase of 394 basis points year-on-year. For 9 months FY '25, PAT reached INR137.5 crores, a 67% increase from INR82 crores in 9 months FY '24. With PAT margins improving to 27%, up 691 basis points from the corresponding period last year.

Our capital expenditures for 9 months FY '25 amounted to INR110 crores compared to INR97 crores during the same period last year. For the full year, we expect capex to close around INR120 crores to INR130 crores, primarily directed towards the refurbishment of block A, B and C at our Lote facility and development at Ambarnath plant.

We have invested a total of INR125 crores in the newly inaugurated Module E manufacturing block, which is expected to achieve its peak revenue contribution by FY '27. On the operational efficiency front, our working capital days have improved to 124 days in Q3 FY '25 compared to 134 days in the same quarter last year.

We have maintained a strong financial position with a debt-to-equity ratio of 0.01, adopting a conservative approach to borrowing by utilizing only letter of credit and bank guarantees without tapping

into working capital limits. With that, I conclude my remarks and open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin with question and answer session. The first question is from the line of Nirali from Ashika Institutional Equity.

Nirali: I just have a few quick ones. So the first one is, could you provide an update on the progress of Module E, which we have actually commissioned in December? So that's the first one. I'll follow after you or the questions later on?

Saloni Wagh: So Module E -- thank you for the question. This is Dr. Saloni here. For Module E, we have started commercial production from this quarter. We have already taken validation campaigns of some of the new products that we are planning to come out of this block. We expect the commercial production to begin full-fledged in the upcoming quarter, but already commercial production for validating batches have started.

Nirali: Okay. The second one is that in the previous call, you had mentioned that we have some 3 to 4 opportunities on the advanced intermediate and the API side. So what kind of growth can you pencil in over the next 2 quarters from these opportunities? And just trying to understand that are these significant enough to materially impact the top line? And if also you can explain which geographies are being targeted in these opportunities?

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Saloni Wagh: Yes, we do have a lot of opportunities in advanced intermediate as well as API space in contract manufacturing. However, these opportunities are currently at negotiation stage or at contract signing stage, so we do not expect any top line generation from these, at least for the next couple of quarters. We will only be able to see the impact of these on the revenue in FY '27.

On the whole as CMO, including the current opportunities what we have and the new opportunities which are there in our pipeline, we expect in FY '27, CMO to contribute closer to 20% of the total revenue.

Nirali: So none of the advanced intermediate opportunities we are witnessing in FY '26, right?

Saloni Wagh: No, we will not be able to because any contract manufacturing opportunity takes minimum 2 to 3 years to start giving commercial revenue.

Nirali: Okay. Understood. And just last one. Have we secured the FSSAI license for the whey protein project? How are we progressing on this? And just specifically on the whey protein project, what's the next trigger?

Saloni Wagh: Yes. Actually, we have a very good news on that front. Just last week, we have already received our FSSAI license. And now we are going all out in the market. Our marketing partner has already contacted a lot of large distributors of whey protein. So we are actually expecting some revenue contribution happening in FY '26 from the whey protein project. How much, I will not be able to tell at this point because this is a completely new product, which is getting a plan to launch in the market. So the volumes depend on what kind of traction the product -- end product gets in the market, but we are very hopeful because the product is extremely novel. It has shown great benefit in the whey protein market. It's a differentiated product, which has not happened in the last many years in this space. So we are very confident now that we have the FSSAI license, we will start getting good revenues from this opportunity in FY '26 itself.

Nirali: Congratulations on that front.

Moderator: The next question is from the line of Adityapal MSA Capital Partners.

Adityapal: Yes. So first of all, many congratulations to the management. Fantastic set of results. I wanted to quickly understand, so there was a slight decrease in gross margins when we look in quarter - on-quarter basis. So wanted to understand that even though we saw an increase in revenue contribution from a backward integrate

d products, is this a purely product mix thing because there is some geographical color to it as well? And what is the gross margin that one should work with?

Saloni Wagh: So Aditya, we never guide on gross margin. So I will not be able to give any guidance even today on gross margin. On EBITDA margin, yes, I can guide. And the EBITDA margin is a
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product of the geographic and product mix. So depending on what product is moving in which geography, there could be an impact on the EBITDA margin quarter -on-quarter. But for this financial year, I'm not guiding anything for quarter 4, but for the full financial year, we would like to guide an EBITDA margin of 34% to 36%.

Adityapal: Understood. But Saloni, if you can just help me understand that a decline in gross margin this quarter was because I've seen it -- revenue from our backward integrated products quarter -on-quarter increased from 74% Q2 and 77% this quarter. So just for my knowledge, how do I look at it? What do I'm trying to get for out of it?

Saloni Wagh: Like I said, I will not be able to comment much on the gross margin. And we never have in the past also, and we would like to, moving forward, also not give any comments on the gross margin. Any questions around the EBITDA, definitely I can answer those.

Adityapal: All right. So export share, this quarter was 85%. What would the regulated share be this quarter compared to last quarter -- sorry, same quarter last period?

Saloni Wagh: So this quarter, I think we are closer to almost 45% is coming from the regulated market, closer to 45%. And if you look at the same quarter last year, it would be somewhere less than or closer to 40%. So yes, there is definitely an increase in the regulatory market share contribution. And for this quarter, specifically, I would like to highlight that LATAM has really demonstrated good growth because for the same quarter last year, we did only about 8% of the total revenue from LATAM market.

But as we have said in the past calls also, we have actively registered a lot of our existing products there. We already have approval of 10 DMFs from CADIFA. So I think that is now showing revenue generation. And LATAM, this quarter has contributed almost 21% to our total revenue. So I think the major growth on this quarter in regulated markets have come from LATAM.

Adityapal: Understood. Just last question before I come back in the queue. Thinking a bit longer term, 2

to 3 years out now, so we have a couple of land parcels. So Dr. Wagh had already explained about what is the plan with Patalganga land parcel. But the other 2 land parcels, right, one that we are going to use for backward integrated and there's another land parcel. So what is the strategy of utilizing this? What is the road map? What is the capex that we are planning to do? And secondly, if we are planning to produce some final products, we'll also need to get it -- we'll also need to think about the regulatory timelines as well. If you can help me just understand that aspect.

Saloni Wagh: So one of the land parcels, we are already utilizing, like you rightly said, for backward integration. We are producing N minus 2 stage of a lot of our existing products from this site. But in the next couple of quarters, we will be refurbishing this site, and it could be potentially used for some of the advanced intermediate API CMO opportunities that we are getting

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because where we have the capability of designing the facility as per the requirement of the project.

The other land parcel, which is actually very close to our existing facility, which is the A21 land, that we will be utilizing for the whey protein opportunity because the whey protein volumes in the future could be significantly higher, so that would be done from that as well as

for warehousing activities because all our existing products are growing, we are adding new products in the basket.

So we will run out of warehousing capacity from the current site. So the A21 plot will be predominantly used for whey protein volume scale up as well as warehouses for the existing set of products and the new products, which we'll be launching.

Moderator: The next question is from the line of Charvin from Share India.

Unnati Bhavkar : This is Unnati Bhavkar from Share India. I have 2 questions. Could the average selling price of ketamine or anesthetic products will be higher than that of anti-histamine or vitamins? Or how is the pricing trend for ketamine vis-à-vis anti-histamine products? That is the first question?

Saloni Wagh: Unnati, sorry, we will not be able to talk anything product-wise.

Unnati Bhavkar: But could you just give a general sense of how is the trend? Whether it is positive or...

Saloni Wagh: We have never spoken anything product-specific, and we don't intend to do that in the near future as well. We will only guide therapy-wise, so we'll not be able to give any guidance on any specific product.

Unnati Bhavkar: So could I kind of reformulate this question. So anesthetic products will be a better price compared to anti-histamine or vitamins, is it?

Saloni Wagh: No, it is nothing like that because for us, anesthetic basket is multiple products. It's not just 1 product, it is at least a set of 8, 9 products. Again, it only purely depending on the product, the regulatory market where it is going. So there are many anti-histamines or anti-allergic products, which could be higher priced than some of our anesthetic products as well. So it is very product specific.

Satish Wagh: Madam, all these products to understand, we have almost spent our 40 years of life. So we'll not be able to disclose anything unless and until we are confident about that. And we will do that for ourselves, the product selections and all, we cannot disclose with anybody.

Unnati Bhavkar: Okay. Sure. So in case of Latin America, the contribution has increased considerably in this quarter to about 21% of the total revenue. So it is considered a regulated market or a semi-regulated market? And any comments over there? And is the pricing considered equally premium in the LATAM market compared to rest of the world?

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Saloni Wagh: So yes, LATAM, definitely, for us is a regulated market because the authority, CADIFA, is very, very stringent and the registration process in Brazil is much more stringent, and it is comparable to even with USFDA and EU. So we consider it as a regulated market. But because the volume demand from Latin American markets is usually on the higher side, the price is not -- although it is a little premium as compared to the other markets like Southeast Asian market and domestic market, it would probably not be as high as some of the European markets.

Unnati Bhavkar: Okay. So volume growth could be higher in LATAM is what you're saying?

Saloni Wagh: Yes. And for some products, like I said, it is definitely better than Southeast Asian market and the sort of semi-regulated market, it's definitely higher than that, but not as high as North

America and Europe.

Unnati Bhavekar: Okay. So this increased backward integration could have played a part in the improved margins, right, on the gross profits front?

Saloni Wagh: So like I said, we are constantly trying to backward integrate more and more products. We are also trying to constantly penetrate existing set of products in more regulated markets. We have applied for a lot of CEPs, USDMFs. So margin, like I said, EBITDA margin is given by 2 things. One is the backward integration, which we focus on, which tries to bring our cost down; and the other is penetration into regulated market where we get

better average selling

price. So we are constantly trying to improve our margin.

Unnati Bhavekar: Okay. So you had earlier guided that second half of '25 is going to be a little weaker for non-anesthetic products. So you would have kind of in this quarter have more than made up with these anesthetic products doing far better than expectation. So do you expect this trend to continue in the rest of the year for anesthetic products?

Saloni Wagh: Like I said for us, growth will come not only from the anesthetic products, we are also expecting good growth happening in vitamins, anti-asthmatic. And in a nesthetic product, we have a basket of about 8, 9 products. So we are seeing good growth in all the individual products. So I think the trend would remain the same for quarter 4 as well. On the guidance on the margin, like I said before also, we are expecting to close this year with 34% to 36% EBITDA margin.

Moderator: The next question is from the line of Mohit from Shubh Labh Research.

Mohit: I'm Mohit from Shubh Labh Research. Personally, congrats on a good set of numbers. Ma'am, I just have a couple of questions. First, earlier, you mentioned that you are increasing your -- the increasing demand from North America and Africa. So just wanted to know what is the progress on that? And what percentage of revenue we can expect from that business in future?

Satish Wagh: Your voice is not...

Krishna Raghunathan : Mohit, we are not able to hear you.

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Satish Wagh: Humming sound is coming from your back end.

Saloni Wagh: We were not able to hear the question very clearly.

Mohit: Now I suppose it is clear.

Saloni Wagh : Yes, slightly better.

Mohit: Yes. So sir, I just want to know that earlier you mentioned that the demand from North America and Africa regions are increasing. So just wanted to know that what are we planning on that business and that region and what is the progress? And what percentage of revenue we can expect from that?

Saloni Wagh: So for us, North America, as of now, is very stable. It only contributes about 4% to 5% of the total revenue. But we are hopeful that with some of the new launches that we are doing in quarter 4, beginning from quarter 4 itself we are launching 2 new products. So once the new products launch, the North American market contribution will go up. Right now, the main markets, which have given the growth are Europe and Latin American markets.

As I said before, LATAM has grown from 8% to almost 21%, and Europe is pretty stable at around 40%, 42%. So these are the 2 main markets which have given us the growth. But in due course with the new launches, I'm sure that North American market would also scale up.

Mohit: Okay, Ma'am. And then my second question is like we are backward integrating. So what percentage we can expand towards backward integration? And in what therapeutic areas we are planning for backward integration, except anti-anesthetics or anti-histamine?

Saloni Wagh: So backward integration, we do as a concept across all products. It is not limited to any particular therapy. Whenever a product reaches a certain volume threshold, we definitely move that product towards backward integration. Sometimes it is not possible to have backward integration from day 1, but we have that vision that yes, once this product has reached this volume, we will have a fully backward integrated product.

Today, backward integrated products are almost contributing to 77% of our total revenue, and we intend to keep that trend upwards. We want to grow that trend. And we would like to have a fully backward integrated basket.

Moderator: The next question is from the line of Sahil from M&S Associates.

Sahil: I had a couple of questions. So how do you view our CMO, CDMO potential, particularly in leveraging the China Plus One strategy?

Saloni Wagh: So yes,

we see a lot of opportunity there because we are one of those manufacturers who has a very strong regulatory and manufacturing background. We have a site which is approved

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over the globe have already approved our site. So we are very strong when it comes to regulatory, EHS and all these aspects.

So any company who has that strong track record in EHS regulatory manufacturing quality will stand to get a lot of benefit from this China Plus One strategy because a lot of the global customers are now looking for manufacturers who can give them high-quality products and there is a supply chain stability. And because we have a backward integrated model.

And we do not buy any advanced intermediates from outside, we have a very, very robust supply chain. So we are getting a lot of opportunities in API and advanced intermediate space.

Sahil: Okay. And my next question is, are there specific reasons for therapeutic segments where you see untapped opportunities for Supriya Lifescience to explore?

Saloni Wagh: Yes. So like I said, we are adding new therapies in our product portfolio like we are adding anti-anxiety, we are adding anti-diabetics. Even in the anesthetic portfolio itself, we are adding at least 4 new products. So there is a lot of area for us to grow. In fact, in the last couple of quarters only we have strengthened our R&D. So now our R&D is up and running, and we can churn out at least 3 to 4 new products every year.

So you can expect new product launches from us, beginning this quarter 4 itself for this financial year. Every quarter, you can expect at least 1 new product launch happening.

Sahil: That surely sounds promising. That's it from my side.

Saloni Wagh: And one more -- sorry, one more therapy I missed out is we are also going into contrast media. So we are also launching 2, 3 APIs in contrast media. So that is another therapy what we are adding.

Moderator: The next question is from the line of Tushar from MK Ventures.

Tushar: Yes. Congratulations to the management for delivering a good set of numbers. Ma'am, first of all, just to the previous participant, you mentioned about contrast media. Maybe you could explain that a bit more, some more qualitative comments around that, what's the size of opportunity? What are the products you're looking at? And how soon? What timelines are we looking at?

Saloni Wagh: So in contrast media, we found a lot of opportunity where the manufacturing is very, very concentrated, and there are only 1 or 2 manufacturers globally who are catering to the demand.

The demand for contrast media products is growing because surgeries are on rise. So definitely, the growth is there in these kind of products.

We are working on 2 or 3 products in this area. While at this point, I will not be able to disclose the name of the product, but we are expecting to launch our first product of contrast media in quarter 2 of next financial year. The volume is definitely very, very large globally.

And these products are also -- value-wise also they are very large globally.

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So we can expect by FY '27 contrast media products to be large contributors to our revenue. But around quarter 1 of next year, we'll be able to disclose more details on this.

Tushar: Ma'am, second, the formulation opportunity at Ambarnath that you're working on. You had highlighted a bit more about that in previous quarters. Maybe if you can explain the status of that product. Also, what else is being planned at Ambarnath now that the site is almost up?

Saloni Wagh: So the Ambarnath is almost ready. We are expecting to start production in this site from quarter 1 of next financial year. We are initially focusing on liquid

inhalation. That is going to

be Phase I for us. The liquid inhalation line is already set up. And we are getting good traction for that because like I said, with this line of products also the manufacturing is very, very concentrated. And globally, the demand is catered by only 1 or 2 players.

Ambarnath facility is going to be a pure CMO side on finished formulation. We are not intending to come up with our own brand. This is just to cater to the demand of regulated markets. Like I said, liquid inhalation line is Phase I. Quarter 1, we will start production. And you can actually expect revenue generation happening from the Ambarnath site in quarter 4 of this financial year.

Once Phase I is done, we are also planning tablets and capsules as Phase II. We have already set up the line, but the demand and everything, we will be able to give guidance in the next coming quarters.

Tushar: Ma'am, would you also like to highlight a bit more about some of the upcoming CMO/CDMO

opportunities? You mentioned that we are working on a few projects, any more qualitative details that you can highlight on that?

Saloni Wagh: So yes, we are working on 2, 3 opportunities which are very similar to the DSM -Firmenich opportunity that we have, where we have APIs and advanced intermediate demand from some multinational customers. The contracts with these customers are already signed, and we are now catering to their validation volume. The individual contribution of these products might not be very large, but still they are to the tune of around INR25 crores, INR30 crores individually and we are discussing 2, 3 such opportunities.

I think in the next financial year, at least, toward these, we will be able to commercialize.

Again, like I said before, we'll be able to disclose the name of the customer probably in quarter 1 of the next financial year.

Tushar: Got it, Ma'am. On the DSM project itself, what's the update -- status update?

Saloni Wagh: We are supplying our first commercial quantity to them in quarter 4, approximately 5 to 10 metric tons their demand. So we have already started. I mean, the production is ongoing right now. And in quarter 4, you will see some sales happening to DSM. We already have a firm forecast from them for the next financial year, which is very, very encouraging. We have got Supriya Lifescience Limited

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about 25, 30 metric ton of forecast from them. So the project is moving really well. And we are on target of taking it to full potential by FY '27.

Tushar: One last question from my side. North America is still low -single digits for us. Do you expect that even with growing contribution from LATAM and Europe being stopped, you expect North America can become more important for us in percentage terms? Maybe a double digit over the next couple of years?

Saloni Wagh: So yes, while North America will grow, I think at least in near future, I'm talking at least in the next 2 to 3 years, Europe and LATAM would still be the larger markets for us because we will take at least 2 to 3 years to get the project develop and to start delivering the product. But yes, after 3 years, it could be a slightly bigger contribution from North America. We are expecting it to grow to almost 10% in the next 3 to 4 years. But like I said, Europe and LATAM will continue to be the larger markets for us.

Moderator: The next question is from the line of Nikhil from Simpl .

Nikhil: Congrats on good set of numbers. I just have one question on LATAM . I think when we received the approval from ANVISA, we had talked about opportunity size of INR200 crores. Based on our new R&D setup and all, how is the opportunity size growing? And commercially, based on your discussions with the customers, what is the potential revenue LATAM can reach?

Saloni Wagh: So see, there are a lot of new products that we are launching now, and they also have a very

large market in countries like Brazil and Mexico. So the full potential of the LATAM market, I'll not be able to tell right now. But definitely the INR200-odd crores, which I referred to, some part of the revenue is already coming to us. And once the DMF is approved and the customers have also switched to us in the next 2 to 3 years, you can see the full INR200 crores coming to us.

But with the newer product launch and all, I'm sure in the next couple of quarters, I will be able to give you a firm revenue generation from LATAM . But at this point, it is too premature because we are launching at least 4 new products in the next financial year. And all of the 4 have very large markets in LATAM . So maybe 1, 2 quarters down the line, I'll be able to give you a better projection.

Nikhil: Okay. And just one conceptually to -- for my understanding. See, when we understand in markets like U.S. or Europe, when we file a product, it takes almost 18 to 24 months to actually commercialize based on the validations and the plant approval and all. What is the timelines in LATAM market? Like does the commercialization from filing to commercialization is the window is around 1 year? What's the kind of time periods?

Saloni Wagh: It is the same as CEP and USDMF, it takes about 18 to 24 months.

Moderator: The next question is from the line of Shubham from Purnartha Investment Advisors. Supriya Lifescience Limited

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Shubham: Team, congratulations for good set of numbers. I just want to ask, APIs, in general, are witnessing pricing pressure. Does we also witnessing the same, for our API pricing are stable and growth is due to volumes?

Saloni Wagh: See, most of the API companies have not really focused on having a backward integrated business model. Most of the API players today also rely on advanced intermediate sourcing from countries like China. And when you are sourcing advanced intermediates from outside, there is very little room for you to work on the raw material cost because it's only 1 or 2 steps that you do in-house. We have a backward integrated business model.

Since the inception, our Chairman has believed on working on a backward integrated business model. We only buy starting raw materials, which are cheaply, widely available chemicals from outside. So in our case, because we do 7 steps, 8 steps in-house, we have a better grip on the raw material costing as compared to the other manufacturers.

Although, overall, yes, there is some erosion happening in the API prices because we have a very strong backward integrated model in place, for our set of products, we are not seeing that kind of erosion. For us, the growth is going to be very stable moving forward also.

Shubham: So some erosion is there in pricing, but not much?

Saloni Wagh: Not much. So our set of products, I don't think we will be very much impacted by them in any of the markets. Plus, like I said, we are constantly focusing on more regulated markets. We're getting CEPs, USDMFs for the other products also in the portfolio. So once they start revenue generation, the margins will be maintained. So we are very confident that in terms of growth in revenue as well as the kind of margins we are doing, for us, moving forward, it's going to be very stable.

Shubham: Okay. And we are generating volumes also, we are growing in volume terms.

Saloni Wagh: Yes, absolutely. In fact, some of the new products what we are launching in the next couple of quarters, these are higher volume products globally. And with these products getting launched, you can see the revenue growth happening very fast. So that is why we are targeting to double our revenue by FY '27.

Moderator: The next question is from the line of Jay from JS Family.

Jay: Congratulations for a good set. I just want to know more about the contrast media intermediates. I agree you will not talk more

about the product, but can you at least talk about

what kind of chemistry you're pursuing because there are majorly 2 chemistries, gadolinium and iodine. So would you be able to say that what chemistry are you pursuing? And what kind of integration you have and what kind of raw material control do you have in the chemistry that you are pursuing?

Saloni Wagh: So for all the products that we are launching in contrast media, we are again going for a fully backward integrated business model. We are actually -- our R&D, themselves, have developed

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the product end-to-end. So we are not going to outsource any advanced intermediate from our side. We will be making our own advanced intermediate. We have been able to find alternate process where we are able to sort of bypass that iodine usage.

So we are very confident that once these products commercialize, we'll be able to start getting good traction. And we don't intend to be in advanced intermediates. We are planning to go all the way up to the API level. And we are getting good traction from a lot of regulated customers. And we are very confident that after launching, we'll be able to convert customers very fast.

Jay: Okay. So now that you've said that you would be able to bypass the R&D usage, so can you just tell me that what kind of the waste recycle or solvent recovery would you have in the chemistry that you're pursuing? Would we be able to get all the solvent back in the chemistry that you are pursuing?

Saloni Wagh: Yes, definitely. I think whenever we work on a process and because we are very strong when it comes to the solvent recovery manufacturing, EHS aspect of things, the process which has been designed is considering solvent recovery. And it's too premature right now to talk because the product is just out of R&D and in validation stage. So once we complete validation and we take up commercial batches, we would be in a better position to comment.

But whenever the process is developed, it is developed with a full backward integrated model, taking into account all the solvent recovery aspects as well.

Satish Wagh: And my submission will be -- no, no, my submission will be for you, just listen carefully, we have to make everything at our plant. If you keep on buying from China, you're aware the product which you buy from China is from a non-GMP plant. Will you continue with that with the regulatory departments? Not at all. So that is why if I keep on buying the N minus 1, N minus 2 from China, and if they are coming from the non-GMP plant, my business is finished. So that is why I have decided 20 years back that everything what we manufacture, slow and steady, but we will manufacture everything in our plant from the basics. That's the attitude and that's the style we are working. I hope you understand that.

Moderator: Thank you very much. In the interest of t he time, that was the last question. On behalf of Supriya Lifescience Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

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"Supriya Lifescience Limited's Q4 FY'25 Earnings
Conference Call "

May 28, 2025

MANAGEMENT : DR. SATISH WAGH - EXECUTIVE CHAIRMAN &
WHOLE -TIME DIRECTOR , SUPRIYA LIFESCIENCE
LIMITED
DR. SALONI WAGH - MANAGING DIRECTOR , SUPRIYA
LIFESCIENCE LIMITED
MR. KRISHNA RAGHUNATHAN - CHIEF FINANCIAL
OFFICER , SUPRIYA LIFESCIENCE LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to the Supriya Life science Limited 's Q4 FY '25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Runjhun Jain from EY. Thank you and over to you , ma'am.

Runjhun Jain: Thank you , Anushka . Good morning , everyone. On behalf of Supriya Lifes cience Limited, I extend a warm welcome to all participants for the Q4 & FY' 25 Financial Results Discussion Call. Today on the call we have Dr. Satish Wagh – Executive Chairman and Whole -time Director, Dr. Saloni Wagh – Managing Director and Mr. Krishna Ra ghunathan – Chief Financial Officer. Before we begin the call, I would like to give a short disclaimer . This call may contain some of the forward -looking statements which are completely based upon our belief, opinion, and expectations as of today. These statements are not a guarantee of our future performance and involve unforeseen risk and uncertainties. With this, I would like to hand over the call to Dr. Satish for his opening remarks. Over to you, sir.

Satish Wagh: Good morning and a warm welcome to all participants. Thank you for joining us today to discuss the Q4 & FY '25 Results of Supriya Life science Limited. Joining me today are Dr. S aloni Wagh – Managing Director ; Mr. Krishna Raghunathan – Chief Financial Officer and our Investor Relations Team from Ernst & Young. I hope you have had the opportunity to review our Financial Results and Investor Presentation which are available on the Stock Exchanges and our Company Website .

FY '25 has been a landmark year for us at Supriya Lifescience as we continue to deliver on our strategic roadmap and maintain strong execution across our operations. It was our strongest year yet at Supriya Life science as we delivered our highest ever revenue and EBITDA performance. We closed the year with revenue of Rs. 697 crores up 22% year -on-year aligned with our guidance of +20% growth . Our EBITDA for F Y'25 stood at Rs. 261 crores wi th a robust margin of 37.4%. This performance was driven by 3 key pillars -

1. Capacity enhancement by utilization of Module E. We are successfully transitioning to

regulated markets, driving stronger results despite modest volume growth.

2. Penetration in newer geographies and

3. Adding new customer base.

Our export business continues to be a major growth engine, accounting for 85 % of FY'25 revenue up from 79% last year. Notably, LATAM's contribution surged to 22 % from 11 % in FY'24. We are also gaining traction in regulated markets like Europe and Brazil, fueled by new product registrations. Going forward, we expect Europe and LATAM to drive growth.

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Additionally, we have launched a key new product in anesthetic category, which will scale up. Our strategy remains clear: drive growth through increased registrations and deeper market penetration.

Our key differentiator, backward integration, has seen substantial progress. Reaching 72% in FY '25 from 68 % in FY'24, this strategic enhancement directly improves our control over vital inputs and optimize our cost structure.

We are pleased with the strong performance in our core therapies and the steady progress in other key segments, which together have strengthened our overall portfolio. What is especially encouraging is that none of our products saw a decline, reflecting strong execution across the business.

As you are aware, we signed a 10-year partnership with DSM, and I am pleased to

share that it

is on track. Commercial supplies have started, and we are expecting revenue contribution this year.

We are pleased to share that we have received a Certificate of Suitability, (CEP) for one of our key molecules, facilitating deeper access into the European market. Additionally, our Ambernath site has started validation campaigns and will commence production of liquid anesthetics and oral solids, a significant milestone of our CDMO strategy. Our new Module E-Block has expanded capacity by 500 KL, taking our total to over 1,020 KL with full utilization expected by FY '27.

We now operate two R&D centers, Lote, focused on life cycle management and generic APIs, and Ambernath, which drives innovation in finished formulations and NCEs. Together, they support our forward-looking product strategy across APIs and CDMO services.

Looking ahead, we reaffirm our guidance of ~20% annual revenue growth and sustained EBITDA margins in the 33 % to 35 % range. Our mid-term ambition to reach Rs. 1,000 crores in revenue by FY '27 is backed by a robust pipeline, 3-4 new product launches in FY '26, and growing traction across therapeutic areas including anesthetics, anti-diabetics, anti-anxiety, vitamins, and ADHD.

While the US has announced new tariff measures, details are yet to be finalized. For now, we are adopting a wait-and-watch approach. The US currently contributes a relatively small share to our overall business, and we remain focused on strengthening our presence in other high potential regulator markets.

Our competitive edge lies in deep backward integration, regulatory strength across key markets and a strong portfolio of differentiated products. We are confident in our long-term strategy and remain focused on creating a substantial value for all the stakeholders.

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With that, I now invite our CFO – Mr. Krishna Raghunathan to take you through the detailed financial performance of Q4 & FY'25.

Krishna Raghunathan: Thank you, sir. Good morning, everyone. Let me take you all through the operational highlights of the quarter and the full year following which we will open the floor for question and answers.

The company reported revenue from operations of Rs. 184 crores in Q4 FY'25 as against Rs. 158 crores in Q4 FY'24 registering a growth of 16 % year-on-year. EBITDA in Q4 FY'25 stood at Rs. 68 crores as against Rs. 56 crores in Q4 FY'24, a growth of 22 % year-on-year, and EBITDA margins stood at 37% for Q4 FY'25, improved 162 bps year-on-year. PAT stood at Rs. 50 crores in Q4 FY'25 as against Rs. 37 crores in Q4 FY'24. PAT margins stood at 27%.

Moving to full year performance. Revenue from operations stood at Rs. 696 crores in FY'25, as against Rs. 570 crores in FY'24, reporting a growth of 22%. EBITDA in FY'25 stood at Rs. 261 crores, as against Rs. 173 crores in FY'24, an exceptional growth of 51 % year-on-year. While EBITDA margin stood at 37% for FY'25, as against 30 % in FY'24, improved 712 bps year-on-year. PAT stood at Rs. 188 crores in FY '25 as against Rs. 119 crores in FY '24. PAT margins stood at 27% in FY '25.

Our CAPEX for FY '25 stood at Rs. 162 crores. Going forward, we expect our CAPEX to close

around Rs. 75 crores to Rs. 80 crores for FY '26, primarily directed towards maintenance CAPEX and certain small projects like Rabo Block and other requirements in formulations plant . Our working capital days increased from 124 days to 158 days on account of the increase in inventory and receivables due to the increase in certain batch sizes in E block and the increase in receivables is due to increased business.

On borrowings , we would like to report that for the last six months, we have not replaced any working capital limits except for letter of credits and bank guarantees.

With that, we can open the floor for questions and answers

. Thank you.

Moderator: Thank you. We will now begin the question -and-answer session. The first question is from the line of Rachna from SIMPL. Please proceed.

Rachna: My first question is that we had launched a basket of new products across various therapies. So how have these products scaled during FY'25 and how has the ir contribution been to overall revenue? And do you see any opportunities further to scale for these new products in the medium to long term ?

Saloni Wagh: So, in FY '25, we have actually launched only one new product coming from the anesthetic therapeutic category. And this launch has happened actually in Quarter 4. So right now, we have not seen any meaningful contribution from this particular product because typically for any product to complete the registration in regulated markets, it takes about 12 months to 18 months.

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But it's a very large product category for us and we are very hopeful that in the next financial year, we can see some meaningful contribution to revenue. In the next financial year, we are expecting to launch three new products. The first would be launched somewhere end of Quarter 2, and then Quarter 3, Quarter 4 also we are expecting to launch new products. But meaningful contribution of any new product launches will only happen 12 months to 18 months from the commercial launch.

Rachna: Okay, I was wanting to understand about the products we had launched in FY '23. So, have those products seen any growth?

Saloni Wagh: So, in FY '23 as such we have not launched any new product, or we have not added any new product in our portfolio. In FY '23 the main focus of the company was penetration into more regulated markets. So, a lot of our USDMF CEP approvals have come in that year. So, the major contributors to F Y'23 revenue and FY'24 revenue has come from the existing set of products which have gotten better traction in regulated markets.

Rachna: Okay. My second question is that growth in the vitamins therapy appears to be flat in FY'25.

Given our exclusive contract with DSM for vitamin products, how much has this partnership contributed to revenues in this segment and has it helped drive any scale with DSM project despite the flat overall growth in the vitamin therapy segment?

Saloni Wagh: So, if I look at the growth in the vitamin segment, actually there has been a good growth in terms of revenue . In terms of percentage, you are not able to see much because obviously our base this year is much higher. But in terms of absolute sales value, there is definitely a growth in the vitamin segment. In the last financial year, DSM contract has not contributed in a big way because we have just completed the validation and we have started supplying to their customer base, which is global. And right now, the customers are actually getting our product qualified. But in the next financial year, definitely we are expecting 30 crores -35 crores of revenue coming in from the DSM contract. So, the actual meaningful scale up of DSM you will see in the next financial year.

Rachna: Okay. And one last question. We have seen strong growth in the LAC market . Is this primarily driven by APIs in the anesthetic and therapies? Beyond this do you see growing demand or scaling opportunities in other therapeutic areas within the LAC region?

Saloni Wagh: Yes, in fact, not just anesthetic, but we have seen good growth across different therapies. Our analgesic therapy has grown really well. Anti -asthmatic has grown well. Some of the newer therapies like anti -gout and anti -hypertensive, which were not contributing that much to the revenue they have also scaled up really well. So overall across all markets may it be semi regulated , regulated , emerging markets , we have seen very good growth happening across all the therapies .

Moderator: Thank you. The next question

is from the line of Rupesh Tatiya from Shree Rama Managers

PMS . Please proceed.

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Rupesh Tatiya: So, the first question is , ketamine hydrochloride is a large product for us. And I think we have a 30%-40% market share in the world. That is my understanding. So, if you can give some idea about why, how did we achieve such a prominent market share ? Is there like a new competitor coming and how has the realization been over maybe let's say last 10 years ? If you can explain because that is such a big part of our business . So, I just want to understand that first .

Saloni Wagh: So, we do not disclose any product specific details . So I will not be able to comment on any one particular product ; however , what I would like to highlight is , in any molecule, whenever we get a leadership position, it is actually a combination of setting up the largest capacity for that product, fully backward integrating that product, and then getting all the regulatory approvals across the globe for that product. So, once you have done all these three things, then you are in a position to get that leadership for certain molecules. And that is the same strategy that we use in our portfolio as well . That's the only thing I will be able to say product specific things, unfortunately, I will not be able to talk.

Rupesh Tatiya: But maybe just at a broad level, do you see competitive landscape in that product staying same or our position improving or our position declining , if you can give some qualitative color around that?

Saloni Wagh: Like I mentioned, there are three aspects for getting leadership position. One is building the largest capacity which happens over a few years. It cannot happen overnight. We have some of the largest capacities for our top products globally. Then the backward integrated models. We have backward integrated these products up to the KSM level which none of the other companies globally have done. And then the regulatory approvals which take a minimum of 2 to 3 years in any market. So today if you go to apply a CEP or a USDM F, it's going to take you minimum 2 to 3 years to get it. So, all these three are very high entry barriers for any competition to enter and it would take them minimum 3 to 4 years to scale up that product to the level at which we are today. So, I am not seeing any immediate competition.

Satish Wagh: The competition word comes only from India. They keep on talking about competitions. Competition comes everywhere, but you must understand any API . The Supriya model is 86 % exports. In exports, nobody worries about the price. Today it is about the sustainability and the regulatory and the quality supply. That is very important. That's why Supriya share in exports is more and locally, because of competition, we take always lesser share.

Rupesh Tatiya: Just one final clarification on that. For this product, at what rate that market is growing?

Saloni Wagh: That we cannot disclose any product specific information.

Satish Wagh: Up to even one gram also all over the world, we will see that we capture that market. We will not allow anybody to come nearby us also. That's our fundamentals.

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Rupesh Tatiya: The second question is on slide #32, you have said that there is this one CMO project with a leading European company and we expect Rs. 60 crore revenue from that project in FY '27. So , this is outside of DSM vitamin, right ? , which is 30 -35 crore project. So , these are different ?

Saloni Wagh: No, so it is the same project. So, the DSM Firmenich contract that we have signed is for vitamins supply , exclusively to them for 10 years. And at peak, this contract will generate a revenue of about Rs. 60 crores -Rs. 70 crores. But it will be a gradual scale up because this is mainly for regulated markets like

Europe, US, and Japan. So as and when we keep on getting the approvals, the volume will grow. This year, because we have already received the CEP, we are hoping to tap the European market. So that is why we have said that we are going to sell about 30 -40 tons which will be around Rs. 35 crores of revenue but it is the same contract.

Rupesh Tatiya: Next, we launched one product in Q4 and we're looking to launch three new products in FY '26. So, for all these four products, can you give some color around two things? What is the end market size for each of these products? Is it like a small or is it like, \$1,600 million size and are you like a first manufacturer from India or some idea about the competitive positioning that there are only 2-3 manufacturers in India, like some qualitative color around these four products will be very helpful.

Saloni Wagh: So, the four new products which we are launching, first we have already launched in Quarter 4, but that particular product, the global market size is about \$300 million. And the three new products what we are launching in the next financial year, one of them which is coming in the ADHD category is about 90 million, contrast media is about 500 million. And then we have some cardiovascular drugs which is about \$100 million. So, if I put together all this, we are closer to \$1 billion in terms of API market size. We are targeting these molecules because globally today for these particular molecules the supply dependence is there only on one manufacturer predominantly for most of these it is from China and as you know the global trend people are looking for China plus one manufacturer . I think we can benefit a lot in these molecules. We have been working on them for the past 2-3 years. We have really focused on end-to-end backward integration. So, we are very confident that globally other than China , we

will be one of the first manufacturers to offer the products to the regulated market customers, not only with full backward integration, but complete regulatory support. So, we are very confident that when these products launch, they will significantly contribute to the revenue. And some of these actually have the potential of becoming the top product for the company in the next 2 to 3 years.

Moderator: Thank you. The next question is from the line of Krisha Kansara from Molecule Ventures. Please proceed.

Krisha Kansara: My question is on contrast media. You had mentioned in the previous call that we are in active discussions with certain global players for supplying APIs to them. So, have we zeroed down on any of these discussions? Also, you mentioned that this is a 500 million opportunity for us. But I wanted to understand the dynamics of this space. Do we have the required expertise for the

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alternate process to which you were going to avoid the iodine usage? If you can briefly tell us about how are things shaping up in the contrast media space? That is my first question.

Saloni Wagh: In terms of technology, yes, we do have an alternative technology, and we are very confident. We have fully backward integrated this product. So as such, we do not have any dependence on advanced intermediate from any external parties. So, we are very confident when it comes to the technology and even because we have a fully backward integrated product in terms of cost of the product also, we have a fair advantage as compared to any other player. We are discussing this with a lot of global companies, but because this product is set to launch end of Quarter 2, the discussions are at a very initial stage. So as soon as there is some progress on this, maybe in the upcoming quarters, we would be making some announcements. But we have a very good chance because like I said, the manufacturing is highly dependent on 1 or 2 players. There is a need for another so

source in the market. Our technology, we are very confident and with the cost of the technology that we have, definitely we see that we will have a very strong competitive advantage.

Krisha Kansara: So, we can expect the contribution from this contrast media space only after 2-3 quarters, correct?

Saloni Wagh: It would be even more because we are launching this in Quarter 2 of next financial year. So, from there at least 3-4 quarters it will take because as you are aware regulated markets are very large for this particular therapy. Europe, US, in these markets registrations typically take between 12 months to 18 months. So, for them to fully contribute for any API in fact from the time we launch it or for it to contribute meaningfully to the topline it takes minimum two years.

Krisha Kansara: My second question is on the CDMO side. So, if you can help us understand the total number of CMO and CDMO projects that we are working on as of now. And if you can break it up into two parts, let us say, one being the number of projects which are in commercial space and the other number of projects being in, let's say, early-stage development. Also, one related question to this is, do we still stick to our guidance of achieving close to Rs. 200 crores of topline from CDMO segment by FY '27? And did we kind of report any revenue from CDMO in this particular quarter?

Saloni Wagh: No, so far we have not. I mean, there is a revenue contribution from the DSM agreement, but that is very small. It's not substantial. As of now, we are working on five CMO projects, out of which three are in the commercial stage. DSM has already moved to commercial wherein we have started supplying volumes to them. And we have two other contracts wherein the validations are completed, and commercial contracts are under negotiation. Other than these, in some of the new launches what we are doing, mainly the anesthetic products, contrast media and cardiovascular products, we do have two CMO opportunities which are still under discussion. Once they move into some sort of concrete agreement, we will be announcing them. We still maintain our guidance of Rs. 200 crore contribution to Rs. 1,000 crores topline. But as and when Ambarnath plant scales up, which is again CMO, but in the formulation space, there could be

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some upside to that number. But once Ambarnath facility has gone into commercial production, we would like to give an update on those numbers.

Krisha Kansara: So, the Ambarnath formulation site, we were supposed to start in this quarter. So, you had mentioned in the PPT that it will take two more quarters to commission the site. So, what is causing the delay for that?

Saloni Wagh: So, there was just some minor delay in the civil construction of the site. So that was the only delay. The commissioning part of it has already started. I think in the next two quarters, we will start triggering the regulatory approval process for that particular site. We have started the

validation campaign, but unless and until we don't get the regulatory clearance on the site, we will not be in a position to start the commercial supplies to the customers. So, validation, commissioning is in progress, commercial contribution, and the commercial scale-up batches and campaigns will start maybe in 1 or 2 quarters.

Moderator: Thank you. The next question is from the line of Nirali Shah from Ashika Institutional Equities. Please proceed.

Nirali Shah: I just wanted to follow up on the previous participants' question regarding the Ambernath finished formulations. Just need a clarity, is there any contribution that we are getting from the finished formulations in the 4th Quarter?

Saloni Wagh: No, there is no contribution because like I mentioned before also we have not yet started any commercial production from that site.

. We are just in the phase of validation campaign for creating the dossier, stability all of that. So, no commercial production has started.

Nirali Shah: When do we expect commercial production?

Saloni Wagh: We are expecting some commercial production to start by Quarter 3 of the next financial year.

Nirali Shah: And then any meaningful contribution we would be expecting a year to show?

Saloni Wagh: So, we are not expecting any meaningful contribution, but some small contribution in revenue we are expecting from the Ambernath site maybe in Quarter 4. This will mainly come from the non-reg market where in the regulatory approvals are not required. So, some small contribution you can expect, but nothing big or in a meaningful way. I think the Ambernath site will meaningfully contribute in FY'27 only.

Nirali Shah: So, you had earlier guided for an EBITDA margin range of 34 % to 36 % for FY '25. And now we have delivered a strong 37.4 %, which is clearly ahead of the range. In the opening commentary, Satish sir mentioned that for FY '26, we are guiding for a range of 33 to 35 %. So just trying to understand, is this more on a conservative starting point or should we not be thinking it off like a 37% as a new base?

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Saloni Wagh: So, what is happening in FY '26 is that the newer products are also getting launched and typically whenever we launch a new product, the initial scale up of these products happens in the semi-regulated market where the average selling price for the product is not high as regulated markets. So, we are anticipating some compression in percentage margin. We are very confident that in terms of the absolute EBITDA value or the PAT value, you will see good growth. But if I were to put it in terms of percentage, we are expecting that 33 % to 35 % which our Chairman has guided, plus Ambernath will start generating revenue in this financial year. Again, the same thing, until and unless we don't get the regulatory approvals for Ambernath side, we are unable to operate in premium markets like Europe, US. So, in that sense, when we are operating more in the semi-regulated or the non-regulated market, the margin profile on those markets is not as high as the regulated one. So overall, that's why the slight compression in terms of percentage. But I repeat that in terms of the absolute EBITDA value or the PAT value you will definitely see a good growth.

Moderator: Thank you. The next question is from the line of Raghav Agarwal from Vriddhi Capital. Please go ahead.

Raghav Agarwal: I just wanted to ask you about the progress that we are making in the plasma nutrition project and oral cancer detection kits that we've been talking about. Can you just give us some ideas to what is happening in that space?

Saloni Wagh: So, the plasma nutrition we have made progress. Last quarter, we got the FSSAI certification for the optimized Whey protein, which was the starting point for us going into the market with the product. After that, we are in discussion with one of the largest distributors in the country, who is basically a large stockiest for whey protein. So, we are in discussion with them. We are very close to signing our first contract with them. The volume this year would not be very high. We are expecting somewhere to the tune of 100 metric tons because this is a completely new product for the Indian market. Nobody has launched optimized whey protein before this. So, for them also to formulate the product and then put it out into the market and see how the customers are reacting will take about 6 to 8 months. So, it is on track. We are expecting some commercial revenue from whey protein in the next financial year. But it will not be very high because the volume like I indicated is about 100 tons for next year. But if the market acceptability of the product is good, it can

really scale up in the next 2 to 3 years and we are targeting at least in the next three years, it should touch about 1,000 or 1,500 metric tons.

Raghav Agarwal: Also, can you talk a little bit about the oral detection kit that you were making with Kalinga University? Is there any progress on that?

Saloni Wagh: On the cancer detection kit, I think the first focus of the company was to get it patented across

different geographies. So last 6-7 months, we have been working closely with the innovator, and we have already gotten the patent for neighboring countries like Malaysia, Philippines, Korea , because in these countries we have large partners who are interested in developing the product and scaling the product in those markets. So, I think a large part of the focus was getting the
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patents done for these markets. In terms of commercial contribution from the oral cancer detection kit like I have mentioned before also, it's a completely new product. So, it will go through that phase of BCGI approval and all of that. So, I think it will take at least three years for us to see any kind of commercial revenue happening from this.

Raghav Agarwal: Sure. And then just one last question is regarding our geographical contribution around The States. Like we always focus more on the regulated side. And this year, I have seen the presentation that says that the contribution from the North America is a bit low. So, are we looking forward to gaining more share in that space, that region? And how are we going to diversify more around that region?

Saloni Wagh: So historically also our market share from North America has always been less than 5%. Our major markets for the product portfolio that we have , always have been Europe and Latin American markets. The slight dip in sales what you see in North American markets is just basically rerouting of some of the business to the domestic market because we used to supply some anti -allergic and decongestant products to a CMO in the US. Now their CMO base has actually shifted to India. So that volume from US has gone to the Indian market. So that is the slight dip that you are seeing in terms of sales in North American markets. Some of the new product launches what we are doing in the anesthetic space, in the cardiovascular , ADHD space, they have a good market in the US. In the short term, I think for the next 1 or 2 years, I don't see US contribution growing very significantly. I think it would still be somewhere in the tune of 6%-7%. But after that, once these products have gotten approval in the US market, we can expect North America, let's say in the next three years, to go up to 10%. But for us, overall perspective, I think Europe , LATAM would be the larger market .

Raghav Agarwal: So, I think we will be able to maintain the share in Latin America and Europe like we have performed this year, right?

Saloni Wagh: Yes, absolutely. If not, we expect the share to grow because some of the newer products what we are launching will gain market share. Plus, even for some of the existing products, we are still gaining market share. So other than our top 4-5 products, we already have a set of 6-7 products where we have recently got CEPs and USDM F. So those products will also now start scaling up in these markets.

Moderator: Thank you. The next question is from the line of Dr. Neha K harodia from Aba kkus Asset Manager. Please proceed.

Neha Kharodia: I have few questions . First is regarding Satish sir's opening remarks wherein he mentioned that volume has been modest for the year and while regulated market deeper penetration has led to still better growth in terms of sales. So just wanted more elaboration and more clarity on how have we grown in terms of volume on an average versus realization led growth ?

Saloni Wagh: So, by modest growth, I think what

he meant is that the year before last we had produced about 841 tons. And last year in terms of tonnage, we have closed in at about 880 tons. So, in terms of
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volume growth for the product, it has just been about 40 -50 metric ton, if I see. However, because some of these products and some of our top products have seen significant scale up in regulated markets , it has translated to higher revenue and margin generation. I think that is what the comment meant.

Neha Kharodia: And so, going forward, like we expect more of volume -led growth or we expect further as in with the newer product , I think the volume growth should be better. So just from your end, like how should we look at that?

Saloni Wagh: So going forward, you can expect a better volume growth because also what has happened is we have partially only utilized Module E in Quarter 4. And that module E is a very large capacity. So once Module E goes into full capacity utilization, which we expect till FY'27, definitely the volume growth would be much higher plus some of the newer products what we are launching, like I mentioned before, also the global volume of these products is very large. So , I think in the next two years, you will see more on the volume.

Neha Kharodia: And also, regarding our business trends. So, if we talk about let's say the change in our business trends over the years, where we were three years back and where we are now and going forward, how are they going to change if we can maybe talk about that?

Saloni Wagh: So, I think 2-3 areas where we have shown significant improvement and real strength. One is definitely the change in the geography mix and the product mix. We have been always telling all the shareholders that we are constantly working on how we can make our portfolio more robust and how we can increase other product penetration into regulated markets. I think that is very visibly seen in the numbers this year also. If you look at my top three therapies earlier it was antihistamine, anesthetic and anti-asthmatic, but for this year we have seen very good growth happening in analgesic therapy. We have of course seen good growth happening in anti-asthmatic and anesthetic but some of the other therapies like anti-gout, anti-hypertensive, vitamin these therapies have also started contributing very well to the revenue. So, I think this is the first biggest trend that we have seen that any kind of portfolio concentration, product concentration, geographic concentration, we are now seeing it becoming more diverse. Even at the region level, if you see, Europe is one of our largest contributors, but LATAM has grown from almost 11% to 20%. Even in Southeast Asia, we have seen good growth from 11% to 16%. So definitely, newer geographies are also coming in. Backward integration is one other area which we have always focused on, and we have seen significant improvement. So, I think these are some of the key areas which have really helped us in de-risking our business model.

Neha Kharodia: Thanks for that explanation and also just one more question regarding working capital days. So, like this year because we are looking at the commercialization of the Amburnath facility, so should we expect some reduction in the inventory days or how should we look at that? Both inventory and receivable days?

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Krishna Raghunathan: Dr. Neha, what will happen is that in Module E since the batch sizes are becoming larger, we might have to increase a bit on the inventory and with respect to receivables, yes, we have been pushing across all the marketing team members. There could be some reduction possible on the receivables. But I think inventory is somewhere around 170 odd days which is coming in. I think that is a good number to go. I don't think

that should be a problem for us. Inventory can be managed, but receivables, we will try and push and reduce the receivables effect.

Neha Kharodia: So, on a blended basis, should we expect that working capital days should remain in the similar range?

Krishna Raghunathan: Yes, around 150 days to 160 days should be the number we should be looking at.

Moderator: Thank you. The next question is from the line of Abhijit from P i Asset Management. Please proceed.

Abhijit: So, what was the reason for improvement in gross margin this quarter? And is this sustainable going forward?

Krishna Raghunathan: We don't guide on the gross margins. We only talk about EBITDA. See EBITDA I think we have already spoken about in the Chairman's speech. I think he has already given what sort of a futuristic number we should be looking at.

Abhijit: The other thing is Q4 has historically been the strongest quarter, but this was not the case this time. Can you please share the reason for the same and the trajectory going forward?

Saloni Wagh: So previously, a large contributor to our revenue was our antihistamine therapeutic category, which has some sort of a seasonality in terms of sales of the product. However, like I mentioned before, we have been trying to make our portfolio more robust. And if you see this year, analgesic, anesthetic and anti-asthmatic contribution is fairly large to our revenue. So that kind of seasonal impact what we used to have before, I don't think you will see that moving forward. So, I think moving forward, almost all the quarters you will see at a normalized level, there will not be any one particular quarter where the sales would be very high.

Abhijit: And the last question is, so what is the tax rate expected in the next fiscal? There has been a decline in tax rate in the last few quarters. So, if you can shed some more light on this?

Krishna Raghunathan: Tax rate would be around, 25.17% and I think that would be around the same number.

Moderator: Thank you. The next question is from the line of Ashish Soni from Family Office. Please proceed.

Ashish Soni: In terms of the China Plus One strategy, I think two questions I want to understand. I think your strategy is working well if I understand the South American market revenue share or revenue growth. So, I think you guys mentioned that generally what you are targeting is typically a China Plus One product supplier, so what is your ambition to get suppose they get a revenue share of like Rs. 100, so typically based on your thing, what's your internal ambition to get to like Rs. 50 and what is actually happening on the ground? I just want to understand because your strategy seems good but on the ground what is happening? What's our ambition on that regard?

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Saloni Wagh: So, most of the companies who are looking at China plus one strategy, I think for them it is not about the price per se. Like our Chairman mentioned most of them want to move away from there mainly because of the regulatory quality and the sustainability aspect. So, we don't have any strategy like that, that if we are entering into a product where there is a high China dependence, when we enter the market we will offer a product which is 10% or 20% lower than what China is offering today. Our main intention in these products is to provide the customer with a more sustainable partner who has all the regulatory approvals because that is one area where there is a lot of lacunas in the Chinese manufacturers. So, we have a USFDA approved site, we have a EU approved site, we have worked in regulated markets for more than 20 years. So, we have a very good legacy when it comes to quality and sustainability.

Ashish Soni: My question is, suppose China was supplying for a particular product, China was supplying for Rs. 100, right? So, with all these qualitative

factors, but how much share are you able to gather, out of the Rs. 100 what China was supplying for a particular product? Like is it Rs. 20? Is it Rs. 50? I am just trying to understand because we hear a lot of these things, so what is actually happening on the ground is what I want to understand?

Saloni Wagh: On an immediate basis, let's say when we launch a new product within 12 months to 18 months, when the first scale up happens, we expect to gain at least 10% of the market share. We can go up to almost 20%-30% of the market share, but that would be gradual in at least 2 to 3 years' time. It is not possible immediately to get upwards of 50% market share in any product because regulated customers take their own time. So, the immediate short-term target is to gain 10% of the global market share and then eventually ramp it up to 30%-40%.

Ashish Soni: But do you think practically it's possible to get to like 50% in five years sort of thing for a particular product?

Saloni Wagh: Yes, I think in five years it is very much possible and that kind of trend we have seen in our existing portfolio also in some of the products that we manufacture our key products. The initial suppliers were Chinese manufacturers. But then we have built up large capacities. We did backward integration. We did the registration. And today we have become in fact the first suppliers for those products. So, it is very much possible. It takes time because registrations take time. But it is possible to get the leadership position in some of these molecules.

Ashish Soni: And regarding CMO space, what's our strategy compared to our Indian competitors? Because we keep on hearing that lot of projects are coming, China Plus One strategy, a lot of companies are coming. Because somehow I see compared to other Indian players, your CDMO space, fairly

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number of projects what if somebody asked, it's not growing. So, what is stopping us from aggressively going after that space?

Saloni Wagh: So, we are going aggressively for those CMO -CDMO projects, but you have to understand that any CMO -CDMO project takes 2 to 3 years to commercialize because we do not focus on domestic market more. If you see our revenue today, also almost 85% is export. So, all of the CMO opportunities what we are working are in the regulated market space. Europe and Latin America are the two main geographies where we are having multiple CMO -CDMO discussions. So, we are aggressively working on that, but for it to translate into commercial revenue, it is going to take a minimum of 2 to 3 years. And we are fairly new in CMO space. We started doing CMO just about two years back. So maybe at FY '27-FY'28, you can see meaningful contributions from these opportunities.

Ashish Soni: And do you think CDMO space can be like 50% of the revenue five years down the line?

Saloni Wagh: No, I don't think 50% of revenue will come from CMO. I think 30%-35% it is possible in the next 4-5 years. But because along with CMO -CDMO, we also launch every year our own new products in our portfolio. I think that will also grow. So, I don't see 50% coming in the next at least 4 years.

Moderator: Thank you. The next question is from the line of Abhishek from Padmaja Investments. Please proceed.

Abhishek: My question was on, I checked the DM F database, like why are there no new filings for DM Fs in the year 2025? That's my question one. And question two is, what will drive the growth in FY'26? Because for FY '27 in future, I think it is good. But for FY '26, Ambarnath facility is also postponed. So, can you explain in detail or in summary, like what will drive the growth in FY '26?

Saloni Wagh: So, the major growth drivers for FY '26 would be the scale up of some of our existing products in regulated markets. Some contribution coming from the CMO -CDMO

opportunities that we

have, and then the new products what we are launching, especially the anesthetic product which we launched last year in Quarter 4, some contribution from that. So, in a nutshell, scale up of existing products in more regulated markets, new product contributing to revenue, and CMO -

CDMO opportunities.

Abhishek: My second question is on; I checked it in your annual report that you are also working on peptides like Semaglutide. Can you talk about that?

Saloni Wagh: Yes, we are working on this for our finished formulation division in Ambarnath. But as of now, this is still in R&D. So, we have not yet even completed the R&D trials. For this product to come out of R&D and for us to commercially launch, we are at least looking at 2.5 years' time. So, on that particular chemistry we have not made fast progress. I think the first launches would be anesthetic, ADHD, cardiovascular those kinds of products.

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Abhishek: And can you expect any DMF filings for the year 2025? Because I don't see any new DMFs for the year 2025 in US database?

Saloni Wagh: Yes. We are expecting to file at least 3-4 new products in the next financial year. Of course, some of the new products what we are launching, those also we will file. And there are some existing products in our portfolio. Those also we are in discussion with some customers who want us to file those DMF. So, you can expect 3-4 DMFs in the next year also.

Moderator: Thank you. The next question is from the line of Devansh Patel from Anubhuti. Please proceed.

Devansh Patel: I just had a question regarding the other OPEX slide in your financials. I think it's gone up about 33%. So, I just wanted to know on that.

Krishna Raghunathan: Basically, if you look at it, the other OPEX line also has the freight component. You know the freight costs have all increased across the corresponding commission. The increase in sale will also have a direct impact on other expenses which are directly linked to production and sales.

So those are the line items which have got increased. Basically, the commissions, the freight, the stores and spares, these are the numbers which have got increased on the other OPEX line.

Devansh Patel: And my last question is just on the profit margin front, like since it has gone up to almost 70% in this quarter, for your business as well. And at the same time, the LATAM contribution has increased. So, you previously mentioned that Brazil is a regulated market. So, is this where like the greater margin is coming from, because Europe and America have come down? So, I just wanted to understand that mix.

Saloni Wagh: So, Europe actually has not come down. In terms of percentage it might look that there is a slight dip in Europe because of course our base is much larger from 570 to 696 but if I look at the actual sales value of Europe it has gone up only. So, we have seen growth in Europe, LATAM even in other markets like Southeast Asia, we have seen good growth happening.

Devansh Patel: And the margin expansion is coming from these markets, right? Like the regulated ones?

Saloni Wagh: Yes.

Moderator: Thank you. The next question is from the line of Richa from Equity master. Please proceed.

Richa: My question is on the formulation facility that is coming up, if you could just highlight the investment that has gone into it and what kind of revenue potential you are expecting and whether this thousand-crore guidance factors in any defined contribution from formulation facility?

Krishna Raghunathan: So, from around Rs. 130 crores have gone into the formulation facility and the revenue at the max, the potential is around Rs. 450 crores to Rs. 500 crores of revenue are possible from the

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formulation facility. Most probab

ly by Q2 or early Q3 is where we believe that we would be able to capitalize.

Richa: But within this target of Rs. 1,000 crore, what kind of revenue are you factoring in by FY'27?

Krishna Raghunathan: It will be a very minimal number around say maximum, not more than around Rs. 100 crores are what we are factoring. If at all that could be, see this depends upon how the regulatory approvals which we are expecting from the site. If everything goes well, those will be an added advantage, but which are not factored at this stage in the Rs. 1,000 crores.

Richa: And sir my second question is on the pricing scenario. Are you witnessing any kind of pricing pressure and how confident you are when it comes to this 33% to 35% kind of margin guidance?

Saloni Wagh: So as of now, we are not seeing any pricing pressure for the products that we operate in. And we are very confident that we will be able to maintain this 33%-35% margin because we have a lot of new products. We have diversified the geographies with the new launches, the formulation coming in, and plus scale up of our existing portfolio in regulated markets. I think we're very confident that we will maintain this 33% to 35% EBITDA margin.

Richa: And ma'am your margins in LATAM versus Europe market, would they be similar or LATAM would be lower than European market?

Saloni Wagh: European market is definitely slightly higher than LATAM.

Richa: Okay, and how big hat d elta could be?

Saloni Wagh: That we will not be able to discuss too much into that.

Richa: And ma'am, another question is on client concentration, in the presentation it has gone up. I just wanted to know what the contribution from top three clients is . And do you perceive this as a risk or opportunity, whether you are growing with some of the largest end players, some kind of qualitative comment on this?

Saloni Wagh: So, our top 10 customers today contribute almost 50 % of our revenue. But you have to understand that the top 10 customers , in that 5 or 6 are actually large distributors. So, these distributors in turn are catered to hundreds of customers. So that way itself our customer base and the top 10 customers are diversified. These large distributors have been working with us for more than 15 -20 years; they are basically our representatives in those markets. Just for the ease of business and payment terms, they buy the product, and they stock it in their warehouse. A nd again, customer requirement, they supply it to the smaller customers. So as such, that top 10 itself is really not top 10. It is a mix of hundreds of customers.

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Richa: So last clarification I needed on the capacity, is it 932 or is it 1,000 something? Or the number looks different because maybe there is some element of backward integration if you could clarify that?

Krishna Raghunathan: It's around 1,020 KL across the Lote plant here. I think that is the final number.

Richa: So why is this 932 and why there is this slight difference?

Saloni Wagh: No, actually the 932 KL is for the Lote site and 1 ,020KL which we have put up that also includes the Ambernath capacity. So, all put together at the company level across Lote and Ambernath it is a 1 ,020 KL capacity.

Moderator: Thank you. The next question is from the line of S hri Hari from PCS Securities. Please proceed.

Shri Hari: I have three questions . Firstly, if you could please help with the delta in contribution margin for integrated and non-integrated products ? Secondly, for the contrast media product, what is the kind of operational market share you have in mind? And thirdly, are you planning to install inhalants in the formulation unit?

Saloni Wagh: So that , like our CFO mentioned before also that we never discuss or guide on any gross margins . However , at the EBITDA level or in general qualitatively at a profit margin level

, definitely the

products which are backward integrated have a much higher profit margin because we manufacture these products right from the basic stage . We don't take any kind of advanced intermediates for these . So definitely the profit margins are much higher as compared to a non backward integrated product .

Shri Hari: So would it be around 10 %?

Saloni Wagh: That delta we won't be able to define.

Shri Hari: Second one was pertaining to the contrast media product. What is the kind of aspirational market share you have in mind?

Saloni Wagh: So on an immediate term, like let's say in the next two years, we are targeting at least 20 % of the market share because this is a very large product across regulated markets. And we will take a little bit time to get the CEP and the USDMF in place. So I think in the next two years, the 20 % market share is what we are targeting.

Shri Hari: That translates to \$100 million. Is that what you are saying?

Saloni Wagh: Yes, correct.

Shri Hari: Okay, \$100 million for the single product for 2-3 years ?

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Saloni Wagh: Yes, over the next 2 to 3 years. I mean, the current discussions what we have are to the tune of that, if we are able to get the full volumes.

Shri Hari: That's great. And finally, whether you plan to install inhalants line in the formulation division ?

Krishna Raghunathan: Yes, of course.

Saloni Wagh: Are you asking that in the finished formulation, are we planning any inhalation products? Is that the question?

Shri Hari: I mean to say inhalants. Do you plan to install pumps? I am asking this because Spravato seems to be an opportunity.

Saloni Wagh: Okay, so that's what I think what Krishna said that are we expecting to put up a line for inhalation devices in our formulation plant, correct?

Shri Hari: Right .

Saloni Wagh: Yes, we are working on 2-3 very niche CMO opportunities wherein for some of our existing products we have found large companies who want to tie up on the inhalation part of it . We are

expecting this to sort of take off in the next 12 months to 18 months, but yes, it is in pipeline .

Shri Hari: So you are working on it and it will take about 12 months to 18 months to commission . What is the kind of outlay you would be incurring on that , capex ?

Saloni Wagh: So, the CAPEX is already done. What Krishna mentioned in the Amber nath CAPEX , what we have done, this is including that inhalation line. So Amber nath facility basically has 3-4 different lines. One line is the liquid anesthetic line that we have for bottling . The other line what we have is oral solid. The third line we have inhalation and then we also have made provision for an injectable line but that we will be doing in a phase wise manner. So , for the first three parts what I mentioned - the liquid anesthetic, the oral solids and the inhalation that is already part of the CAPEX what we have spent la st year on Ambernath.

Shri Hari: So, I mean, can you share if you are working on Spra vato?

Saloni Wagh: That we will not be able to discuss. It's a very product -specific information. But we are working in that area.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question for the day.

Thank you , members of the management and everyone for attending. On behalf of Supriya Lifescience Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines .

(This document has been edited for readability purpose)

Call: Aug 2025

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GOVT. RECOGNISED EXPORT HOUSE

August 19 , 2025

To,

Dear Sir /Madam,

Subject: Transcript of the Earnings Call for the quarter ended June 30, 2025 .

Further to our Letter s dated August 7 ,2025, August 13 , 2025 and August 14 , 2025 , we would like to inform you that the Transcript of the Earnings Call held on August 14 , 2025 with respect to Unaudited Financial Results of the Company for the quarter ended June 30 , 2025 is available on the Company's website at:
<https://www.supriyalifescience.com/ir -financial.php> .

Kindly take the information on record.

Thanking you,

For Supriya Lifescience L imited

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Company Secretary & Compliance Officer National Stock Exchange of India L imited
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Bandra (E), Mumbai - 400 051
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Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code: 543434

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“Supriya Lifescience Limited Q1 FY 26 Earnings
Conference Call”

August 14, 2025

MANAGEMENT : DR. SATISH WAGH – EXECUTIVE CHAIRMAN AND
WHOLE -TIME DIRECTOR , SUPRIYA LIFESCIENCE
LIMITED
DR. SALONI WAGH – MANAGING DIRECTOR , SUPRIYA
LIFESCIENCE LIMITED
MR. KRISHNA RAGHUNATHAN – CHIEF FINANCIAL
OFFICER , SUPRIYA LIFESCIENCE LIMITED

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Moderator : Ladies and gentlemen, good day, and welcome to Supriya Lifescience Limited Q1 FY '26 Earnings Conference Call.

As a reminder , all participant s' lines will be in the listen -only mode , and t here will be an opportunity for you to ask questions a fter the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Sneha Salian. Thank you, and over to you, ma'am.

Sneha Salian : Thank you, Shubham. Good morning, everyone. On behalf of Supriya Lifescience Limited, I extend a warm welcome to all participants for the Q1 FY '26 Financial Results discussion . Today on the call, we have Dr. Satish Wagh – Executive Chairman and Whole -Time Director; Dr. Saloni Wagh – Managing Director; and Mr. Krishna Raghunathan – Chief Financial Officer. Before we begin the call, I would like to give a short disclaimer. This call may contain some of the forward -looking statements, which are completely based upon our belief, opinion and expectations as of today. These statements are not a guarantee of our f uture performance and involve unforeseen risks and uncertainties.

With this, I would like to hand over the call to Mr. Krishna Raghunathan for his opening remarks. Over to you, sir.

Krishna Raghunathan : Thank you, Sneha. Good morning, and a warm welcome to all the participants. Thank you for joining us today to discuss the Q1 FY '26 Results of Supriya Lifescience Limited.

On the call with me today are Dr. Satish Wagh – Chairman; and Dr. Saloni Wagh – Managing Director; and our Investor Relations team from Ernst & Young.

I hope you have had the opportunity to review our Financial Results and Investor Presentation , which are available on the stock exchanges and on our company website. With that, let me take you through our quarterly performance.

Revenue for the quarter stood at INR 145 crores, reflecting a 10% year -on-year decline. The drop was primarily due to a delay in the production facility campaign , following repair and maintenance work at our Lote facility. Several processes are scheduled for Module E , which require intermediates produced in blocks A, B and C.

Currently, these blocks cannot handle the load required to support Module E. The repairs are therefore critical to improving the efficiency of these older blocks as without such upgrades, fully utilizing Module E would be challenging.

During the quarter, the EBITDA stood at INR 52 crores , with EBITDA margins at 36% year -on-year, despite the dip in our revenues . Exports remained the mainstay of our business, Supriya Lifescience Limited

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contributing 85% of Q1 FY '26 revenue. Within this, the European market share increased from 36% in Q1 FY '25 to 41% in Q1 FY '26. Backward integration continued to improve, rising to 81% from 69% in Q1 FY '25. This progress has strengthened our control ov er key inputs, reduced dependence on external sources and delivered further cost savings.

As stated in our previous call, Ambernath site has started validation campaigns and will commence production of liquid anesthetics and oral solids - a significant milestone for our CDMO strategy. We expect commercial contributions coming in from Q4 of this year.

We remain confident of delivering ~20% annual revenue growth with EBITDA margins in the range of 33% to 35%. We expect the second half of the year to outperform the first as the delays in production and sales from H1 are recovered in H2.

Our goal of reaching INR 1,000 crores in revenue by FY '27 is supported by a strong pipeline, 3

to 4 product launches planned for FY '26 and rising demand across key therapeutic areas such as anesthetics, antidiabetic s, antianxiety, vitamins and A

DHD treatments.

With rising customer interest and a focused strategy to grow registrations and strengthen market presence, we are well placed to capitalize on long -term opportunities and remain optimistic about the years ahead. We are on course to achieve both our short -term as well as long -term goals.

Regarding the U.S. tariff situation, while this market accounts for a small share of our revenue, we continue to track developments and assess any potential implications. Our primary focus remains on expanding in other high -potential regulated markets.

Our competitive advantages lie in strong backward integration, well -established regulatory credentials across major markets and an extensive range of distinctive products. We remain confident in our strategy as we work towards creating value for our stakeholders.

Let me all take you through the operational highlights of the quarter and full year, following which we will open the floor for questions and answers :

The company reported revenue from operations of INR 145 crores in Q1 FY '26 as against INR 161 crores in Q1 FY '25, a degrowth of 10% year -on-year.

EBITDA in Q1 FY '26 stood at INR 52 crores as against INR 63 crores in Q1 FY '25, a degrowth of 17% year -on-year. EBITDA margin stood at 36% for Q1 FY '26. PAT stood at INR 35 crores in Q1 FY '26 as against INR 45 crores in Q1 FY '25. PAT margin stood at 24%. Our CAPEX for Q1 FY '26 stood at INR 14 crores.

Going forward, we expect CAPEX to close around INR 65 crores for remaining FY '26 , primarily directed towards maintenance CAPEX and certain small projects like Ribo Block and other requirements in formulations plant.

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On borrowings, we would like to report that for the last 6 months, we have not utilized any working capital limits, except for letter of credits and bank guarantees.

With that, we can open the floor for question and answer.

Operator : We will now begin with the question -and-answer session. The first question comes from the line of from Rachana K from SIMPL. Please go ahead.

Rachana A : Just wanted to understand the revenue contribution from backward integrated products has increased to 81%, which is the highest till date. And this appears to be reflected in stronger gross margins as well. Going forward, if this mix normalizes back to our historical range of 65% to 75%, should we expect gross margins to normalize accordingly? Or would this be offset by better pricing and product mix as we expand further into our key regulated markets? This is my first question.

Saloni Wagh : So, our focus as a company has always been on backward integration. So, you will see that in the coming few years also, even the new product launches, what we are doing will be with fully backward integrated model. So, the backward integration percentage would sort of be maintained between the 75% to 80%.

As regards the gross margins, typically, we don't talk on gross margins. But at the EBITDA level, it is mainly a combination of, of course, the backward integration efforts that we are undertaking as well as the average selling prices what we are getting for these products in regulated markets. So, it is a mix of both.

So, moving forward, I think we would be in the same range of 75% to 80% on the backward integration. And on the EBITDA margin front, we have always guided 33% to 35% EBITDA margins, which we are confident we will be able to maintain.

Rachana A : Okay. My second question was we had filed several products with CEP approval. One of them was Bisoprolol Fumarate . And if you could provide an update on how these products have scaled in regulated markets. And these products were expected to gain traction in Europe markets as well. So, if you could guide on that, how have these products performed?

Saloni Wagh : So yes, we are getting good traction for these products in regulated markets. I

n fact, in terms of

the volume contribution and revenue contribution from this particular product, we have seen a good growth in the last 2 to 3 years.

As far as the Europe market is concerned, customers have just started taking trial quantities for their validation. And once their validation is completed, which takes typically between 9 to 12 months, we will start seeing good commercial revenue also coming in for this product from Europe. So next year, you can expect good revenue contribution from Europe for Bisoprolol Fumarate .

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Rachana A : Okay. My last question, while we have maintained our guidance of achieving INR 1,000 crores revenue by FY '27 and a good contribution from CDMO and CMO segment as well , along with healthy EBITDA margins , what would be the key drivers for us which we will be focusing beyond FY '27? Specifically, what would be our key growth drivers beyond FY '27? And would we be able to sustain momentum?

Saloni Wagh : Yes, absolutely. I think beyond FY '27, the 2 most important growth drivers for us are going to be introduction of new products in the portfolio. We are actively introducing about 3 to 4 new products every year. We are also introducing newer therapies in our product portfolio to make it more robust. So once these products start gaining traction in semi -regulated and regulated markets, the revenue from these products will really amplify the sales. So, I think the first key growth driver is going to be addition of new products.

The second thing for us is going to be in the CMO, CDMO space, both in terms of advanced intermediate API and also the finished formulation site, which we are setting up in Ambernath. So, the Ambernath site, it is already commissioned, and we will start seeing commercial revenues from this site maybe quarter 4 of this year. So, I think that also will sort of add to the revenue moving forward.

So just to summarize, new product addition and CMO, CDMO opportunities, both on the API as well as the finished formulation side.

Operator : Thank you. The next question comes from the line of Adityapal from MSA Capital Partners. Please go ahead.

Adityapal : Just wanted to understand a bit more on the decline in revenue. I was hearing CFO Sir's discussion, but didn't really catch a good hold of it. If you can help me understand a bit better, that would really be super helpful.

Saloni Wagh : So, the revenue drop was primarily due to the delay in the production facility campaign, which happened because of the repair and maintenance work that we had taken up at the Lote site. As you know, we have recently started commercial production in our Module E, which is one of our biggest production blocks with a capacity of 350 KL.

Now to support the Module E, there we are actually envisaging a good growth happening in our existing set of products as well as some of the new products we want to scale up from the Module E. So, in order to support that Module E, we had to take up a lot of maintenance work in our older blocks, which is the Module A, B and C.

And because we initiated this maintenance activity in the month of April, we actually lost a good amount of production days, which has sort of translated into the lower revenue. So this is the main reason for the dip in the sales of Quarter 1 .

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Adityapal: And the management was also discussing a couple of quarter con calls back that because our Module A, B, C are quite old when we compare to our newer blocks, and we were planning to either reinvest or refurbish the equipment over there. So was this the plan and now the refurbishment and the repair and maintenance work that we had envisaged earlier, this is done in A, B, C.

Saloni Wagh: Correct. So not fully. We have not fully 100% debottleneck the older blocks. But to at least sustain the output

from Module E for the next 1, 1.5 years, whatever little maintenance work we had to do , that we have undertaken. You can expect maybe one year down the line; we will still have to do further debottlenecking to fully optimize those blocks , because those blocks are still not fully automated. So, once we introduce automation in those blocks, we can really optimize the capacity utilization there. But yes, some part of it to support Module E, we have undertaken in the month of April.

Adityapal: And so last quarter, I believe that we had launched our anesthetic drug, Sevoflurane, the entire Sevoflurane family. If you can help me understand , because obviously, we have launched these molecules first in our semi -regulated markets. If you can help me understand how they are doing, how they are coming up? And when do we plan on our CEP and DMF filings?

Saloni Wagh: So yes, we have launched one product from an anesthetic category in the last quarter, and we are getting very good traction for the product. We have already started some commercial supplies in domestic market. And most of the regulated customers have taken samples and now they are qualifying the product.

We are expecting maybe by quarter 3, we should be in a position to file the U.S. DMF and the CEP. But overall, we are getting very good traction for the product. And for you to see the full commercial revenue generation from this product, I think it will take at least 3 to 4 quarters , because it will take us about 9 to 12 months to get the approval on the CEP and the U.S. DMF as well.

Adityapal: Just one last question on the regulatory aspect, so there are a lot of our successful products that we have not filed in DMF with FDA. As our revenues from the U.S. geography is lower, do you think that maybe in the next couple of years, maybe, say, starting mid -FY '27, we will aggressively start expanding, looking at the U.S. geography with a keen eye. I am assuming that the tariffs don't come on API and pharma products.

Saloni Wagh: So, Europe and Latin American markets like Brazil, Mexico, they have always been the larger markets for us, mainly because of the product portfolio that we have. Of course, we have seen some improvement in our North American sales, and we are expecting that with the new product launches that would further improve. But having said that, even with that, in the next at least 3, 4 years, Europe and Latin American market would still contribute to the larger chunk of revenues.

Adityapal: Just talking about delta perspective, that is it.

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Saloni Wagh: So in terms of regulatory filings, of course, any new product that we launch, we always have a global view in mind, and we definitely want to get the regulatory approvals for that product across all markets. So, for all the new products that we would be launching, we would definitely be filing the U.S. DMF as well. So, the number of U.S. DMF filings in the next 3 to 4 years will definitely be much higher than what we are doing today.

Moderator: The next question comes from the line of Krisha Kansara from Molecule Ventures. Please go ahead.

Krishna Kansara: My question is on the CDMO segment. I would like the management to provide us with the latest update regarding CDMO contracts, which are key to the company. One is the DSM contract for vitamin D, second is the Whey Protein contract, and the third is the contrast media.

So, on the Whey Protein side, we were about to sign a contract with a distributor. So, is there any update on the same? And can we expect this particular product to start contributing to our volumes in H2 of FY '26? This is my question related to Whey Protein. And then I will come to the other 2 contracts.

Saloni Wagh: Yes. So, the contract that we were looking to sign, it is at a final stage. We are expecting to close this contract and sign it proba

bly end of quarter 2, a little before that actually. Already, the validation batches and all have been supplied to this particular customer. And we are expecting some small revenue generation happening from this particular contract maybe in quarter 4 of this year. In the next 3, 4 years, this product has a good potential to give at least INR 40 crores, INR 50 crore revenue.

And maybe beyond that, let's say, if we take a 5, 6 years sort of a guidance, this can really scale up to INR 100 crores revenue as well. But everything depends on how the contract moves, because this is a very new product in the Indian market. It's the first time somebody is launching optimized Whey Protein. So, we also have to see how the market is sort of responding to this particular product. But if all goes well, these are the kind of projections we can achieve in the next 4 to 5 years.

Krishna Kansara: Right. So, in the last con call, you had mentioned that we can do a volume of 100 metric tons in this fiscal year. So, do we expect to the guidance and this kind of volume in Q4 of FY '26?

Saloni Wagh: So, 100 metric tons this year would not be possible considering the contract has taken a bit of time. But yes, about 50 tonnes, we will be able to achieve in this year. If all goes well, if the trial goes well, about 40, 50 metric ton is something that we expect to achieve this year. But of course, we will keep guiding and we will keep correcting the guidance as and when the contract is signed and we start getting the purchase order from the customer.

Krishna Kansara: And did we clock any revenue from the DSM contract in this quarter or that will be for the H2?

Saloni Wagh: Yes, we have started generating revenue from the DSM contract. In the first quarter also, we have supplied to them some small batches for their customer trials, mainly in the food and field

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space. But the revenue generation is very, very miniscule at this point. However, this year, we are expecting in quarter 2, quarter 3 and quarter 4 good volumes coming in from the DSM contract.

And for this year, I think about INR 30 -odd crores of revenue we are envisaging coming in from the DSM contract. So that is well on track. And already we have received our CEP for this particular product for DSM. So, Europe market has also started gaining traction. We are now waiting for the Japanese PMDA approval. Once that also comes in and the pharma customers approve the product, then the volumes will really start scaling up.

Krishna Kansara: This is my last question. So is there any update on the contrast media side? So, you mentioned

that we are already in discussions with global companies .

Saloni Wagh: So for the contrast media product, we are actually launching this in quarter 2. We have not yet launched the product. We are in initial discussions with a lot of companies for some tie-ups. But I think once the product is commercially launched and all the documentation part is completed, we would be in a better position to guide on that.

Krishna Kansara: So, we can expect the launch in next month? Correct.

Saloni Wagh: Yes.

Moderator: Thank you. The next question comes from the line of Aashish Uppanlawar from InvesQ PMS . Please go ahead.

Aashish Uppanlawar: Yes. Thank you so much for the opportunity. If I could understand clearly from what the commentary on the call has been regarding the Q1 numbers slipping a bit, is that there was certain disruption due to kind of supply side issues at our end and no demand side issues at the customer end. So, just wanted to check on that.

And secondly, will this volume, which has not been done in Q1, is it going to be made up in Q2 and that's why Q2 can be a bit better. So, I just wanted to confirm that there is no demand side issue as such , because your commentary also said that from H2 numbers will be better. So does it mean

that there is something in the macros, which is of concern to us.

Saloni Wagh: Correct. Absolutely. We are very confident that whatever we have guided, the revenue growth of 20% plus and the EBITDA margin guidance, whatever we have given, we are very confident that we will be able to achieve them in the remaining quarters.

H2 would definitely, for us this year be much stronger. In quarter 2, you will see some part of that sales getting recovered. There is absolutely no issue on the demand side. It has only got to do with the maintenance activities and the loss of production days, which has sort of translated into the lower revenue.

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But if I look at the other aspect of the business, Europe sales have gone up from 34% to 41%. Even in our product portfolio, anesthetic, antihistamine, all the sales are on an upward trend. Export percentage has gone up to 85%. Our capacity utilization has gone up to 76%. So, there are all the positives which are there in the business.

Only because of this setback , because of the maintenance activities, we were not able to cater to the demand of the customer. But in the coming few quarters, you will see that we will be compensating for that. In quarter 2, we will not be able to fully compensate. So, I think the greater revenue will come in H2 of this year.

Aashish Uppanlawar: Okay. Second question would be that, see, right now, I think we are all transpiring as far as demand, new products, new filings and that will be adding to our revenues over the years. So, I think all the drivers that need to be there for our business to consistently grow at a very good pace that seem to be there. But historically, what we have seen that the business of CDMOs, APIs basically is a bit cyclical in nature.

So is our story going to be intact in case there is some kind of lull in the demand side , because historically, no one has been able to time it. Inventories take shape at the customer's end and then the cycle goes for a toss, margins go for a toss . So, anything in the environment as of now to read anything like that maybe after one year or maybe immediately?

And secondly, our growth guidance of 20% plus with maybe market share gains and our new products, is it devoid of that? Are we in safe zone if anything like that happens? And are you reading anything which is of concern? There's nothing right as of now?

Saloni Wagh: So, our guidance of 20% growth is factoring in all the different risks to the business. We have a very robust portfolio between APIs. Even on the CMO, CDMO front, we are not only working in APIs, Advanced Intermediates, but also finished formulation. And most of our projects and product selection in this space is very, very niche. So, these are molecules wherein there is only one manufacturer or concentrated manufacturing where we will be able to create a lot of value for the customer by the way of backward integration and regulatory approvals.

So as such, I don't see any issues for the kind of growth what we are guiding. And that 20% growth is sort of factoring in a little bit of sales dip in one of the portfolios of the company that is already factored in. But having taken into consideration all of that, we are still confident that we will be able to maintain our growth pace of 20% plus.

Aashish Uppanlawar: Just to add, is there a possibility of us going beyond 20%, can we be a bit higher because of size as such versus the opportunity that still seems to be small. So why, is it a very conservative number of 20% growth? Can it be 30%? Some guidance on that.

Saloni Wagh: We operate actually in a very regulated space. As you can see, 85% of our business is exports and in that 85%, also closer to 50% comes in from regulated markets. The regulated market business takes time to develop, regulatory approvals take time to come in. So of course, there is

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a chance that we can grow beyond 20%, but keeping in mind the regulatory implications in all the business verticals that we operate in, 20% is something that we would like to guide .

Moderator: Thank you. The next question comes from the line of Karan from Invexa Capital. Please go ahead.

Karan: Just to get a sense on the pipeline beyond FY '28 for our CDMO , CMO as well as new molecules. So, can you just provide some outlook? So, what sort of therapy area are we targeting? And in terms of the market potential for those drugs, will it be very similar to what we do currently, or it will be a larger TAM that we are targeting for those molecules?

Saloni Wagh: As of now, we can guide till FY '27. Till FY '27, the molecules or the therapies what we are targeting is anesthesia, ADHD, antidiabetic , cardiovascular, these are some of the therapies where we are trying to launch products in these therapies.

For us, CMO, CDMO, like I said, not only API advanced intermediate, but it will also come from finished formulations. So, in finished formulations, we are also targeting oral solid dosage, injectables , and of course, our liquid a nesthetic line. So, till FY '27, these are the 4, 5 areas that we are targeting for the new molecules and the new launches.

Karan: Okay. In the earlier call also, for the CMO, on the new molecule side, we have guided for that , that we are working on a cardiovascular drug. So where are we in terms of development and in the commercial side of that molecule?

Satish Wagh: Sir, I will tell you, this is Dr. Satish Wagh here. You see the products which we have targeted, and we are going, you must understand there is no competitor for us in India. Our chemistry is not to fight in India. Our chemistry is to crack the Chinese mol ecules and take the business of Chinese. So currently, when we are sitting here, the 2 products which we are already launched, they are very big volumes. Like anesthetic is almost a product of \$6 billion.

Now if \$6 billion, I can take a few hundreds of crores, I will definitely go for that opportunity to encash, because more of the people like multinationals and big companies would like to leave China and go to India to buy this product. So, when we are alr eady having a vision that we will get business, a good amount of EBITDA, we will not waste our time on other things. We will concentrate to utilize the maximum capacity, which we have installed for which we have already spent money on it.

Karan: Yes. I get that. But sir, can we assume that whatever guidance we have given FY '27, this is one of the products that we have considered for that guidance?

Saloni Wagh: So, we have considered only part of that because like I explained before also, for any new product to sort of scale up in regulated market, it takes about 2 to 3 years from its launch. So, some part of it, yes, we have considered, but not to the full extent of the market size of this product.

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Moderator: Thank you. The next question comes from the line of Rupesh Tatiya from Shree Rama Managers PMS. Please go ahead.

Rupesh Tatiya: One clarification on Slide #14. It says in Q1 capacity utilization is 76%, but our capacity went up from roughly 600 KL to 950 KL. So, this 76% is on the older denominator, right? Is that a correct understanding?

Saloni Wagh: Yes.

Rupesh Tatiya: So, now with the new capacity commission, the capacity utilization has significantly dropped now around 50 % like that, right?

Saloni Wagh: So, in terms of capacity utilization, what has happened is Module E, which is one of our largest blocks, that utilization has gone up , because most of our large products are now scaled up there. So yes, although it is on an older denominator, minorly, it would have dropped, not to the level of 50% or something.

Rupesh Tatiya:

Okay. And for both CVS product and ADHD product, can you give some timelines about launch in India, for example, when will it be filed and end product size, for both the products, CVS products and ADHD products?

Saloni Wagh: So, for the ADHD product, we are actually expecting to launch by Quarter 4 of this year. So, we are still 2 quarters away from the launch of that product. The total market size of this product at the API level would be about \$90 million. For the cardiovascular drug, the advanced intermediate, what we are launching, we have already launched this in Quarter 1 . And for that advanced intermediate, the global volume as of now is about \$40 million.

Rupesh Tatiya: And for both these products, there is no manufacturer in India?

Saloni Wagh: No. So for both these products, like our Chairman said before, we don't have an Indian manufacturer, especially for the cardiovascular advanced intermediate, we don't have any Indian

manufacturer. It would be a replacement product from China.

Rupesh Tatiya: And globally, how many manufacturers are there for both these products?

Saloni Wagh: Globally, maybe 1 or 2 manufacturers.

Rupesh Tatiya: Okay. Yes. And the contrast media product, I think last call, I think we were hoping to win 20%, 25% market share in the contrast media product. I know we are launching it in Q2. So how is the customer seeding, sampling? What gives us this confidence that we can win this market share? Is it the cost advantage? Is it the technology advantage? Is it the quality advantage? Some color around that would be helpful.

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Saloni Wagh: So, it is definitely the cost and the technology advantage that we have. As you know, Supriya, we believe in having a backward integrated business model. So, we are fully backward integrated this product all the way till the key starting raw material level. Our technology is also far superior as compared to the technology available in the market. And along with that, we have already set up a very large capacity for this product in our current blocks.

We will also be going in for full regulatory approval. So, a combination of all these 3, 4 things, we are very confident that we will be able to gain good market share.

In terms of that 20% market share, what we are getting, this will take time. It will take at least 3 to 4 years. Like I explained before also that regulatory approvals take time. So any product scaling up and getting that kind of market share from its launch takes about 2 to 3 years. But we are very confident with the technology and the backward integrated model that we have, we are very confident that we will start getting good traction from the customers.

Rupesh Tatiya: This product is not an iodine chemistry, right, the contrast media product?

Saloni Wagh: So some part of it has iodine chemistry, but we have been able to develop better technology wherein we are sort of surpassing a few stages.

Rupesh Tatiya: Okay. But the end-end classification of the product is iodine-based contrast media. That's the correct understanding, with a better technology.

Saloni Wagh: Yes.

Moderator: Thank you. The next question comes from the line of Amit Agicha from H G Hawa. Please go ahead.

Amit Agicha: Is the company witnessing like market share gain or loss in near future?

Saloni Wagh: So for our existing set of products, we are definitely seeing a good traction. We are gaining market share, and we are gaining that leadership position across regulated geographies. For some of the new launches, of course, with the kind of backward integration, technology and the regulatory approvals that we are set to have, we will only gain the market share from competitors. So overall, the portfolio that we have made with the existing set of products or the new launches, we are seeing a growth trend.

Amit Agicha: And then the second

question was like what will be the expected EBITDA margin? Will it be sustained for FY '26, '27?

Saloni Wagh: So the expected EBITDA margin, what we have guided is between 33% to 35%. And we are very confident that we will be able to maintain this margin in the coming few years.

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Moderator: The next question comes from the line of Nirali Shah from Ashika Stock Services Limited. Please go ahead.

Nirali Shah: Just wanted to know the FY '26 CAPEX guidance that was given was INR 75 crores to INR 80 crores. Would this change of customer orders for new molecules accelerate in this year?

Krishna Raghunathan: No nothing of the sort. I don't think there is nothing which is accelerating or anything.

Nirali Shah: Got it. And just one more, with the U.S. tariff measures still uncertain, have you assessed impact scenarios on your existing and planned U.S. DMF batch products? Is there anything that would be concerning for us?

Krishna Raghunathan: No, nothing at this stage. See, it is going to be very, very complex. See, it is not going to be a straightforward stuff between India and U.S. directly. China may increase the prices for us also tomorrow. All these things, it's a complex geopolitical scenario. At this point, we haven't done anything much on the assessment side. Let final numbers come out and then we can take a learnt decision.

Moderator: Thank you. The next question comes from the line of Abhishek from Padmaja Investments. Please go ahead.

Abhishek: My first question is we were actually reporting in the first 2 weeks after the close of the quarter, like 2 quarters back, like are there any reasons like why are we actually doing it in the latter half

of the quarter, the reporting part, that's my question 1.

And question 2, the Whey Protein, are we selling like only in India or throughout the world or either main input directly raw milk from which we will be producing this Whey protein, and part of it is like will we be selling it directly to the consumers or through a distribution model? I am done.

Krishna Raghunathan: It is because of the management's availability also. See, the SEBI is allowing us time till 45 days from the end of the quarter, you will have to announce the results. So, we have to look at management's availability also. There are meetings, there are international travels. All these things happen. So, with all these things, we had to fix up the calendar and then announce the results. And I think all the Board meetings are supposed to happen for any listed entity. I think we are well within the rules in doing that.

Abhishek: Okay. Did you understand my question 2?

Saloni Wagh: Question 2, I think, was if I heard it correctly, it was regarding Whey Protein. And you were asking us what is the source of Whey Protein and who is the customer? Is it directly the consumer or the distributor? Is it correct?

Abhishek: Yes, that's the question.

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Saloni Wagh: Okay. So, on the Whey Protein front, basically, what we have got is an exclusive license of a technology from a U.S. -based company, wherein we will be taking the bulk Whey Protein from any distributor or any large brand, and then we will be passing that Whey Protein through our machine. And the machine basically creates hydrophilic pockets in the chain of the protein, and it sort of makes it more optimized. So better absorption, lesser side effects. So that is what we are doing in this Whey Protein technology.

So, our raw material is going to be any kind of bulk Whey Protein. The technology can also work on other forms of Whey Protein like Pea Protein, collagen. It works on all these areas as well. But for now, the first area what we are entering into is bulk Whey Protein.

And our customers will not be the direct consumers. Our customers are

basically the larger

brands, who will be taking this in bulk from us, and then they will be formulating it and then they would be selling the product in the end market.

Abhishek: Okay. And is it only in India or throughout the world?

Saloni Wagh: So yes, our agreement is exclusively for India, but we have also started getting a lot of inquiries from neighbouring countries like Indonesia, Malaysia. In fact, Australia, New Zealand also, we are getting a lot of inquiries. So we have now also started working on those inquiries for export market. But our agreement is predominantly for the Indian market.

Moderator: The next question comes from the line of Tushar Bohra from MK Ventures. Please go ahead.

Tushar Bohra: A couple of clarifications. First, the U.S. -China tariff issue. So since U.S. is not a major market for us at least as of now, and our dependency on China is also quite minimal from a supply chain perspective. Is it fair to assume that there is no major impact to Supriya's business at least, relative to peers in the near term?

Saloni Wagh: Yes. Absolutely. We don't see any major impact because of the tariffs for us in the short term.

Tushar Bohra: Great. So you mentioned your new R&D lab and the intention to come up with at least 3 to 4 molecules every year. In line with Dr. Wagh's earlier commentary earlier in the call, is it fair to assume that the incremental opportunities we are working are going to be commensurately larger opportunities in terms of scale given as the business scale is also going up. So are we looking at really blockbuster opportunities where the margin profile will also continue to be in line with or better than the overall average today?

Saloni Wagh: Yes, absolutely. I think some of the newer molecules, what we are selecting, they are much larger in size globally. If you were to look at the anesthetic molecule, it's about \$300 million.

The ADHD, like I mentioned, it is about \$100 million. So the molecule sizes what we are selecting now are much larger.

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And for us also to gain market share in those molecules, because of backward integration and because of better technology is much higher. So definitely, in the next 4, 5 years, you will be seeing good traction coming in from these molecules. And because we are fully backward integrated and we already will start getting the regulatory approval, on the margin front also, they will be in line with the kind of margins we are doing today.

Tushar Bohra: So ma'am, is it fair to say that when you are planning the pipeline, you are planning at least a few years ahead in time. And you are also parallelly working with the clients to ensure that the demand is largely in place by the time you are able to start supplying?

Saloni Wagh: Yes. Absolutely. So, whenever we look at any new product launches, we are working on both sides, regulatory approvals to get into regulated markets for better pricing. At the same time, the backward integration, setting up the large capacities. So on both ends, when we work, it sort of translates into better margins.

Tushar Bohra: So therefore, your, let's say, the near-term opportunities that you highlighted, whether on contrast media or the cardio intermediate, you already have visibility as to the client discussions that have taken place, or the contracted visibilities are already in place. So that's what gives you the comfort to give a projection for the near to medium term?

Saloni Wagh: Absolutely. For the anesthetic product that we have launched for the cardiovascular intermediate, what we have launched, we definitely see a lot of contracts coming through in the next couple of years. We already have a firm visibility of the volume across different geographies, new customers, even our existing set of customers. So, we already have that level of confidence that in the next 3 to

4 years, we will be able to scale up these molecules really well.

Tushar Bohra: Ma'am, just one concern that maybe or maybe just one observation that if you can clarify. While we are guiding for 20% conservatively, in case these contracts come through and some of these are large molecules, large opportunities, do we have the bandwidth, the manufacturing capacity as well as the organizational bandwidth to handle a higher growth rate, let's say, 30%, 35%, 40% kind of CAGR, in case we do get demand on those lines?

Saloni Wagh: So yes, in terms of capacity at the moment, we are well taken care of, because Module E has become operational. And we have also undergone maintenance activities for some of the older blocks. So if these products were to ramp up beyond that 20% expectation, which we know that they would, we have already taken care of those on the capacity front. We also have, as you are aware of, a land parcel near Patalganga, where we will be setting up in the near future a new site, mainly a combination of API as well as finished formulation. So that would also take care of the next leg of expansion. So on the capacity side, we are well taken care of to grow beyond that 20% range as well.

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Moderator: Thank you. The next question comes from the line of Shyam Sampat with MSA Capital Partners. Please go ahead.

Shyam Sampat: So my first question is for Patalganga. When do we start investing in the new facilities there? I know it's part of the next leg of growth, but I just wanted to understand the internal thought process over here of when you plan to commence construction, and because you also need to get the plant audited, right, from regulatory authorities like EU GMP, U.S. FDA.

Satish Wagh: It just got cleared by the environment clearance, because we were not the direct taking part for EC. EC was a part of the total Maharashtra Industrial Development Corporation, which they recently got it after meeting the Environment Secretary and the Chairman of the committee. Now we are just waiting to get the things on their website.

Once on the website, they get it within the next 15, 20 days, I think by the monsoon end, we will take the possession. We already have planned what we are going to do there. We have our drawings, everything is ready. Once the possession is taken by us, we will start moving there for construction activity, and we will do it.

Shyam Sampat: Okay. Thank you. The next question is in terms of the split for backward integrated products, what does it look like across regulated and semi-regulated markets? If we can get the revenue share and the number of products also, that would be very helpful.

Krishna Raghunathan: See, we don't give a split of backward integrated products into regulated and semi-regulated. See, overall, the backward integrated share is beyond 80%. And of course, we have already specified in our speech, the share of regulated markets.

Satish Wagh: Basically, some of the old products, even our new products, I am regularly telling that our competitors are China. The people who are currently buying all over the world is coming from the non-GMP plants. Because there is no source people buy, because they are hard pressed. But those products, when it comes to our facility, we say that it is a U.S. FDA, EU GMP accredited facility. So we are confident to get business and also to get better price.

Shyam Sampat: Okay. Thank you. The next question is, if you look at gross margins, is it more to do with product selection or number of backward integrated products and their revenue contribution? Or does it have to do more with geographic revenue contribution? Because if we, as and if we introduce a molecule in Europe and North America, we start getting better realizations. So by virtue of that, our gross margin increases?

Saloni Wagh: So we don't talk on gr

gross margins, but EBITDA margin, definitely, it is a mix of the product basket as well as the geographic countries where we are selling. So it's a combination of both. It depends on the product and also the market in which we are selling the product.

Shyam Sampat: Okay. And when you say 2, 3 years down the road that you will start introducing new and new molecules in the regulated market, and our revenue contribution from those geographies in both

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absolute and percentage terms, it starts going up. Do we see gross margins inching up? Not an exact number, but just a direction of how can we understand this?

Saloni Wagh: So what will happen is that, yes, you are right, once the product moves into the regulated market, definitely, the margin profile of those products would be better. But for us, because for the next 3, 4 years, we are anticipating that every year we will be introducing new products in the basket, there will always be some products which would be there in the semi-regulated markets. So that cycle for us in the next 3 to 4 years would be ongoing.

And that is the main reason why we are indicating that 33% to 35% kind of margin. While we are capable of doing even better, but because every year, the new products will come, they will be in semi-regulated markets, there will be that slight compression.

Shyam Sampat: Okay. And a bookkeeping question on the revenue from DSM Firmenich project for this quarter?

Saloni Wagh: This quarter, like I said, it was not very high, because we have just supplied to them some trial quantities for food and pharma. But in this year, you can expect about INR 30 crores, INR 35 crores of revenue coming in from DSM for the full year.

Shyam Sampat: Okay. And if you were to look at growth split across volume and value, what would it look like?

Saloni Wagh: I would say for us at this point, it would be 50% -50%.

Shyam Sampat: Okay. One last question from me. So we are saying that Europe and North America, they offer better realization. So that would mean that it would offer better gross margins, right? But the data is contradicting this narrative, because if we look from FY '22 to FY '24, the revenue contributions went up by 14%, but our gross margins actually went down.

And then FY '24 to '25, the revenue contribution from Europe and North America, it fell by 7%, and our gross margins went up. So I think it contradicts.

Krishna Raghunathan: See, there is nothing called a contradiction here. If you look at the absolute numbers, you get a clearer picture. So you cannot have a direct apple-to-apple comparison if you do like that sort of a percentage basis, it might not be giving a relevant picture.

Moderator: Thank you. The next question comes from the line of Vivek Gautam from GS Investment. Please go ahead.

Vivek Gautam: So my question is a bit about the impact, likely impact of President Trump asking the Pharma companies to reduce the pharma prices in U.S. and they have been given a deadline. So what sort of impact can it have on our CDMO and CMO sector, sir, even though we might not be having direct exposure to U.S. Because if the prices of the, U.S. is the costliest drug market in the world, which is funding a lot of R&D, a lot of new innovation. So can it have some impact on the CDMO, CMO sector for us also, sir, and for Indian pharma companies in particular, sir?

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Saloni Wagh: So in general, for us, because North America is such a small percentage of our revenue today, and even on the CMO, CDMO front, most of the opportunities what we are discussing is across Europe and Latin American markets. So for us as a company, I don't see it as a big impact for the next 3 to 4 years at least.

And also in CMO, CDMO space depends on the kind of products that you are doing. So even on the

the API Advanced Intermediate side and also on the finished formulation side, the product selection, what we have is very niche. So for that kind of product basket, what we are offering, we are not anticipating any sort of dip in our revenue or margins, because of this current U.S. tariff situation.

Vivek Gautam: Okay. And last question is about the opportunity size for us, expected growth rate? And any differentiator for our company versus competition?

Saloni Wagh: So some of the new products what we are launching, like anesthetic has a \$300 million market size. For the ADHD molecule, it's about \$90 million. For the cardiovascular intermediate, it's about \$100 million. So we have a large basket of products which is getting launched in the upcoming quarters and their market size is also very large.

Like our Chairman also mentioned, I think one of the biggest differentiators between us and a lot of other API companies is the backward integrated model that we have. So for all the new product launches, we have been able to crack a technology that is better than what is available in the market today, then we have been able to fully backward integrate our process.

We have also set up very large capacities for these products at our site. So with the combination

of all these 3 things, I think we are well positioned to get good market share for these products in the next 3 to 4 years.

Moderator: Thank you. Ladies and gentlemen, due to paucity of time, that was the last question. On behalf of Supriya Lifescience Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

(This document was edited for readability purpose)

Call: Nov 2025

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GOVT. RECOGNISED EXPORT HOUSE

November 18, 2025

To,

Dear Sir /Madam,

Subject: Transcript of the Earnings Call for the quarter and half year ended September 30, 2025 .

Further to our Letter s dated November 9,2025 , November 12, 2025 and November 13, 2025 , we would like to inform you that the Transcript of the Earnings Call held on November 13 , 2025 with respect to Unaudited Financial Results of the Company for the quarter and half year ended September 30, 2025, is available on the Company's website at:
<https://www.supriyalifescience.com/ir -financial.php> .

Kindly take the information on record.

Thanking you,

For Supriya Lifescience L imited

Prachi Sathe
Company Secretary & Compliance Officer National Stock Exchange of India L imited
Exchange Plaza, Plot no. C/1, G Block,
Bandra -Kurla Complex
Bandra (E), Mumbai - 400 051
NSE Symbol: SUPRIYA BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code: 543434

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“Supriya Lifescience Limited Q2 FY '26 Earnings
Conference Call”

November 13 , 2025

MANAGEMENT : DR. SATISH WAGH – EXECUTIVE CHAIRMAN AND
WHOLE -TIME DIRECTOR , SUPRIYA LIFESCENCE
LIMITED

DR. SALONI WAGH – MANAGING DIRECTOR , SUPRIYA
LIFESCENCE LIMITED

MR. KRISHNA RAGHUNATHAN – CHIEF FINANCIAL
OFFICER , SUPRIYA LIFESCENCE LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to the Supriya Lifescience Limited Q2 FY '26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*', then '0' on your touchtone phone.

I now hand the conference over to Ms. Sneha Salian from EY IR. Thank you and over to you , ma'am.

Sneha Salian : Thank you. A warm welcome to all the participants to the Supriya Lifescience Limited Q2 FY '26 Earnings Call. The investor presentation and the financial results are available on the company website and on the stock exchanges.

Please note, anything said on this call which reflects our outlook for the future or which can be construed as a forward -looking statement must be viewed in conjunction with the risk that the company faces. This conference call is being recorded and the transcript along with the audio of the same will be made available on the website of the company as well as on the exchanges. Please also note that the audio of the conference call is the copyright material of Supriya Lifescience Limited and it cannot be copied, rebroadcasted or attributed in the press or media without specific and written consent of the company.

To give you a brief business update and to take you through the results, from the management team, we have Dr. Satish Wagh - Executive Chairman and Whole -Time Director ; Dr. Saloni Wagh - Managing Director and Mr. Krishna Raghunathan - Chief Financial Officer.

I would now request Dr. Satish Wagh to provide you with a brief update on the quarter. Over to you, sir.

Satish Wagh : Good morning and a warm welcome to all the participants. Thank you for joining us today as we discuss the Q2 FY '26 Results of Supriya Lifescience Limited. I hope you have had an opportunity to review our Results and Investor Presentations which are available on the stock exchanges and our company website.

With that, let me take you through the quarterly performance :

As indicated last quarter, we viewed Q1 as an aberration and remain confident in our trajectory. I am proud to confirm that we are back on the track, having successfully achieved 20% sales growth this period. Revenue for the quarter stood at INR 200 crores, reflecting growth of 20% year-on-year and 38% sequentially . Our sustained efforts translated into significant improvement in our revenues this quarter. This performance is a clear reflection of our team 's resilience and our fundamental ability to navigate and overcome operational challenges effectively.

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During the quarter, EBITDA stood at INR 73 crores, up 12% year -on-year and 41% sequentially , with EBITDA margin at 36%, which remained in line with our guidance, underscoring our execution strength.

As you are aware, exports remain the cornerstone of our business, accounting for 81% of our Q2 FY '26 revenues. We are simultaneously maintaining strong progress in our backward integration efforts, with a significant 79% Q2 FY '26 revenues , now fully integrated. This dual focus ensures operational superiority.

As stated in our call, the Ambernath site has started validation campaigns and is progressing as planned and is likely to commence the production of liquid anesthetics and oral solids. A significant milestone for our CDMO strategy, we expect commercial contributions to come in from Q4 of this fiscal year.

Fueled by rising customer interest and focused strategy to grow registrations and strengthen our market presence, we are well positioned to capitalize on long-term opportunities. We would like to reiterate our guidance of achieving around 20% of annual revenue

growth,

with EBITDA margins in the range of 33% -35%. The second half of the year is expected to be stronger. Our journey towards INR 1,000 crore revenue by Financial Year '27 is well on track, supported by the healthy product pipeline, 3-4 launches planned in this year, and steady demand across the key therapeutic areas, including Anesthetics, Anti-diabetics, Anti-anxiety, Vitamins and ADHD treatments.

Looking ahead, our primary focus remains on expanding into other high potential related markets. We continue to strengthen our competitiveness edge through deep backward integration, robust regulatory credentials across major markets and a broad portfolio of different products. These capabilities have not only improved our cost efficiency but also enhanced our ability to respond effectively to evolving market opportunities.

With these strategic levers in place, we remain confident in our direction and committed to sustaining growth in a balanced and disciplined manner. Our focus continues to be on execution excellence, operational efficiency and building enduring value for all stakeholders. We believe that these efforts will enable us to achieve both our near-term goals and long-term aspirations. With that, I now invite our CFO – Mr. Krishna Raghunathan to take you through the detailed financial performance for Q2 FY '26.

Krishna Raghunathan : Thank you, sir. Good morning, everyone.

Let me take you all through the operational highlights of the quarter and half year, following which we will open the floor for questions and answers.

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For Q2 FY '26, the company reported revenue from operations of INR 200 crores as against INR 166 crores in Q2 FY '25, a growth of 20% year-on-year. EBITDA for the quarter stood at INR 73 crores as against INR 65 crores in Q2 FY '25, a growth of 12% year-on-year and EBITDA margin stood at 36% for Q2 FY '26. PAT stood at INR 50 crores as against INR 46 crores in Q2 FY '25.

PAT margin stood at 25% for Q2 FY '26. For H1 FY '26, revenue stood at INR 345 crores as against INR 327 crores in H1 FY '25, a growth of 6% year-on-year. EBITDA stood at INR 124 crores as against INR 127 crores in H1 FY '25, a slight degrowth of 2.3% year-on-year. EBITDA margins were at 36% for H1 FY '26. PAT stood at INR 85 crores as against INR 91 crores in H1 FY '25. PAT margins were at 25% for H1 FY '26.

Our CAPEX for Q2 FY '26 stood at INR 28 crores whereas for H1 FY '26 stood at INR 42 crores. This was mainly spent towards Ambernath facility, which is progressing well and is expected to start contributing to revenues from Q4 FY '26 onwards. Going forward, we expect a CAPEX close to around INR 80 crores for remaining of FY '26, primarily directed towards maintenance CAPEX and certain small projects like Ribo Block and other requirements in formulations plant. On borrowings, we would like to report that for the last 6 months we have not utilized any working capital limits except for letter of credit and bank guarantees.

With that, we can open the floor for questions and answers. Thank you.

Moderator: Thank you very much. We will now begin with the question-and-answer session. The first question is from the line of Rachna Kukreja from SIMPL. Please go ahead.

Rachna Kukreja : My first question is, we had the ambition of growing on our CAGR of 20% and we are trying to maintain that as well. But if we see our H1 FY '26 revenue growth, it is actually around 6%. Last quarter, we had discussed recovering some of the sales that we lost in Q1 due to factory repairs. Given where we are now, do we still see ourselves achieving the 20% revenue growth target? What would be the key levers for growth in the second half of FY '26, where we have to grow and what gives us confidence in maintaining this guidance?

Saloni Wagh : Yes, to answer to your first question, we are very much confident

that we will be able to achieve

our guidance of 20% plus growth in revenue. As you know that we had a muted start to the year in Q1 unfortunately because of our de-bottlenecking activity, which was essential for our Module E to get fully operational, we were not able to get the production out. So Q1 was muted. And yes, to some extent, we have recovered that in Q2. But the full recovery you would definitely be seeing in Q3 and Q4. What are the growth levers? Like I have always said that our entire product portfolio that we have, the therapies that we have, they are growing. We are seeing

good growth happening in the existing set of products plus the new products that we are launching every quarter and the CMO, CDM O opportunities that we are working on , some of these have also started commercializing. So all these things will sort of help us to achieve that 20% revenue growth in the next couple of quarters.

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Rachna Kukreja : My second question would be if you could give more color on the CDMO business, as you said, commercial revenues have begun. So more on the product pipeline, we had discussed opportunities for us in advanced intermediates and APIs, such as the cardiovascular drug as well as the finished formulations. Where we are targeting and how is the opportunity developing for us? Similarly, for DSM project, if you could give color on that as well ?

Saloni Wagh : So in the existing opportunity, what we have in the CMO /CDMO space, which have already commercialized, it is only one, which is the DSM opportunity. And the DSM opportunity at full peak would give us about INR 60-INR 70 crores of revenue. This financial year, we have already started seeing some part of this revenue. By the end of year, we are expecting about INR 25-INR 30 crores of revenue from the DSM opportunity. We do have 2-3 other such projects in the pipeline on the API advanced intermediate site. And in the upcoming quarters, we would definitely be announcing 2 of those. As far as the finished formulations is concerned, the facility is fully ready. The validation is completed. We will be capitalizing this facility in quarter 3. So definitely in quarter 4, we can start seeing some revenue generation from this facility. It will take about 2-3 years for us to fully see the effect of this Am bernath facility. Phase -I for us is going to be the liquid inhalation line and the targeted markets for us, definitely because we operate in a very regulated space. Regulated markets are the targeted markets here as well. We are also expecting the EU audit to happen in quarter 2 of the next financial year or quarter 1 of the next financial year. We are still waiting for the dates from the authority and the FDA audit also may be end of next financial year. But till then, I think the revenue generation would happen from semi -regulated markets because just last month, we have already received the WHO GMP for this facility. And that has opened up the semi -regulated markets like Indonesia, Thailand, Malaysia. So that is going to be the first revenue generating market for us. Quarter 4, definitely some revenue you will be seeing from the Am bernath facility.

Rachna Kukreja : One last question would be , for our DSM project, we were waiting for the Japanese PMDA approval. Last quarter, we had discussed this. So if any color, if you could provide on the same?

Saloni Wagh : So we have received the Japanese PMDA approval. So DSM project on the Vitamin is in two parts. One is for their food and feed requirement and one is for their pharma requirement. As of now, the food volumes have already started. So the revenue contribution that you would see this year is mainly coming from the food application of it. For the pharma, we have already received PMDA approval, we have received CEP, we have received the USDMF approval also. We are just

waiting for the customers to qualify the product. They have started their validation at their site. So, in another 4 or 5 months, we will see the uptake in the pharma happening.

Moderator : The next question is from the line of Krishna from Molecule Ventures. Please go ahead.

Krishna : So first of all, many congratulations on a very good set of numbers. My first question is with respect to our API segment. So in the last quarter of FY '25, we launched a drug in anesthetic category, which had a global market size of close to \$300 million. And we were supposed to file the DMF and CEP in the third quarter of this year. So now that we are already in mid -November, Supriya Lifescience Limited

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could you share any update on this filing? Have we filed this product in US and European markets? What is the update there? That is my first question?

Saloni Wagh : So we have not yet filed for the CEP and the USDMF, mainly because we started the commercial production, but there was a lot of fine tuning which was needed to be done on the process. Also, in terms of the batch size, we have been scaling up quite drastically because it is a very large volume product and we wanted to reach the right batch size. We will be filing for the USDMF and the CEP end of this month. So by end of November, the filing would have been completed.

Satish Wagh : I just add a few things to this. Ma'am, you must understand this product, we don't have a competitor in India. We are cracking the China. Business is ample available because people don't want to go with China because they are non -GMP plants. So here we are not chasing for business, but the clients are chasing for their product because they need to change the source and move towards a regulated company like Supriya Life science. So business will definitely come because they are very much interested into it.

Krishna : My next question is on Whey Protein contract. As per our last discussion, there were some kind of delays from the customer's end. So have these issues been sorted now? And if yes, when can

we expect the volume ramp up in this particular contract?

Saloni Wagh : So we are still actually working with the end customer. There have been some changes to their formulation. They are evaluating a newer type of finished formulation, which is very advanced and not there in the Indian market as of now. So I think once their formulation is sorted, I think then they will come back to us and they will start buying the volume. We are making progress, not as per the expectation. I think by now we should have already started the commercial supply, but we are expecting that to happen very soon. Maybe in about 1 or 2 months' time, it should happen. It is just that they are still deciding on the formulation part with their R&D. They are also communicating with the innovators of this particular technology. So it should happen in the next couple of months.

Krishna : So, then the full potential of this contract we can expect only from FY '27, right?

Saloni Wagh : Yes. I think the full potential you would be expecting in FY '28, but part of this, I think the majority part of it would come in FY '27.

Krishna : And what kind of maximum volumes can we do in case of this contract, in case of Whey Protein?

Saloni Wagh : So the market size, as it is a new product, there is no established market size, but the capacity what we have set up at our site, we can easily do about 3,000 tons a year kind of a capacity is what we have set up.

Krishna : 3,000 tons. And let us say, once all these issues from the clients are sorted, what kind of volumes do we expect in full FY '27?

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Saloni Wagh : In the first year, we are expecting about 1,000 tons.

Krishna : 1,000 tons. And just one last question on the DSM contract. You mentioned some INR 25-INR 30 crore

figure to an earlier participant. So what was that, if you can repeat that?

Saloni Wagh : So he was asking me how is it progressing, the DSM partnership. So DSM partnership at peak would be giving us a revenue of about INR 60 odd crores. And as of now, like I explained before, also there are two parts to it, food as well as pharma. Food has already picked up. So that INR 25-INR 30 crores of revenue that we are saying we will get this year will be mainly coming in from that application. Once the pharma customers have also qualified us, next year, you will be able to see the full potential, the pharma as well as the food. And next year is when we will be reaching that INR 60 odd crores of revenue.

Moderator : The next question is from the line of Aditya pal from MSA Capital Partners. Please go ahead.

Aditya pal : Great set of results a gain. Just wanted to understand, I know that we don't give forward-looking statements and gross margins, but gross margins have been inching up. So just want to know the source of it. What is it that we are doing right? Is it larger batch sizes because of which cost of kilo is coming down, cost per kg is coming down? Is it that the realization is up at this point of time? Or is it that we have introduced some new manufacturing process which is yielding us these results?

Saloni Wagh : So we would still like to maintain our stand of not commenting on gross margins. I can talk at EBITDA level and we have always maintained that EBITDA is a function of the product mix as well as region mix in which we operate. So those are the two driving factors which dictate the margins for us. One thing I would like to highlight here is definitely, we are a fully backward integrated company and as our Chairman mentioned in the speech also, our backward integration percentage is going higher. So definitely backward integration helps in getting the best cost of material. Our batch sizes have also gone up because Module E is now fully operational where the Reactor Capacity and the sizes are much larger as compared to our previous block. So increase in batch size has also happened. We have a very strong R&D setup at Lote which is continuously working on life cycle management. We are always trying to better our process, try to make it more eco-friendly, replace some of the hazardous chemicals and do a lot of cost savings. So that also sort of puts everything, all these efforts that we take sort of adds back to the margin.

Aditya pal : Understood. Also, if you can comment on your visit to CPHI that happened in October. How was your visit? Are you seeing strong RFQs and the interest towards a more pull or push basis?

Satish Wagh : See, our visit to CPHI Frankfurt was very good. In CPHI, only discussion takes place.

Commitment comes after the CPHI because everybody is so busy for attending the clients. So it is just a connect meeting, but the meetings which we have done, we are very firm that it will generate a good amount of business and that too also exclusively from the product where we are finding only import substitutes. If you see the chemistry of Supriya, we try for import substitutes.

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Our other activities, fighting with manufacturing same products in India, we don't do that. So

the opportunities when you have import substitutes, import comes from where? China. So definitely people are interested on those products.

Adityapal : Sir, if you can just comment on the RFQs that you are seeing. Is it on an upward trajectory? If you can just comment on the intangibles of that. So just want to understand that aspect ?

Saloni Wagh : So yes, we have seen a lot of good interest in the new launches what we are doing , both on the finished formulation as well as the API side. We have also seen increasing interest in CMO partnerships, a lot of the European companies who are wanting to

shift their manufacturing base

to India. So a lot of these opportunities have come. Nothing specific that we can quantify or we can give a very specific answer. But overall, we are seeing good growth in most of the existing products also as well as the new products what we are launching.

Adityapal : Just last question, I just need clarification from you. So when we say on a presentation that we have 18 products that are backward integrated and we specify that 3 products are in the process of getting backward integrated. So does that 18 include the 3 or maybe a couple of quarters later that 18 will become 21?

Saloni Wagh : It will become 21. The 3 are not included. So 18 when we say they are fully backward integrated products.

Moderator : The next question is from the line of Nirali Shah from Ashika Stock Services. Please go ahead.

Nirali Shah : My first question is , given that 1Q revenue we saw a decline and most of this was attributed to the maintenance downtime. Just wanted to know that the 20% growth that we are seeing this time, can you break that down on how much of the 2Q recovery was purely normalization and how much was just a structural improvement?

Saloni Wagh : So we will not be able to break it down. I think the guidance what we have given, the 20% growth in revenue that will happen. Some part of it has recovered in quarter 2, but the major recovery for that would happen only in quarter 3 and quarter 4. So you have to look at it more on an annualized basis and by the end of the financial year, we would have been able to achieve our 20% plus time.

Nirali Shah : Got it. My next question is that with 70 %-80% of the near -term revenue we are expecting to come from Europe and LATAM , could you elaborate on the pricing dynamics in this market?

To be very specific, are we seeing any kind of typically 2%-4% of annual price erosion or are we expecting any pricing resets in FY '27 once you scale on the newly backward integrated products?

Saloni Wagh : So in terms of the pricing dynamics in regulated market, because the entry barrier of these markets is high, definitely you get a slightly more premium price than you get in semi -regulated and the domestic market. I think we are not seeing any , because we operate in a very niche
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sector. The products that we have, like our Chairman explained, they are a substitute from Chinese manufacturers. So there is anyways a very limited amount of competition who are operating in these products or in that space. So for those products particularly, we are not seeing any kind of a negative pricing pressure. Prices still remain the same and stable for us in Europe as well as the other regulated markets.

Nirali Shah : And lastly on the CWIP. So CWIP has come to INR 1,725 million. Just wanted to understand how much of this relates to Ambernath versus Lote versus the Module E optimization, if you can break that down?

Krishna Raghunathan : Module E , majority of that has already been capitalized. So around say INR 150-INR 155 crores of that would be Ambernath, which we would be capitalizing in Q3.

Nirali Shah : Anything on Lote?

Krishna Raghunathan : Lote, I think it would be some bit of a Ribo Block. Those things will take at least another couple of months for us to capitalize.

Moderator : The next question is from the line of Nikhil from SIMPL. Please go ahead.

Nikhil : Congrats on good set of numbers. Just two questions. See, in the beginning of the call, you mentioned that because of the plant shutdown, we had some rub-off effect in Q2 and some may continue in Q3 -Q4. So just wanted to get some clarity that is this like order which were there in Q1, which we didn't supply and have not been completely supplied in Q2, which will come in second half ? Or just some clarity on, is there some more rub-off which you see can happen in second half

?

Saloni Wagh : So no, most of the orders which were sort of a spillover from Q1, we were able to execute in Q2. Some part of it, yes, will also happen in Q3. But the higher growth in Q3 will mainly be driven by the expansion of our new launches in semi -regulated markets, plus the growth of our existing mature products in regulated markets. So overall, you will be able to see some part of spillover, but majorly, it will be coming from the growth of our existing basket and the new product

launches what we have done in quarter 1 and quarter 2.

Nikhil : Secondly, see, if I go back to our discussions over the last 2 years, whenever we have met, you mentioned that North America is still a small market for us, and there were products which we were trying to scale up. But even today, if you look at it, the contribution from North America has been pretty insignificant. So what are the challenges we are facing? Or like, can you throw some light on how should one think about this market growing for us?

Saloni Wagh : So in the existing product basket, I have always mentioned that inherently, in our existing products, the larger markets are Latin America as well as Europe. The newer launches of the products we have just started from quarter 1 of this year, and for us to get the USDM F and get the approvals in markets like North America, it typically takes 9 -12 months. So you will see a

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slight increase in the North American market, maybe in the next financial year. But here, I would like to reiterate that, even with that happening, Europe and Latin America will be the larger market for us, at least for the next 2 years based on the projects, what we have in the R&D pipeline, based on the CMO opportunities that we have, Europe and L ATAM would still be bigger. But yes, slight increase in the contribution to North America, you will see in FY '27.

Nikhil : And just last question. So if I remember, there was one CMO opportunity for formulations for which we were putting a capacity. With this FTF formulation capacity coming in Q3, is there a defined offtake from the CMO agreement which we have for which we were putting the capacity, or this would be completely new sales kind of a business we will have to develop for the finished formulation?

Saloni Wagh : So for the finished formulation in Am bernath, we are in talks for a large partnership on the finished formulation side. But we are just at the very beginning of that conversation. So we would like to comment on this , maybe in the coming few quarters. We will be capitalizing the Ambernath facility in quarter 3, at least for the first phase of products, which is the liquid aesthetics , we have a good order book already. We have already seen interest after getting the WHO GMP. We have seen good interest from semi -regulated markets for tablets as well as the liquid an esthetics. So that we have already seen. This partnership, like I said, it is in the initial stage . Hopefully, in the next couple of quarters, we would be announcing something on that.

Nikhil : The finished formulation would be forward integration of our APIs, like what we are already producing, or would that be a right understanding?

Saloni Wagh : So it is not true for all the APIs. Some of the APIs where there are only one or two manufacturers globally, and when there is a supply issue, for those, we will be forward integrating. But there are a lot of other formulations also, which we are discussing with customers, wherein we will not be necessarily making the API at our Lote site. So it is both. It is a combination of some forward integration of APIs from Lote as well as API buying from outside and then partnering up with regulated customers.

Moderator : The next question is from the line of Shubham from Purnatha Investment Advisors. Please go ahead.

Shubham : Congratulations on a

good set of numbers. My first question is, what could be the margin growth lever from here, since we are 72% backward integrated, so how margin can increase from here?

Saloni Wagh : So like I have mentioned, when some of the new products, when they go into the regulated market, specifically some of the new launches, the average selling prices for those products is always better in regulated markets due to the high entry barrier. So there we have some scope for the margin improvement. However, we have always guided that 3 3%-35% margin is something that we see ourselves stabilizing at for the next couple of years, because every time one product matures into the regulated market, there will be a new launch, which would be

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scaling up in semi -regulated markets. With the finished formulation business coming on stream that would also be adding to the margin, but 3 3%-35% is a stabilized margin for us.

Shubham : So in midterm, the target is 3 3%-35% only ?

Saloni Wagh : Yes, while we have achieved in the past better numbers and we always try to do better. That is something that we would like to guide for now.

Moderator : The next question is from the line of Nirman from Unique PMS. Please go ahead.

Nirman : So out of the 3 or 4 new products launches this year, how many have you already launched and what would be the current status of those , maybe the filing status or are we supplying those and which therapies do these belong to?

Saloni Wagh : So we have launched as of now 2 products from the 4 products that we were planning to launch this year. I have just explained a while ago for the Anesthetic, we are going for the USDMF and

CEP filing end of this month. The second product what we launch is actually an advanced intermediate in cardiovascular space. So for that particular product, we need not go for CEP, but the DMF we will be filing again by end of this month. So these 2 products, we have launched so far. We do have 2 more products coming in. One we will be launching in quarter 3 which would be ADHD product and maybe end of quarter 3, beginning of quarter 4, we will be also launching a contrast media product. So these are the 4 launches that were planned for this year.

Nirmam : And secondly, just a clarification on the CAPEX. So we mentioned INR 40 crores for H1. How much are we planning for H2? For what?

Krishna Raghunathan : See, H1 we were spending in for Am bernath and for H2, we will be having some maintenance CAPEX and the Ribo Block in Lote.

Nirmam : And what amount?

Krishna Raghunathan : Full year, we are expecting somewhere between INR 80-INR 90 crores here.

Moderator : The next question is from the line of Tushar from MK Ventures. Please go ahead.

Tushar : Thank you for the opportunity and congratulations to the management for a good set of numbers.

My first question, it has partly been answered, but your slide 14 from the presentation mentions contrast media, cardiovascular and ADHD. The cardiovascular intermediate, can you just highlight the capacity that we have set up and what kind of targets we are working with, say, over the next couple of years in terms of utilization? And also, the regulatory scenario around that product? Also, in contrast media, if you can share more qualitative details and quantitative, if possible, around what kind of numbers and traction do we expect around this over the next maybe 4-6 quarters?

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Saloni Wagh : For the cardiovascular advanced intermediate, we have set up a capacity currently of about 1000 tons. This can be increased further because we have a multipurpose facility. As of now, we do have some visibility of about 300 odd tons, which we are already discussing, and we are in fact in advanced discussions with some of the customers. It will sort of scale up in the upcoming

few

quarters. Good revenue from this particular advanced intermediate, you will be able to see in the next financial year, maybe by quarter 1 or quarter 2 of next financial year. As it is an advanced intermediate, we cannot file for a CEP, but we are going to file for a US DMF. So that is already in the pipeline and that we expect to do by end of this month. Most of the qualifications are already in progress. Samples have been given. Validation batches are under progress at the customer side. So we can start seeing some uptake on the volume maybe in quarter 4 of this year also. So that is where we are at the advanced intermediate. The contrast media, we would be launching maybe towards the end of quarter 3 or beginning of quarter 4. The R&D has been completed. We are at the pilot scale validation of this particular product. We still need to do a bit of fine tuning on the process and everything. I think more information on contrast media, we will be able to share maybe during the Q3 earnings call.

Tushar : Second question. You have mentioned, I think somewhere it has been mentioned by the management about our intention to work on GLP -1 peptides. If you can maybe share some more details around that. Over the next 2 -3 years, what kind of thought process, what kind of strategy around this segment?

Saloni Wagh : So we do have a lot of interest in the GLP -1, but this is mainly on the finished formulation side.

We don't intend to manufacture the API in-house at our Lote site. We will be taking the API from outside and the finished formulation injection basically, which is the Pen that is what we are targeting. We do have some discussions ongoing with customers in Russia. Only those markets at the moment are open where the product is not patented. So that discussion is still ongoing. Maybe in the next financial year, we will be able to see some revenue coming in from that. But more on the business potential and the numbers and all, we will only be able to talk once we have capitalized Am bernath. So maybe Q4 would be the right time to start giving guidance on the number from Am bernath.

Tushar : But GLP -1 would not be a margin dilutive opportunity for us, right? If we don't have the API?

Saloni Wagh : No. I don't think we will be, because the markets where we are intending to be, regulated markets have always been the focus of the company and like our Chairman always says, we are a margin-driven company. So, all the opportunities under discussion are made keeping in mind that the overall blended margin should be in that range of 33 %-35%.

Tushar : Is it true that, or if you can comment a bit more, that GLP -1 would also need supplements, so Whey Protein could actually see a shoot-up in demand or that could turn out to be a positive surprise for us? Would you want to comment on that, please?

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Saloni Wagh : So Whey Protein in general, the market size is growing year-on-year because there is a lot of data now which supports consumption of protein and how it benefits us. So overall, the Whey Protein market has been growing drastically in the last couple of years as a preventive, of course, medication. So it will happen. But for us, the bigger challenge in Whey Protein is that this is a very new formulation. It is something that none of the formulators in India have done. So I think our partner in this project, they are trying to formulate some new formulations, novel formulations, which they are planning to launch. So I think once that R&D is through and they are done with the formulations, then we can see a bit of uptake on the Whey Protein. But normally, as the market is growing and with the new technology what we have from our US partners, which has already been proven, it is a proven technology in the US market and GMP has seen a good uptick in its ioWHEY brand. I think if

that sort of follows in the Indian market, definitely it can be a big market for us.

Tushar : But we are targeting outside India as well, right?

Saloni Wagh : We are. So the technology is capable of handling multiple types of protein, not just Milk Protein. It can also work very well with Pea Protein. It can also work very well with collagen. So some of these discussions, like we have a discussion going on for Pea Protein with a Chinese customer. We have another discussion going on in Singapore, Malaysia. So yes, we are targeting those markets as well. Hopefully, we should be able to see some turnaround happening in Whey Protein.

Tushar : If I may just ask one last question. If our back calculations are right, to achieve a 20% growth for this year, you should be already at a INR 1,000 crore EBITDA run rate by the time you exit this year, quarterly run rate. So maybe more than 240 -250 a quarter by the time and this year. So should we assume, therefore, that your next year target of INR 1,000 crores FY '27 is conservative? We should hopefully be able to deliver better than the exit run rate for this year. We should see some growth next year on top of that?

Saloni Wagh : Keeping in mind the growth in the existing portfolio, the new launches, the Ambernath site, definitely there is a scope to achieve a better number. But because we operate in a very regulated environment, regulatory approvals are the first and the most important thing for us to start getting access to the market. So as soon as the regulatory approvals come for the Ambernath facility, as well as some of the new launches, we would be in a better position to guide what can be the upside. But definitely, yes, the product portfolio itself is growing. We are entering into newer areas. So, there is always a scope to do a better number.

Moderator : The next question is from the line of Srihari from PCS Securities. Please go ahead.

Srihari : The first question is, on one of the slides, you have mentioned High-purity anesthetic. So I would like to know whether it is already contributing to the revenue and what is the kind of price delta that you have on it? And secondly, for the Ambernath facility, since FY '28 is likely to be the
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first, let us say, full year of operations after getting regulatory approvals, if you could give some kind of a revenue guidance?

Saloni Wagh : So for the anesthetic that you mentioned, yes, it has already started contributing some small amount to the revenue, mainly because customers are now taking the API for their validations and everything, stability and all of that. So some contribution is already there. But of course, for the full effect to happen, it will take us 2 years, because we are just going for the regulatory submission. As far as Ambernath is concerned, I think the revenue guidance will only start giving maybe from quarter 4 of this financial year. We would like to capitalize that first in quarter 3 and then sort of give the guidance what can happen from Ambernath. Maybe quarter 4, we will be having some guidance.

Srihari : The price delta for the High-purity anesthetic, can you please share that?

Saloni Wagh : So, we will not be in a position to give any specific product what can be the revenue generation possible from a specific product. On a blended portfolio, like we have said, 20% growth in terms of revenue. That is all that we can say at this point.

Srihari : I was asking about the price delta vis-a-vis your regular anesthetic, low-purity anesthetic, what would be the price delta for this high-purity product?

Saloni Wagh : No, this anesthetic, there is no regular version of this. This is a high-purity only, because this is directly consumed. This API is directly bottled. There is no addition of excipient that happens. It is directly bottled. So in that case, there is no

regular. It is only 99.97% plus purity API.

Satish Wagh : The anesthetic product which you are talking about is already established 45 years in the world. First question. Second, it is not being manufactured in India. That is my second. The third, you are depending upon China, whereas you are depending upon India. This is third. So, there is no price war. There is only a thing that you should get the material from a regulated manufacturer

than a non -GMP manufacturer who has got only ISO. So , this is the reply to the question. So here nobody is going to fight for price at all. And if we keep on telling everything you are in a country where you are in India, people immediately copy paste. So, nothing will be given as such in detail. That is the worry of the company as far as India is concerned. We are not concerned with selling in India. We are going to be selling abroad to have a better market.

Moderator : Thank you. Ladies and gentlemen, we will take that as the question for today. On behalf of Supriya Life science Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

(This document was edited for readability purpose)

Call: Feb 2026

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GOVT. RECOGNISED EXPORT HOUSE

February 17, 2026

To,

Dear Sir /Madam,

Subject: Transcript of the Earnings Call for the quarter and nine months ended Decem ber 31, 2025 .

Further to our Letter s dated February 04, 2026, February 09, 2026 , and February 10, 2026 , we would like to inform you that the Transcript of the Earnings Call held on February 10, 2026 , with respect to Unaudited Financial Results of the Company for the quarter and nine months ended Decem ber 31, 2025, is available on the Company's website at:
<https://www.supriyalifescience.com/ir -financial.php> .

Kindly take the information on record.

Thanking you,

For Supriya Lifescience L imited

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"Supriya Lifescience Limited
Q3 FY '26 Earnings Conference Call "
February 10, 202 6

MANAGEMENT : DR. SATISH WAGH – EXECUTIVE CHAIRMAN AND

WHOLE -TIME DIRECTOR – SUPRIYA LIFESCIENCE
LIMITED
DR. SALONI WAGH – MANAGING DIRECTOR – SUPRIYA
LIFESCIENCE LIMITED
MR. KRISHNA RAGHUNATHAN – CHIEF FINANCIAL
OFFICER – SUPRIYA LIFESCIENCE LIMITED

MODERATOR : MS. SNEHA SALIAN – EY

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Moderator: Ladies and gentlemen, good day, and welcome to the Supriya Lifescience Limited Q3 FY '26 Earnings Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Sneha Salian for her opening remarks. Thank you, and over to you, ma'am.

Sneha Salian: Thank you, Ma'am. A warm welcome to all the participants to the Supriya Lifescience Limited Q3 FY '26 Earnings Conference Call. The investor presentation and the financial results are available on the company website and on the stock exchanges. Please note, anything said on this call, which reflects our outlook for the future or which can be construed as a forward-looking statement must be viewed in conjunction with the risks that the company faces.

This conference call is being recorded and the transcript, along with the audio of the same will be made available on the website of the company as well as on the exchanges. Please also note that the audio of the conference call is the copyright material of Supriya Lifescience Limited, and it cannot be copied, rebroadcasted or attributed in press or media without specific and written consent of the company.

To give you a brief business update and to take you through the results, from the management team, we have Dr. Satish Wagh, Executive Chairman and Whole-Time Director; Dr. Saloni Wagh, Managing Director; and Mr. Krishna Raghunathan, Chief Financial Officer. I would now request Dr. Satish Wagh to provide you with a brief update on the quarter. Over to you, sir.

Satish Wagh: Good morning, and warm welcome to all the participants. Thank you for joining us as we discuss the Q3FY26 performance of Supriya Lifescience Limited. I hope you have had the opportunity to review our results and investor presentation, both of which are available on the exchanges and the company website.

On that note, let me walk you through our quarterly performance. Revenue for the quarter stood at INR206 crores, reflecting a growth of 11% year-on-year, driven by robust demand across the product portfolio. Our focus on operational efficiency and high-margin niche offerings have delivered a 34.9% EBITDA margin and 24.1% PAT margin, reflecting strong execution.

Exports continued to be a key growth driver of the business, contributing 82% of Q3 revenues. Within exports, the LatAm region delivered healthy growth, accounting for 24% of the revenues during the quarter, while North America contributed 6% with both regions increasing their overall revenues. Complementing this, our backward integration initiatives continued to advance during Q3FY26, which was 74% of revenues, strengthening our cost structure and supporting sustainable growth.

Turning to our recent launch pipeline. As communicated in our previous call, our product launch plans for the year remain on track. We have successfully launched a key cardiovascular product in Q3FY26, expected to contribute meaningfully in Q4FY26. We also launched our ADHD product, which we expect to scale up over the coming quarters. Our liquid anaesthetics product

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has been commercialized with steady monthly supplies underway. In addition, development activities for our contrast media product continue to progress as planned.

The Ambarnath facility is ready for capitalization. This is a key milestone for our CDMO segment. We will capitalize this site in Q4 FY26, reflecting the completion of commissioning and readiness of the sustained commercial operations. We stand by our guidance of

approximately 20% of annual revenue growth and the EBITDA margins of 33% to 35%. Our progress towards the INR1,000 crore revenue milestone for FY27 remains on course, supported

by a healthy pipeline planned launches our 3, 4 products each year and steady demand across core therapeutic segments, including anesthetic, anti-diabetics, anti-anxiety, vitamins, and ADHD.

Looking forward, we remain focused on scaling our presence in regulated markets and reinforcing our competitive position through backward integration, strong regulatory capabilities and a diverse product portfolio. This strategic strengths, combined with rising customer interest and execution discipline position us well to pursue long-term opportunities while continuing to create enduring value of our stakeholders.

So, with that, I now invite our CFO, Mr. Krishna Raghunathan, to take you through the detailed financial performance of Q3FY26. Thank you.

Krishna Raghunathan: Thank you, sir. Good morning, everyone. Let me take you all through the operational highlights of the Q3 and 9 M, following which we will open the floor for question and answers.

For Q3 FY 26, the company reported revenue from operations of INR206 crores as against INR186 crores in Q3 FY 25, a growth of 11% year-on-year. EBITDA for the quarter stood at INR72 crores as against INR66 crores in Q3 FY 25, a growth of 9% year-on-year and EBITDA margin stood at 35% for Q3 FY 26. PAT stood at INR50 crores as against INR47 crores in Q3 FY25. PAT margin stood at 24.1% for Q3 FY 26.

For 9 MFY26, revenue stood at INR551 crores as against INR512 crores in 9 M FY25, a growth of 8% year-on-year. EBITDA stood at INR196 crores as against INR193 crores in 9 M FY25, a growth of 1.7% year-on-year. EBITDA margins were at 36% for 9 M FY26. PAT stood at INR135 crores. PAT margins were at 25% for 9 M FY26.

Our capex for Q3 FY 26 stood at INR28 crores whereas for 9 M FY26 stood at INR71 crores. This was mainly spent towards Ambernath facility. Going forward, we expect capex to close around INR15 crores for remaining of FY 26, primarily directed towards maintenance capex and certain small projects like Ribo Block and other requirements in formulations plant. On borrowings, we would like to report that for the last 9 MA, we have not utilized any working capital limits, except for letter of credits and bank guarantees.

With that, we can open the floor for questions and answers. Thank you.

Moderator: The first question is from the line of Tarun Krishna from ithought PMS.

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Tarun Krishna : My question was on the cardiovascular product which we have launched. So, in the last con calls, you said that we have 300 tons of visibility. Has that visibility changed? Or has the timeline changed? Any updates on that?

Saloni Wagh: Yes, we still have visibility over that 300 ton, and we are very confident that after the successful scale up, which happened in Q3, we will be able to start penetrating into that market and start getting the volume in the coming few quarters.

Tarun Krishna : And second question was on the A21 site, which we have. So based on the past con calls, I understand that it will be primarily used for the protein scale up. Has the use case changed or any information on the capacities you can give me?

Saloni Wagh: So A21 is going to be used for 2 main purposes as of now. One is going to be the protein business that we have. And the other thing is, it's also a warehouse for some of our raw materials. As far as the protein project is concerned, we are making some progress on that. As it's a very new formulation in the Indian market, a lot of the formulators are still doing R&D on that, which is expected to be completed in the next 3 to 4 months. Once the R&D part is cleared, I think then the formulators would be ready to start buying commercially and launch their products.

cts.

Other than the domestic Indian market, we have also made some progress in the export market. We have supplied our samples in Australia and some Southeast Asian countries like Philippines, Malaysia, Singapore from where we are getting good traction. So, all in all, I would say the protein project, we are making progress. But for you to see any significant revenue contribution, that would still take a couple of quarters.

Tarun Krishna : And just the last one, any timelines for the Isambe site you can give me?

Saloni Wagh: For the Isambe site visit, I think we are still in the phase of finalizing the blueprint and what all will come up there. I think in another 9 to 12 months, we'll be able to give more light, but maybe our Chairman can share some more information.

Satish Wagh: So, I'll give you some more information on that. As you know that every plot, which normally everybody buys, MIDC says that you go for environment clearances. We have specifically denied when we have taken the land, and we had said MIDC itself will go and they will take the environment clearance. Now they have taken 2.5 years to get the EC. On the 1st of January, we got the possession after hearing from them that the EC is granted and it's available on the portal. So now we are making the blueprint, then we will start working on it.

Moderator: The next question is from the line of Aashish Uppanlawar from InvesQ PMS.

Aashish Uppanlawar: So, just wanted to understand, we've been guiding for maybe around 20-odd percent kind of revenue growth, and we still stick by our guidance maybe for the next year. But if I look at maybe the 12 months that have gone by, we've had the sales growth has been off and on. So, this quarter, it's about 11% and since we had a higher base of margins, our profit growth doesn't seem to be there. So, how should we read it? Is capacity a limitation or demand a limitation that we are facing right now because 11% seems to be on the lower side of the growth?

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Saloni Wagh: So, we are still confident that we will be able to achieve our 20% guidance for this financial year. And a large part of that would come in quarter 4. In quarter 3, what has happened is two main things. One is that some of the new launches that we did in quarter 1, quarter 2 of this year, we were just trying to scale up that. So, increasing of capacity, scale up in terms of batch size, going in for the regulatory approvals, all that activity we have done in the first 3 quarters. So, definitely, a larger contribution from these newly launched products, you'll be able to see in quarter 4.

Also in quarter 3, post 15 December, considering export markets are the largest for the company, 84% of our revenue comes in from export and specifically from markets like LatAm and Europe. Post 15 December, all these markets go for holiday. So, a lot of the shipments which were intended to happen end of December have now gone into quarter 4. So, there is a slight impact of that as well. And we have a good visibility on the order book for quarter 4, we are very confident that we'll still be able to manage this 20% revenue growth.

Aashish Uppanlawar: Okay. So, quarter 4 seems to be going to be pretty decent to cover up for everything. That's what the expectation is?

Saloni Wagh: Yes.

Aashish Uppanlawar: And to understand on the margin bit because we maintained the tight band of 33%, 35% kind of a number. Historically, we've been tracking your company since the IPO. So, there was loss of a Chinese customer and then we had a profitability fall in sales also. So, nothing in the environment that suggests right now that any sort of that kind of a risk might come up, right? I mean there's no kind of inventory overhang with the customers and something like that. On that front, I wanted to understand?

Saloni Wagh: No, nothing like that. I think for the

last 2 years, we have been consistently guiding 33% to 35% margin. And whatever dip you are seeing from the historical margin numbers is predominantly because of addition of new products. When you typically introduce any new product into the portfolio, the first scale up will happen in semi-regulated markets where the margins are slightly lower as compared to when it scales up in a regulated market. And because we have been actively doing that for the last 1.5 years, I think that's the only reason why the margin has sort of normalized at 33% to 35% or we would like to guide the same.

Aashish Uppanlawar: Lastly, with this EU trade deal and other deals that have happened, does anything change for us on the positive or negative side as far as opportunity size is concerned?

Satish Wagh: As far as Supriya is concerned, there is no change because in pharma, there is no much change in FTA. And let me tell you, FTA, whatever we have, FTA will come only after 1 year or completion of the clearances from the Parliament of EU and the Indian Parliament. So, you can understand, it will take some time. It's not that fast. Every FTA has its own digestion period. It's roughly around about 1 year, 2 years. So, based on the FTA, Supriya Lifescience doesn't do business, let me tell you because pharma is a different area. It has nothing to do with FTA.

Moderator: The next question is from the line of Nishita from Sapphire Capital.

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Nishita : So, I just had a follow-up question on the previous participant. You mentioned that you'll still be able to achieve the 20% annual revenue growth for FY 26. So, to do that, we will need INR284 crores of revenue in Q4 FY 26. So, are we confident that we have that? And you mentioned that we have a good visibility in order book terms. So, if you can quantify the order book, that would be great.

Satish Wagh: Madam, we are confident. .

Nishita : Sir, order book, if you can quantify the order book.

Satish Wagh: See as far as manufacturing is concerned and the industry for last 40 years, we are very well confident that we will achieve.

Saloni Wagh: So, we will not be in a position to quantify our order book, but we would confirm that we have firm visibility as to how we'll be able to achieve this target. So, we are confident, like our

Chairman said, we are still confident that we'll be able to achieve our revenue guidance.

Nishita : Okay. Understood. And my next question is, you mentioned that we can get to INR1,000 crores revenue in FY 27. So, what would be the growth drivers for us to reach that INR1,000 crores?

Saloni Wagh: So, a couple of growth drivers that will contribute. The first one would be the scale -up of our existing product basket in regulated markets because we are registering a lot of CEPs in USDMF for our existing portfolio as well. The second would be the new launch of our products. Every year, we intend to introduce at least 3 to 4 new products into our portfolio. And if you look at the first 3 quarters also, we have successfully introduced about 3 new products in the portfolio. So that, I think, would be the second area of growth for us.

And the third area of growth would be our new facility in Ambarnath. So, we have newly launched our finished formulation facility in contract manufacturing in Ambarnath. We expect to commission this facility in quarter 4 of this year. So, I think revenue contribution from that facility should also start in the next year. So, I think these are the 3 main areas where we can expect growth coming in.

Nishita : And if you could just reiterate the capex numbers. I missed that part in the opening remarks.

Krishna Raghunathan: For 9 MFY26, the capex was around INR71 crores.

Nishita : And with Ambarnath facility, what was the total capex for this?

Krishna Raghunathan: Ambarnath would be somewhere in the range of INR140 crore

es to INR160 crores. I think, once

we do the final capitalization, we will be able to give the final numbers. Most probably by Q4, we will be able to give that.

Nishita : And do we have some visibility on how much revenue can we generate from the Ambarnath facility?

Krishna Raghunathan: It will be easily 2.5x of the capital value.

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Nishita : Okay. So, the answer you are expecting is 2.5 x?

Krishna Raghunathan : Yes. Yes.

Moderator: The next question is from the line of Nirali Shah from Ashika Stock Services Limited.

Nirali Shah: My first question is on the DSM project. Non -pharma volumes have started while the pharma qualification is still underway. So, should we expect pharma applications to become the dominant revenue contributor during FY 27? Or is that more likely a FY 27 kind of a transition?

Saloni Wagh: So, we have actually successfully completed our pharma validation last month. So, some actually commercial volume of pharma will start as soon as quarter 4 of this financial year itself. But if you're looking at a meaningful contribution because in the past, we have said that DSM project at a mature stage would contribute about INR60 crores of revenue. For that significant contribution to come in, it would be FY 27. But some small volumes, they have already started taking for seeding of their pharma customers.

Nirali Shah: So, I mean the first half of '27 or more towards second half of '27?

Saloni Wagh: I would say second half of '27.

Nirali Shah: Okay. And my second one is on the capex trends. So, in FY 26 we did elevated capex. Should we think FY 27 capex to be reverting towards the maintenance level of say INR40 crores to INR50 crores. Precisely for the FY 9 growth road map that we are looking forward to, would it include a step up towards INR80 crores, INR90 crores, INR100 crores over the next 12 to 18 months?

Krishna Raghunathan: See, what we are thinking is, yes, of course, there will be maintenance capex, but I think we also need to do some ground -breaking for Patalganga. I think that is going to be there. I think that will have another INR40 crores, INR50 crores to start with in the coming year, because if we look at FY 29's viewpoint, we might need at least 1 facility, either a formulation or API facility from Patalganga. That we will take a call.

We will start with the utilities block, the ground -breaking on the utilities block first. And once we know what sort of a demand, we are getting either on the Ambarnath site or the pressure from Lote. So, based on that, we will ensure that we will have an API or formulation plant coming out first from Patalganga. So that would be the plan of action at this stage.

Nirali Shah: Got it. Sir, just lastly on the P&L perspective, roughly how many quarters for the first commercial dispatch should Ambarnath turn EBITDA positive at a precise level?

Krishna Raghunathan: We will have it a small revenue coming in at Q4 itself and meaningful revenues to come from next financial year.

Nirali Shah: Sir, EBITDA positive?

Krishna Raghunathan: It might not be immediately EBITDA positive. EBITDA positive, we might have to say somewhere around Q3 of FY 27. I think that is something which we are looking at, at this stage.

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Moderator: The next question is from the line of Shyam Sampat from MSA Capital Partners.

Shyam Sampat: I wanted to ask on the ATS order book for FY 27. The MIP protects us, but are we seeing any risk of customers shifting to ATS -9 and bypassing the ban, like in the context of formulators giving supply security and locking in annual volume contracts? Are they doing that today? Or are they still keeping their options open? If you can confirm if you have successfully commercialized.

Saloni Wagh: So, regarding what? I was not able to hear you

ou clearly on the first part. Can you repeat your question?

Shyam Sampat: Yes. The ATS -8 order book for FY '27, I was saying that the MIP protects us, but are we seeing any risk of customers shifting to ATS -9 for bypassing the ban?

Saloni Wagh: So as of now, the MIP, what the government has done, frankly, for us, it's not of much use because it is only applicable for formulators who want to sell their product in the Indian market. Most of the people that we are talking to are selling their finished formulations in the export market as well as the API is done in the export market. So, for us, anyway, that is not of a very large value addition.

But, for us, what works is that we have a fully backward integrated process. And even at the current Chinese prices, we are able to compete, and we are able to get very good market traction from some of the large users. We are very confident because the trials are already done at the large end user side. So, with that being done and the quality getting approved, the order book what we have for FY 27, we are very confident that we'll be able to get a large chunk of that.

Shyam Sampat: Okay. So, by order book mean that do we have supply security with the customers locking in annual contracts with us or they're keeping their options open?

Saloni Wagh: So, we don't have firm annual contracts, but we already know what is the annual consumption of each and every end user. And most of them are in the signing stage where they are giving us volume commitment for the next year. So, we have identified that and work is in progress in that direction.

Shyam Sampat: Okay. And earlier last year, during the plant visit, we had also discussed about the ATS -3 to ATS -5 reaction at scale at the facility that we have. So, are we currently running this backward integration to feed our ATS -8 production?

Saloni Wagh: Yes. As far as R&D is concerned, we have a fully backward integrated process developed. And we have already identified where we will be doing the ATS -3 to ATS -5 conversion. So, I think commercially, that process should start maybe by next month itself.

Shyam Sampat: Okay. And for the ATS MIP that we have, how much is the domestic market adjusting to this new pricing? Because like are we seeing that the formulators have accepted the new import price levels of \$105 -plus?

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Saloni Wagh: So, not yet. I think there's still a lot of ambiguity in the end users for accepting this price. And I don't think it has come into full effect as of now. But for us, as a company, like I mentioned, the large users that we are targeting are mainly taking this product for export purpose. So that's not anyways our targeted market. And the targeted market what we have, we are very confident that we'll be able to start seeing the commercials right from next year.

Shyam Sampat: Okay. All right. And on the EU CGMP inspection at Ambarnath for December month, has the audit been completed?

Saloni Wagh: No. We were following up with the EU authority for the audit date. We are fully ready, and we have been following up. We are expecting now that to happen in the next 3 to 4 months because they gave us the e-mail saying that because of low manpower, they were not able to give us immediate date, but we can expect the same happening in the next 3 to 4 months. So, I guess by quarter 1 of next financial year, we should be through with the EU audit.

Shyam Sampat: Okay. All right. And on the core portfolio with the Riboflavin production, now that it's moved to the new dedicated block, we have more freed up capacity in the legacy blocks of ABCD. So how are you planning to utilize this capacity for FY 27?

Saloni Wagh: So, Riboflavin was always in a dedicated block because it's a yellow product and most of our other products are white in colour. So, it required dedication from day 1. So,

it already had a

dedicated block, but the capacity of that block was much smaller. So now it has moved into a new block where we will be running the DSM as well as our regular campaigns parallelly.

Previous to that, we were running them alternatively, because of which we were not able to cater

to the complete demand of the customer. But with that moving into the new block, now we can run both campaigns parallelly. Now this block, once it is completely freed up, we still believe it would take about 6 to 7 months for us to completely free up this block because there are a lot of regulatory implications as well. We have a CEP for this product. But once it is completely freed up in the next 6 to 7 months, it would be utilized for scale up of some of the new products.

Shyam Sampat: Okay. What products are we looking at?

Saloni Wagh: No. It will be from our existing portfolio, but some of the new launches what we are planning to do, maybe we'll be allocating that capacity to some of the new molecules.

Shyam Sampat: Like ADHD and those products?

Saloni Wagh: Yes. Like ADHD, we do have anesthetic products coming up. We do have contrast media products coming up. So, for some of these products, that block would be utilized.

Shyam Sampat: Okay. All right. And in Europe, we are seeing that the growth in Europe was slower. And I just wanted to understand what was the reason because we see the backward integrated number of products that we have, they have gone up from 18 to 20, but the absolute revenues have also come down this quarter. So just wanted to understand on both these points, what are the factors at play?

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Saloni Wagh: We haven't seen any dip in Europe. The slight minor dip that you see is only on account of the shipments not going post 15th of December because most of Europe was shut for New Year's and Christmas holidays. So as such, there is no loss of business. Everything that we were not able to ship in that last 15 days of December, you would be able to see in the last quarter. So as such, we are not seeing any decline in the business in Europe market.

Shyam Sampat: Okay. And what about the backward integrated products part? We have gone up, but is it like the same factor?

Saloni Wagh: Yes. So, we have, today, almost 74% of the total revenue or the total products that we do are fully backward integrated. And that number will go up as soon as some of the new product commercial launches are completed, that number would definitely go up in the, I would say, between 80% to 82%, that should go up pretty quick.

Moderator: The next question is from the line of Nikhil Upadhyay from SiMPL.

Nikhil Upadhyay: Just two questions. One is on the formulation CMO which we were doing, when do you see the commercialization to begin, and where are we in terms of the validation and all. That is one.

And secondly, like you mentioned, we have launched three products this year. And we had mentioned that with the R&D facility ready, our pace of new product launches should increase.

In next 2 to 3 years, these new products should contribute to what, like 10%, 15%? What's your sense of what would be their revenue contribution?

Saloni Wagh: So, to answer to your first question on Ambernath, the facility, we should see commercial revenues from quarter 4 of this financial year. But like my CFO explained earlier, for its full impact to come in, it would only be the next financial year. But some revenue, you can see from quarter 4 itself. Now the second part of your question?

Nikhil Upadhyay: New product contribution.

Saloni Wagh: So, this year, we have successfully launched about 3 products in the first 3 quarters, and we are expecting to launch our post contrast media product in quarter 4. We expect the same trend to continue. We don't want to introduce 8, 9, 10 products because R & D, we still are f

ocusing on

new molecules as well as contract manufacturing opportunities.

I think 3 to 4 products is what we are targeting for the next 2 to 3 years also. In the next 3 to 4 years, new product contribution would be about 10%. That is what I see because for any new product also, it takes about 2 to 3 years to scale up in regulated market. So, 10% is what we are targeting in the next 2 to 3 years.

Nikhil Upadhyay: Okay. And last question. See, we had a target that CDMO/CMO should contribute 20% of our revenue. And I think we've been discussing that we've been talking and there have been inquiry levels. How confident do you see of reaching that 20% contribution from CDMO/CMO pipeline? Is the pipeline strong enough? Or any sense you are getting?

Saloni Wagh: So, one correction is that we have said that 20% would be a combination of new products plus CMO/CDMO. It's not just CMO that will contribute 20%. So, a combination of the new

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products, what we are launching plus CMO/CDMO would be about 20% in the next two years. And we are very confident because the CMO major business would come in from the Ambernath

facility on finished formulation. And we already have a lot of visibility on some of the first phase launches, which are the liquid anaesthetics. So, we are very confident we'll be able to get that kind of revenue.

Satish Wagh: Sir, I just want to say something on this. Most people have not understood the business of Supriya. See, we are confident to have the product from China. We don't fight in India at all. Now suppose anesthetic product has a market of \$2.5 billion. And there are only 3 plants in China, which are non-GMP plants. Do you think that we will not get the opportunity because we are EU GMP, we are U.S. FDA. So, if you are a customer, you will definitely switch over immediately to a regulatory site or you continue with China on price.

You must understand, this is the revenue pattern because we don't do the products where we keep on fighting with Indian manufacturers. We don't like that at all. We always feel good to have the products where China dominance is there, and we try to take the business from China. And that too also from backward integration, further, we do forward integration also. So, in anesthetic, we are doing the same thing.

Moderator: The next question is from the line of Nirmam from Unique PMS.

Nirmam: So, on the regulatory filings, we were targeting to file Sevoflurane and CVS products, with the DMF in Q3. So, have we filed so?

Saloni Wagh: Yes, we have. We have successfully filed for USDMF as well as CEP.

Nirmam: And secondly, again, on the CMO part of our business. So, we were expecting 2, 3 more products. So, any update on that?

Saloni Wagh: So, no. Mainly like I said before also, on the CMO front, the major contributor is going to be on the finished formulation side from Ambernath, and this site will be commissioned in quarter 4. We were expecting the EU audit to happen in quarter 3, like I said before, but unfortunately, because of manpower limitations on their end, they were not able to allocate the dates to us. I think for us, regulatory approval for Ambernath site is very, very important so that we start gaining the traction of volume in regulated market. And until and unless that does not happen, revenues will not come. So, whatever CMO revenue we are expecting would only come into full effect from FY 27.

Nirmam: Okay. And the FDA audit will be post that, right?

Saloni Wagh: For the Ambernath facility, yes. I think the first we are targeting is the EU audit because for most products, what we are launching, the larger market is in Europe. Once the audit is complete, we will then target for the USFDA audit for Ambernath facility.

Moderator: The next question is from the line of Karan from Invexa Capital.

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Karan: So, my question was largely on the GLP side. So, we were contemplating to enter into the fill/finish side of the GLP. So where are we in that business or on that plan?

Saloni Wagh: Yes. So, like I said, this is going to come from our finished formulation facility in Ambernath. We have not developed the API in the Lote side, but our main focus is on the finished formulation on the injectable side as well as on the tablet side from Ambernath. I think in terms of development, we have already completed that validation batches are in progress for the injection as we speak.

And once the approvals for the facility come in, the regulatory approval, we can start seeing some volume traction in some of the markets where the product is not under patent. So, we are targeting markets like Russia, Middle East, where we are seeing some volume, and we are seeing a lot of inquiries from these markets.

Karan: Okay. And secondly, on the cancer detection kit, the product which we had. So, where are we in terms of that?

Saloni Wagh: It's a novel product, the innovator, the lady who owns the patent, she's still in discussion for the drug approval because it part of it is a drug and part of it is a medical equipment. So, there is an approval which needs to go through. So, she's still in conversation with the authority for the approval. I think once the approval is done, then we will start looking at the commercial viability of the product.

Satish Wagh: And there also the same situation like EU, there is no new recruitments. Yes, they are not doing anything.

Karan: And lastly, on the CDMO/CMO the project pipeline. So, beyond what we have discussed in the earlier calls, where are we in terms of new contracts?

Saloni Wagh: So, we do have a couple of large contracts under discussion. I'm very hopeful that in the coming few quarters, we'll be able to announce some. We are still in the term sheet signing kind of a stage.

Moderator: The next question is from the line of Dheeraj Kumar Reddy from AlphaSqr.

Dheeraj Kumar Reddy: I just wanted to understand if this quarter was in line with the expectations? Or is there any

spillover where the customer is actually taking the inventory in the fourth quarter?

Saloni Wagh: No. Like I said before also, the quarter is not in line with our expectation, mainly because of the last 15, 20 days of December not being operational and a lot of customers not being available to clear shipments on their side. So, whatever last 10, 15 days, we were not able to ship, all that will come as a spillover in quarter.

Dheeraj Kumar Reddy : Understood. Understood That's helpful, ma'am. And just wanted to understand on the CDMO side. I understand the CMO opportunities which we are working on. But on the CDMO side, what is the work currently going on? Because I understand that there is a lot of gestation period where we have to incubate like an R&D team, it takes like 3 to 4 years what is the thought

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process there? I mean, are we going to enter into like Phase II, Phase III kind of R&D and work with like some big pharma and then move into like commercial stage? Or how does it exactly work?

Saloni Wagh: So, like you rightly said, the gestation period for CDMO activities is pretty long. We have actually just successfully set up and brought into operation our Ambernath R&D. So, the Ambernath R&D is working on two fronts. One is the finished formulations R&D as well as the API R&D. We just completed the full setup just a couple of months back. And we are now targeting specific customers, specific markets where we would want to be in. Innovator tie-up is definitely one area which we have not been in, in the past, but something that we intend to do in the near future.

So, a lot of effort has been going on in that direction. BD teams are f

ocusing on that. And even

at the senior management level, we have a technical lead who is focusing on these kind of opportunities. So, hopefully, something will come up in the next couple of quarters. But as of now, on the CDMO front, we have nothing specific in our hand. Most opportunities what we have are more on the contract manufacturing side.

Dheeraj Kumar Reddy : Understood. But any thought process around which are the areas we'll be working on? Is it peptides? So just some thought process there, if you can share like it would be helpful?

Saloni Wagh: So, I think a firm strategy on this, we will be only able to sort of put out in the public domain in the coming few quarters. As of now, because of the opportunities in hand, our major focus has been on contract manufacturing because that is a low-hanging fruit for us, and that can give us commercial benefits immediately. So, a lot of the strategy and senior management bandwidth has been focused on that. But in the next couple of quarters, once we have some kind of a strategy on CDMO, I think I'll be in a better position to share it with you.

Dheeraj Kumar Reddy : . My last question is, ma'am I saw in one of the interviews with ET Now, I think you said, I think we are in a much growth phase where you have said, I think in the next 5 years, we should be seeing like very good growth momentum. Do you think, is this like, northwards of 20%, 25% or do you think somewhere at 20%? I just wanted to understand, I know like exact outlook is not required, but I just wanted to understand the management's optimism in terms of how they can execute this?

Saloni Wagh: See, with the current product pipeline that we have, what we are targeting with the amount of capex that we are putting in for capacity enhancement as well as setting up new R&D, definitely, there is a lot of potential for the growth to be upwards of 20%. But having said that, all the products have to go through the regulatory approval. So, we have to be a bit conservative on the regulatory side. We are very confident that 20% growth is something that we'll be able to achieve. And if all the products as per the management's expectation are able to achieve their full potential, the growth can be even higher than that.

Moderator: The next question is from the line of Aditya Pal from MSA Capital Partners.

Aditya Pal: Just had a couple of questions. One was on ATS. Sir, what I was looking at is that the market size of ATS is close to 600 tons, that is India imports close to 600 tons of ATS -8. And there's no

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sizable player other than Supriya from what I've understood. So, is it fair to say that we can capture this large market quite easily?

Saloni Wagh: Yes. Definitely, we are one of the largest players. And in terms of the capacity also that we have set up plus the level of backward integration that we have for this product, we are setting up ourselves for becoming one of the leaders in this product.

Satish Wagh: We are not at all interested in taking the entire share. There should be a healthy competency. There should be, because what happens ma'am. Everybody is not looking for a quality and

looking for a continuous supply. People are taking us for a ride for price. So, when the price comes, we drop.

So, we have decided that we will have only 250 to 300 tons where we will cater the customers who are choosy, to have a quality material from the USFDA and EU plant. And there will be a competency. And that competition, let them continue with that.

Aditya Pal: No, no, this actually makes a lot of sense, because you're targeting that correct profit pool.

Saloni Wagh: Correct.

Aditya Pal: So Saloni, is it fair to say this 250 to 300 tons can easily be realized in FY 27 and -- from Q4 FY '26 to Q4 FY '27, can we see that the entire 300 tons of revenue to be realized in our books?

Saloni Wagh: Yes. I think with the current order book that we have and the strategy like our Chairman explained, this 250 to 300 tons, we'll be able to fully get in FY 27.

Aditya Pal : Understood. Just last point, when you were talking of INR1,000 crores for the last couple of quarters, is the ATS -8 an upside surprise for us? Have we modeled that into INR1,000 crores?

Saloni Wagh: So, some part of it is already modeled into our INR1,000 crores because we had considered some part of the revenue coming in from new products. Of course, the full impact of it, if the product volumes were to be at that 250 tons, 300 tons, then that full impact of it is not modeled in our INR1,000 crores. But some part of it, yes, we are already considered.

Aditya Pal : So, it is fair for me to say that INR1,000 crores plus the optionality that we have with the Ambernath coming in plus ATS -8. That is something that can surprise us on the upside.

Saloni Wagh: So, what I would say is that, in the INR1,000 crores, like I said before also, we had built in some part of CMO and new products. So, some part of Ambernath as well as some part of the new products was already considered in that INR1,000 crores. Looking at the large potential of the new products, what we have launched in this financial year, yes, there is always a possibility of an upside. But going back to regulatory approvals, as soon as the regulatory approvals are in our hand, we 'll be able to confidently guide on how significant that upside could be.

Aditya Pal : Understood. If I may just ask one last question. This is a bit on the strategy aspect. So, we are very strong in chemistry. Are we thinking of talking to larger pharma players outside who are developing the drug, but more in terms of getting into the either KSM supply chain or advanced intermediate supply chain and not really trying to jump into an API supply chain .

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Saloni Wagh: So yes, we are actually after the DSM -Firmenich partnership, it has sort of opened up doors for us to talk to a lot of the larger companies because if you have established confidence in terms of quality and regulatory with one large pharma, it will automatically open up doors and opportunities with the other companies. So definitely, we are talking to a lot of large companies where we want to be in a partnership with them for either advanced intermediates or for the API supply. Hopefully 1 or 2, we should be able to announce soon.

Moderator: Ladies and gentlemen, due to paucity of time, we'll take that as the last question for today. On behalf of Supriya Lifescience Limited, that concludes this conference. Thank you all for joining us today, and you may now disconnect your lines.

(This document was edited for readability purpose)

Call: May 2026

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GOVT. RECOGNISED EXPORT HOUSE

June 02, 2026

To,

Dear Sir /Madam,

Subject: Transcript of the Earnings Call for the quarter and year ended March 31, 202 6.

Further to our Letter s dated May 23, 2026, May 27, 202 6 and May 28, 202 6, we would like to inform you that the Transcript of the Earnings Call held on May 28, 202 6 with respect to Audited Financial Results of the Company for the quarter and year ended March 31, 202 6 is available on the Company's website at:
<https://www.supriyalifescience.com/ir -financial.php> .

Kindly take the information on record.

Thanking you,

For Supriya Lifescience L imited

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Company Secretary & Compliance Officer National Stock Exchange of India L imited
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Bandra (E), Mumbai - 400 051
NSE Symbol: SUPRIYA BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code: 543434
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"Supriya Lifescience Limited
Q4 FY26 Earnings Conference Call "
May 28 , 202 6

MANAGEMENT : DR. SATISH WAGH – EXECUTIVE CHAIRMAN AND
WHOLE -TIME DIRECTOR – SUPRIYA LIFESCIENCE
LIMITED

DR. SALONI WAGH – MANAGING DIRECTOR – SUPRIYA
LIFESCIENCE LIMITED
MR. KRISHNA RAGHUNATHAN – CHIEF FINANCIAL
OFFICER – SUPRIYA LIFESCIENCE LIMITED

MODERATOR : MS. SNEHA SALIAN – EY INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day, and welcome to the Supriya Lifescience Limited Q4 FY26 Earnings Conference Call. As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touch -tone telephone. Please note that this conference is being recorded. I will now hand the conference over to Ms. Sneha Salian from EY IR for opening remarks. Thank you, and over to you.

Sneha Salian : Thank you, Ryan. A warm welcome to all the participants to the Supriya Lifescience Limited Q4 FY26 Earnings Conference Call. The investor presentation and the financial results are available on the company website and on the stock exchanges.

Please note anything said on this call, which reflects our outlook for the future, or which can be construed as a forward -looking statement must be viewed in conjunction with the risks that the company faces. This conference call is being recorded and the transcript along with the audio of the same will be made available on the website of the company as well as on the exchanges.

Please also note that the audio of the conference call is the copyright material of Supriya Lifescience Limited and it cannot be copied, rebroadcasted and/or attributed in the press or media without specific and written consent of the company.

To give you a brief business update and to take you through the results from the management team, we have Dr. Satish Wagh, Executive Chairman and Whole -Time Director; Dr. Saloni Wagh, Managing Director; and Mr. Krishna Raghunathan, Chief Financial Officer.

I would now request Dr. Satish Wagh to provide you with a brief update on the quarter. Over to you, sir.

Satish Wagh: Good morning, and a warm welcome to all the participants. Thank you for joining us as we discuss the Q4 FY26 performance of Supriya Lifescience Limited. I hope you have had the opportunity to review our results and investor presentation, both of which are available on the exchange and the company website.

Before we get into the performance details, I'm pleased to announce a significant regulatory milestone for Supriya Lifescience. Our Lote facility had received the USFDA 's Establishment Inspection Report , EIR, with a Voluntary Action Indicated classification following the surprise inspection conducted in February 2026.

The inspection resulted in only one minor observation, which was proactively addressed underscoring the strength and our compliance culture, robust quality system and adherence to cGMP standards. This achievement reinforces our creditability with global regulators and marks an important step in sustaining our growth in regulated markets.

On that note, let me talk you through our full year performance. I am glad to share another achievement. We achieved our FY '26 revenue target. Despite the challenging quarter, we remain Supriya Lifescience Limited

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focused on executing our strategic priorities and are delighted to report our highest ever revenue and EBITDA performance for the year with a record quarterly revenue achieved in Q4 FY26 of INR277 crores.

During Q4, industry -wide headwinds arose from geopolitical challenges, including supply chain disruptions, elevated crude and solvent prices and intermittent shortages, which impacted our Q4 FY 26 revenue by INR10 crores. However, despite that, we have delivered resilient performance.

Financial year '26 revenue grew to 18.9% year -on-year to INR828 crores, in line with our guided growth of ~20%, while EBITDA stood at INR294 crores with a robust margin of 35.5%. This performance was driven by the favorable product mix expanding global demand and disciplined cost management.

Export segment, a key growth driver contributing 82% of the financial year revenues. Europe delivered healthy growth with a 40% share during the year. Backward integration initiatives, which also progressed in financial year '26 at 76%, strengthening cost efficiency and supporting sustainable growth.

Coming to our new product launches. For financial year '26, we introduced a key cardiovascular product during Q3 '26, which began contributing to Q4 '26. This product has started the scale and expected to pick up higher momentum going forward. We also launched our ADHD product, which has seen strong demand for LATAM and Europe, with a further growth anticipated over the coming quarters.

Additionally, our liquid anaesthetic product was commercialized during the year and has been supported by steady month supplies. Finally, on the contrast media, while developing the product, we identified the opportunities for further enhancement which can enhance our economics on the product. Hence, we have decided to continue with the development. It is expected to be launching H2 financial year '27.

For financial year '27, we plan to further strengthen our anesthetics and ADHD portfolios with ~2 new launch in each segment aimed at enhancing pipeline depth and supporting broader market penetration, along with the sustained growth. We will provide more details about these products in coming quarters.

We are also glad to share that we have secured all clearances for the Patalganga land, with phased development to begin with Phase 1 groundbreaking in financial year '27. We iterate our guidance of approximately 20% annual growth revenue and EBITDA margin, 33% to 35%.

Our trajectory towards the INR1,000 crore revenue milestone by financial year '27 remains firmly on track, underpinned by a robust pipeline. Planned launches of 3 to 4 products annually and sustained demand across core therapeutic segments, including anesthetics, antibiotics, anti-anxiety, vitamins and ADHD.

However, the growth won't be linear across the quarter as we have scheduled our annual maintenance shutdown in August for our older blocks A&D. Nevertheless, we remain highly

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confident and well positioned to achieve the INR1,000 crore revenue target by financial year '27 as demonstrated in financial year '26.

Going forward, our focus remains on expanding the regulated market; while strengthening our competitive edge through backward integration, regulatory expertise and broad portfolio supported by growing customer traction and disciplined execution, we are well positioned to capture long-term growth opportunities and deliver consistent value.

With that, I'm now inviting our CFO, Mr. Krishna Raghunathan, to take you through the detailed financial performance of Q4 and financial year '26. Thank you.

Krishna Raghunathan: Thank you, sir. Good morning, everyone. Let me take you all through the operational highlights of the quarter and year-end, following which we will open the floor for question and answers.

For Q4 FY26, the company reported revenue from operations of INR277 crores as against INR184 crores in Q4 FY25, a growth of 50% year-on-year. EBITDA for the quarter stood at INR98 crores as against INR68 crores in Q4 FY25, a growth of 44% year-on-year and EBITDA margin stood at 35.5% for Q4 FY26. PAT stood at INR74 crores as against INR50 crores in Q4 FY25. PAT margin stood at 26.8% for Q4 FY26.

For FY26, revenue stood at INR828 crores as against INR696 crores in FY25, a growth of 19% year-on-year, broadly in line of our guided numbers. EBITDA stood at INR294 crores as against INR261 crores in FY25, a growth of 13% year-on-year. EBITDA margins were at 35.5% for FY26, surpassing our guided range of 33% to 35%. PAT stood at INR209 crores. PAT margins were at 25.3% for FY26.

Our capex for FY26 at INR152 crores, largely driven by

spend on Ambernath facility along with

maintenance capex and smaller projects, including the Ribo Block and formulation plant requirements.

On the Patalganga land, as our Chairman has updated, we have received all necessary clearances and will be developing the facility in phases. The project will include two API/advanced intermediate blocks and two formulation blocks. The total capex earmarked for this facility is around INR200 crores for Phase 1.

On borrowings, we would like to report that for the full year, we have not utilized any working capital limits, except for letters of credits and bank guarantees.

With that, we can open the floor for question and answers. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. We take the first question from the line of Rachna Kukreja from SIMPL. Please go ahead.

Rachna Kukreja: Good morning. Thank you for the opportunity and congrats team on a good set of numbers. I

have a few questions. For FY26, top therapeutic areas have contributed around 91% to our revenues. So this means that other therapeutic areas have contributed around 9% in FY26 versus 7%. That comes to around INR75 crores in FY26 versus INR50 crores in FY25. So if you could

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please provide some color or list down on which are the other therapies contributed here? And is this likely a one -time event?

Saloni Wagh: So we have actively introduced a lot of products in the anesthetic therapeutic category last year. And we have also introduced in cardiovascular and other advanced intermediate , because the anesthetic portfolio now has 6, 7 products and they are our fast -growing products across regulated markets, you feel that they are the larger contributors.

Having said that, other than anesthesia, antihistamines are fairly stable. Vitamins, we have actually seen a very good growth because also the DSM volumes have now stabilized. And for a lot of other vitamins like B12 and all, we are getting good traction.

And other than this, the other therapies like anti -hypertensive are also seeing good traction. So it is not like that the larger contribution is coming from the top therapeutic categories or only a few selected products. The range in those products is also growing for us.

Rachna Kukreja : Second, a part from key therapeutic categories, other than mentioned in the presentation , and as you said, what would be other categories where we are seeing growth?

Saloni Wagh: So these are mainly smaller therapeutic categories like anti -allergic where we had some products, but as a strategy, we are not aggressively venturing into non -regulated market because we are a very margin -focused company. So our goal is always to tap more regulated markets. So their contribution will always remain to the lower end . But yes, anti -allergic are there, like I mentioned, antihypertensive is there, which is not shown in the presentation. So these are 2, 3 categories where we are seeing decent grow th. But as a strategy, we are only focusing more on the regulated markets.

Satish Wagh: See, I would like to add something on it. Ma'am, you should see first the portfolio of all the products. We are focused on China. So whatever products are not getting from India, those products are focused on the therapeutic category. So whatever products we add, they are having a future growth for the next 3 years, which we will visualize and we put. This is some information for your additional knowledge .

Rachna Kukreja : Second question is growth has been across markets, but overall, Asia and Europe have grown very strongly. So again, if you could provide some color on what has driven growth in these markets?

Saloni Wagh: So we have always maintained that regulated markets are our focus areas. And Europe has always been a large revenue contributor for us. The main growt

h in Europe has come because

we have actively got CEP approvals for two, three products. So there is some traction we are already noticing that the existing products where we already have CEP, we were able to acquire new customers. So that's one of the main reasons why the Europe market has grown.

In Asia, whenever we launch any new product, the first penetration happens in domestic market as well as the Asian market because the regulatory barrier for these markets is lower and they are semi -regulated. So all the new products that we launched, the 3 products last year, where we

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have seen good traction in Asia and semi -regulated markets. That's why the contribution of these 2 markets has grown in this year.

Moderator: We take the next question from the line of Sajal Kapoor from Antifragile Thinking. Please go ahead.

Sajal Kapoor: Yes. Thanks for the opportunity. I'm trying to understand the business over a medium - to long - term horizon. So my questions are probably a little different from what you normally get asked.

So two questions to begin with. Reflecting on the last decade, what problem is Supriya now capable of taking on that would have seemed out of reach perhaps 10 years ago? And how has your R&D approach had to evolve to make that possible? That's my first question.

Saloni Wagh: So the first thing is on the regulatory part of it. I think now we are more capable of handling regulatory expectations. And the best example for that is the USFDA approval that we got in the last quarter. It was a complete surprise inspection where the auditors just walked into our facility with no prior intimation. And we were able to clear that surprise audit of 7 days across 7 manufacturing blocks with only 1 minor observation.

So I think definitely because of the better infrastructure and the capacities that we have built in

the last 3, 4 years, regulatory has been a positive takeaway for us in that. And on the R&D, of course, the R&D approach has also changed for us in the last 5, 6 years.

Previously, the R&D was only focused on life cycle management. And the spend on R&D was also significantly low, but in the last 3 years, we have set up a new R&D facility at Lote, plus a new R&D facility at Ambernath. So our spend has also doubled.

And with now our R&D-focused approach, we have been able to successfully launch 3 to 4 new products every year. So I think these 2 things have definitely been very different from what we have seen in the last 1 decade.

Sajal Kapoor: Yes, that's helpful. And second is as the business continues to scale after expanding across products, capacities and geographies almost simultaneously, what becomes the dominant priority between capital allocation, managing complexity or improving utilization of current capex, growth capex like Ambernath and other newer sites. What is more important today?

Saloni Wagh: So I think today, the most important thing for us is further capacity building and now a lot of funds would be allocated towards that. Like our Chairman mentioned that we already got the clearances for Patalganga. And because we can see a very good growth in our existing set of products plus the new launches, which will come up in the next couple of quarters. We need to be prepared for when these products scale.

So a large portion of the capex would be put up for Patalganga to the tune of about INR200 crores in the next 2 years for further capacity building. Plus CMO, CDMO, we are seeing good traction. There are a lot of the larger companies want to tie up with us for a lot of APIs and basket kind of products. So we need to put up capacity for taking care of that growth as well. So I think a lot would be focused on capacity enhancement.

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Moderator: We take the next question from

the line of Sanjay Kumar from Ithought PMS. Please go ahead.

Sanjay Kumar: Thanks for the opportunity. So, first question on the cardiovascular product. I think we had previously indicated that we have 1,000-ton capacity, of which 300 tons you are in advanced discussions. So have we converted that to a final order? If yes, can these 300 tons be fully utilized in FY27? Also, can you talk about the regulatory aspects of this particular intermediate? Because if I'm right, I think there is a PLI for this product, which was won by another competitor.

Saloni Wagh: So we have seen very good scale-up of this advanced intermediate in quarter 4. Already, we have started seeing revenue contribution and the 300 metric ton, I think will come very close to that number in FY27, looking at the current order book that we have. So that product is scaling up really well.

From the regulatory perspective, we have not enrolled ourselves into any PLI scheme. And as a policy and our Chairman's thought process, we don't intend to do that. We are focusing more on getting the customer traction and getting the larger customers to qualify us and make us a part of their dossier, which has already started happening. So we have been able to lock in contracts with three, four very large users, who will take care of the 300 metric ton capacity.

Sanjay Kumar: And the cost for this will roughly be around \$100 per kg?

Saloni Wagh: So, any product-specific prices and costing cannot be discussed in this forum.

Sanjay Kumar: Okay. Second question on the anesthetic. Have we signed a CMO customer for the liquid anesthetic or the sevoflurane formulation? And what is the contract structure for this product?

And if you can talk about the capacity and the revenue potential in FY27?

Saloni Wagh: So we have 1,000 metric ton plus capacity, which is built in the current facility. And the CMO discussion is at an advanced stage, but we'll not be able to divulge any more information on that unless a firm term sheet is signed. So the revenue contribution and all we'll be able to tell only in the coming few quarters once everything is finalized.

Satish Wagh: I want to add one more piece. First thing, I think you people must understand we are China plus one. So if China is saving a product and India does not have any manufacturer, what do you think the product should be manufactured or product has a future? What is your suggestion on that?

Sanjay Kumar: Definitely, sir, there is a future we have.

Satish Wagh: So having an experience in the manufacturing facility for almost more than 47 years. So we do have an understanding that we will do the best. And China plus one we will fight continuously because we don't want to fight in India with other manufacturers. Otherwise, it will be EBITDA of 7% in the future. I'm sure you understand.

Sanjay Kumar: Definitely. Yes, sir. Got it.

Moderator: We take the next question from the line of Krishna Kansara from Molecule Ventures. Please go ahead.

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Krishna Kansara: So, firstly, congratulations on a good set of numbers. My first question is on the F block at our Lote Parshuram plant, which was mentioned in your presentation. So how much capacity are you planning to add with this new block? And what kind of capex are we envisaging for the same?

Saloni Wagh: So we are planning to add about 150 to 200 KL further the capacity and this will come up in the next 2 years' time. We are expecting about INR40 crores to INR50 crores of capex dedicated for the F block.

Krishna Kansara: And secondly, on the growth drivers. So we do our revenue to be INR80 crores in this quarter, which is a very impressive growth. So, my question is, by any chance, was there any contribution from the CDMO segment, because we were expecting some kind of revenue from our DSM contract in this quarter? Or was this entirely driven

by the API segment, given that we launched two new API s in the last quarter?

Saloni Wagh: So it's a combination of our new launches. Plus, of course, the DSM contract is now stabilized, and we are doing volumes of about 3 tons a month. So DS M actually has contributed to the tune of INR30 crores, INR35 crores in the last financial year. And the peak that we expect is about INR60 crores, which we'll be able to see in FY27.

So the growth is mainly coming from the DSM contract coming or reaching this stable condition, plus the new launches, the new product that we launched, the cardiovascular advanced intermediate as well as the anesthetic API, they have also contributed to the last quarter.

Plus, the growth in the existing basket is also there. So, all our existing APIs across different therapies, we are seeing good traction in regulated markets like Europe and LAT AM. So their demands have also gone up. So, I would say it's a combination of all three.

Moderator: We take the next question from the line of Abhishek from Padmaja Investments. Please go ahead.

Abhishek : My first question is regarding US A market. Like what are the constraints ? Like, why are we not able to scale despite having USFDA regulation and all? It's like 1% above market in the Q4 FY26 number, if you see. We are even filing DMS too . Like, where is the gap?

Saloni Wagh: So the current portfolio that we have, the larger market is in Europe and LATAM because most of the finished formulators are based across the geography. So the current portfolio inherently does not have a very large market in the U.S.

But some of the new products that we are launching, case in point, the anesthetic that we launched last year, plus the ADHD drug and some of the new products that we will launch in the next financial year, they will have a larger market in the U .S. So you will see in the next 3, 4 years, the exposure to U.S. market will grow. But having said that, Europe and LATAM would still be the larger market for us.

Abhishek: And second question is on the protein . Like, the advent of this weight loss drugs, protein consumption has significantly increased, right? So, like, where are we on this? Like, do we have

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any firm orders in place? Like, I do remember you saying that there are a few inquiries from Southeast Asian countries in the past con call . Like, can we expect a jump in FY27?

Saloni Wagh: No. So we have said this in the last couple of earnings calls as well that this particular technology is a very new technology in the protein market and especially for the Indian market, it's first of its kind. So a lot of research is happening with the la rger end users. They have already bought smaller quantity samples from us, and they are developing their products, the finish formulations with those samples.

So this will not be like an immediate turnaround for us. I think it would still take some time. I'm not seeing any large revenue that can come in FY27. But we will, of course, keep updating as and when we have some development on that.

Moderator: We take the next question from the line of Rupesh Tatiya from LongEquity Partners. Please go ahead.

Rupesh Tatiya : Thank you for the opportunity. My first question is, sir, on this cardiovascular intermediate. I mean you were saying that you have order book, which will utilize, let's say, 300 metric ton of capacity.

And then if I were to tie that back with your revenue growth guidance, where you're saying you will go from INR830 -odd crores to INR1,000 crores. But this single product itself will give us that kind of growth is my understanding. So are you expecting some degrowth in your core portfolio? I mean, the two things don't add up, just this one product and the revenue growth guidance.

Saloni Wagh: So the 300 metric ton what we indicated will not come fully in FY27. I said we

get to maximum

utilization in FY27, but the entire number to come will happen over the next 2 to 3 years' time.

So that's the reason why we are not guiding the full potential revenue in FY27 for that product.

And there is no degrowth in any of the therapeutic categories or our product basket. They are all growing, but because regulated markets have been a focused area for us regulatory approval takes time. So the growth will also come eventually. It will not come in 1 years' time, although there is potential for the product.

Rupesh Tatiya : So, 100, 150 metric ton, is that a fair number for the model?

Satish Wagh: Sir, in terms of quantity, we cannot discuss on this forum, please.

Rupesh Tatiya: And the second question is how do you see liquid anesthetic product ramp-up in FY27? And the linked question to that is, where are we on the European approval for the formulation facility? I thought we should have already had a visit by now, maybe some sort of approval, but the whole thing looks delayed.

Saloni Wagh: So no, we have not been able to get the audit dates from the auditors. But we have some indication from them that the audit would be scheduled in H2 of FY27. Before that, there was

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no availability of the auditors, but we are expecting it to happen in H2 FY27. And it's typically around October or November, the day we have earlier.

Rupesh Tatiya: So, without the approval, how do you see the ramp-up of liquid anesthetic products in FY27?

Saloni Wagh: So, in FY27, as far as the finished formulation liquid anesthetic ramp-up is there, we'll not see much revenue contribution. The liquid anesthetic contribution will only come from the API from the Lote side because it will take us 3 to 4 years to get the ramp-up in the finished formulation facility.

Satish Wagh: I will add some more things on this. See, for selling the product, you don't need a European agency to come here because we already have WHO and COPP in existence. For selling that product, currently, even in U.S., our (inaudible) (00:31:15), we have already filed the CEP. So selling is not a big issue because this is, again, China plus one.

Moderator: We take the next question from the line of Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri : So basically, Q4, we've done a really great growth. And usually, we don't have that much seasonality in Q4, Q3. So, can we expect Q4 run rate of INR270 crores to be maintained over the period of time? So, what do you feel about that?

Saloni Wagh: So no, I mean we'll not be able to give any quarter-on-quarter guidance of the run rate. Like we have said that in FY27, we'll be able to achieve the INR1,000 crores. So, all quarters might not be linear growth, because like our Chairman said already that in the quarter 2, we are expecting some shutdown and some refurbishing activities. So that run rate maintenance will not happen. But we'll be able to achieve the INR1,000 crore s guidance that we have given.

Darshil Jhaveri: And with capacity utilization, I think we are around 76%. So, by this year end, we will be completely utilized, right? And the new facilities that we are going to commensurate that would be in FY28, right? Is that a fair understanding what would be the potential from them if you would quantify in FY28?

Saloni Wagh: So, we are doing a lot of debottlenecking activities, and that's one of the reasons why we are taking the shutdown in quarter 2. So, all the debottlenecking across different blocks, plus we are also planning to put up F block, and there is an extension that will come to the D block.

So, all these put together will give us an additional capacity of 150 to 200 KL, which will be utilized over the period of 2 to 3 years. So, we'll not be able to quantify at this point how much of an additional revenue that would give, but we are building t

hat capacity to take care of the

growth that we are seeing in the existing API s plus the new launch products.

Darshil Jhaveri: And just last question from my end. It's a bookkeeping question. Q4 for the tax rate was relatively low. So, what is our effective tax rate for like the next year? Could we quantify that?

Krishna Raghunathan: I think the average will be somewhere between 24 to 25.17 %, that would be the rate you will be landing to. And Q4 is a basically full year minus 3 quarters, that is how the Q4 numbers are derived. So, for full year, you can expect somewhere around say 25.17 %.

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Moderator: We take the next question from the line of Aditya pal from MSA Capital Partners.

Aditya : Great set of performance. Q4 was really, really good. And as you had commented last quarter that this quarter is really going to be good as per your commentary it came in. Just wanted to understand on the gross margins. So, we saw a bit of hit on gross margin. Is it largely because

of the scale-up of cardiovascular intermediate? Or is it because of some raw material prices that we are seeing?

Saloni Wagh: So, as you know, that we never guide on gross margin. So, I'll not be able to comment anything.

Aditya: I just want your commentary that what happened this quarter versus the 3 quarters that went into FY26? No guidance, just commentary.

Saloni Wagh: So no, I mean, we don't talk on gross margins, we'll not be able to speak on gross margins. If you have a question around the EBITDA margin, yes, there I can explain a little bit that the expenses of Ambernath have started for us, which is a very large number and the revenue from Ambernath has still not started.

So that is one of the reasons why although the EBITDA has grown in absolute terms in terms of percentage, it looks slightly lower than the last financial year only because the expense part of Ambernath has now started.

Aditya: And when are we expecting on e, the Riboflavin of DSM contract, to start to scale up because that is largely Lote Parshuram event and the other is Ambernath. When can Ambernath become a revenue event for us?

Saloni Wagh: The DSM I already commented just a while back that already we have done around INR30 crores, INR35 crores of revenue last year from DSM and INR60 crores is the peak. I think we'll come very close to that number in FY27. Ambernath, we have started some revenue generation but very small. I think the full effect of Ambernath revenue contribution will still take about 2 to 3 years. But in FY27, you can see some revenue contribution from Ambernath mainly coming in from the semi-regulated markets.

Moderator: We take the next question from the line of Kiran from Table Tree Capital.

Kiran : First question, just from a regulatory clarity perspective in Ambernath usage, so we have USFDA, EIR and EU-GMP for the Lote facility. Ambernath EU is scheduled in H2 FY27 and USFDA, we don't know yet. Is that the right understanding? And when will Ambernath start contributing to revenues? Is it FY28?

Saloni Wagh: So, in FY27, Ambernath will contribute to revenue. But the full effect of Ambernath will at least take 3 to 4 years. As far as the FDA is concerned, yes, like rightly said, the EU audit is scheduled for H2 FY27, but we still have not got the dates for USFDA audit. We are following up with them. However, due to unavailability of auditors, we are not able to get a data as of now. But the Lote facility has all the approvals, including USFDA, which has happened in the last quarter.

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Kiran: The second question , we were supposed to launch a media product in Q4. What is the status and scale-up? And two, on our main products, are we seeing any pricing pressures in the European or the U.S. market? If you could just answer these two, that would be great.

Sa

Ioni Wagh: So, like our Chairman explained in his opening speech in contrast media, we have identified that the technology needs to be further strengthened, and we see an opportunity for that because we are a very margin-focused company. We need to get the best process in line and the most cost-efficient one. So , a lot of work is happening on that in the R&D. We are expecting to now launch this product in H2 FY27 in the coming few quarters as soon as we have some clarity, we can let you know the launch date. But as of now, it's scheduled to be in H2 FY27.

Kiran: Got it. Pricing pressure on the main product?

Saloni Wagh: Pricing pressure, as of now, we are not seeing much because we have a very agile way of working and a lot of the price increases that we were seeing in Solvents because of the increase in the crude prices, we were able to pass them on to our customers, because we work with customers on a purchase order basis. So whatever little increase we have seen in raw material prices, we have been able to pass on to the customers, and they have also accepted that. So, we are not seeing much pressure in terms of pricing on the final API.

Moderator: We take the next question from the line of Dheeraj Kumar Reddy from Alpha Square. Please go ahead.

Dheeraj Kumar Reddy : The first one being like in the previous participant's question, you mentioned about your R&D budgets being like almost doubled or like even they went beyond over the last decade. What are the areas currently we are investing into? And also, maybe if you can touch upon like beyond FY28, what are the kind of growth areas today that the company is focusing on? I know that like for the next 2 years, I think the growth is almost sorted, but what is beyond FY28 or FY29?

Saloni Wagh: So in regard to R&D, we have actually set up 2 new R&D labs. One we set up at Lote about 2 years back, and we have also set up one in Ambernath last year. The main focus of R&D is in 3 different areas. One is addition of new APIs to the portfolio every year from newer therapies. And we are always focusing on like our Chairman said niche molecules where we are able to bank on the China plus one strategy.

Other than this, R&D is also focusing on CMO, CDMO CRO areas, where we are looking at

larger tie-ups with the larger multinationals or innovators. So that's one area that we are working on. And then there is also formulations R&D at Ambernath, which is focusing on finished formulations. Mainly, we are focusing again there on niche areas like liquid and aesthetics and injectables. So, these are the 3 different areas where R&D is currently focusing and that's why the R&D budget has also doubled.

We expect this to grow in the next couple of years with increasing investments in R&D across these 3 different areas. As far as the growth in the next 3 to 4 years is concerned, we have already said that we'll grow 20% plus year-on-year. So, I think that kind of trend, we would continue.

When Ambernath is fully commercialized and with Patalganga coming in, the growth can be accelerated, but that we'll be able to comment in the coming few quarters.

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Dheeraj Kumar Reddy: Now my next question is if everything comes online, Ambernath and Patalganga, what is the maximum potential for the company? I mean in terms of revenue and in terms of like overall margin structures because obviously, by then our expenses also would have been much more, there could be some operating leverage also which will kick in. Do you see like this 35%, 36% today, what we are doing can actually go to 38%, 39% because cost being like much more accretive to the overall business?

Saloni Wagh: Like I said, the larger guidance on FY28 and the next couple of years, we'll only be able to give in the coming few quarters because we still have not reached t

he full revenue potential of

Ambernath, the regulatory approvals have not yet come in. So, once I think all those things are there, we'll be able to guide on the further numbers.

Dheeraj Kumar Reddy: No I'm just trying to understand what is the peak revenue potential if Ambernath and Patalganga goes online and what is the peak overall?

Saloni Wagh: It completely depends on the product mix for us. And we are still not in that stage where we have finalized the new product pipeline for Patalganga. So, it completely depends on the product mix and the kind of CMO, CDMO opportunities that we get because Ambernath is a mainly CMO, CDMO focused finished formulation facility. It completely depends on that.

And as of now, we have a lot of discussions ongoing. But up and until nothing is signed and the term sheets are not there, we'll not be able to guide on the full potential numbers. But we will come to that in the coming few quarters once we have full clarity on the CMO, CDMO opportunities.

Dheeraj Kumar Reddy: On the EBITDA margin?

Saloni Wagh: The EBITDA margin, 33% to 35% is something that we would like to continue guiding because whenever we launch any new products may it be on the API side or the finished formulation side, the first scale-up always happens in semi-regulated markets where the prices that you get are not as high as the regulated market. And then it takes 2 to 3 years for the product to mature into regulated markets.

And because now we are actively every year, adding 3 to 4 new molecules in our basket, plus new products on the finished formulations also. There will always be some products in semi-regulated markets, and some in regulated. And because the cycle will continue for us in the next 5 to 6 years, the margin would be around 33% to 35%.

Moderator: We take the next question from the line of Deepankar Bisht from CCV Investment Managers. Please go ahead.

Deepankar Bisht: Thanks for the opportunity. So, my question was, in the presentation, it is mentioned that GLP-1 product development this is mainly Indian generic company. So, is this a signed agreement or is it still in discussion?

Saloni Wagh: It's still in discussion phase, but it is at a very advanced discussion phase, but we still have not signed the agreement.

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Deepankar Bisht: So, by when can we expect the revenue from this segment?

Saloni Wagh: So, revenue will take at least 2 years because the development has also not started. We are still in discussion with them. And as for their expectation, some development work has started, but I think it will still take 2 years minimum for some revenue to start coming in from this.

Deepankar Bisht: And next question was that net working capital days was 170 days in FY26 compared to 158 days in FY25. And I believe it was 124 days in FY24. So, what reversed this improvement? And what sort of working capital target for FY27?

Krishna Raghunathan: We are looking at around 170 to 180 days going forward. So what is happening is as the business

has grown, debtors' days had increased because the last 2 months and because of the debtor days, see what do you call the working capital days, also has gone up. We would be trying to hit somewhere between 170 to 180 days moving forward because now the Ambernath will also be coming into the picture. We believe that somewhere around 170 to 180 days, I think, should be a stable state number.

Deepankar Bisht: And sir, for this cardiovascular segment, is this filled in US and EU as well or just for semi regulated markets?

Saloni Wagh: So, this is an advanced intermediate. So, we need not do any filings in Europe or US?

Moderator: We take the next question from the line of Sajal Kapoor from Antifragile Thinking. Please go ahead.

Sajal Kapoor: Thanks for the follow-up. And Krishna ji, just one for you probably. It's regarding

the conversion

of EBITDA into operating cash, as the trajectory has somewhat shifted post COVID. So, inventory days have been running at close to 200 days for 2 years now.

Is that a deliberate buffer given the backward integration model and positioning Supriya as a USFDA approved alternative to China? Or this is a near-term sort of a blip, and we can expect inventory days to normalize below 200 because obviously, that will help converting more of EBITDA into operating cash flow to then fuel Patalganga and the other growth capex that we might be taking, let's say, in 2028 and 2029.

Krishna Raghunathan: See, Sajal, what is happening here is, we see a lot of the products are having a higher volume.

And because of the backward integration, you are necessarily, you need to carry higher inventory. And specifically, like the cardiovascular product as well as the liquid anesthetic, I think since the capacities are huge, even the intermediates, what we had to hold are becoming huge. And that is one of the reasons why the inventory levels are also up.

Of course, the rest of the inventory, there is also Ambernath inventory, which is also getting added up. Already in the increase, I would attribute at least INR10 crores to INR15 crores from Ambernath inventory. So, these two are increasing the inventory days as well as the amount in inventory.

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Sajal Kapoor: And finally, on the receivables from 72 days, we are now at 78 days. Is a slight upward jump, not massive, but how do you see receivables going ahead?

Krishna Raghunathan: No, I'm not much concerned on the receivables side. See, we will be able to maintain between 80 to 85 days even at the worst of times. I think major amount of receivables were of the last 2 months.

So that is why the receivable days have also gone up a bit. I don't think that would be a concern see like as long as we have our control substances where we do take amounts in advance. I am not much concerned might be on the Ambernath side, once it crops up, we will have to see how the things pan.

Moderator: We take the next question from the line of Sanjay Kumar from iThought PMS. Please go ahead.

Sanjay Kumar: The first was on the contrast media. Can you explain some competitive advantages that we have managed to develop because the incumbent is a giant, who works on large scale and efficiency.

Saloni Wagh: I think the technology that we have and the process, that we are working on, is more cost efficient than whatever route is available in the market currently. Also, as a product, it's a very, very large molecule and the market size of that product is growing year-on-year. So, there is definitely space for 2, 3 large companies to participate and get a sizable share of the market. And that's what we are focusing on.

We are not intending to be market leaders with more than 40%, 50% of the market share. But because the molecule itself is so large, and a lot of our existing customers across regulated markets have been prompting us to take up this product, because they have very large requirements. So, I think that's the reason why we chose the product and the process is something which would be a standout as compared to what is available in the market, which would result into better costing.

Sanjay Kumar: Can you explain on the process in terms of, let's say, iodine recovery or the usage? How are we when compared to the leader?

Saloni Wagh: No. Unfortunately, we'll not be able to divulge a lot of information about our process because that's something that the R&D has worked on for the last 2, 3 years. So, it's a very confidential thing to us as a company.

Sanjay Kumar: Then on the novel semaglutide tablet formulation for which we have patent, how is it different from Novo's oral tablet?

Saloni Wagh: I think the binding agent, what we have is different from what

they are currently using, we are

still doing a lot of research on that. We have filed the patent, and we have, in fact, approached Novo on this also because the formulation that we have has better absorption as compared to what is available on the market. That is how it is different.

Sanjay Kumar: On CVS, we were doing 5 steps so far. Eventually, we wanted to get to 8 steps. So where are we in that backward integration process for the cardiovascular product?

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Saloni Wagh: So, at this point, we have already gone to full backward integration because when the volumes scaled up, we were waiting for the volumes to scale up, now that the volumes have scaled up, we have already fully backward integrated.

Moderator: Ladies and gentlemen, due to paucity of time, we take that as the last question and conclude the question -and-answer session. On behalf of Supriya Lifescience Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

(This document was edited for readability purpose)